

# Campus Active (CAMPUS)

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## Call: Aug 2022

22nd August , 2022

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring, Rotunda  
Building,  
P. J. Towers, Dalal Street,  
Mumbai – 400 001  
SCRIP CODE: 543523 National Stock Exchange of India Ltd.  
Exchange Plaza, C -1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051

SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 –Transcript of the Earnings Call held with Investors/Analysts

Dear Sir,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call held with the Investors/Analysts on 16th August, 2022 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com)

This is for your information and records.

Thanking you

For CAMPUS ACTIVEWEAR LIMITED

Archana Maini  
General Counsel & Company Secretary  
Membership No. A16092

Encl: As above

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Earnings Conference Call  
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Moderator: Good day, ladies and gentlemen and a very warm welcome to the Campus Activewear Limited, Q1 FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing \* then 0 on your touch tone phone. Before we proceed on this call, let me remind you that the discussion may contain forward looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with other businesses that could cause future results performance or achievements to differ significantly from what is expressed or implied by such forward looking statements. The Campus Activewear management team is represented by Mr. Nikhil

Aggarwal, whole time Director and CEO, Mr. Raman Chawla CFO and Mr. Piyush Singh, Chief Strategy Officer. I now hand the conference over to Mr. Nikhil Aggarwal, whole time Director and CEO for his opening remarks. Thank you and over to you sir.

Nikhil Aggarwal: Thank you and welcome everyone for joining our Q1FY23 earnings call today. I believe everyone is staying safe. We appreciate and deeply acknowledge your trust in our vision to create India's leading sports and athleisure footwear brand. I'm delighted to share that our quarterly performance has been in line with expectations, despite an uncertain and inflationary macro environment. There has been a  
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sustained improvement in our YoY quarterly financial exhibiting marked improvement in both top line and bottom-line numbers as compared to Q1FY22 which was largely impacted by the 2nd wave of COVID-19 last year. Because of seasonality seen across product mix consumption, quarter one empirically has been contributing 18% to 20% of our annual net revenue. During quarter Q1FY23, we sold more than 5.5 million pairs at an aggregate level, thereby clocking net income of INR 338 crores and YoY Growth of about 150% versus Q1FY22, which was at about INR 135 crores. Both trade distribution and D2C channels have delivered a holistic growth of more than 150% on a YoY in Q1FY23 versus Q1FY22. Just to highlight, we sold the highest ever first quarter volume in the history of campus at 5.6 million pairs, registering a YoY volumetric growth of about 141% in comparison to Q1FY22. Along with volume, our q

uarterly ASP is also grown by about 3% from INR 580 in Q1FY22 to INR 597 in Q1FY23. Despite the challenging inflationary environment, Campus Activewear balance sheet continues to demonstrate strength with robust return ratios such as ROC E and ROE of 37.4% and 38.2%, respectively as on 30th June 2022. We are sincerely thankful to our end consumers, our channel partners and our passionate team which has helped us in delivering this performance which earmarked the underlying strength and resilience of the brand. As always, we thank you for your invaluable support and investment. I will now hand over to our Chief Strategy Officer, Mr. Piyush Singh, for his remarks. Thank you.

Piyush Singh: Greetings to everyone, adding on to what Nikhil just said while FY22 was an exciting year for all our stakeholders. We had started FY23 on a strong note from both an operational and financial performance standpoint. All our distribution channels, category cohorts, and price segments have demonstrated robust growth, both in terms of volume  
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and value amid the challenging operating environment impacted by supply chain disruptions and inflationary trends. Basis price segments are sealed trade in Q1FY23 has exhibited sustained premiumisation vis a vis FY22 full year where in sales contribution from semi premium and premium categories have increased from 64% in FY22 full year to 68% in Q1FY23. Similarly, on a category basis, revenue mix across men and women and kids have improved from 84:16 in the favour of men in FY22 to 81:19 in Q1FY23 favouring men and women and kids respectively. On a trailing 12 month basis, revenue from operations increased by almost 17% on a year on year basis to INR 1,397 crores in TTM Q1FY23 as compared to FY22, full year revenue at 1,194 crores. Similarly TTM Q1FY23 EBITDA stood at INR 290 crores as compared to FY22 to full year EBITDA INR 244 crores demonstrating almost a 19% year on year growth. TTM Q1FY23 EBITDA margin also improved at 20.8% versus 20.4% for FY22 full year. Net profit during the trailing 12 months of Q1FY23 stood at INR 151 crores with PAT margin of 10.8% as against full year FY22 PAT of INR 124 crores at a margin of 10.4%. On the supply chain front, we continue to stay cautious of the challenging

inflationary environment in the near medium term, ensuring that R M and semi-finished goods availability above everything else to maximise sales potential in the coming quarters. We continue to maintain a close watch on our input costs as well. As an outcome while at material margin has improved from 48.4% in quarter four of FY22 to 49.6% in quarter one of FY23 as gross margins have stayed intact at 36% across both the quarters. We are confident of maintaining the trend line growth trajectory and margin profile in the near to medium term. I will now hand over to our CFO for Mr. Raman Chawla to take you through more details on the quarter one FY23 performance over to Raman.

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Raman Chawla: Good afternoon, everyone and welcome to quarter one FY23 earnings call of Campus Activewear Ltd. During the quarter under review Campus as a brand demonstrated a lot of resilience. Campus delivered its best first quarter, both in terms of top line and the bottom line growth. Revenue from operations increased by 149.6% year on year to INR 338 crores during the quarter with both channels trade distribution and D2C exhibited similar growth profile in this quarter at about 150% YoY growth. Our Q1FY23 sales volume registered at 5.6 million pairs, as against 2.3 million pairs in Q1

FY22, thereby generating 141% YoY volume growth. While Q1FY23 aggregate ASP stood at INR 597 versus INR 580 in Q1FY22, thereby resulting about 3% YoY ASP growth. In terms of profitability, EBITDA was at INR 62.3 crores in Q1FY23. As compared to INR 16.1 crore in Q1FY22, EBITDA margin stood at 18.4% in Q1 FY23 versus 11.9% in Q1FY22. In terms of a net profit during the quarter, it stood that INR 28.7 crores as compared to INR 2 crore in Q1FY22 and a profit margin stood at 8.5% in this quarter versus 1.5% in Q1FY22. Moving on to the balance sheet, our net debt has reduced from INR 174 crore in FY22 end to INR 124 crores as of 30th June 2022. Net debt to EBITDA ratio has improved from 0.7 X in FY22 to 0.4 X in TTM Q1FY23. Similarly, our return on capital employed has also gone up from 29.7% in FY22 to 37.4% in TTM Q1FY23 and our return on equity has also gone up from 32.9% in FY22 to 38.2% in TTM Q1FY23. With this I conclude and hand over to the operator for question and answer, thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question and answer session. The first question is from the line of Vicky Punjabi from UTI Mutual Fund. Please go ahead.

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Vicky Punjabi: I wanted to understand the reasons for the seasonality in the business because my thinking was that the Macro impact the Q1 volumes could have been a little better than what we saw in the Q4 and Q3 volumes being similar. Can you help me understand what is leading to this seasonality?

Nikhil Aggarwal: We basically don't look at seasonality only on the basis of COVID. While COVID certainly is in the past now more or less, seasonality for us is also due to the winter season, where there's festivities and when the purchase power of the consumer goes up against the other seasons other quarter. And also, because we primarily dominate enclosed footwear category and our portfolio for open footwear category is very limited, so because of that also Q3 and Q4 are basically the highest grossing quarters. From the seasonality perspective of the company, Q1 and Q2 are lower than the other two quarters. While we have done a lot in the last few years to bring this parity down. I hope that answers your question.

Vicky Punjabi: And just one more thing, if I see the realisations for this quarter versus, say realisations for the annual FY22. It seems to be a bit lower than what it was in FY22 and on the average realisation was on lower side

than FY 22 and I think in the comments. I heard that we've seen a better premiumisation in this quarter versus what we saw in FY22, any reasons for that?

Piyush Singh: There's a fair bit of seasonality in our first half of the financial year because during this time in the summer months, we sell a larger proportion of open footwear which are lower ASP products. Now there has been a premiumisation with the comparison to ASP of Q1 FY23 versus Q1FY22, so on a YoY basis there is there is a 3% premiumisation.

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But that said our FY 22 overall numbers in terms of ASP would be a tad higher because second-half of the year is not only contributing to roughly 60% of our top line, but it also is a higher ASP generating second-half. And hence fully attended number is a tad higher which was at INR 616 for last year, FY22 full year.

Moderator: Thank you. The next question is from the line of Jignesh Kamani from GMO. Please go ahead.

Jignesh Kamani: I just want to know about if you take about Q1FY22 was because of the COVID. So if you want to compare with normally say Q1

FY23, year ago,

how is the revenue volume and ASP compared to Q1 FY 20?

Piyush Singh: Q1FY20 revenue was almost equivalent to Q1FY22 revenue at INR 135 crores. So from that perspective, it's 150% growth. Similarly, our ASP is for Q1FY23 are way better as compared to our first quarter FY20 ASP, wherein the ASP of first quarter was closer to 570 this time it's 590.

Jignesh Kamani: And Volume share here.

Piyush Singh: The volume in Q1FY20 we did that 3 million pairs where in Q1FY23 we did 5.6 million pairs.

Jignesh Kamani: Second question is if you take one last one year, how is the cost increase for you? You mentioned there is a 3 percent increase in the ASP roughly, so it is commensurate to all the cost increase or how is the scenario right now?

Nikhil Aggarwal: Yes, we have taken quite a bit of cost increase already factored into the ASP increase. While there has been certain inflation in the polymers and some raw material and compounds, so far we have incorporated most of the inflationary pricing keys. So given the trend now that we

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are seeing in the markets. We are hoping and already seeing the trends to be sort of improving in terms of inflationary increases on the side of raw materials.

Piyush Singh: Just to add to it Jignesh, if you look at our QoQ trend while in Q4FY22, our material margin was 48.5%. It has gone up to 49.5%. Just shy of 50% in Q1FY23. And despite the inflationary environment in freight logistics. And some increase in contract workers wages. We were able to maintain our gross margin levels at 36% in both quarters. So far we have maintained our control over the raw material inflationary prices, while also increasing our ASP because of the product mix.

Jignesh Kamani: I think since last one and half year we aggressively invested in the sneaker SKU portfolio, everything. How is the current performance of the sneaker in the market feedback, any idea how is the contribution of sneaker as a category for us right now?

Piyush Singh: So contribution right now, I would say is not very significant because we've just launched the sneaker range recently. So, if you visit any of our showroom that we have across the country, about 140 of them.

The sneaker range is present in our reviews. We are also in the process of launching a very good to sneaker range in the other channels, namely e-commerce and NPO distribution. So, the contribution I would say is still at a neutral stage, but the response is very, very encouraging.

Jignesh Kamani: And right now our portfolio will be similar in sneaker in terms of SKU versus other competitors. Or still we need to improve on the SKU and the portfolio size.

Piyush Singh: it's a work in progress, I would say so it's not like that we don't follow a system where we just launch one range and then we're done for the  
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year so it's a continuous process for us. A good range has been launched in the review channel and very soon you'll see a different kind of range or the other two channels as well.

Jignesh Kamani: And my last question on the seasonality, you mentioned that Q1 is around 18% to 20% of the full year revenue. Is the seasonality there in the margin also across the various quarters?

Nikhil Aggarwal: In the initial quarters there is a fair bit of fixed costs absorption that happens. As we progress down the financial year or operating leverage keeps on improving from here on. So we see two levels of improvement, one at the material margin gross margin level because of the enhanced product mix and a high ASP and

are relatively high share of high ASP product being sold and second is on account of operating leverage with a better absorption of fixed costs in Q3 and Q4.

Moderator: Thank you. The next question is from the line of Ankit Kedia from Phillip Capital. Please go ahead.

Ankit Kedia: A couple of questions from my side. While you have shared the growth across the channels, could we get the revenue split across the channels?

Piyush Singh: Our trade distribution channel out of INR 338 crores have done almost close to INR 200 crores, INR 199 to be precise, and the remaining comes from our D2C channel which is the balance, it's INR 113 crores from e-commerce and another INR 21 crores from a EBO plus key account.

Ankit Kedia: So on seasonality perspective do you see seasonality across channels or a particular channel like the trade channel has more seasonality  
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while you know online should not be so seasonal in nature? Given that customers would tend to buy, throughout the year on online channel.

Piyush Singh: It's not about customer buying across all the channels. It's about what kind of product are the customers buying. So seasonality is holistic across all the channels. For example, we see relatively lower ASP's across all the channels in Q1 vs. full year ASP, Aggregate ASP is INR 597 in Q1FY23 vis a vis INR 616 in FY22. We see slight drop of say 2% to 3% in terms of ASP across trade distribution and E-commerce irrespective of the customer journey. The customer ends up buying relatively higher share of slip on, sliders and sandals in the first quarter and the second quarter when in the entire North, East and Western India belt there is a high degree of summer and high temperature ranges as winter months comes in with festivities and marriages and temperature dropping, people tend to switch to close footwear, which has a higher ASP. So seasonality is holistic across all channels.

Nikhil Aggarwal: Just to add, there is also an element of school shoes which are also lower in ASP compared to regular foot wears, so that that's also mostly sold during Q1.

Ankit Kedia: And how big would be a school portfolio now?

Piyush Singh: It's catching up after 2 1/2 years. Earlier it used to be roughly 8% to 10% of our portfolio, now it's again catching up and very soon we'll be in the same trend line.

Ankit Kedia: So the kids portfolio broadly, school shoes portfolio should we understand that way?

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Piyush Singh: See the kids portfolio for us so far over the last two years was excluding school shoes and it's roughly 10% as of now.

Ankit Kedia: My second question is regarding your working capital, from FY 22 to Q1. We have seen a significant decline, can you just throw some light on the inventory and receivable days?

Piyush Singh: You will be happy to know that receivable days have improved from 40 days of sales outstanding to 35 days of sales outstanding. We are still maintaining the same level of inventory cover at almost 108 days of sales outstanding because end of quarter one is just the precursor of the beginning of our festive season because as you end July, in August and September, a lot of stock offtake starts across online and our trade distribution channel. So at this point in time, we tend to maintain the highest level of inventory cover from festive season preparedness perspective, despite that our inventory cover in terms of base sales outstanding stays the same. While we have managed to work on our payable days and stretch it to a certain extent and hence you see a significant improvement in net working capital.

Moderator: Thank you. The next question is from the line of Manish Poddar from Motilal Oswal Asset Management. Please go ahead.

Manish Poddar: I'm just trying to understand three-year volume CAGR for men, women and kids for this quarter now. What would that number be?

Piyush Singh: We can take that question offline, but I can give you a break up so last year for full year FY22, our distribution between men and women and kids portfolio was 84% towards men and 16% towards women and kids wherein it was equally spread between 8% piece across women and kids. It has improved to almost 80:20 now whereas 80% is towards Campus ActiveWear Limited  
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men and 10% is for women and remaining 10% is for kids in child. And the year before that, FY21, the ratio was 88:12 where 88% was men and 6% was women and remaining for child.

Manish Poddar: OK, would you be able to help me with how much was ad spend during this quarter and the last quarter Q4 for 22, absolute amount.

Nikhil Aggarwal: We spent about INR 17 odd crores in marketing which is roughly 5.2%. And last quarter we did almost nine crores. The ad spends on a trend line basis are expected to stay between 6% - 6.5% of our top line. But there is some bit of lumpiness depending on what kind of product portfolio are you marketing and what kind of regions plus the channel you're targeting. So, Q1 for us typically contributes 5% to 5.5% of our ad spends, Q2 and Q3 tends to be heavy because they are the start of the season and the middle of the season and Q4 is typically the lowest quarter in terms of AD spends for us. Ad spend for Q4FY 22 was 2.5% and Q1 FY23 is 5% of sales.

Manish Poddar: Effectively, the delta change and other expenses, largely because of the ad spend.

Nikhil Aggarwal: Yes, it's because of the ad spend and some bit of employee appraisal that changes from Q4FY22 to Q1 FY23 on account of annualization because it'll spread over the full year now.

Moderator: The next question is from the line of Akshay Kothari from Envision Capital. Please go ahead.

Akshay Kothari: In the last call you mentioned that we were focusing on product of aspiration, accessibility, affordability, I had a question regarding aspiration. So my question is specific like which are the major leagues? Campus ActiveWear Limited  
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Are we looking to sponsor for example IPL, Pro Kabaddi or Common Wealth? And who would be our brand Ambassador? Do we have any brand Ambassador and in terms of adjacency's, are we planning to go into the sport specific like football studs, cricket spikes or badminton shoes any of those, that's my question.

Nikhil Aggarwal: So, let me answer your second question first. We are not looking at any performance shoes category right now like cricket or badminton and all, because it's a fairly, very niche market in India. Very, very

concentrated. So we do more of everyday wear shoes which our audience our consumers can wear throughout the day for all purposes or whatsoever they need and with regards to any of the aspiration components that you spoke about. We follow a very stringent. Firstly, an ROI based marketing model. So we absolutely make sure that wherever we do spend in the marketing, there has to be significant ROI generated from that and given the kind of the relatability and that these platforms have today, it's not exactly a very otherwise generating for that marketing in these let me say the IPL. So that is one of the main reasons why we shy away a little bit from marketing over there. But given you know if we we're not totally closed off to

it. So if the right opportunity presents at the right time we could be open to looking at that as well in future.

Piyush Singh: We are fashion forward organisation and the kind of portfolio that we offer is bringing you the latest global fashion trends for the first time in India in the fastest time. From this standpoint, we have pivoted our marketing spends more towards digital influencer and community building where the relatability quotient is relatively higher. We are always on the lookout for the right kind of celebrity and endorsement, be it sports league that you talked about, be it kind of impact  
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properties across OTT and TV channels or be it any celebrity, but it has to justify the bottom line and the ROI that we are expecting out of it and hence all the decisions are driven by the profitability metrics.

Moderator: Thank you. The next question is from the line of Aliasgar Shakir from Motilal Oswal. Please go ahead.

Aliasgar Shakir: A couple of questions. First is on the margin profile you did indicate that as the quarter goes by you have heavy quarters Q3 & Q2 which are higher in operating leverage and higher margin accretive quarters. Just if you also help us understand from a two year point of view in the kind of growth one we are seeing in second is the kind of ASP mix improvement we are seeing. What is the kind of margin improvement one should think of how we should think of the matching improvement.

Nikhil Aggarwal: Unfortunately we cannot give you any forward-looking statements, but what we can tell you is that historically we performed at 8% to 9% of ASP growth minimum and about 22% to 23% for the last 10 years, almost 8 to 10 years and there is no reason we should be looking at performing lesser than that, so that's been the historical trend for the company. Even in terms of margins, we have seen a good 1%-1.5% growth in both the gross margins and flowing down to EBITDA and PAT margins for the last three years. So there have been significant margin improvement and we are working on many, many initiatives right now. Very fruitful initiative, which should lead to higher gross margins as well.

Aliasgar Shakir: Got it, this is very helpful. I mean I was coming more from the point of view. That if I see last three to four years EBITDA margins in fact. And of course even gross margin has gone up by nearly 400-500 bps, so you  
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still see room for improvement even from these levels, with the kind of revenue growth that you indicated.

Piyush Singh: Yes, obviously because operating leverage would keep on coming in with enhanced sales, even if we maintain the same revenue growth trajectory that is bound to show its impact on the operating leverage side.

Aliasgar Shakir: Second quick question is on the economics of the business in online versus offline. So is online equally margin accretive? If you could, just explain the margin profile between both on gross and on EBITDA level.

Piyush Singh: While we have explained this historically on FY22 full year basis I won't

comment on this on quarter on quarter basis, but from a trend line perspective our D2C online channel has contributed at a higher EBITDA margin levels compared to our trade distribution level, so there is a delta of 300 to 400 bps in terms of margin between trade distribution versus our D2C online platforms with D2C online contributing a higher margin. So in fact, the reason historically for shift in our margin profile is largely because over last 3 years the online business has grown from in

cubation to almost 35% revenue contribution.

Moderator: Thank you. The next the next question is from the line of Jaykumar Doshi from Kotak. Please go ahead.

Jaykumar Doshi: I've got three questions. The first one is can you talk a little bit about the growth trends that you're seeing on e-commerce platforms? And this is marketplace and not the B2B distributors, its purely of the likes of Amazon and Myntra, Nykaa, and are you still seeing a month on month growth even after opening up Volume growth on those Campus Activewear Limited  
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platforms and how has market share been in the recent past on e-commerce platform as well as overall wherever you are able to track. That's question no 1.

Piyush Singh: So see from a D2C online perspective. Yes, we are still witnessing a decent month on month growth on the marketplace side anyway our B2B business is very small. It's only 10% of our overall D2C online portfolio, so, for example, compared to Q1FY22. Our online business in Q1FY23 has grown by 130% again with significant improvement over Q4FY22 as well. So just to answer your question, yes we are seeing fair bit of both volume and value growth across the marketplace. Yes, we can go on to your next question and in fact our Commission level just to add to it, our Commission levels on an aggregate basis for FY22 has reduced by one percentage point in Q1FY23. So it has also led to some bit of margin improvement as well in this quarter.

Jaykumar Doshi: And market share on these platforms. Do you get some industry growth and are you able to compute your market share.

Piyush Singh: It is difficult to comment on that while you'll be a better judge of what the market is growing at. The channel is growing at anywhere between 25% to 30% on a year on year basis. If we take that number as a baseline of performance. So far it has been better as compared to the market, so I mean on a derived basis. Yes, we tend to gain market share on these platforms but very difficult to triangulate it.

Jaykumar Doshi: Sure, my second question is South and West Market growing faster. Can you give some colour in terms of how growth is trending? South and West versus maybe Northern.

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Nikhil Aggarwal: So South and West have particularly done quite well, even for quarter one. Where about 19% of the sale of the overall MP distribution sale I'm talking about has come in from West and about 6% is coming from South, so there has been an emphasis and a very clear focus on growing these specific these two markets. We're very happy to tell you that the both of the markets have done remarkably well for this quarter.

Piyush Singh: I mean FY 22 full year South and West put together, we're contributing close to 21%-22%, which has now improved to 26%.

Jaykumar Doshi: And the final question is on your thoughts or your views on Relaxo doubling down EBO on sports. So competitive intensity and.

Nikhil Aggarwal: We don't comment on any of our competitor policies. I'm sure everybody has a strategy that they follow.

Jaykumar Doshi: And final bookkeeping that it is come from somebody else can you call out the operating cash flow for the quarter?

Raman Chawla: Our operating cash flow is about INR 83 crores of generation that we have done in this quarter Compared to EBITDA number of about INR 62

crores .

Moderator: Thank you. The next question is from the line of Ashwin Agarwal from Akash Ganga Investments. Please go ahead.

Ashwin Agarwal : I just had one question like could you give me a split like the revenue split between the tier one cities and Tier 2 cities

like NCR region you're dominating and Mumbai , Bangalore, another Tier 2 cities like do we have a split over there?

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Piyush Singh: We do have a split here on an aggregate basis 70% of our revenue comes in from Tier 2 tier 3 cities and 30% of our revenue comes in from Tier 1 and metros. While on a channel basis, trade distribution makes the same mix, but our D2C online business has a roughly 45 -55 kind of a mix in the favour of tier 2 tier 3 cities.

Ashwin Agarwal: OK, so do we have any like major strategies to penetrate into the tier one cities because we can have a good market share over there as well.

Looking at the opportunities like big cities like Mumbai, Bangalore, Kolkata?

Nikhil Aggarwal : Certainly , the way we are looking at premiumisation of our portfolio and we've significantly premiumizing over the last three years , this is one of the major reasons we've been able to garner extra market share in the metros and tier ones. Also we have had a specific emphasis on opening EBOs in these cities, which has led to a very high aspirational quotient and a premiumisation, as well in these cities. So given with, both the factors we've been able to gain disproportionate I would say market share in these metros and tier ones.

Moderator: Thank you. The next question is from the line of Sahil from ICP. Please go ahead. As there is no response next question is from the line of Nitin from CLS A. Please go ahead.

Nitin: My question is, with respect to gross margin contraction of 570 bps, so would you be able to help me separate the in terms of the quantum of gross margin impact? I guess like GST changes like 200 bps impact. How much was the impact to be due to the product mix in terms of what is the share of open footwear and how it expanded YOY if you can throw some light on that?

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Piyush Singh: Not sure why are you saying that there is a gross margin compression because compared to quarter four FY22 our gross margin have stayed intact at 36% in quarter one FY23.. On a full year basis gross margin was 37.5 % in FY22 versus 36% in quarter one FY23 , while our major quarters are yet to come in.

Nitin: So just comparing quarter on quarter. Like YOY? From Q1 to Q1.

Piyush Singh: OK, so, I think that would be an unfair comparison because last year for quarter one the majority of the revenue came in from our D2C online channel which by nature itself is a high margin generating channel because last year for all the three months of first quarter distribution got impacted severely by the 2nd wave of COVID -19.

Nitin: OK got it and in terms of like the raw material situation currently like what is the inventory position we have built up and how we are confident about the maintaining margin on the front of the inflationary pressure. If you can quantify on the quantum of inflation we have seen in this quarter.

Piyush Singh: While it will be difficult to quantify the quantum of inflation that we have seen. All we can say is despite all the inflationary pressure, we have managed to improve our YoY ASP by 3% and even on an aggregate level while we closed FY22 with an ASP of INR 616. We have managed to achieve an ASP of INR 597 in the first quarter itself. Talking about our preparedness, we have taken certain steps as we had mentioned in our last quarter call itself, we have taken some proactive steps in terms of building up essential raw material supplies like forward purchase of

EVA raw material that has really paid off from an availability perspective and hence we were able to place the product at a

fast

pace in the market. So from a GTM perspective of first to market and Campus Activewear Limited

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passing to market has really helped us in gaining some bit of revenue growth in the first quarter itself and come from a preparedness perspective, all I can say here is that we have the requisite inventory levels to take care of our festive season in the coming quarters.

Nitin: OK, and lastly, like the in terms of the difficulty in sourcing EVA. So how exactly we have entered into contract? I'm just thinking from that perspective the competition is unable to source this raw material, will it be an opportunity for us to gain share?

Piyush Singh: EVA is just one of the components amongst the many raw materials that we purchased. While the EVA is certainly extremely important because I mean you cannot make a sole without it, so in our case we have booked EVA for the next six months for this quarter. We obviously pay only as it arrives, so it's not a payment impact on the cash outflow, but it's more of securing the supplies at a specific price, so there is no volatility in terms of price and supply which has really helped us in terms of optimising our supply chain and making sure that we are the fastest to the market amongst other raw material as well, we are trying to follow a similar approach. We're not forward booking, but we are one of the largest consumers in our footwear segment for most of these raw materials, we have a very strong negotiating power with the vendors, and that's how we go about purchasing them.

Moderator: Thank you. The next question is from the line of Harsh Yogesh Shah from Incréd. Please go ahead.

Harsh Yogesh Shah: Channel mix has considerably evolved over the past four five years, we do see now it is 35% of our overall sales. So how do you see the channel mix evolving going ahead, let's say 4-5 years from now?

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Nikhil Aggarwal: Yes, certainly it has done very well for us as a brand, as a company, the D2C channel has grown significantly so today the mix is about 60-40 and going forward we are in a stable state situation. We see it stabilising. It's somewhere around 50-50 over the next couple of years, so that's how we are planning the two channels.

Harsh Yogesh Shah: OK, and Sir, within that if we look at trade distribution as you just mentioned, that close to, 80% of our sales comes from core markets of North and East. So how do we look at growth there? Because I mean the kind of penetration and the market share would be high in those markets, right? So how do we look at growth in those core markets in trade distribution?

Nikhil Aggarwal: So interesting question there is still and we debate this a lot internally as well. There is a lot of potential still in our core markets left. It's not like we have saturated the markets in any way or there's still so many areas which have untapped potential. And we are always on the lookout to creating and growing a distribution channel with the wider reach with more number of distributors and retailers on hand. So there's a lot of potential still left, and there's no way now even close to saturating in these core markets.

Harsh Yogesh Shah: So basically you are saying that there is still an opportunity for higher penetration as well as improving the throughput from a particular outlet in those core markets. And if I get it converted correctly.

Nikhil Aggarwal: Absolutely there's a lot of potential in increasing the market share and let's say the watch share in each of these outlets that we have in the end use as well.

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Harsh Yogesh Shah: OK, but when we think of wallet share, I mean in the EBOs in the core markets, I mean increasing it marginally, increasing it from the current level. Competing with the other categories as well in which we are not creating like let's say men formal wear or I mean maybe casual wear.

Nikhil Aggarwal: Yeah, so there are two things happening there. One is that we are gaining market share on account of other sports shoe branch where the consumer is preferring campus over other price and the second factor that's contributing on account of the consumer preference shift towards casual and sport shoes. So there's a significant shift that has happened in the last couple of years and it's progressively happening much more and more after COVID happened, so like leather industry, for example, is on a downward trend right now. It's not growing at all. It's actually on a De growth path, so all of that market share is sort of converting to casual and sports segment.

Harsh Yogesh Shah: OK, so basically the product mix at an EBO level itself is changing, which is benefiting us right yes.

Nikhil Aggarwal: Yes, one of the factors that's contributing to our growth.

Piyush Singh: Hi operator just for everyone clarification, I would like to highlight a statement here. Maybe because of the statement that we have published in the newspapers, people are looking at gross profit for the quarter as INR 338 crores minus INR 170 crores equal INR 268 crores. In our parlance, we mentioned this as material margin, so material margin for Q1FY23 is 49.6% as against 55.3% in Q1FY22. Because of the disproportionately high revenue contribution coming in from e-commerce channel and as trade distribution was literally shut during Campus Activewear Limited

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the first three months because of the 2nd wave of COVID 19. While if we look at the full year FY22 audited numbers, this material margin was close to 50%. Both on a full year basis as well as quarter for FY22 basis we have kind of maintained a material margin. We have a better view of our direct expenses and hence at gross margins for both these quarters Q4FY22 and Q1FY23 have stayed intact at 36% so I wanted to clarify this for everyone's benefit because the breakup is not given in our published financials.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from Axis Capital. Please go ahead.

Gaurav Jogani: One observation across you the footwear industry, is that while the value segment has continue to struggle at least the premium in the mid premium continues to do very so just wanted to move your thoughts on this and how are you seeing this trend to continue? Or maybe change?

Nikhil Aggarwal: See the value segment, which is basically up to INR 999 MRP is extremely saturated as a market, if you notice that most of the private labels and there must be like hundreds of them in India, they're all manufacturing and selling shoes. Between this price point from INR 00 to INR 999 and that's where the saturation sort of creeps in. It is extremely competitive space which leads to very low margins for everybody operating in that value segment, so that's where we as a brand differentiate ourselves by because of the aspiration brand aspirations we've been we've created over the last several years. We dominate and do really well in this semi premium to premium segment which is INR 1000 to 3000 rupees and specifically. INR 1000 to 2000 is Campus Activewear Limited

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of course as you know there is absolutely no competition and leads higher ASP and higher realisations in the gross margins.

Piyush Singh: Just to add to it, our revenue contribution from semi premium - premium category has significantly gone up on a year on year basis. Last year same quarter, we saw anything above ₹1000 MRP contributed only 53% of our revenue which in Q1FY23 has gone up to 68%, even for full year FY 22 the contribution from semi premium - premium for us for 64%. So with enhanced marketing focus targeting and image building and premiumization of portfolio, we've been able to significantly increase our ASP and contribution from the premium and semi premium categories.

Gaurav Jogani: So my other question of the other clarification is when you see your ASP is INR 600 odd rupees, so that would be the net that you realize, it's nothing to do with the selling price.

Nikhil Aggarwal: I mean. That is the X factorization in our books. That is the index realization for us.

Moderator: Thank you. The next question is from a Tejash Shah from Spark Capital. Please go ahead.

Tejash Shah: The first question is that in other retailers, we have seen this seasonality margins which emanates from the fact that they have a very wide variation of end of season sale and material prices which actually stretch over different quarters. So just wanted to understand how it plays out in our portfolio especially the Q1?

Piyush Singh: The way our business is constructed is very different compared to pure play retailers. 60% of our sales happen through trade distribution

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network, where the level of discounting is sub 2% for us. It's almost a full price sales for us and entire ASP that compared to the couple of retailers that are listed in this space. So, similarly in our ecommerce portfolio which is 35% of our top line at discount percentage so far has states up 20% there despite it being touted as a discount channel. And lastly for our review and care sound channel. Our aggregate discounts have stayed below 6% for the channel so far in the first quarter. So that takes impacts of everything, including EOSS happening at the store, but this part of the portfolio is only 5% of our top line. Just to give some more seller on the channel perspective trade distribution, which is 60% the average discounting that we typically see at a multi brand outlet for our brand is anywhere between 15% to 20%. So, for the large part of portfolio, which is roughly 95% of the portfolio, our aggregate discounting over some somewhere between 15% to 20% on an annual basis.

Tejash Shah: OK, and then there is no seasonality there which would have impacted us.

Piyush Singh: So, seasonality is there in terms of the product profile that we end up selling like in the first two quarters. There is a fair bit of open footwear which is as high as 25% but in the second -half of the year this percentage goes down to almost 10% and remaining 90% is closed footwear, which is the higher ASP product for us.

Tejash Shah: A second question is on the kind of expansion that we have done both geographic product portfolio and then even channel mix change, just wanted understand in last two years pre COVID the same quarter, what was the number of SKUs we are catering with and what will be the number of SKUs that we are catering today with?

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Piyush Singh: The number of SKUs remain more or less the same. It is largely the channel mix that has changed, so there must be a small variation in that sense, because last 4-5 years we've been

having a very good assortment of SKUs, so it's not exactly a function of how many designs is more about what's the volume per design that we can send, and that's where the throughput has really kicked in for us over the last couple of years.

Tejash Shah: So usually we have seen when we enter new market there's a new difference of fashion sense that we have to cater to usually and then that initially it actually builds some SKU pressure. You are saying that in our category, in our brand that pressure is not that high .

Piyush Singh: Yes it's not that high because as we entered into frontier markets like South India market, we had to leave up our open footwear and slip on and slider portfolio. Similarly, when we entered this we had to add a significant bit of sandals as a portfolio. But if you look at the overall picture that incremental edition is not even 10% of our overall portfolio. And given the strength of our R&D department , we have one of the largest R&D team s development teams in India in this category so even creating products from that perspective is not exactly any bit of a challenge, it's more about creating the right product for the right market where we are really expectations.

Moderator: Thank you very much. That was the last question for today's Campus Activewear Q1 FY23 concall , on behalf of Campus Activewear Limited that concludes this conference. Thank you for joining us and in case of any further queries please reach out to Campus Activewear , Investor Relations team at [ird@campusshoes.com](mailto:ird@campusshoes.com) you may now disconnect your lines. Thank you .

## Call: Feb 2023

18th February 2023

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring, Rotunda Building,  
P. J. Towers, Dalal Street,  
Mumbai – 400 001  
SCRIP CODE: 543523 National Stock Exchange of India Ltd.  
Exchange Plaza, C -1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051

SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 –Transcript of the Earnings Call held with Investors/Analysts

Dear Sir

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Conference Call held with the Investors/Analysts on 14th February 2023 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com) .

This is for your information and records please .

Thanking you

For CAMPUS ACTIVEWEAR LIMITED

Archana Maini  
General Counsel & Company Secretary  
Membership No. A16092

Encl: As above

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Campus Activewear Limited  
Q3 & 9MFY23 Earnings Conference Call  
Feb 14, 2023

Moderator: Ladies and gentlemen, Good Day and Welcome to the Campus Activewear Limited's Q3FY23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touch tone phone. Before we proceed on this call, let me remind you that the discussion may contain forward looking statements that may involve known or unknown risks, uncertainties, and other factors. It must be viewed in conjunction with our businesses that could cause future results, performance, or achievement to differ significantly from what is expressed or implied by such forward looking statements. The Campus Activewear's management team is represented by Mr. Raman Chawla, CFO and Mr. Piyush Singh, Chief Strategy Officer. I now hand the conference over to Mr. Piyush Singh, Chief Strategy Officer for his opening remarks. Thank you and over to you Sir. Piyush Singh: Thanks, Mike. Welcome and thanks everyone for joining our third quarter of FY23 earnings call today. Our CEO, Mr Nikhil Agarwal, is under the weather due to viral fever and would not be able to join today's call. We apologise for this inadvertent change on his behalf and wish him a speedy recovery. Now we are very delighted to share that our quarterly performance has not only maintained our progress on the growth trajectory and demonstrated a material uptick in our profitability trend visibly last quarter, despite inflationary macro environment and transient demand, contraction in rural and semi urban areas, which is still not out of the woods in our opinion.

We are very bullish on the long term growth and profitability prospects of both the sports and athleisure industry in general and Campus group in specific. There has been a sustained improvement in our year to date financials for FY 23, exhibiting marked improvement in our top line and profitable growth across all our revenue streams as compared to the same period last year which was actually supported by pent up demand tailwinds last year with markets opening after second official lockdown in India on account of COVID -19.

Now coming to the quarter, Q3FY23 we sold more than 7 million pairs at an aggregate level, thereby clocking net income of INR 466 crores registering a YoY growth of almost 7.5% versus Q3FY22 where the top line was INR 433 crores. While the trade distribution has de-grown by ~13.5% on account of higher base, then lower primary uptake on account of channel partners. Taking a cautiously optimistic view on account of slower than expected demand

recovery, especially in Tier 2 and 3

cities in semi urban centers, our direct-to-consumer channels, have delivered robust growth to file  
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of more than 46% on a YOY basis versus Q3FY 22 supported by sustained secondary consumption by end consumers.

With sales of 7 million pairs in Q3 FY23, we registered our YOY volumetric growth of roughly 6% in comparison to Q3FY22. Our quarterly ASP has also grown at 1.5% from INR 657 in Q3 FY22 to INR 669 per pair in Q3 FY23. Despite the challenging inflationary environment, our balance sheet demonstrates the possession of strength with robust return ratios such as ROCE and ROE at 27% and 25% respectively. On a year to date basis, all our distribution channels, category cohorts and pricing segments have demonstrated robust growth both in terms of volume and value despite the challenging operating environment impacted by supply chain disruption and inflationary trends basis price segments. Our sales trends have exhibited sustained premiumization on a YTD 9M FY23 vis-a-vis FY 22 full year, wherein sales contribution from semi premium and premium categories have increased from 64% in FY 22 full year to 72.5% in 9M FY23.

Similarly, on a category basis, revenue mix across men, women and kids have improved from 84% for men, vis a vis 16% for other categories in FY 22 full year to 80:20 in 9M FY23. On a trailing 12-month basis, revenue from operations have increased by 25% YoY to INR 1,489 crores as compared to 1,194 crores for FY22. Similarly, TTM trailing 12 months EBITDA stood at INR 278 crores as compared to 244 crores in FY22, demonstrating a 14% YoY growth. Our TTM9MFY23 EBITDA margin stood at 18.7% vis-a-vis 20.4% in FY22, this marks a material improvement in our margin profile as compared to the last quarter. On the supply chain front, while prices have softened a bit for a few input raw materials, we continue to stay cautious on the uncertain inflationary environment in the near medium term, ensuring raw material and semi-finished goods availability above everything else to maximise sales potential in the coming quarters. We continue to maintain a close watch on all our input costs and are confident of restoring our trend line growth trajectory and margin profile in the near to medium term. I will now hand it over to our CFO, Mr. Raman Chawla, to take you through more details on Q3 FY23 performance.

Raman Chawla: Thanks so much, Piyush. Good afternoon, everyone, and welcome to the Q3 FY23 earnings call of Campus Activewear Ltd. During the quarter under review, Campus as a brand demonstrated a lot of resilience. Campus delivered profitable top line growth and protected bottom line profitability while ensuring requisite investments in future capacity and brand building, which is essential for sustained growth and margin recovery. Revenue from operations increased by 7.5% YoY to 466 crores during the quarter with both channels, trade distribution and D2C exhibiting profitability in this quarter despite industry de-growth in mass and mass premium segment across select consumption cohorts across India.

EBITDA during Q3 FY23 was at INR 92.8 crores as compared to INR 93.3 crores in Q3 FY 22. Our EBITDA margins stood at 19.9% for this quarter versus 21.5% in Q3 FY22. Our net profit during Q3 FY23 stood at 48.3 crores as compared to 54.7 crores in Q3 FY22. Our Q3 FY23 sales volumes  
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registered 7 million pairs as against 6.6 million pairs in Q3 FY 22, thereby generating a ~6% YoY volume growth. Our Q3 FY23 aggregated ASP stood at INR 669 per pair versus INR 657 per pair in Q3 FY22, thereby resulting in almost 1.8% YoY ASP growth. On the balance sheet side, our net debt has increased marginally from INR 174 crores at FY22 to 187 crores as at 31st of December 22. Our net debt to EBITDA ratio is constant at 0.7x in FY22 and in TTM9MFY23. Similarly,

our return on

capital employed has been maintained at 27% in TTM9MFY23 and we managed to deliver a robust return on equity of 25% in TTM9MFY23. With this, I'll conclude and hand over to the operator for question and answers. Thank you.

Moderator: Thank you. We will now begin the question & answer session. We have the first question on the line of Ankit Kedia from Phillip Capital, please go ahead.

Ankit Kedia: I wanted to understand the underlying demand in the trade distribution channel. We have seen a 14% decline in revenue this quarter. So what has happened in the North market last quarter, we are a 7% growth? So is there any because of the pricing action causing the decline or is because of

the primary and secondary mismatch.

Piyush Singh: Hi Ankit, the demand contraction is not only because of macro factor, it's also by virtue of a higher base last year wherein we saw a lot of pent up demand coming our way in Q3 FY22 so on that higher base we have seen slight contraction in some of the select cohorts like Uttar Pradesh and parts of North India because these markets are still sluggish in terms of their overall recovery especially in Tier 2 Tier 3 markets. That said, we are seeing relatively positive trend line in terms of their recovery, but believe that it will take another quarter for us to kind of maintain this. There's been no adverse pricing action that the company has taken on the existing portfolio so far and we have maintained this approach because of the sluggishness in demand in these markets, the channel has been slightly more sensitive to this aspect and that's why we have kind of curtailed from any pricing increase in our existing portfolio.

Ankit Kedia: Also in the month of December, there was some price cuts on selected SKUs by you guys in the Q2 FY23 concall, you alluded that end of the quarter or early January, there could be some price increases actually given the RM inflation. So today as we sit, what are we looking at the price increase? We had 1.5% ASP growth on back of premiumization and mix change and not due to any pricing action, right?

Piyush Singh: So just to clarify this, we have not taken any price increase on the legacy portfolio. While the newer introductions that we have done in the market are with the pricing action. The newer portfolio takes some time to settle in and kind of expands its reach in and acceptability among the secondary and the tertiary markets. As far as pricing cut is concerned, there has been a pricing cut on a couple of styles only which were slow moving styles and that has negligible impact on our top line or our ASP's so far.

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Raman Chawla: And just to add, this discount is pretty much normal on quarter to quarter. There has been no exceptional discounts which have been given and which really impacts our margin or the profitability.

Moderator: Thank you. We have the next question from the line of Harsh from InCred capital, please go ahead.

Harsh: The on the distribution plan, let's say the western markets. Are we seeing any growth there or even the Western markets have I mean has been subdued in terms of distribution?

Piyush Singh: So we have seen a very robust growth profile in our Western territory, which happens to be our emerging market portfolio. For example, in states like Maharashtra, on a like to like basis, we have seen a quarterly growth north of 40% for us which has largely compensated for the contraction in growth across the northern markets. So the growth profile, as you said, is starkly different in Western markets compared to some of the northern markets.

Harsh: OK. And Sir, in the northern markets, have we lost any shelf space to, let's say other categories or other brand?

Piyush Singh: While we don't believe so, because the market at large has contracted in line with the channel taking a cautious

and usually optimistic approach, we believe we have rather gained market share in these territories that have been losing market share. The market on an overall basis has degrown quite a bit to the tune of 20 %-25% in these select cohorts.

Harsh: OK. And what was the e-commerce growth? D2C growth for the current quarter? I just missed that number.

Piyush Singh: So D2C growth put together is part of 46%. If you have to split our e-commerce growth is 41% on a YoY basis and D2C offline growth is around 75%.

Moderator: Thank you. We have the next question from the line of Tejash Shah from Spark Capital. Please go ahead.

Tejash Shah: Just wanted some more insights from you on consumer sentiments in general and then for our category in particular. So we have seen in athleisure segment, which was beneficiary for opening up last year or early part of the post COVID period. We are seeing some deceleration in some of the results that we have seen so far. So just wanted to know if we keep the market share or footprint expansion aside. How are you reading consumer sentiment from the same cohort of consumer that you were catering earlier?

Piyush Singh: To answer your question across the various subcategories within athleisure segment, we believe sports and athleisure Footwear segment is the least impacted. The channel at large has taken a

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cautiously optimistic approach, while the tide is turning, we believe Q4 to be in line with the performance that we have seen in Q3. Maybe some operating leverage will kick in, but the channel is taking some more time to open up. We don't see any significant drop in the secondary off take of our product, which is kind of substantiated and triangulated by the robust growth that we have witnessed across that D2C portfolio. Which is roughly 46 -47% of our overall top line. There are select cohorts which have been adversely impacted by macro and we are just expecting that macro turn to reverse. On a long-term basis, we maintain a very bullish outlook on this entire segment and the way franchise has kind of harness market share. So our long term prospects in our view are very bullish.

Tejash Shah: And the way last quarter has played out for the retailers in general where October was good and

November and December has been kind of difficult period depending upon which categories we talk about. Most of the retailers actually ended up post Diwali, post festive season, more inventory than they initially budgeted. So how do you see the competitive landscape, especially in terms of aggressive pricing or discounts going ahead? And in the coming quarter and perhaps quarter after that?

Piyush Singh: So there's been a couple of factors. It's not the slowdown in demand. So there are three key drivers for our category and especially the segment that we operate in, which is still aspirational for 90% of the country this is the advent of winters, and the advent of festive season and the advent of marriages. Now festive season was there in October, which led to a robust secondary and tertiary offtake by the retailers and the end consumers. However, the entire winter season got delayed by good 15-20 days, especially in the northern part of the country. And the impact was largely visible in early January till early February. Similarly only small part of the marriage season was kind of aligned in second-half of November till late December and the rest of the season is expected to resume. So far as marriages are concerned as we speak in this part of February. So all these factors have a cumulative impact on these tertiary optics that happens in these markets across the segment that we operate in. While there was a transient slowdown in early November, we saw the markets rebound so far as tertiary optics are concerned because of driven by all these factors. So on a very near term basis

is, we believe that Q4 should give you a positive twist in terms of rebound of the market channel. As such, once they take a cautiously optimistic approach in terms of demand and outlook takes some bit to reverse. But the good part is, given secondary uptakes are not impacted to that extent, we believe that turn around to happen sooner than later.

Tejash Shah: And then what was the full price sale in Q3 for us? What proportion?

Piyush Singh: While we don't report that numbers, but we can certainly connect offline to give you some flavour. Our discounts have not increased in this quarter or YTD in nine months as compared to similar period last year.

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Moderator: Thank you. We have the next question from the line of Aliasgar Shakir from Motilal Oswal. Please go ahead.

Aliasgar Shakir: I wanted to first of all just understand how the RM prices are trending and when do we see that seeing benefit, if at all they have been cooling off and how do we plan to use that, do we plan to pass on some of the benefits if at all there are any cool off, or that should help us improve our gross margin?

Piyush Singh: So before we get into the current pricing trends, we like to maintain that as we have mentioned in our previous quarterly earnings update calls that we have maintained strategic levels of inventory just to ensure availability at the right time because we believe that availability of the merchandise is paramount in uncertain times where supply chain fluctuations are plenty. So, on account of these fluctuations in RM prices, especially EVA resins and packaging materials, we had kind of maintained inventory levels to ensure availability throughout the year for the merchandise. Now the good part is while we have seen almost half a percentage of margin contraction on a year on year basis in Q3, this is on account of consumption of higher priced raw material that we had kind of maintained in order to ensure availability of the product. Because this gives us a once in a lifetime opportunity to gain more market share and more shelf space in the relevant markets. Now so far as current pricing trend is concerned while EVA resins, prices are kind of stabilised, packaging material is still going through a lot of variability and these two are the key raw material components. For us, so far as consumption is concerned. We are actually working on long term engagements or long term associations, so far as packaging material sourcing is concerned. So some very good work is ongoing internally and we'll update the investor community as and when we make some material breakthrough in that aspect. Now so far as this goddess is concerned, we would first try to recoup the lost margin in absolute sense before we pass on any benefit to the channel or to the end consumer to answer your question.

Aliasgar Shakir: This is very useful and detail just if you could quantify a little bit so EVA and other raw material, you mentioned a stabilise, have they come down and we typically have an early four to five months of inventory if I'm not mistaken. Had it gone up and from when should we see benefit of that coming that's point no 1? And point no 2 is just packaging material. Correct me if I'm wrong. It's close to about 1/3 contribution if our total raw material. So how much of that should offset the benefit of at all any EVA? So I'm just trying to understand basically in in not in fourth quarter if at all in, should we see some basically benefit of raw material in FY24?

Piyush Singh: So just to answer your question directionally, as overall inventory levels have come down materially in quarter three, which was expected compared to last quarter and the improvement is holistic across all inventory cohorts including raw materials, semi-finished goods and finished goods inventory. Just to give you some directional quantum, it has come down by more

than 50 crores in

absolute sense in this quarter alone. In terms of pricing, while EVA prices have kind of stabilized.

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We still see a lot of fluctuation happening across packaging material and all these three input materials put together contribute roughly 30 % to 35% of our raw material cost. We believe that it will take another quarter or a couple of quarters for packaging material prices to also kind of stabilize, but then it dependent on a large macro outlook and we are just hoping for things to stabilize .

Aliasgar Shakir: And just to reconfirm the online, you mentioned overall D2C including online, offline, both has grown 46% in this quarter on YOY is that correct?

Piyush Singh: Yes, that's correct.

Aliasgar Shakir: OK. Against overall YOY growth of about 7%. Right. So then to that extent offline would have degrowth in probably nearly around 25% level, that's fair assumption.

Piyush Singh: Its 13.5 % degrowth in MBO, 41% growth in D2C Online and 75% growth in D2C offline. The mixes almost 54% in MBOs versus 46% then the other two categories put together.

Aliasgar S hakim: OK. And this online also includes nearly about 30 crores of the spillover that we s poke in the last quarter from Q2 to Q3.

Piyush Singh: So that spillover was roughly 25 crores , 15 crores was on account of online and 10 crores was on account of offline.

Aliasgar Shakir: Got it. So if I exclude that, it's about 2% kind of growth. And where do we expect our margins to stabilize in the long term given there are multiple levers, one as you mentioned gross margin depending upon how the raw material p rices move and then we've been a little aggressive in the past related to our ad spends. So in a relatively medium t o long term , where do we expect our margins to stabilize in EBITDA level?

Piyush Singh: So before we get into the margin profil e, I would like to correct you on the on the growth profile piece in the absolute sense , e-commerce business in this quarter has ended at 181 crores last quarter numbers you already h ave, that was roughly 1 30. Our MBO business is INR 245 crores and EBO business is at INR 36 crores.

Aliasgar Shakir: And i f you could answer the question r elated to margin.

Piyush Singh: Yes. So we believe that we should be back in the same trend l ine that we have exhibited in FY 22 in in the next couple of quarters on a TTM basis. And while we don't give any d irectional outlook on EBITDA margin, we believe that we'll be maintaining a very healthy EBITDA profile in the near medium term north of 20%.

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Moderator: Thank you. We have the next question from the line of Bharat Gianani from Moneycontrol Pro. Please go ahead.

Bharat Gianani : While the weakness in the demand has led to because we don't and obviously we also highlighted that Q3 FY23 , there was a pent up demand factor as w ell, so what's your volume gro wth projection for the next fiscal and the medi um term and what is the ASP growth that we are targeting per year over the next the medium?

Piyush Singh: So while we refrain from giving any concrete outlook on the near medium term, we believe that directionally we'll maintain the same growth profile and margin profiles in the m edium term, as already mentioned, we maintain a very bullish outlook on the overall industry and our own performance and the franchise not on ly in the near medium term, but also in the long term. We believe that the prospects are very good and we'll keep on demonstrating healthy growth profile as well as a very profitable bottom line.

Bharat Gianani: OK. And just related to that, you have hig hlighted that the industry demand has been muted bit. So what's your reading that when do you think that the demand at the industry level would bounce back o r will exhibit growth, so what's your reading on that.

Piyush Singh: We believe that it's a

mix o f multitude of factors inclu ding inflationary trend, the income profile of Tier 2, Tier 3 and semi urban centers plus the cautiously optimistic outlook that the channel partners have taken especially in these markets. So a confluen ce of all these. While it 's a crystal ball gazing for anyo ne to do, we believe that it should start coming back in in the next couple of quarters .

Moderator: Thank you . We have the next question from the line of Jaspreet Arora from Equentis . Please go ahead.

Jaspreet Arora: The first question was this average selling price of 669 what we reported last quarter, w hat does it mean for in terms of a ballpark cost to consumer?

Piyush Singh: So average blended retail price would be somewhere in the ballpark of 1350 to 1450 per pair .

Jaspreet Arora: OK, s o the difference is all taxes and t he channel margin.

Piyush Singh: Yes. And it's a blend of multiple channels, the r ealisation across channel is different. So some aggregate is almost 2 .0 - 2.2 kind of multiplier.

Jaspreet Arora: And the rates remain at that 5 % and 18% depending on MRP sub INR 1000 and + INR 1000, is that the way it's still working?

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Piyush Singh: So it got revised in January last year and the slab was up from 5% to 12%. So anything which retails below INR 1000 attracts a tax of 12% and retails abov e INR 1000 attracts a tax of 18%.

Jaspreet Arora: And in terms of competition, if you co uld talk about that in terms of how much do we compete with the uno rganised market or maybe the whatever the way you call it and in what sense some of the

other branded players that we would be competing with at the mid to lower end, whatever you can discuss.

Raman Chawla: I mean, it's less than ₹1000 MRP where normally the unorganised sector really plays in and continue to kind of on the strength of our designs that we go out and launch and the value equation that we offer to our consumers, we maintain that position of strength even in that category. And that category is also important price category because that's like the catchment for the new consumers to come in. And we continue to focus on that as well.

Piyush Singh: So just to add some quantitative perspective to this, the 70% of our sales comes from our portfolio above ₹1000 MRP which where our competition is largely regional labels and branded play. And only 30% of our sales comes from the economy segment which is sub ₹1000 kind of profile where largely the competition is beyond private or cheap imports.

Jaspreet Arora: And maybe you've discussed this with me on one of your previous calls. If you could just highlight it about the about some details about the typical customer in terms of maybe the age profile, the gender and working versus non-working whatever just to get a sense of a typical age of a campus shoe, whatever where a large chunk of them would fall in the pyramid for campus.

Piyush Singh: So our core target audience is 18 to 34 years in terms of age profile, we essentially target college goers and 1st jobbers and the family of four with an income of INR 10 to 15 lakhs per annum and a periphery age profile starts from 35 and goes as high as 55 for us. That said 10% of our portfolio is concentrated on kids as well, wherein we are one of the largest players in school shoes and kids footwear in the country.

Jaspreet Arora: And how much of our sales comes from? Full price versus sale if not for the last quarter, can you just highlight numbers from the previous year FY22 possible?

Piyush Singh: We refrain from sharing data because this is kind of proprietary industry sensitive in nature, but directionally just to give everyone comfort, our discount levels have not increased in the last many quarters. We are on similar discount levels.

Jaspreet Arora: And just lastly on the margins, margins for volume, so just trying to compare

Q3 FY21, I'm just using

that because that was possibly the best margin we did at least in the data available, which is 24.8% the price point then was INR 547 and we are now at INR 669, which is materially high and obviously

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our revenue is also doubled possibly since then and so as the volume. So just trying to get a sense that the drop in margin would essentially be the entire spike in raw materials. Is that the way how to look at this?

Piyush Singh: I wouldn't call this as drop in margin. I'll say that this is how the portfolio and the sales mix is maturing for us because couple of years back we were only focused on men's footwear. Now, we have added multiple other categories like Casual footwear is coming in to play. Our focus on women and kid's footwear has increased because we see a lot of growth coming from that segment. At the same time, we have also entered into open footwear, which is relatively lower margin segment while it continues to be a filler for us. But all these factors put together has kind of stabilised our margin that 20 %-21% level on an annual basis and similarly quarter three for us, if we talk about specifically quarter three, last year, the margin was 21.5%, this year margin is 20%. There has been a material it creates in ads and business promotions spent so couple of years back, we were only spending around three, 3.5% of our top line towards brand building. Now the number is as high as 6.5% - 7%. So the delta that you've witnessed in margin profile, if we talked about our quarterly or if we talk about the general trend line is largely because of our enhanced spends on our ads. A part of it is getting funded by the operating leverage that we are generating and part of it is the kind of investment that we are making towards a robust brand building exercise.

Jaspreet Arora: And just a quick last one on the volumes. The last five years we've done almost 20% volume growth CAGR. So, given that we have now at a reasonable market share and reasonably good revenue base, do you think that I'm not talking about the next year or two, but do you think the next five years could more be like a high single digit to more like a 10 %-11%. Would that be a practical thing to look at given the penetration and your level of market share today?

Piyush Singh: As always, we'd like to add the global perspective here. If we talk about any major economy globally, the contribution of sports and athleisure, basically all the other categories put together is 1:1. In India, the contribution is 1:10, China was at a similar stage as India 15 years back. If we directionally follow the same trajectory, so to industry in China was close to 2 -2.5 billion dollars in size at that point in time today in the same industry in China being the most recent example of this explosion is roughly \$50 billion in terms of retail size. So if we believe that India, like any other segment would mimic China or followed directionally the same trend, we expect a very bullish horizon so far as the long term prospects of this industry is concerned, we are just at the tip of the iceberg. So we believe a lot of substitution and a lot of holistic growth through coming.

Jaspreet Arora: So what would be the industry growth in the period that we've grown 19.2%, volume CAGR?

Piyush Singh: That's a very subjective question because there are multiple agencies which cover this.

Jaspreet Arora: So whatever the ones that you track or that you keep a handle on.

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Piyush Singh: It's close to 13 % to 15% volumetric growth.

Jaspreet Arora: So 13 % to 14% and you've done 400-500 basis points higher than that. So a very big lever of growth would be the industry growing at a very high growth rate for the next few years. The athletes are of sports catering.

Piyush Singh: That's the house we maintain.

Moderator: Thank you. We have the

next question from the line of Bhargav Buddhadev from Kotak Mutual Fund . Please go ahead.

Bhargav Buddhadev: Is it possible to break up the revenue performance in the more than INR 1000 MRP portfolio and less than INR 1000 MRP portfolio on a Y OY basis?

Piyush Singh: So we can give you a directional trend which is handy with us in terms of nine months. So more than INR 1000 for us is contributing roughly 72.5 % and less than INR 1000 is contributing the rest on the 9-month basis. Which for FY 22 was 64% for more than INR 1000 and the balance 36% for less than INR 1000.

Bhargav Buddhadev: So in this quarter has there been a growth in terms of volumes in the thousand MRP plus portfolio?

Piyush Singh: Yes, there is certain growth.

Bhargav Buddhadev: And secondly, in terms of ad spends as a percentage of revenue, has it been maintained in this quarter versus the same quarter last year?

Piyush Singh: It has gone up by almost a percentage point versus the same quarter last year. So this year our ad spend is in quarter three at 7.0% viz a viz 6.2% for FY22.

Moderator: Thank you. That was the last question. I would now like to hand it over to the management for closing comments.

Piyush Singh: Thanks, Mike. Thanks everyone for participating in an earnings call. We would like to thank all our investors, all our channel partners and our end consumers for the belief that they have shown in the franchise. We assure you that we will keep on maintaining our growth trajectory and at the same time, we'll keep on improvising on the brand in terms of its perception and the overall portfolio.

Moderator: Thank you. On behalf of Campus Activewear Limited, that concludes this conference. Thank you for joining us. And in case of any further queries, please reach out to Campus Activewear Investor Relations team at [ird@campusshoes.com](mailto:ird@campusshoes.com) . You may now disconnect your lines.

## Call: Jun 2023

3rd June 2023

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring, Rotunda Building,  
P. J. Towers, Dalal Street,  
Mumbai – 400 001  
SCRIP CODE: 543523 National Stock Exchange of India Ltd.  
Exchange Plaza, C -1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051

SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Earnings Call held with Investors/Analysts

Dear Sir

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Investors/Analysts on 30th May 2023 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com).

This is for your information and records please.

Thanking you

For CAMPUS ACTIVEWEAR LIMITED

Archana Maini  
General Counsel & Company Secretary  
Membership No. A16092

Encl: As above

Page 1 of 17 Campus Activewear Limited  
Earnings Conference Call  
May 30, 2023

Moderator : Ladies and gentlemen , Good day and welcome to the Campus Activewear Limited Q4 FY23 Earnings Conference Call . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call , please signal the operator by pressing "\*" then '0' on your touchtone phone. Before we proceed on this call, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risks uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause future results, performance or achievement to differ significantly from what is expressed or implied by such forward -looking statements. The Campus Activewear management team is represented by Nikhil Aggarwal – Whole Time Director and CEO, Mr. Raman Chawla CFO, Mr. Piyush Singh – Chief Operating Officer, and Mr. Krishna Kumar – AVP Investor Relations. I now hand the conference over to Mr. Nikhil Aggarwal – Whole Time Director and CEO for his opening remarks. Thank you and over to you, sir .

Nikhil Aggarwal : Thank you very much and welcome everyone for joining our Q4 & FY23 Earnings Call today. FY23 has been a pivotal year in our journey to realize our vision to create India's leading sports and athleisure footwear brand. We are delighted to share that our annual performance has been broadly in line with our growth expectations despite the inflationary macro environment and demand contraction that we have witnessed in the rural and semi urban areas. Both our

businesses that is trade distribution and D 2C are shaping up well with the trade distribution crossing INR 800 crore milestone and D 2C surpassing INR 650 crores milestone during this fiscal year while delivering an aggregate growth of 24% overall during the year.

During FY 23, we sold more than 23.5 million pairs at an aggregate level thereby clocking a net income of more than INR 1,484 crores with a YoY growth of 24% versus FY22 which was INR 1,194 crores. Both trade distribution and direct to consumer channels have delivered a profitable growth of 10% and 48% respectively versus FY22. With an annual sale of 23.5 million pairs in FY23, we have registered a YoY volumetric growth of 22% in comparison to FY22. Not only volume but also our ASP is also grown by 2% from INR 620 to INR 631 in FY23. Despite witnessing a K shaped recovery curve post COVID wherein Tier-2, 3, 4 and semi urban and rural demand centers witnessed a down trading phenomenon. These centers normally contributed 68% of our FY23 sales. Our Balance sheet demonstrates the position of strength with robust

return ratios such as ROCE and ROE of 23% and 24% respectively.

Page 2 of 17 We are sincerely thankful to our end consumers, our channel partners, all our investors and stakeholders and our passionate team which has helped us in delivering this performance which earmarks the underlying strength and resilience of the brands. As always, we thank you for your invaluable support and investment. I would also like to put on record our outgoing CFO's Mr. Raman Chawla last day in the office would be as of 31st May and our new and we would like to take on record his contribution to the company over the last several years we thank you Raman and we are noting the incoming CFO Mr. Sanjay Chhabra to join us from the 1st of June.

Also, there has been another elevation in terms of Mr. Piyush Singh. He has been elevated from the role of the Chief Strategy Officer and Investor Relations Head towards Chief Operating Officer and Investor Relations Head as of immediate effect and with this new role he will be now responsible and handling all the sales channels including the trade distribution and not only D2C. And finally, the P&L linked to all the sales channels. So, we are looking forward to leading very good growth from here on with these new roles coming in. Thank you and I hand it over to Piyush now for his remarks.

Piyush Singh : Thank you Nikhil and greetings to everyone. Adding on to what Nikhil just said, while sales growth and market share enhancement is of prime focus. Our endeavor is to ensure margin protection above a certain threshold which has been the essence of Q4 FY23. During the Quarter, our D2C business has demonstrated robust growth of more than 15% and our trade distribution business also is on an assert path to recovery with year-on-year degrowth narrowing down to at most 10% for this quarter vs Q4FY22 which was on account of a higher base driven by pent up demand and delayed macroeconomic recovery in non-metros.

In Q4FY23 while being cognizant of market dynamics, we tried offsetting input cost inflation and transit increase in rate card with sales mix less premiumization. Our endeavor is to neutralize this downward impact with potential price increase, conversion cost optimization and enhanced operating leverage in the coming quarters. At the same time, we continued our planned investments towards brand building D2C network infrastructure expansion and talent acquisition which is the key to our growth in the coming quarters all of which is expected to generate margin accretive impact in the subsequent quarters.

In all our distribution channels category cohort and pricing segments, we have demonstrated robust growth both in terms of volume and value despite sluggish macroeconomic recovery impacted by supply chain disruption and inflationary trends. Basis price segments our sales trend in Q4 FY23 has exhibited sustained premiumization vis-à-vis FY22 full year wherein sales contribution from semi premium and premium categories have increased from 64% in FY22 full year to 70% in Q4 FY23. Similarly, on a category basis revenue mix across men and women and kids and child have improved from 84 in favor of men and 16 in favor of the rest in FY22 to 80 - 20 in FY23 respectively.

Page 3 of 17 On a full year basis, revenue from operations increased almost 24 % YoY to INR 1,484 crores in FY23 as compared to FY22 full year revenue of INR 1,194 crores. While the material margin in FY23 stood at INR 730 crores at almost 49.5 % vis-a-vis FY22 material margin at INR 590 crores which was also at 49.5 % compared to our net sales. FY23 EBITDA stood at almost INR 256 crores as compared to FY22 full year EBITDA in INR 244 crores. FY23 EBITDA margin stood at 17.3% versus 20% in FY22. Margin compression in EBITDA is largely on account of sustained investments towards human capital, brand building and retail network

expansion which are

expected to generate positive operating leverage in the coming quarters. Now, the net profit during FY23 full year stood at INR 117 crores with the margin of almost 8% as against PAT of INR 108 crores in FY22 with the PAT margin of 9%. We continue to maintain a close watch on our input cost and are confident of restoring our trend line growth trajectory and margin profile in the coming quarters. I will now hand it over to our CFO – Mr. Raman Chawla to take you through more details on the Q4 and FY23 performance especially on the balance sheet side.

Raman Chawla : Thank you so much Piyush. Good afternoon everyone, and welcome to Q4 FY23 Earnings Call of Campus Activewear Limited. During the quarter under review, Campus as a brand focused on preserving bottom line profitability while ensuring requisite investments in future capacity and brand building essential for sustained growth and margin expansion. Revenue from operations stood at INR 348 crores in Q4 FY23 versus INR 352 crores in Q4 FY22. Our net profit for the quarter stood at INR 23 crores. On the balance sheet side, our net debt excluding the lease liabilities has come down from INR 174 crores at FY22 end to INR 157 crores as of March 31st, 2023. Our net debt-to-EBITDA ratio has marginally come down from 0.7 X in FY22 to 0.6 X in FY23 end. Our working capital days have gone up marginally from 98 days in FY22 end to 134 days in FY 23 end on account of the front loading of inventory while awaiting clarity over the BIS inventory norms expected to come in effect from 1st of July 23 to ensure the season readiness.

That said, despite a very challenging macro environment, our receivable days have stayed constant at 39 days of the sales outstanding throughout the year exhibiting sales and channel discipline. Similarly, we maintain a very robust ROCE at 24% and return on equity at 23% as of FY23 end. With this let me conclude and hand it over to the operator for question answers.

Moderator : Thank you very much sir. We will now begin the question-and-answer session. The first question is from the line of Chirag Shah from CLSA. Please go ahead.

Chirag Shah : So my question is on the channel contribution in the last four years Nikhil we have also gone through a transformative change, how do you see this shaping in the future, how should we think about the channel contribution of course the share of online has gone up very sharply and will this be even more prominent channel going forward and how does the EBO channel also move? Second, Raman I think on inventory and working capital if you can just throw a little bit of light around what are the measures that we are taking to improve the overall working capital cycle and then Nikhil if you can just also spend some time on Slide 26 which is basically Page 4 of 17 the prime vectors going forward in terms of growth and just explain that a little bit in more detail please?

Nikhil Aggarwal : So, in terms of the channel splits, while D2C has done extremely well and both the online and EBO channels have grown consistently at a CAGR of more than 150% over the last few years. We believe that distribution is evolving in India quite rapidly given how the Udaan and Ajio of the world and the O2O platforms have also shaped up, but going forward we believe that this is one of the reasons why Piyush also has been elevated and we wanted to bring in all the sales channels under one roof in that sense and this should bring in a lot of efficiency into the system eventually is what we are targeting. So, we are looking at good growth in terms of distribution as well in terms of catching up on the distribution side especially from our South and West markets which has done really well over the last two to three years. The North and East market which are our core market they have suffered slightly, especially in distribution on

account of

lower demand and macroeconomic environment, but we believe that to be a short term pain.

So, going forward I see that the split should somewhere sort of stabilize as 50 :50 eventually for both the channel be a distribution and D2C.

Raman Chawla : Chirag you asked question on the inventory and the working capital. So, essentially as I mentioned in my opening comment our current working capital is at about 138 days and essentially the two big elements number one is all around the DSO which is we have maintained it despite a very soft macro economic environment and as far as the inventories are concerned essentially there are two aspects to it. We generally build up our inventory during the first quarter and the second quarter really for the season readiness and also there is a big change is also likely to come which is on the BIS and we are holding inventory also a little bit because of that. On a full year basis while we do not give any guidance all around these numbers, but working capital continues to be an important area in terms of efficiency and a priority point of view.

Chirag Shah : So, Raman as channel mix shifts, how will that impact our working capital cycle going forward?

Raman Chawla : Nothing really drastically that much although for the D2C channel there is a bit of a higher inventory requirement because we deal in pairs Versus let us say in our traditional distribution where we deal in cartoons, but on an overall basis, I think it does not affect too much there.

Piyush Singh : Just adding to what Raman just mentioned adding more flavor to the components of working capital while Raman has covered the inventory piece as D2C grows or accentuate further our receivable days we do not see any detrimental impact on those because the marketplace income kind of offsets any outright business that we are running and similarly our COCO model on the EBO side offsets anything on the franchisee side because we are looking at a balanced rollout across both D2C online and offline. So, we expect the same kind of channel discipline to be maintained across all our formats, be trade distribution, be it our D2C online or D2C offline or key account verticals with DSO days trending or receivable days trending at closer to 35 days, Page 5 of 17 but anywhere between 35 to 45 days as we have seen over the quarter. Inventory certainly the position would improve from here on. We have taken a cautious view because BIS comes into effect on 1st of July anything which is manufactured on 30th of June or prior to that is exempted

from the regulation and as we see more clarity on the norms which needs to be followed for ascertaining the testing parameters or the testing requirement for BIS. It is only prudent for us to have the requisite inventory cover in place in order to avoid any demand side shocks coming our way. So we believe that it is a prudent move to have a transient build up in place. So far as payables are concerned, payables are very much in line at a stage in the territory of 90 to 95 odd days so far as all our vendors are concerned. So I mean net aggregate we expect working capital cycle to be closer to 90 odd days and improving from there on eventual expectation is to bring it down to say 80 to 75 days in the medium term.

Chirag Shah : Nikhil on the prime growth vector?

Piyush Singh : There are quite a few things that we currently have in the pipeline given the current macroeconomic scenario. One given the K shape kind of recovery that we have seen wherein metros and Tier-ones have seen premiumization of the portfolio while Tier-2 Tier-3 and from there on semi urban and rural have seen some kind of down trading. We believe that we need to address the portfolio gap that is currently there in our portfolio in terms of affordable price points on the triple digit price points starting from INR 699 to INR 999. You will ve

ry soon you

will see a portfolio filler coming in from our side offering similar quality standards, but as a sub brand within Campus that is very much necessary for us to address this market and this kind of scenario. Second is the extension of the product portfolio which you have seen over the last couple of quarters in terms of the launch of our casual range. The pilot has been satisfactorily successful for us and we believe in expanding the portfolio further because we believe that this will add a meaningful chunk to our overall addressable market from here on and this is the casual range that we have spoken about. On top of it, we are also building layer of peripheral. I will just quickly summarize we have a concrete action plan across pricing product, channel and markets. Now we have already covered the pricing piece wherein we will be very soon introducing the challenge r sub-brand in order to address the lower end price points, the triple digit price points from INR 699 to INR 999 from a product portfolio expansion perspective while kids and ladies remain the key focus area for us. It is a low hanging fruit on top of it we will accentuate our casual range and on the peripheral we will also expand the premium open footwear collection from here on in order to address any product portfolio gaps. From a channel standpoint we are looking at holistically transforming our core markets where we have witnessed some degrowth during this K shape recovery especially states of Uttar Pradesh and Bihar we will be doing a deep dive RCA in these states from a trade distribution standpoint and we will be transforming trade distribution from here on and from a market perspective while India stays as a core focus for us, we have started looking for similar opportunities across some markets I mean on a very selective basis so to say in terms of exports as an opportunity in order to de-hedge any macro shocks that may come our way in the coming quarters. So, we will be Page 6 of 17 giving you more color around this in the subsequent quarters while we gain meaningful traction across both the markets and channel perspective of our overall strategy.

Moderator : Thank you. The next question is from the line of Aliasgar Shakir from Motilal Oswal. Please go ahead.

Aliasgar Shakir : So question is on first of all on your distribution network, so two years before around the IPO we had started appointing small distributors and he had mentioned that the revenue per distributor therefore had come down. Now the strategy seemed fair on the part of the company this would reduce the dependence on per distributor, but last few quarters you know there has been pain in this segment. So, do you reckon this strategy some way needs to be revisited and I mean I am also asking from the point of view that that this segment of revenue has seen lower growth, so do you read something related to this strategy or it is more on the industry factors which has led to this impact?

Nikhil Aggarwal : So you know this is exactly the strategy that you laid out and that is how we started with about two, three years back, but overall this strategy has generally done quite well as you would appreciate that even in distribution in the West and the South market we have seen growth. It is only the North market specially the states of UP and Bihar they have kind of degrowth and that is entirely due to the macro that is not to do with the kind of distribution setup that we have there rather on the flip side number of distributors that we have increased while they may be smaller in size for now, but we do see a lot of potential in growing them very fast and that is the strategy because we are able to now capture a large number of retailer footprint over Pan India basis versus a bigger distributor in a bigger city let us say that would cover.

Aliasgar Shakir : Second questio

n is just on the outlook and your commentary and what strategy we are adopting, so you mentioned that some northern parts of the country are seeing more accentuated impact, can you just I mean kind of zoom in and tell us what really are the factor that is leading to this, is it any specific category of customers that are seeing more impact industry wide and what do you see as a lever for this recovery, do you see this raw material price cooling of maybe to some extent passing of these prices to the customer will help, just if

you can share what are your thoughts on the current situation on the ground in April, May and beyond and what is the strategy we are adopting to revive growth?

Nikhil Aggarwal : So, we believe these are the same factors what we are going through and witnessing in the market is being witnessed by the other FMCG players in the industry and the other footwear players also, it is basically we believe the discretionary spend of our target group (TG) has sort of come down because of the higher interest rates and the inflation that they are coping up with and this has been true for majority of the FMCG companies while there has been a bit of an anomaly on the premium segment because they have not faced that kind of impact on inflation and they are basically spending, but we are seeing a significant impact in TG where you Page 7 of 17 know they are highly dependent on their monthly income. So, that is the kind of impact we have seen Piyush you may want to add something.

Piyush Singh : Just to add to it from a strategy standpoint and from an actionable standpoint while we have seen Campus premiumizing over the years, we have also witnessed that during this macro environment in place to the macro environment especially in Tier-2, Tier-3 and semi urban centers people have started down trading a bit while that part of the portfolio was no longer adequately serviced under Campus. We are not intending to bring down Campus price points, but we are trying to introduce or we will be very soon introducing a newer sub brand under the umbrella of Campus in order to address those price points so that there is adequate coverage across the entire pricing spectrum or the ladder which continues to serve these markets also. We believe by doing so and by extending the umbrella of Campus we will be able to capture this growth which has so far eluded us on the count of down trading while we will continue on our focus agenda of premising under the flagship brand.

Aliasgar Shakir : Just last question is on this new quality control standard which is being implemented from July I mean how do you see that impacting us should you see any near-term impact because of that and maybe in the long term because this market is very unorganized and especially in some of the Northern region where market is very un-organized, do you see long term benefit structurally for yourself?

Nikhil Aggarwal : Yeah, absolutely Ali. So, we see a lot of the organized players in the industry benefiting from this move and we actually appreciate this move by the government because this will deter and definitely impact the lower quality goods being imported from other countries and that is very positive sign for the domestic industry in India, but at the same time there is still some clarity yet to be received from the government which we believe should be coming anytime now that will throw more color on the specific requirements in terms of testing procedures, but as Campus we believe that we are adequately covered because we anyways operate on very high quality standards so we are very much covered in the BIS standards immediately I believe from day one of implementation, but just to be safe we have also built up a cover in terms of inventory in case there is some BIS standard that we might need to cover after the se market.

Aliasgar Shakir : So, any risk

of revenue disruption because of this in July or maybe inventory going up?

Nikhil Aggarwal : Too early to comment on while there could be certain teething issues while keeping this very factor in mind, we have built up the inventory covers to a satisfactory level that while we deal with the any curveball that might come with introduction of a newer standard within the overall BIS protocol. We want to ensure that see that there is minimal or no revenue disruption or any demand side shock that could come on me.

Moderator : Thank you. The next question is from the line of Harsh Shah from InCred Capital. Please go ahead.

Page 8 of 17 Harsh Shah : My first question is that we spoke about investing behind human capital and the press release also suggest that we have our current ESOP policy has been terminated, so was it was this more planned or abrupt and do we have any other ESOP policy in place or probably in the process of constituting a new one?

Nikhil Aggarwal : So, we have terminated the old the first policy that was launched after TPG came in. This is ESOP 2018 policy and this is the one that has been closed now because it is been fully, vested and since a long time we have not had any comments on this policy from any of the stakeholders. So, this is the one that we close currently we are still running three ESOP policies. One is ESOP 2021 plan and the other two is the one is ESOP Vision Pool and the ESOP Special Grant. So, we have three current policies that are going on for all our top performing employees.

Harsh Shah : Secondly, because of this splitting up of distributors and even what we gather from our checks is that we have also disallowed our distributors to sell footwear of other brands even though they are of different categories correct me if I am wrong here, so has that resulted in distributor attrition which is higher than normal by any chance as if you look at FY23 and FY22 it is the same at 425?

Nikhil Aggarwal : Our idea is not to now continue to increase the number of distributors. We are also consolidating the number of retail touch points that each of these distributor service. So, our idea now is to increase the wallet share and the sales at each and every touch point rather than increasing the distributor on an ad hoc basis in each and every territory because now we have

a sufficient base of 425 to 430 distributors which is a very decent base to get us good growth over the next one or two years.

Harsh Shah : And just addition of retail outlets will that be predominantly in West and South or do we even see some scope of adding outlets in our core markets of North and East?

Piyush Singh : Predominantly the addition of outlets would be more across Central India, West India and Southern India markets because these territories are the ones which we have recently navigated. Now on your previous question adding on to what Nikhil just said idea is to help the distributors understand and appreciate the kind of return-on-investment opportunity that they have with the brand like Campus . So, it is worthwhile for us to educate them and help them appreciate the fact that they can make a very robust ROI on their investments with this brand, with the kind of brand pool that we command across our core and emerging markets and while there is no such hard and fast restriction on them to keep other brands from other categories, it is only prudent for them to understand and appreciate the opportunity and deploy more and more of their capital towards something which is which is more ROI accretive than anything else. It is more of an educational process rather than a strict binding condition on them.

Page 9 of 17 Harsh Shah : Let us say if a distributor wants to sell let us say chappals of we gave the Lakhani they can basically because it is not a competing category with us?

Piyush Singh : They can very much do

that. They are free to do so while our endeavor is always to educate them and help them understand that in a sports shoe category they can earn far better ROI compared to any of the other open footwear categories .

Harsh Shah : And Piyush in our IPO prospectus we had disclosed the geographical salience of trade channel, so what would be that salience for let us say specifically for MBO and ecommerce now between let us say West, North, South and East for FY23?

Piyush Singh : First of all I would like to address this on an aggregate level and then maybe we can spend more time on the specific channels. At an aggregate level we have started mimicking the share of the overall industry on the Pan India level. Our revenue contribution from North and Central India is close to 55%, South India contributes 10%, West contributes around 20% and East contributes 15%. Now from an e-commerce standpoint this makes us more holistic in nature in terms of a Pan India contribution wherein North and Central contributes roughly 40% for us and remaining three territories contribute 20% of these and our trade distribution network has more or less a similar kind of footprint as the overall industry or our aggregate numbers.

Harsh Shah : And this last question on this Challenger brand which we are planning to launch right by when do we expect the launch first?

Piyush Singh : I mean optimistically in the coming quarter we will be doing a small pilot across some of the selective territories and then during the festive season we are planning to go more broad based across on a Pan India level depending on the outcome that we get during the pilot phase.

Harsh Shah : And will this be more targeted only towards distribution channel or will that salience be like across both e-commerce and distribution?

Piyush Singh : So see anything that we do at a company level is meant for all the channels, it is not channel selective or channel agnostic in any sense. It is more targeted towards specific cohorts, specific market towards addressing a gap that we see in our current portfolio. So, I mean customer these days is channel agnostic and hence our offerings would also be more omnichannel in that aspect.

Harsh Shah : And let us say a long term sustainable basis would this the brand which we are launching would the margins be more or less similar to our overall margins or will it be a little bit dilutive on gross and EBITDA level ?

Page 10 of 17 Piyush Singh : I mean that is always the endeavor, but too early to comment that is why we are conducting a pilot first. We do not want to do anything which is margin dilutive in nature while offering the best quality and the best product to our end consumers.

Mod erator : Thank you. The next question is from the line of Bharat Gianani from Money Control Pro. Please go ahead.

Bharat Gianani : Just to understand more on the volume front in Quarter 4 , we have seen the volumes to be flattish kind of and let us a bit of a deterioration from the Quarter 3 levels, so just wanted to understand like have we lost any market share in the sports and the athleisure categories since you earlier in the conference call highlighted that you have seen the consumers downgrading, so just wanted to check whether in the overall industry have you lost market share ?

Nikhil Aggarwal : On the contrary actually we might have just grown our market share slightly because this macro environment has been specifically tough for the entire footwear industry. This has also been validated by the Bahadurgarh Footwear Association when they released an article wherein they have mentioned that in the first 9 months or the 10 months of FY23 , they have lost about INR 2,500 crores of sales on a base of INR 20,000 crores this year. So, there has actually been a degrowth in that sense especially in the unorganized segment and in that sense we have grown

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at 24%. So , I think we have demonstrated a robust performance given the macro environment.

Piyush Singh : I mean traditionally Bharat we have certainly gained market share given we have grown by almost 24 %, 25% looking at the commentary on a broad -based basis we understand that the industry has stayed mute or have slightly degrow n during two or three quarters of the previous financial year which gives us a lot of confidence that directionally we have built upon our existing market share.

Bharat Gianani : But my question was specific to the second half actually s o I guess you have kind of not lost actually a nd another question is on any guidance on the margin because w e have seen margins coming off i n this Fiscal and specifically in Quarter 4 s o what would be your long term guidance on the margin given that you have you are introducing a sub brand within Campus at lower price point s o overall any direction on the margin profile will be helpful ?

Nikhil Aggarwal : So, Bharat our material margins ha ve largely stayed closer to 50%. They have trended in the ballpark of 49 % to 51% over the last many years. We expect mat erial margins to stay the same, beyond material margins there is a conversion charge that happens which leads to a gross margin profile of anywhere between 36 % to 38% for us a ny increase in minimum wage is any increase in contractor charges g ets transmitted with the lag, but directionally we have always stayed in this ballpark. Beyond that, we expect the operating leverage to kick in as we gain more and more scale and while the EBITDA margin is currently closer to 18% we have normally trended anywhere between 18 % to 20% in the near medium term we expect this recovery to happen in the near medium term as price trans mission happens o ver the c oming quarter and Page 11 of 17 while we do no t want to give you any hard guidance around this, but our expectation is to stay closer to this territory which we have navigated over the last 5, 7 years.

Moderator : Thank you. The next ques tion is from the line of Rahul fr om LionRock Capital. P lease go ahead.

Rahul : So, a couple of questions o ne is incomplete you guys mentioned that direct to D2C volumes were up I think 45 % or 46% a nd if I hear it correctly you mentioned that this was up 15% in Q4, so I just wanted to understand how we should we been in this a nd secondly I just wanted to understand a little bit better in terms of your growth outlook specifically over the next 12 months you would be taking over all the channels you wi ll be rationaliz ing your trade distri bution, h istori cally have always talked about g rowing volumes on the overall company at mid-to-high teen do you see the macro as well as all the internal work you a re doing supportive of that or y ou think F24 would be more of a k ind of a restructuring kind of a year and where you wi ll be working to set up the growth, set up the company for growth in future years?

Nikhil Aggarwal : I will take up your second question first with Piyush coming in the idea is that we wanted to bring in a lot of efficiency in terms of also in the inventory levels because now we will have a central pool of i nventory rather than having it channel wise so one is that. S econd would be that there would be lot o f efficiency in terms of central planning. Again, under one roof rather than having it channel wise. So, there are a number of buckets that we see t his move will significantly should impact the performance of the company going forward. There could be some a quarter or two of hand holding time, but beyond that we should see some improvements coming in and on the growth side historically we have performed almost a 25% CAGR o ver the last five years and this year also we ha ve done 24% in an exceptionally tough environment. So, we believe that we have sustained very good growth. Yes, we have done that on the basis of letting

go of a little bit of margin because of higher marketing expenses and some of the conversion costs that have gone up due to the increased labor e xpense s that we could not pass on to t he end consumers this year, b ut going forward as soon as the macros get better we are expecting to se e some resurgence in the second half of this year and from there on we should be back on track with the growth a nd the margins immediately.

Piyush Singh : I mean just filling in for the first half of your question around I believ e that was more around D2C growth t apering down from 14% plus to almost 15% in the Quarter 4, I can assure you that more transient in nature we a re seeing a ver y good first quarter so far as D 2C is co ncerned and we will witness that change in trajectory in the coming quarter financials I mean it was done more on towards some consolidation that that we had done on the D2C side, but nothing to flag out. We still expect the robust growth profile in our D2C segment and the resurgence in a trade distribution also with the improvement in macro . Our view is second half of this current fiscal year should be the pivotal time f or this macro environment to improve.

Moderator : Thank you. The next question is from the line of Akshen Thakkar from Fidelity. Please go ahead.

Page 12 of 17 Akshen Thakkar : Just couple o f questions o ne around the BIS implementation, w hat do you think is the driving

sector behind this, this is just r egular sort of government intervention to en sure quality o r is there like we saw in toys something similar happened where there was impact on imports and if that were to play out just broadly we do no t import directly, but we do import parts of the shoes just generally what your thought is o n how your place competitively, could there be a like taken toys , for example, p articularly we saw large d isruption I do not know if that something that you think could happen in this industry that was question one and then question two was Piyush you should mention that you are looking a t trade distribution changes in North particularly in UP, j ust maybe talk through w hat are the key things that you a re trying

to achieve over there those two questions?

Piyush Singh : I will take your first question first around the BIS thing while we are highly supportive of this move by the government. We believe that it will give a lot of impetus to the domestic industry because the BIS is not only getting implemented across finished goods. So far as footwear is concerned it is also getting implemented across the various components SFG and raw material that you import from overseas. See the overarching idea that we can see in terms of government vision is they want to promote some especially human capital intensive industries in order to make them export ready as the China plus one strategy and the overall impetus on quality is more driven with that vision that we should actually lead to the creation of an industry which is you can say kind of ready for us to earn some FOREX dollars rather than being import dependent on some of our neighbor for raw material import and all. From an industry standpoint, we believe that this is a big plus for the domestic players because eventually the cost of doing business so far as imports is concerned is expected to go up largely I mean holistically across the spectrum, be it raw material imports, be it CKD imports or be it full-fledged footwear import. So, we believe that in the near medium term this is going to give us some tailwind while more clarity is awaited from the government on the implementation of the BIS norms, but that is the directional favor we have received so far.

Nikhil Aggarwal : Because our raw material imports, is limited to not more than 15% of the overall purchasing that we do, we are not looking at any significant impact in terms of margins because of this BIS implementation.

Management : I mean anyways we have the setup to kind of get imported materials certified in our own labs which some of the international players do not enjoy as a competitive advantage. So, that is on the BIS side. Coming to your other question around distribution see in some of the territories North India based territories like UP, Bihar we have seen that K curve kind of recovery where people have started down trading due to lack of discretionary income in specifically in the states of UP and Bihar. Now for that we have taken a two-pronged approach. One is addressing the portfolio gap that we currently see in our current set of offerings with campus as a flagship brand, we believe that people have downgraded a bit in Tier-3, Tier-4 markets and this is while it is a good market for us UP has been a strong hold bastion for us. We do not want to vacate these price points and hence the introduction of portfolio fillers which are not margin dilutive Page 13 of 17 in nature first of all. Second in terms of our overall distribution capabilities we believe that it is time for us to do some bit of a consolidation because earlier see it is a cycle that you usually witness once you have to penetrate further in a saturated market you appoint smaller distributors in order to get access to those peripheral counters. Once you have gained enough access with your feet on street getting acclimatized to these counters there comes the time when you need to consolidate the overall distribution headcount in these markets in order to ensure that there is adequate capital available with your partners to deploy in these markets to go further and gain wallet share. So it is a cycle which we go through in every five to six years where you first consolidate and then you decentralize and then you consolidate again. So, hence we are at that turn or that crest of the cycle where we need to consolidate again in order to deploy more money in order to penetrate further and gain more wall share. So, that is why it is a twin pronged strategy right product and adequate capital in order to go deeper into the market because smaller distributors have helped us cover the weight.

Akshen Thakkar : And one last question for your D2C portfolio online specifically, could you just help us with what the growth for this quarter was?

Piyush Singh : This quarter we have witnessed a round 10% growth in D2C online that was more of an aberration because B2B businesses were restructured especially the O2O business that we speak about the Ajo business and the Udaan they have seen some impact of the slowness of trade. We have kind of substituted them with other high growth businesses within the D2C portfolio which you will see in the coming quarter.

Akshen Thakkar : Sorry will that impact on Ajo and Udaan lingering?

Management : They have repivoted in terms of their overall strategy earlier they were more focused on the B2B side of the business wherein they were servicing the retailers now they have repivoted and kind of consolidate the business in the JioMart business and have transferred our account to that. Earlier we were not doing business with JioMart. Now the B2B flavor has shifted to B2C now. The transient impact during the month of February and March was the one when they were not conducting any business and hence there was a slight blip in our growth.

Akshen Thakkar : So, Q1 onwards that growth should normalize?

Management : Yeah it is back on track. Now they have consolidated internally, they have repivoted in terms of their strategy. It was more partner driven rather than anything happening at our end.

Moderator : Thank you. The next question is from the line of Ronak Vora from AUM Fund. Please go ahead.

Ronak Vora : Sir slightly on a longer term is what I want to understand in terms of revenue what would be the whole difference in the organized

and unorganized footwear industry as of today and how is the whole mix trending going ahead?

Page 14 of 17 Management : So the overall industry the fact that the sports and athleisure industry expected about INR 12,000 crores of which roughly 50-50 is split where INR 6,000 is organized and INR 6,000 is unorganized. This is the split currently, but it is fast converting from unorganized to organized at a very fast pace and the overall industry if we take out the anomaly of this year of FY23 it is otherwise been growing at about close to 15% to 16%. This is the fastest growing category and formally actually is on a decline in that sense in India right now currently.

Ronak Vora : My second question is on the margin front, so I want to understand what kind of margins do we have on each trade channel from say B2B from D2C and in our Ecom and EBO stores?

Management : Generally margins are consistent among the channels there is slight variation because of the dynamics of the channel specifically. So, on the distribution side, we basically roughly work at about 17% to 18% kind of EBITDA level and on the D2C side on the online we have about 200 to 300 bps higher margin because of a different construct of the channel specific partners and on the EBO side again we work on a 24% to 25% EBITDA. This is broadly the numbers that we have been doing for the past two, three years.

Moderator : Thank you. The next question is from the line of Mehul Desai from JM Financial. Please go ahead.

Mehul Desai : So while you did elude that D2C online Q1 growth will be fine, can you give similar commentary on trade distribution re we seeing moderation in the decline rate in trade distribution channel in Q1 so far versus 10% to 11% that we have seen in Q4 that is the first thing and when do you do you see this channel coming back to growth from second half only or do you see that coming earlier also that is the first question and second question is how big is this INR 699 to 999 market which you are trying to address through a sub brand and third question is typically a book keeping question to Mr. Raman If you can just give reason on quarter-on-quarter decline in staff costs and what are the elements that have driven higher than expenses on a YoY basis?

Piyush Singh : I will take your first question first on how we see this trade distribution channel coming out of the books. We believe that Quarter 4 this year has been the inflection point where narrowing of the growth has kind of completed. We do not expect to wait till second half of the fiscal year for growth to come back to the channel while we are not at liberty to share the numbers right now, but we believe that in the first half itself you will start witnessing growth in the trade distribution specifically as a channel while D2C will maintain its own pace that we have demonstrated over the last year that is the endeavor. Now coming to your third question around reduction in employee cost that is a one off because last year we had ESOP impact coming into play in Q4 FY22 on account of two grants happening in terms of Special Grant and Vision Pool Grant which is not there this year and hence the delta that you have seen. Now, coming to your second question about the market between INR 699 to INR 999 basis industry estimation our own calculation we believe that it is a ballpark it is INR 1,000 crore market wherein we believe that INR 500 to 700 crores is the relevant addressable market for us. It is a Page 15 of 17 sizable one for us and given we enjoy roughly 20% market share so it makes sense for us to not leave this market unattended.

Mehul Desai : And just on staff cost is while I got your explanation on a YoY basis, but on quarter-on-quarter basis I mean was it Q3 to Q4 also there is a decline, is there something to read there?

Piyush Singh : Not really no

thing.

Mehul Desai : And on the other expenses if you can explain what I mean how much would have been driven by A&P or any other element that you would like to?

Piyush Singh : I will take up the other expenses because that certainly demands some more clarity given it is a consolidated lump sum number. There are four main elements to it. One is the increase in conversion cost. Now, conversion cost on a year-on-year basis has gone up by roughly 30 crores, 35 crores for us largely on account of back-to-back increases in minimum wages across that assembly plant in Baddi and Dehradun while in this current year we will be able to and to certain extent while we have started transmitting this impact, but this transmission happens with the lag as we have mentioned in the last couple of quarters also with price increase in our newer portfolio and legacy portfolio. So, hence the catch up that we have played over the last two quarters. So, first impact is that. Second is because of maintaining our advertisement cost at 6%, 6.5% over the year despite seeing some moderation in growth and finally clogging in only 24% we did not cut down on our marketing expenses because we believe that this is a long term investment. Third element in here is our online commissions which are largely in line with the growth of our marketplace business on the need to see online site and fourth is increase in our trade cost which is largely in line with the inflationary trend and the growth that we have witnessed so far. So, these four major components cover almost 90% of our other expenses.

Mehul Desai : And last one booking what is the CAPEX plan for FY 24 I mean if you can just give the CAPEX outlook for FY23?

Piyush Singh : We do not expect any major CAPEX outflow happening in FY 24 specifically. The only thing that we have done in FY23 and is acquisition of one of the factories from Marico and Paonta Sahib, from a strategic aspect we believe whenever we will do a capacity expansion this area suits us

well given its proximity to both Baddi and Dehradun, but the expansion would only start once we outrun our existing capacities which are comfortable in nature in terms of servicing our current growth expectations for the next 12 to 18 months.

Moderator : Thank you. The next question is from the line of Alok Shah from Ambit Capital. Please go ahead.

Alok Shah : The question is essentially on the scale up of adjacencies in the Challenger brand, so in that sense can we assume that the focus will be more on volume growth than on the ASP growth?

Page 16 of 17 Piyush Singh : See first of all it is just a portfolio filler let us not start looking at it from a different lens altogether whether it will be EBITDA accretive, dilutive or all that sense, it is just an opportunity that we see that we are unable to fulfill or do a complete justice with the flagship brand of Campus because we are on the premiumization journey. We do believe that this is a decent enough market for us do not vacate at this point in time, but all said and done this is going to be a filler in the end. Now, from an ASP standpoint, from a volume standpoint or from an overall margin standpoint while we will do a holistic pilot in the coming quarter we do not expect this brand to cause any blip to our overall growth plans or our overall outlook of P&L and balance sheet.

Alok Shah : So, the point was to get a sense that say for example in next two, three quarters we see a recovery I think UP, Bihar and the whole that that sort of belt then how do we internally focus on pushing the different brands or sub brands at different price point or would you let the market forces determine the percentage share of each and every price point or would you have then a conscious strategy that is what I was just trying to get?

Piyush Singh : I mean we are always respectful of market forces

in play and we believe that this is not a tactical move so to say because the unorganized to organized shift is anyways happening in the country with BIS also coming into play the Chinese imports will be curbed to a larger extent and hence it is not just about how the macro environment looks currently and comes across as a tactical way it is a very well thought through strategy. We have spent a good amount of time while deliberating on this entire approach internally before giving a green signal to the entire launch plan because see if you see at BIS also imports will become stringent what has happened in toys we expect something similar on the lower end of the spectrum to happen in footwear as well and cost of doing business is obviously go up. So, that economic strategy will obviously shift from unorganized to organized. So, you need a brand to handhold those first time consumers before we pass on the baton from the Challenger brand to Campus eventually. So, it is about owning the customer life cycle journey. So, it is a thought through strategy. We believe that it is here to stay while it will play the role of a navigator, but the mothership will always be steered by Campus.

Management : I will also just like to add that there is a complete focus in terms of premiumization as we have always done and Campus has done extremely well as a brand in terms of premiumization. So, even this year we are planning to launch a significant more number of designs in the INR 2000 plus category versus even FY23. So, we are continuously witnessing a very good off take of Campus in the premium category especially from INR 1,000 to INR 3,000 where we have gained a significant revenue share versus last year.

Piyush Singh : Ultimately the idea is I mean we cannot do any crystal ball gazing in terms of how and when the macro would improve. We can only get directional signals. Our endeavor is to stay prepared for whichever way the market goes. We should have the right offering for the right consumers whether they down trade, up trade at the right price points and should offer the best value proposition to our end consumers that is how we will stay relevant in the business and we can offer sustainable growth.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. For today Campus Activewear Q4 FY23 call on behalf of Campus Activewear Limited that concludes this conference. Thank you for joining us and in case of any further queries, please reach out to Campus Activewear Investor Relations team at [ird@campusshoes.com](mailto:ird@campusshoes.com). I repeat [ird@campusshoes.com](mailto:ird@campusshoes.com).

## Call: Aug 2023

18th August 2023

To,  
BSE Limited  
Corporate Relationship Department  
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SCRIP CODE: 543523 National Stock Exchange of India Ltd.  
Exchange Plaza, C -1, Block G,  
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Mumbai – 400 051

SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Earnings Call held with Investors/Analysts

Dear Sir

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Investors/Analysts on 11th August 2023 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com).

This is for your information and records please.

Thanking you

For CAMPUS ACTIVEWEAR LIMITED

Archana Maini  
General Counsel & Company Secretary  
Membership No. A16092

Encl: As above

Page 1 of 16 Campus Activewear Limited  
Q1 FY24 Earnings Conference Call  
August 11, 2023

Moderator: Ladies and gentlemen, good day and welcome to the Campus Activewear Limited Q1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*' then '0' on your touch tone phone.

Before we proceed on this call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risk, uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause further results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

The Campus Active wear management team is represented by Mr. Nikhil Agarwal – Whole-Time Director & CEO, Mr. Sanjay Chhabra - CFO, and Mr. Piyush Singh – Chief Operating Officer, Mr. Krishna Kumar – AVP, Investor Relations. I now hand the conference over to Mr. Nikhil Agarwal – Whole Time Director & CEO for his opening remarks.

Thank you and over to you, sir.

Nikhil Agarwal: Thank you very much, Seema, and welcome everyone for joining our Q1 FY24 earnings call today. Campus Activewear actively navigated the challenging market landscape, registering a 4.8% Y-o-Y revenue growth at Rs. 353.8 crores. In terms of volume, the company sold 5.6 million pairs in Q1 FY24. The ASP in Q1 FY24 stands at Rs. 629 vis-à-vis Rs. 604 in Q1 FY23,

registering a Y-o-Y growth of 4.1% in ASP. While the trade distribution has degrown by approximately 5.5% on account of higher base due to lower primary uptake on account of channel partners, our D2C channels, D2C online and D2C offline has delivered growth of 10% and 82% respectively on Y-o-Y basis versus Q1 FY23, supported by sustained secondary consumption by the end consumers.

The company continued its premiumization journey through new product offerings and enhancing its retail footprints in new geographies. The Indian sports and athleisure footwear is a sunrise industry with sports and fitness quotient grabbing a significant mind share amongst consumers across India, including metros, Tier-2 cities and hinterland areas. Campus Activewear is well placed to satiate the evolving consumer demands and create value for its stakeholders in the coming years. With its robust business model laced with vertically integrated manufacturing ecosystems, growing Omni channel presence, premiumization focus, Page 2 of 16 product diversification across product segments and categories backed with strong balance sheet positions.

I will now hand over to our Chief Operating

Officer, Piyush Singh for his remarks. Thank you.

Piyush Singh: Thank you, Nikhil and greetings everyone for attending this call. We are content to say that the demand scenario is gradually improving with Q1 FY24 delivering mid-single digit growth vis-à-vis the Q1 FY23. Now while we are witnessing green shoots of recovery, predominantly in the eastern belt of UP and parts of Bihar, we expect the full blown recovery with the onset of festive season. During the quarter, our D2C business continued to demonstrate robust growth of more than 20% on a Y-o-Y basis. Our trade distribution business has narrowed the degrowth gap and is expected to get back to the growth trajectory in the upcoming festive season with resurgence in demand in the Tier-2, Tier-3, Tier-4 and semi urban centers. We are already seeing early signs of that recovery happening in some parts of the country.

Basis price segments, our sales trend in quarter one FY24 has exhibited sustained premiumization wherein sales contribution from semi premium and premium categories have increased to 72% as against 68% as witnessed in Q1 FY23. Similarly, on a category basis, revenue mix across men, women and kids have stayed at 80:20 in the current quarter, driven by our continued focus towards growing these categories. The company benefited from favorable channel mix, product mix and sourcing efficiencies, which result in a material improvement in material margin from 49.6% in Q1 FY23 to 53.4% in Q1 FY24. Subsequently, the gross margin has also shown substantial improvement from 36.6% in Q1 FY23 versus 39.2% in Q1 FY24. We will continue our planned investments towards brand building, D2C network, infrastructure expansion and talent acquisition, which is key to our growth in the coming quarters. All of which is expected to generate margin accretive impact in the subsequent quarters. We are confident of restoring our trend line growth trajectory and margin profile in the coming quarters.

I'll now hand it over to our CFO, Mr. Sanjay Chhabra to take you through more details on the quarter one FY24 performance. Over to you, Sanjay.

Sanjay Chhabra: Thank you, Piyush and good evening and welcome everyone on board. During the quarter, our revenue from operations grew by 4.8% on a Y-o-Y basis to around Rs. 354 crores. EBITDA stood at Rs. 66.4 crores versus last year Rs. 62.2 crores. EBITDA margin stood at 18.8% versus 18.4% last year. Net profit during the quarter stood flat at Rs. 31.5 crore. PAT margins stood at 8.9% in Q1 FY24.

On the balance sheet side, our net debt stood at Rs. 135 crores, which is a reduction of roughly Rs. 22 crores versus March 31, 23 wherein it was Rs. 157 crores. Net debt to EBITDA ratio stood at 0.5x in Q1 FY24 as against 0.6x in FY23. So, our balance sheet demonstrates the position of Page 3 of 16 strength with robust return ratios such as ROCE and ROE of 23.5% and 22% respectively as on 30th June.

With this, I'll conclude and hand it over to the operator for questions and answers. Thank you.

Moderator: Thank you very much. We will now begin with the question and answer session. We take the first question from the line of Ashok Shrivastav, an individual investor. Please go ahead Sir.

Ashok Shrivastav: So first of all, congratulations to management for providing a good set of numbers. And if I compare the same with other peers, it seems to be in a decent stage where we are right now.

Only two questions from my side. As a retail investor, I just wanted to know that I stay in Delhi and I have visited to a lot of physical stores. And I can see that there is a much more time people or means the demand as well what we are expecting from Campus is not there means buying, is it happening because of the older stock which is still going on? Because I'm quite young and I have a lot of friends whom I used to discuss about the feedback of Campus and peer

brand.

So, what I am getting here pretty much feedback that in Campus store whenever the youth which is aging between 25 to 35, they go to stores but they do not find the trend which is going on in the market. So whether the demand slowdown is happening just only because of cost of raw material or is it because of designing of the product? This is my first question.

Nikhil Agarwal: Ashok, Nikhil here. So we actually take pride in rather one of the biggest USP's of our brand is the fashion forwardness and the way we bring the latest design, trend, color palettes across the world to India first in the most cost efficient manner and the most price sensitive manner for our consumer set. So we actually like, for example, the sneaker range that we've launched is a very trendy range. And similarly, we launched about 300 new designs every year along with an existing portfolio of 300 designs. So in total, at any point of time, we would have a portfolio of 600 designs. This is by far the largest portfolio of design across any sports company, be it multinational, be it Indian, this is by far the largest portfolio. I would just like to say that we are totally committed to providing the best value for money products and the most fashionable and the latest designs and technologies to our country first here before anybody else, and that's the USP of Campus that we bring to the table.

Ashok Shrivastav: Thank you so much for answering my first question and my second and last question will be when management is eyeing that we are going to be pre IPO operating revenue front offsite means EBITDA margin and everything when we are expecting to return back seeing the current scenario, yes, we are pretty much aware that there is inflation in cost of raw material and everything, but what exactly management is perceiving and how we are going to hatch all those things in future? Because if we see the economical scenario which is demographically happening throughout the world, Russia, Ukraine war is going on and everybody, but still that that's the quality of management that what exactly you people see that in how many quarters, in next upcoming quarters when we are expecting to get the exact operating leverage or operating margin which we are receiving pre IPO kind of a thing?

Page 4 of 16 Piyush Singh: Ashok, Piyush this side. Great question. So let me just apprise you that while we refrain from giving any future looking guidance in this matter, but directionally, we can assure you that on a pre IPO basis or just after the IPO, our margin was trending in the range of 19.5% to 20.5%. That's the kind of 1% trajectory we typically follow as of now. As you can see in the current quarter, our EBITDA margin is close to 18.8%, which is in close vicinity to our long-term trending trajectory. While the endeavor is to improve this with the help of operating leverage in times to come, we can assure you that with an improving macro scenario and with all the input matrices that we have worked on over the last few quarters, we'll very soon be in the same trajectory as you expect us to be, the same numbers that we kind of entered the market during especially on the margin side with the IPO. So we are not very far off from that set of numbers.

Ashok Shrivastav: Thank you so much, sir, for answering my question and only if I can ask you last, very small question, when we are expecting Challenger brand to get launch. Because in last concall, I think we had a discussion regarding the Challenger brand which will be sub Rs. 1000?

Piyush Singh: Certainly, we had that discussion. We have a particular strategy in place that we are still testing it out in the pilot phase. As you rightly said, it's going to be a Challenger brand. It has a certain specific objective in place. The mothership will continue to be Campus. Our entire focus, management bandwidth and energy is to

wards this flagship brand only. Challenger brands serve a certain purpose and let's not get too carried away with the Challenger brand concept because the entire growth and the entire build out and the entire outlook is based around Campus for us as a management, as a platform.

Moderator: Thank you. The next question is from the line of Mehul Desai from JM Financial. Please go ahead sir.

Mehul Desai: First question on gross margin front. Now, how do you see this trajectory sustaining in coming quarters? Do you see this kind of gross margin sustaining or is there any kind of one-offs in this? And also typically the second-half margin, my understanding is second-half margins are better than first half. You see that playing out given that you already have very strong margins in the first quarter. So is it fair to assume that second-half can be better than first half in terms of margins also? And related to gross margin also given that you have certain benefits now, will you look at some pricing corrections to drive volume growth? Yeah, that's my first question.

Piyush Singh: Yeah, hi again, great question. On the margin side, so if we have to dissect this entire thing, this improvement in gross margin is actually driven by three important factors, which is favorable improvement in channel mix, favorable improvement in product mix in terms of sell throughs and again sourcing efficiencies that we have kind of realized over the last couple of quarters, which we had already discussed in the previous commentaries. Now just to answer your question around the sustainability piece, there are no one-offs in these margin improvement, but at the same time this margin improvement is kind of linked with the growth profile that the company and the team is able to demonstrate quarter after quarter. Now prima facie, first Page 5 of 16 half of the year is slightly lower on the margin side empirically, because of a relatively higher mix of open footwear, which is pivoted towards relatively lower margin compared to the closed footwear which is our forte so far. So, as we enter deeper into the season, we believe that we do have an opportunity to improve this margin profile further. There could be a one-off in a month or so depending on the unpredictable macro, but I can assure you that as a team, we are very much focused on improving and correcting and optimizing all the input matrices that goes towards margin improvement. See macro is something that is out of control, but at the

same time, our endeavor is to ensure that whatever is within our control, we should optimize that and pass on the benefit to all the stakeholders from here on.

Mehul Desai: Sure. And on the ASP front also, how do you see ASP then moving? Would you like to pass on some benefit or do you think this 2% to 4% kind of ASP growth can sustain?

Piyush Singh: So again, see if you notice that we have very reasonably priced our portfolio, the pricing is very sharp so far as our brand in our category is concerned. We have shied away from the temptation of increasing pricing like some of our competitors over the last few quarters. That's the sole reason why we have sustained the momentum and people have kind of rewarded us with whatever little growth in a difficult macro that you can expect of. As of now while we haven't taken any price increases, which are unreasonable in nature, we don't see any opportunity or we don't see any kind of a scenario where we would be taking any price cuts as of now. The portfolio is very sharply priced and this has taken care of all the permutations and combination and the scenarios where in a certain growth has been baked in at this pricing.

Mehul Desai: Secondly, on this D2C online business or this 10% kind of growth, how do you see this? Are you targeting a much higher growth? This business obviously in 4Q you had some issues, are those issues now

largely normalized and how do you see the trajectory for this D2C online business?

Piyush Singh: See so far as the robustness of the business is concerned, we see absolutely no concerns around the sustainability of the growth profile of this particular business segment. Yes, there were certain issues in quarter four for which we had to reset, we have recalibrated and in the coming quarter, especially with the onset of festive, we see this business getting back to it, the prime of its growth. So, from a full year growth perspective orientation, the business is very much on track.

Mehul Desai: And lastly on, any comment on working capital, how is it versus March 2023 quarter?

Sanjay Chhabra: As far as working capital is concerned, there is a slight increase in investment in working capital, but our DSOs are very much in line with both March and last year same quarter. What we see is a slight increase in the DPO which is good contribution and with subdued or muted demand scenario, we are sitting on some inventories, but we take that as we will leverage that investment in inventories in the upcoming festival season and that would help us to sort of push more volumes in the market.

Page 6 of 16 Moderator: Thank you. The next question is from the line of Harsh Shah from Incred Capital. Please go ahead, sir.

Harsh Shah: Very impressive margin performance this quarter and given that there are no one-offs and really weak quarter and good margins, so I just wanted to understand one seeing on margins from a medium to longer term perspective, now if given the current quarter's performance and as we go into second-half where we have much better margins both at gross level and the benefit of leverage paying out aiding EBITDA margin as well. I think that the 20% margin kind of guidance barrier can be broken very easily this year. But going ahead, let's say five years from now, how do you play this thing right like kind of, do you want to keep the margins at 20% level and invest whatever incremental margins you get behind to get more volumes and market share or is the endeavor for us to kind of keep increasing our margins by let's say 1,500 basis point every year until we reach a particular threshold?

Nikhil Agarwal: Harsh, Nikhil here. So great question. Like we've also mentioned in our previous call and the long term objective for us as the brand is to make it the most number one top of mind recall brand in the country and therefore for a longer term objective, we'll keep on investing behind the brand. So far, we've been investing about between 5% and 6% of our revenue in the ATL spends. So, we've grown this from about 3% to about 6% over these last three to four years. Therefore, we strongly feel that as the company scales up, will continue to invest behind the brand and will maintain the marketing spend at about 6% going forward as well. So, therefore in terms of margin accretion and the margin profile, we've certainly taken some measures to improve the margin profile that you see today, the ones that you've spoken about earlier as well in terms of premiumization and the channel mix and the cost savings that are now coming in. So, we certainly believe that second half should lead to better margins in terms compared to first half and in the long term, while we would refrain from giving you a specific guidance around the numbers, what we can tell you with surety is that the long-term objective of the company is to make the brand bigger and stronger and in doing that along with very good margin profiles. So, we will continue working on that objective. I believe that answers your question.

Harsh Shah: Thanks for the explanation. So basically, directionally, I'm not asking for a guidance, but directionally we do see some uptake in margins kind of as the business grows right, would that be a fair assessment?

Piyush Singh: Harsh, Piyu

sh this side. Yes, that would be a fair assessment over the longer-term horizon of say 4 to 5 years. Directionally, we'll be improving our profile from here on, but at some point in time, that's a balancing act we need to play as a brand wherein as Nikhil rightly mentioned.

We will continue our sustained investments towards making the brand more robust , more likeable and more reachable for the Indian diaspora out in the country.

Page 7 of 16 Harsh Shah: And the second question was more on the trade distribution part. The decline was 5% this quarter. So how would the split be for North and East, which is our core market and versus the emerging markets of, let's say, South and West for trade distribution specifically?

Piyush Singh: While we have seen improvement in parts of core North Indian territories which were earlier deeper into the woods, especially parts of Eastern UP and Bihar, they are gradually recovering and hence we are narrowing the gap between say a growth profile and a slight degrowth quarter after quarter. West continues to do well for us, so does the rest of the country. It's just that some of the core markets in the Northern territory especially UP and Bihar were not performing as per expectation because of severe macro downturn and people witnessing a key kind of a recovery in these markets, especially Tier-2, Tier-3 markets were very sluggish. They have started bouncing back and with the onset of festive, the real hope is the macro would gradually improve, inflation will subside and with more farm income coming into place along with the elections, we expect these markets to also bounce back.

Harsh Shah: No, I was just trying to understand the difference between the industry decline in North and East and our performance in North?

Piyush Singh: We have largely maintained the same performance because a 5% decline in value terms is somewhere in the vicinity of Rs. 10 crores here and there, which is like a couple of days of billing for us. So, see directionally, we don't see any significant decline happening in any of the markets. It is just that the growth is still elusive in some pockets. They are also gradually coming back and with festive onset right around the corner in the coming quarters, we expect these markets to also come back into their full glory as previous years.

Harsh Shah: And could you offer any comments on how July and let's say this 10 days of August were compared to June quarter?

Piyush Singh: We would refrain from giving any mid quarter guidance. I hope you'll understand because it's too early for us to comment on a quarter or a half yearly performance basis, just a month's output, still a long way to go. So we will refrain from any guidance on that part right now, but we'll certainly come back to all our stakeholders once the quarter has gone by and the numbers are out.

Moderator: Thank you, sir. The next question is from the line of Yash from Steinberg. Please go ahead Sir.

Yash: Our D2C offline channel is actually the fastest growing channel for the company today with an aggressive addition of EBOs across India, so wanted to understand what is the unit economics for a store and how do you kind of get confidence in terms of the ramp up in the middle of, let's say what you are putting out as a macro store?

Page 8 of 16 Piyush Singh: Yeah, great question, Yash. So let me first add more color to it. D2C offline is a combination of our own stores, COCOs franchise stores and a large part of it comes from key accounts. So majority of this growth that you see in D2C offline roughly to the tune of 82% is driven by key accounts and franchise stores because now we are in a stage where we are not opening a lot of company operated stores, actually this is the faith reposed in us by most of our franchise partners which are master franchises for multiple stage and who are witnessing the ROI based

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group in terms of the return on investment that they are generating on the current network, but they are adding their own capital to the scale up. For example, some of the states like Gujarat, Maharashtra, Rajasthan, or you can say part of central India, they are doing better than average performance across retail, you can say retail spread across various other brands. So in fact their investment, which is coming into play right now. I hope that answers your question.

Yash: Understood. So out of the 225 odd stores, how many would be company owned stores?

Piyush Singh: So it's roughly 90-95 stores is company owned stores and most of these stores are vintage stores over the last couple of years. Franchises have added roughly 135-140 stores for us.

Yash: And incrementally you don't plan to add?

Piyush Singh: We'll be moving ahead with addition of stores in the ratio of say, 70:30 in the favor of franchise to company.

Yash: And the other question is on the group margin, you'd mentioned that let's say 20%-22% margin, EBIT is aspirationally a target, this is back in March like few months ago. Want to understand what is going to be the bridge from let's say 14% odd today to achieving the 18-20 and then 20-22, that kind of EBIT margin from here on out?

Piyush Singh: I believe you are referring to EBITDA, not EBIT, because directionally what we've been maintaining across our calls and investor interactions is while we are currently trending at close to 19%-20% EBITDA, the idea is that over the next 3 to 5 years we should incrementally add on to our EBITDA margins like 1% accretively year after year for the next 5 years. I mean there could be plus and minuses between one of the years here and there depending on how the overall economic scenario is. But actually, that's what we are aiming at and eventually, this is not a very capital intensive industry. At some point in time, our endeavor is also to become debt free, we should take care of the interest part. So we have a certain milestone so far as

EBITDA is concerned, EBIT is concerned, PBTs are concerned. We are heading very much in that direction quarter after quarter. All the input matrices that are requisite for this kind of an improvement are very much in play. So, the road map is very well laid out for us. We just need to focus and we have to stay disciplined, gain more market share in the current scenario where in people are going for down trading and some kind of postponement to gain more and Page 9 of 16 more market share and shelf space, rest everything else will fall in place with the help of operating leverage.

Nikhil Agarwal: And to some extent, we need the markets to sort of start back up again at full throttle.

Yash: Understood. And one question on let's say margins that you've reported, if I were to look year-on-year was broadly flat on let's say EBITDA and EBIT, but let's say we've seen a very sharp improvement in RM, which is gross margin, but that gets offset by something in the other expenses. Just want to understand is it that we get higher gross margins in online, but since you report marketplace commissions and other expenses that largely that benefit gets knocked out? So because you mentioned in the call earlier that gross margin improvement is because of product mix and channel mix, so just want to clarify that.

Piyush Singh: Yash, essentially there are couple of fixed expenses which increases year after year which we all know which includes employee expenses, some bit of ESOP expenses which have come into play and our sustained investment towards advertisement and brand building. So these are primarily the expenses which have led to kind of flattish EBITDA margin on a year-on-year basis. While the improvement as you rightly mentioned is on account of favorable channel mix and the product mix and largely on account of sourcing efficiencies that we have

witnessed over

the last couple of quarters.

Yash: So it's not that largest part of the increase in other expenses is coming out of marketplace commission that's why I wanted to kind of confirm?

Piyush Singh: Not really. I mean there is some increase in marketplace commissions because of the overall change in mix of online business wherein we are moving more and more towards marketplace model compared to the outright managed marketplace piece. But that has already kind of contributed with the higher net realization in the top line. I mean in a way that increase in realization or increase in subsequent gross margin kind of takes care of that slight increase in commissions on account of marketplace sell-throughs.

Yash: And in terms of, let's say, how do we think about ASP going forward because frankly there seems to be a certain price point within which, let's say increasing the prices may kind of cause us to lose competitiveness on some of these platforms. So how are you seeing, let's say your ASP is moving, let's say 4-5 years out in terms of the growth rate rather than a near term picture. But can you move beyond this Rs. 600 – Rs. 700 range if you were to grow at, let's say, the aspirational target of 20% plus or whatever number that you at least plan for?

Nikhil Agarwal: Yeah, so we see a good opportunity like we've been growing our ASPs consistently over the last 10 years at about 6% to 7%. But going forward as well, it's not that we need to take a big MRP increases or we need to enter categories above Rs. 3,000. We do still believe we have a pretty big opportunity within the spectrum of Rs. 1,000 to 2,000 due to the channel mix and the Page 10 of 16 premiumization that we'll be doing within these price points, Rs. 1000 to let's say Rs. 3,000. So, the market and given that the BIS, the way it is coming in now and it will be implemented from the first of Jan 2024 with a lot of clarity that is coming from the government so far. The primary objective of BIS again is to deter and ban the imports from China, Vietnam and Indonesia into the country in the similar way, the way they've done it for the toys industry and tires and so on. So we are extremely excited about the prospects of BIS as well contributing towards not just the growth in margins, but also towards this ASP increase because a lot of the material or the finished goods that's coming from China today are in this price point of Rs. 1000 to 3000. And a lot of that will be pretty much leaving the market very soon. So that's the way we are looking at ASP. So we are pretty much in that very sweet spot of Rs. 1000 to 3000 bucks. We really don't need to enter into Rs. 3000 plus categories in order to increase our exports.

Moderator: Thank you. We take the next question from the line of Vatsal Dujari from CLSA, please go ahead, sir.

Vatsal Dujari: I just had one question. So how are we performing in the Southern regions and according to you what is the characteristic of the Southern market makes it a little more challenging versus the other markets for us?

Piyush Singh: If I have understood your question correctly, you are talking about our performance in the Southern markets. So we have pretty much held forth maintained our market share in Southern India market. So speaking about last 12 months, our contribution from North and Central India is close to 50%-55%, with West India contributing roughly 23% of our sales, East contributing another 16% to 17% and South India contributing roughly 11.5% to 12%. So we have managed to gain traction in these markets. We are steadily gaining market share and currently our mix is mimicking the industry's mix of sports for there all across the country as well. So, we are truly mimicking the contribution mix of a Pan India brand.

Moderator: Thank you. We take the next question from the line of Gaurav Jogani from Axis Capital.

Please

go ahead, sir.

Gaurav Jogani : My first question is with regards to in case of you have alluded that you would like to drive market share. So in that event, would you also be open to maybe re-adjust the price and drive the volume growth in the near term because we have seen increased competitive activity from many new players coming into the market as well as the slower growth has pushed early EOSS also during the year.

Piyush Singh: Gaurav, Piyush this side, great question . Given quite a few set of folks are really interested in if we are going to give more discounts to drive volumes , the clear answer is our portfolio is very sharply priced as per the demand spectrum that we are currently witnessing in the market. So people are not actually looking for discounts. People are looking for the best value proposition , price value proposition , which we believe that within Campus we are offering . We have never taken unnecessarily price hike, so there is no question for us to drop prices, not to drive volumes. The volumes are still very much in place for us compared to rest of the industry or some of the other peers that you may be tracking. The sole reason is people. People believe that they are paying the right price for the product that they are getting within this brand and that's the sole reason why they keep coming back to Campus as they repeat purchase. So , it's a very well positioned, well priced portfolio. We take care of our consumers at the very onset while pricing the portfolio itself. Hence, there is no such need of playing a high, low game wherein you first price the portfolio higher and then give a deeper discount. Let's not try and feel that consumer is dumb in that sense. Indian consumer is very sharp. They understand the real worth of the product and hence they are not really seeking discount. They're seeking the right value for the money that they're paying. We believe the brand is really delivering.

Gaurav Jogani : So my question was seeing competitive pressure while your products are very attractively priced, I would agree to that just that because of the early onset of the festive, the consumer tends to seek more discounts and hence that was the question coming from?

Piyush Singh: So certainly, we have seen behaviors across our online and offline formats while our online discounts have increased by a couple of percentage points. But then again, I would refer to some of the conversations without taking names with some of our platform partners where they say that the sensitivity is so strong in Campus that even a 1% drop in price or 1% increase in discount drive volumes which other brands even by discounting as high as 10% incrementally are unable to drive. So that is the kind of price value proposition we drive by maintaining a very tightly priced portfolio and not discounting it unnecessarily. See, volume pressures are always there , EOSS pressure is always there. Driving numbers is always there and that's why as a management we maintain this feel that see , you should always judge a brand or judge a platform by the strength of its portfolio or by the strength of its decision making capabilities during testing times. There is a lot of temptation that we can drive a lot of volumes by discounting, but that really rubs against the grain or the ethos of our brand. So we know what we have to deliver , we understand that fully. But at the same time, we don't want to dilute the brand unnecessarily that is for short term gains. And that's the principle that we all stand by.

Gaurav Jogani : Thanks for the detailed explanation. And my next question is just more related to the BIS implementation. We hear that a lot of these ports placements of Rs. 1000 and 3000 , if you can explain a bit in detail how this can benefit the entire industry and Campus specially ?

Nikhil Agarwal : Right. So like I mentioned, BIS

is aimed at curbing the imports from China and Vietnam and Indonesia, and these are the three nations from where the majority of imports of sport shoes coming into the country. So naturally, once this entire volume, which is a very significant number , we believe that volume will sort of erode away. This will obviously open up doors to not just Campus, but pretty much like the entire footwear industry and they should benefit the Make in India campaign that our honorable Prime Minister is encouraging all us to do. That is the primary objective of this BIS scheme, and on top of that, there were some clarifications Page 12 of 16 also that have come in in terms of like earlier there was some confusion regarding the non BIS goods , how much time will the government give to various companies and the channel partners to sell through all the non BIS goods. So that clarification also come in that by 31st December 2023 . Every company and every channel partner will need to update their stock statement on an online portal of their non BIS goods and the government will give them adequate time to basically sell it off. So the government is absolutely looking out for the domestic players. They are making sure that nobody goes under and this entire move is primarily aimed at just curbing the imports . So that is basically the gist of it.

Gaurav Jagani: So just one question here . Would this restriction also be on the source or those that are imported from China, the raw materials or just on the finished goods?

Nikhil Agarwal : No, it's only on the finished goods, but naturally, finished goods is some of parts of your sole and upper and all the raw materials. So , if the finished goods need to comply with certain requirement of BIS standards, then naturally, all the raw materials and the sole and all will also have to fall in to place . So, it just percolates down to the raw material as well in that sense.

Piyush Singh : Gaurav, there are testing parameters expected for upper material and sole material separately like abrasion, resistance and flexibility and things like that. So individual components cannot

escape BIS regulations per se. In one line if you have to summarize, BIS augurs well for a quality domestic brand because ultimately, the quality standards would be uniform for all the domestically manufactured products, be it a Rs. 500 shoe or be it a Rs. 1500 shoe. That means there will be an enhanced pressure on local manufacturers who are cutting corners as of now, who are producing substandard quality just in the name of fashion. So, the government wants to do away with that as well, along with cheap Chinese imports or cheap international imports. Idea is to ensure that Indian consumers should get the best quality footwear and at the same time, India should gear up in the coming times to create world class quality footwear which is ready for exports as well. So that's the overall objective of the government which really works well in favour of an established domestic brand which is totally focused on quality.

Gaurav Jagani: So just one clarification on that. So, because of this implementation getting affected from the 1st of January 2024, so in the interim period, do you expect any supply chain disruptions just before the implementation of this and because of which any stocking that you would have done?

Piyush Singh: Not for us because anyways 90% of our sourcing is indigenized in nature and we only work with high quality vendors who provide quality stuff. So, nothing really changes in our lives.

Nikhil Agarwal: In any case, I'd just like to also clarify that for a brand like Campus, we've always anyways adhere to the highest standards of quality. So even though the BIS standards are decently stringent, we pretty much fall into, I would say from the previous legacy days also, we've been

the sheer quality standards that we maintain. So we've been complying with BIS anyways.

Piyush Singh: As an update, our testing labs have already been approved by the government. They are already in place. We are just waiting for the testing standards to be released by the government. The moment they get released, we believe that we'll be able to churn out BIS certified footwear in no time.

Moderator: Thank you. We take the next question from the line of Bharat Giani from Money Control. Please go ahead, sir.

Bharat Giani: Two questions from my side. One is in the presentation, we have seen that you mentioned that in the trailing 12-month period, our growth has been kind of a flat, if I see the overall revenue growth. So what would you attribute this factor to the overall industry slowdown or have you seen a market share loss in the trailing 12 months, so that would be my first question?

Piyush Singh: Bharat, we have directionally gained market share is even you cover the entire industry, you are well aware of the fact that industry last year, all the segments put together and specifically sports footwear, other segments while degrowth, sport footwear has grown in single digits. While on a trailing 12-month basis, we have maintained a growth rate of 24% to 25% which is way above the industry standard. So, this clearly implies that directionally we have gained market share across newer emerging markets where we have pulled it over the last three to five years and at the same time, we have kind of held the fort, maintained share in territories which have seen some bit of degrowth over the period in discussion. So, clearly we have gained share, not otherwise.

Bharat Giani: And so next question is that while we have mentioned a lot about how the margin trajectory over a five-year horizon kind of will improve? Our endeavor would be to improve margins, but I guess the state is more concerned about the growth trajectory, so in the last trailing 12 months as we have seen revenues getting impacted obviously that is to do with, as you pointed out that would be due to the market slow down. But when do you feel that the Campus will get back to its growth trajectory that we have seen Pre-IPO or if I put it in the other words, over the next four to five years horizon, what's your revenue growth rate that you target?

Nikhil Agarwal: Bharat, when we entered the markets with an IPO, our 3-year CAGR, 5-year CAGR was somewhere in the range of 24% to 27%. We believe that last year also FY23, if you look at our trailing 12 months, if you're referring to, we have maintained that kind of growth trajectory.

See, there have been some shift in the margin profile, but at the same time we have maintained this that in a slowdown kind of a scenario if we have to pick between the two, we'll still go after growth at any cost for right now with their respectable margin profile because margins are easy to recoup in a stable macro. But at the same time, it's our endeavor to gain more and more market share, gain more and more shelf space because that is something which is sticky in nature. Margins are easy to recover, but growth becomes elusive in competitive markets. So, we believe that slow down is a blessing in disguise. These are pockets of opportunity wherein you get a shot at gaining more market share when others are actually not that much focused on the same activity. Hope that answers your question. Very soon we'll get back to our standard margin profile. That's nothing to worry about.

Moderator: Thank you, sir. We will take the next question from the line of Mr. Deepak from IGE India Invest. Please go ahead sir.

Deepak: I would like to understand what gives us confidence to gain the market share further in future. What differentiate the things we are doing compared to the other players and what's the market outlook here

re on ? Are we behind the low growth situation from now onwards the consumer demanding picking up or would like to have your views. Thank you.

Nikhil Agarwal : Hi, Deepak. So certainly see , we've experienced a sort of a lull in the market in the last 12 to 14 months . Just this is an overall macro slowdown which every single footwear manufacturer has experienced. But going forward, we believe due to many reasons that it's been a good monsoon this year, the festive season as well and the elections also coming up very soon , we believe that H2 second half of this year should result in better demand along with complementary margins. And even going back to the company basics , Campus, the biggest USP, we have 4 pillars on which we take pride. Really, one is the largest R&D in the country, the most developed number of designs that we churn out, latest trends. The 2nd is the largest vertically integrated manufacturing ecosystem that we have. So , nobody is even close to the kind of capacity that we can produce which is about 35 million pairs of capacity every year and third is our entire Omni channel platform where we have the largest integrated sales ecosystem between online and offline . And lastly , being the most innovative brand , marketing techniques that we've used and the strategies that we have followed and which have resulted in significant appreciation of the brand in the last two years. So given these basic concepts that the brand sort of hinges on , we have seen very decent growth over these last 10 to 15 years and there is no reason that should not happen going forward as well. We just need to stick to the basics and we're keeping it simple.

Deepak: Any new category of product apart from sports shoes, which we are planning to enter like the other competitive player?

Piyush Singh: We have a very exciting sneaker range, along with our sports shoe ranges and we'll keep on beefing our casual footwear category because we see a lot of potential in that category along with the sports shoe category that we currently champion. You will see something really refreshing , exciting in our current offering in the autumn -winter season . Currently , our trade shows are going on. The signs are very encouraging. You will see a lot of refreshing ranges, both in the sports shoe category and the sneaker category coming your way in the next couple of months.

Page 15 of 16 Moderator: Thank you. We'll take the next question from the line of Manish Dhariwal from Fiducia Capital. Please go ahead.

Manish Dhariwal: See, I'm new to the company and so I have some basic questions. So one is that, does the promoter family have any other businesses other than software business?

Nikhil Agarwal: No, we don't. The promoter family is completely vested into only this business.

Manish Dhariwal: That's wonderful to hear . And secondly, has the promoter group reduced your stake in the recent past ?

Nikhil Agarwal: No, we have not.

Piyush Singh: No, they have not sold even a single share since the IPO.

Nikhil Agarwal: There has been no change since the IPO, not even a single share .

Manish Dhariwal: The last thing is that, see, I've observed that like the premiumization and everything is like, I think that's very good to hear. But then why is it not getting reflected in the ASP ? See ultimately, if I'm selling a premium product then I'll be able to secure a better price which will reflect in my ASP. So that actually is not reflecting , so if you could just help me understand that bit?

Piyush Singh : Yeah. So see, there is a sustained improvement in that ASP. If you look at a 10 -year CAGR, ASP is improved by 7 % . So , what you see at the store is a maximum selling price, maximum retail price , MRP . The Company gets only a part of it , the rest of it goes as taxes and channel margins. So, if there is say 10% increase in our MRP, year after year you will

see only say 4% to 5% of it

reflecting in our ASP because that's what the ratio of MRP to exactly is for a brand like us. So, we are predominantly a distribution -oriented company wherein our company margin is close to 50% , roughly 35 %-40% goes to channel and then the remaining goes as taxes. So if 10% price increase is there or premiumization is there , half of it will reflect in the ASP and that's kind of the simple alignment between our numbers and the products that you see out there in the market .

Moderator: Thank you, sir. We will take the next question from the line of Ashish Gupta from Goldfish Capital Advisors. Please go ahead, sir.

Ashish Gupta: Just one input from my side to the management, please include the subcontracting charges in panel in your investor deck so that we get a clear picture of the gross profit margin per quarter that will be very helpful to understand. So it's close to 5 % to 6% of your revenue in the subcontracting charges which sits in other expenses.

Page 16 of 16 Piyush Singh: While we hear you, some of these company level IP's because it will eventually give away the kind of arrangements , exclusive arrangements that we have with our network partners. While we hear you , but this is one piece of information that we won't be able to ..

Ashish Gupta: Anyways you're giving it in your annual report. That's the reason why, since it comes in your annual report that will be a problem coming out quarterly results, it is just a number.

Piyush Singh: So, we hear you , sure we'll take this into consideration. Thanks for highlighting that it is anyways part of the annual report.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to the management for closing comments.

Nikhil Agarwal: Thank you so much everyone for reimposing your faith in Campus. We are extremely delighted to share these set of numbers with you for quarter one and going forward as well, we assure you that Campus is in the best, well placed position along with a lot of these external factors that are also giving tailwinds to the brand like the BIS coming into play and the onset of festive season. So we're looking forward to a decent and a very good second half of the year going forward. Thank you everyone for joining the call.

Moderator: Thank you. On behalf of Campus Activewear Limited, that concludes this conference. Thank you for joining us. And in case of any further queries, please reach out to Campus Activewear's Investor Relations team at [ird@campusshoes.com](mailto:ird@campusshoes.com). You may now disconnect your lines. Thank you.

## Call: Nov 2023

CAMPUS CAMPUS ACTIVEWEAR LTD.

Formerly known as :

Campus Activewear Pvt. Ltd.

CIN - L74120DL2008PLC 183629

17th November 2023

To,

BSE Limited National Stock Exchange of India Ltd.

Corporate Relationship Department Exchange Plaza, C-1, Block G,

1st Floor, New Trading Ring, Rotunda Building, | Bandra Kurla Complex, Bandra (East),

P.J. Towers, Dalal Street, Mumbai - 400 051

Mumbai - 400 001

SCRIP CODE: 543523 SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 -Transcript of the Earnings Call held with Investors/Analysts

Dear Sir

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Investors/Analysts on 10th November 2023 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com).

This is for your information and records please.

Thanking you

For CAMPUS ACTIVEWEAR LIMITED

ARCHAN Zea

A MAINI Ps22sd

Archana Maini

General Counsel & Company Secretary

Membership No. A16092

Encl: As above

Regd Off. : - D-1, Udyog Nagar, Main Rohtak Road, New Delhi - 110041 Phone: 011-43272500 (30 Line)

E-mail: [frontdesk@campusshoes.com](mailto:frontdesk@campusshoes.com), [compliance@campusshoes.com](mailto:compliance@campusshoes.com) Website: [www.campusactivewear.com](http://www.campusactivewear.com)

Campus Activewear Limited

Q2 FY24 Earnings Conference Call

November 10, 2023

Moderator:

Diwakar Pingle:

H. K. Agarwal: Ladies and gentleman, good day and welcome to the Campus Activewear Limited Q2 & H1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing "\*" and then "0" on your touchtone phone. I would now like to hand over the floor to Mr.

Diwakar Pingle from EY, thank you and over to you sir.

Thank you, Felicia. Good morning, friends. Thanks for logging in so early. I welcome you all to the Campus Activewear Limited Q2 and H1 FY24 Earnings Conference call. Before we proceed with this call, let me remind you that the discussion may contain forward-looking statements that may involve known, unknown risks, uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause future results, performance or achievement to differ significantly from what is expressed and implied by such forward-looking statements. The Campus Activewear management team is represented by H. K. Agarwal — Chairman & Managing Director; Mr. Nikhil Aggarwal — Whole Time Director and CEO; Mr. Sanjay Chhabra — CFO, and Mr. Krishna Kumar — AVP Investor Relations. I will now hand over the call over to Mr. H. K. Agarwal — Chairman and Managing Director for his opening remarks. Thank you and over to you, sir.

Thanks Diwakar. I welcome everyone for joining our Q2 and H1 FY24 earning call today. First, I would like to wish everyone Shubh Dhanteras and Happy Diwali. Since last Diwali the consumer sentiment had been subdued due to inflationary pressure and we experience delay purchasing or downgrading of MRP. I have seen the footwear industry evolve over my 40 years of experience in this industry. And we have successfully navigated to all the ups and downs time and again, we have a clear vision and understanding of what we are doing and what we want to do. Campus has become India's largest sportswear brand on the back of very strong fundamentals and core strength, such as our top of mind brand, world class R&D, our omni channel, sales network and fully integrated largest supply chain.

While the market was subdued, we took the opportunity to focus our energy on further innovating and strengthening our systems and process to get ready for the next phase of growth. We have evolved with that time over the

e years. And we will continue to do the same in the future to response to dynamic business environment. In an evolving business, people

Page 1 of 17

Nikhil Aggarwal:

Sanjay Chhabra: change is bound to happen and let me assure you, all the changes are in the right state. So we're building a world class team that leads the organization for the next decade, and we are fully committed to creating long term value for all our shareholders, thanks. I will now hand the call over to Nikhil Aggarwal.

Thank you, Sir. Campus Activewear Q2FY24 revenue stood at INR 259 crores, impacted by a decline in volumes owing to subdued demand in key Northern markets. Also, Q2FY24 sales were impacted by exit of Udaan and AJIO over to a platforms due to change in their business models. However, we continue to maintain healthy gross margins of 54.3% in Q2FY24, benefiting from the lower raw material prices mainly. We have recalibrated our business strategies, and choose to remain nimble footed for H2 FY24.

We have proactively undertaken inventory correction in some geographies, especially the states of UP and Bihar, and some parts of Rajasthan and our DSOs are under control as we enter the second half of the financial year 2023, with the latest assortment of new product developments. During the quarter, we have launched Campus Air Turbo designed for Indian consumers with thermal management technology, thereby elevating the consumers overall footwear experience. We are committed to engage and connect with our target audience through our innovative 360 degree marketing strategies.

We continue to make judicious investments to strengthen our brand, along with premiumization and expand Campus presence in its existing and new geographies.

Additionally, the implementation of BIS from Q4FY24 onwards is a big positive for the organized sports and athleisure footwear players all across the country. I would like to reiterate, that we see the current financial year FY24 as a transitional one. However, Campus Activewear remains focused on its long term business goals and thereby to create value for its esteemed stakeholders over and over time. I will now hand it over to our CFO, Mr. Sanjay Chhabra to take you through more details on the Q2 & H1FY24 performance.

Thank you so much. Good morning, everyone and welcome to the Q2 & H1 FY24 earnings call of Campus Activewear Limited. During the quarter under review our revenues from operations stood at INR 259 crores in terms of volume, the Company sold around 3.9 million pairs in Q2 FY24. The ASP in Q2 FY24 stands at INR 658 per pair versus INR 608 in Q2 FY23. Similarly, on a category basis, revenue mix across men, women and kids and child stood at 79:21 in Q2 FY24, driven by our continued focus towards growing this category. EBITDA stood at INR 25 crores in Q2 FY24. On the balance sheet side our net debt stood at INR162 crores as of 30th of September, showing a marginal increase of around INR 5 crore versus INR 157 crore in March 2023. Net debt to EBITDA ratio stood at 0.7 in H1 FY24, as against 0.6 in FY23. Our balance sheet demonstrates the position of strength with robust return ratios such as ROCE and ROE of 20% and 19.2% respectively as of 30th, September 2023. With this, I'll conclude and hand it over to the operator for questions-and-answers. Thank you.

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Moderator:

Aditya Soman:

Nikhil Aggarwal:

H. K. Agarwal:

Nikhil Aggarwal: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Aditya Soman from CLSA. Please go ahead.

So, two questions. Firstly, you mentioned Udaan and AJIO and sort of a change in business models there. Can you throw some more light on exactly what happened and second on the inventory correction that you mentioned in Bihar, UP and parts of Rajasthan, again if you can just throw more light on it when inventory correction is done or we still expect some sort of correction to i

nventory levels in those states or any states in the H2FY24, that would be super useful. Thank you.

Great. Thanks Aditya for your question. So from the O2O platforms, they shut down literally their businesses in the first quarter, they announced that they would be exiting these platforms. And it was almost like an overnight kind of transition, because they did not really give time to any of the companies to purchase, so they stopped purchasing overnight. And therefore, we had to improvise basically to recalibrate our online business model to increase the share of our marketplace. And that's exactly what we have done over quarter two, as well we have grown our marketplace business by approximately 61%, slightly over 60%. So that's a meaningful jump, and we'll continue to invest behind marketplace business and take it forward. So, that's the industry wide phenomenon where O2O was shut down for everybody. While the inventory correction where that is concerned, we have consciously taken that step in Q2FY24, given the subdued demand in the market, we wanted to make sure that instead of loading the market with more inventory, and possibly seeing that pay in in the next few

quarters, we decided to not increase our exposure of credit limit beyond a point. Therefore, we have very well maintained our DSOs at a very healthy level, which would be also reflecting in our working capital and a very healthy working capital rather than what we have demonstrated in Q2FY24. So, in maintaining, we took that conscious decision to reduce the inventory in the system, and further improve the situation in the market. So, therefore, we have seen some correction in parts of UP, Bihar and some parts of Rajasthan, where the demand was most impacted in the states, therefore we have not loaded the businesses, the distributors channels further with more inventory in Q2FY24.

Also, this correction in inventory gives us an opportunity to now sell more of the new products, which we have launched for the season. And this would be sort of positive from a channel perspective.

Yes also, just to mention that we held a very good distributor meet in quarter two where we have taken confirmed pre orders from our distribution channel for the first time we worked on this model of pre-orders and it was a very successful meet, where we have received very significant orders till the end of December 2023. And currently the company is in process of supplying all those pre-orders.

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Aditya Soman:

Nikhil Aggarwal:

Aditya Soman:

Nikhil Aggarwal:

Moderator:

Jay Doshi:

Nikhil Aggarwal: Understand. So, in terms of just understanding this decline in top line, would you say that most of it is due to these two reasons, and then you should see a reversal to sort of more normalized top line growth on a quarterly basis from 3Q or do you think there's still some more effects of this inventory correction or maybe inventory correction needed in some more states?

So, we should see normalized growth and normalized quarters from Q3FY24 onwards, because whatever correction had to be done it has been done in quarter two, most of it is already through. And, we also saw a slight bit of phasing due to Diwali, in September 2022, because Diwali got pushed out by a month this year. Therefore, we saw a slight bit of effect of phasing of Diwali as well in quarter two. So, Q3FY24 we expect a much more stable and a positive quarter.

Understand, very clear. And just maybe one last question, if | may. In terms of, if you look at 3Q obviously would this also lead to sort of a bump up in revenue, or are you still would say that a more normalized sort of a quarterly run rate is what one should expect?

Unfortunately, we cannot share any numbers or any guidance's beyond a point, but | would like to assure you that we are on the right track. Most of the correction whatever had to be done is already through in Q2FY24, so we should see a meaningful quarter in Q

3FY24.

Thank you. The next question is from the line of Jay Doshi is from the of Kotak Securities. Please go ahead.

My question is again, with respect to the trade distribution channel. Do you think in the last six, nine months at any point of time there was some discontent in the channel and was there any corrective measures required to ensure parity between the channels online as well as offline and is there a possibility that the weakness in growth recently that's so far has a function of some discontent amongst distributor in the trade. So just your thoughts whether there was such an issue and if that was the case, have you corrected and taken corrective measures? Hi Jay. So, we appreciate the question, but we have seen majority of the pain due to macro environment only, there was extremely low footfall in Q2FY24, honestly we've not seen this kind of a time in Campus ever. So, this almost was a bit of a shocker to all of us as well. So, this is primarily due to a very low macro environment, most of the consumers ended up either down-trading to lower MRP. So they postponed the buying to festive season, in Q2FY24 that is where we have seen the pain and some bit of it, we have taken that conscious call of inventory correction like | mentioned, but there was absolutely no discontent amongst the distributors for any reason whatsoever. With regards to channels or any other conflicts that | can assure you, while we have also taken many steps to further improvise and improve the channels agencies. And just to give you some flavor, we have also seen distribution business getting back on track in Q3FY24 so far. So that's a very big positive sign. And so | would like to tell you that, there was no channel conflict that we have seen so far in that sense.

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Jay Doshi:

Nikhil Aggarwal:

Jay Doshi:

Nikhil Aggarwal: Thank you. My second question is, during the course of this year we have seen slightly higher than the usual level of discounting among some of your competitors brand, including some of

the global brands. So how has your performance been in terms of market share in the recent sales, the Flipkart is a key partner for you. So the Big Billion Day sales as well as Amazon sale, would you be able to give us some directional color or something on market share trends, and whether it is growing faster than the platform or category on online?

Sure Jay. So, we have delivered a pretty good BBD this year in Flipkart, it was in the first week of October 2023, it ended somewhere around the end of October 2023. And we have been able to increase very aggressively our market share from 5% to almost 8.5% on Flipkart, these numbers have been validated and given to us by Flipkart themselves. And so this is a meaningful jump for any brand and we have also seen a lot of our peers and competitors, doing a lot of liquidation and discounting across channels. That is mainly due to the same reason that the macros have been weak and everybody was sort of liquidating their inventory, whatever they were sitting on. However, we have not taken that approach that's why you see a dip in our volumes, because we have been very clear that we will not discount beyond a point. And we have maintained that hygiene very well across channels, across geographies. Therefore, our ASPs have actually gone up by almost 6%, we have been able to demonstrate meaningful material margin jump from 48% to 54%. And our ASPs have also gone up from INR 608 to INR 658. So this is, in spite of a dull macro, we've been able to demonstrate healthy margins and that is what we will continue to do so in future. We have increased the market share in our online channels without really compromising on the margins beyond a point as well. That's helpful. The last and final question is, what is the competitive intensity that you see in some of the Northern states UP, Bihar and in case of competition from smaller players, local regional player

s, usually we see a trend that there is aggression for a few quarters and then the channel inventory goes high, and then there's clearance liquidation and then you see a more benign or stable competitive environment. So, where do you think we are in this journey of competitive intensity in some of these states?

So, we don't think we have any competition in our segment, we almost dominate this category of INR 1,000 to INR 2,000 category, there are hardly any other specially organized players or even unorganized players in this segment. Most of the private and the smaller companies in the space are limited to less than INR 1,000 MRP products only. And interestingly UP is a go to market for all footwear companies, it's the first go to market so anybody entering into footwear first enters UP and therefore becomes sort of like a war zone in some sense and a little bit of an ugly situation sometimes for every single brand out there. So, we have a separate strategy for UP in order to be very aggressive UP has always been a very strong market for Campus, we have a very strong following, we are the number one top of mind brand in UP amongst the domestic players. And we would continue to maintain that lead on the back of the various initiatives like marketing campaigns and better product pool and better distribution reach. So we're working on multiple of these aspects to increase our sales in UP and Bihar going forward

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Jay Doshi:

Nikhil Aggarwal:

Moderator:

Akshen Thakkar: from here on. While the rest of the geographies across India have been performing quite well, in spite of a bad macro, we have been very stable across every other geography in the West and the South and Central and East.

Understood Sir. What I gather is, you have gained significant market share in marketplaces online channel this quarter, your channel correction is largely done distributions channels confirm by end of last quarter, so there won't be any meaningful adverse impact there and you are guiding for or indicating a stable Q3FY24. Do you also think that, BIS related implementation related things are also in place and should not affect your Q3FY24 or H1FY24 or anything that can be some adverse impact of BIS implementation?

So not really, in fact if anything BIS we see it as a very positive move by the government, we are very excited about the impact that BIS is going to create. Now, it's just a timing thing, it might create that impact in Q4FY24, the positive impact or it may bring that in quarter one depending on how the BIS, when it is rolled out exactly. Because so far, the official notification is yet to be received. But as per the government sources, we anticipate that it should be coming by the first week of January 2024 itself, it should get implemented. But as far as Q3FY24 is concerned, we don't see much of pain due to any non-BIS liquidation inventory, because the government has given adequate time to all the footwear companies in India to be able to carry on post January 2024 as well. We just have to declare at the end of December 2023 the inventory that we carry of non-BIS goods. So there is no pressure really from that perspective and so far we are on the right track.

Thank you. Next question is from the line of Akshen Thakkar from Fidelity Investors. Please go ahead.

Just on your point on AJIO and Udaan. So while that, some sales that you would have lost hold through on a Y-o-Y basis, I thought that impact was there in Q1 as well. So, if I look at your sales

performance sequentially, is still down about INR 100 crores. So last quarter, Q1 also you didn't have Ajio and Udaan, and this quarter as well you don't have Ajio and Udaan. So, there is some seasonality but in active wear you don't really see Q2 versus Q1 being a material drop off. So, if INR 100 odd crore sequential decline, how much of it was due to like you alluded to some shift infested and how much of it was, through this chan

nel connection in UP and Bihar, that

was question one. And question two was, gross margins have moved up fairly decently you're setting at record high gross margin. Given that there is some competition, like you said in UP and Bihar, how does management think about top line versus margins, I know steady state you said that you would like to be a high teen 20% margin business, is there a case for dropping gross margins a little bit, dropping margin maybe to 18% instead of 20% or 16% instead of 20%. I am trying to get back to run rate of growth or you think both are separate, growth will be a separate dynamic and margin will be a separate dynamic. Those two questions from my side, thanks.

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Sanjay Chhabra:

Akshen Thakkar:

Sanjay Chhabra:

Nikhil Aggarwal:

Akshen Thakkar:

Nikhil Aggarwal: Hi, morning Akshen this is Sanjay, on your first question related to Ajio. When we compare year-on-year, so what happened is that last year same quarter we had a good sales of around INR 36 crore from this business, which in this quarter is just INR 4 crore. So roughly INR 32 crore impact is coming straight from this in this quarter. But if you see.

I am referring to sequential numbers, Y-o-Y I understand, but one this year also.

Sequential the impact was not this steep, we still did some numbers in Q1 of FY24. So in Q1, the impact was around INR 17 crores which has aggravated to around 32 crores in Q2, if I talk sequential. So that's a big impact INR 32 crores on this quarter or I missed the other macroeconomic factors and the distribution inventory correction we took. It's one of the big building blocks for the de-growth. I pass it on to Nikhil for taking the margin question.

So Akshen basis our strategy. So, one strategy is to deep discount the products to gain market share, the other is to invest behind the brand and to make the brand bigger and stronger. So for us it is the latter, where we are committed to building the brand and taking it to the next level. So all our initiatives and our resources we are ploughing into marketing, into the right steps that need to be taken to make a consumer brand a true consumer brand. And for that reason, we shy away from the strategy of passing on big discounts in the channels and we don't operate in a high low kind of MRP environment. So that's basically the strategy that we are following and you will see some significant investments in marketing being made even this year, and for next year as well. We'll continue to do so.

My second question was, few calls back we spoke about doing a value brand to work with, and not enough space for competition to get into the key markets as an entry brand. Any updates on that, have you test marketed some products some geographies and what has generally been the feedback around that?

So interesting question. So, we did some pilots, and the results of the pilot were basically that, we don't want to operate under the same brand Campus in a very low value segment. Because obviously, on one aspect we have been premiumizing really well over the last few years so we don't want to dilute any kind of brand saliency especially on the lower side. So therefore, we have put that strategy on hold, we are not looking to aggressively look into the lower economy side of those segments. Even as of quarter two, we've reduced our contribution of our entry segment which is up to INR 1000 shoes to 25% versus 30% last year quarter two and we have been able to increase our premium product offering up to INR 1,500. And up to rather sorry, INR 1500, we've been able to take it from 40% to 46% for and INR 1,000 to 1500, we are at 28% versus 31% last year. So the endeavor is still to continue to premiumize. What we spoke about in the previous earnings call was about a new challenger brand. That strategy, we don't think is the right step given the current market dynamics. So we are very clear that we will continue to focus only on one b

rand strategy. And we don't want to, divert our resources on any other sub brand or a challenger brand at the moment.

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Moderator:

Ankit Kedia:

Nikhil Aggarwal:

Ankit Kedia:

Nikhil Aggarwal:

Ankit Kedia:

Nikhil Aggarwal:

Ankit Kedia:

Sanjay Chhabra: Thank you sir. Next question comes from Ankit Kedia from PhillipCapital. Please go ahead.

Sir three questions from my side. On the O2O business which you alluded the INR 36 crore last quarter rate. On a historically you have always told that Ajio and Udaan account were some 20% of the business. Can you just share with us the breakup of online, how much is it direct, how much is it marketplace and how much was O2O for us?

Sure, we can give you a rough split Ankit. Approximately, we used to do about INR 70 to 80 crores of revenue from O2O platforms on a base of INR 500 crores. And the balance was being serviced about | believe, 40% to 45% from marketplaces and the balance from outright sales.

So, that contribution of about 17% to 18% of O2O platforms is basically being substituted now by the marketplace growth on which we are focusing, because that O2O has basically gone for everyone. And so that INR 70 crore is being now substituted by marketplaces and outright, mostly marketplaces, because that's a better margin business than outright as well for us.

Out of this INR 70 you are saying INR 36 crore was in Q2FY24 itself. So 50% of O2O came from Q2 last year?

Yes, approximately. Just to add, that's basically because of in these platforms they load up the inventory in Q2 for the season, for the upcoming season in Q3FY24.

And typically O2O businesses would sell to retailers directly, wouldn't that retailer because of need of demand now purchase the products from the distributor on the ground, or the consumer of Udaan and AJIO would now actually still go to marketplaces to buy the products? So that consumer, the retailer would end up going back to the distributor. So this business should add on, ideally back to our distribution business. This should be compensated by that. But that is, it takes maybe a quarter or two for that to reflect properly in the distribution business. It's not an overnight change, it takes about a quarter a couple of months to fully reflect into the other channel.

Sure. My next question is on the EBO, | see EBO business actually growing by 50% in the quarter, and if you talk about the SSG growth in the EBO business, how many EBOs we have scaled up and what's the plan for next one year from the EBO side?

Hi, this is Sanjay. On a EBO perspective, we continue to add around five to seven stores a month. So that's the kind of strategy we have and in this quarter also, we did add around 22 odd stores, 10 in EBO and 12 in franchisee. So that's roughly a ballpark number, which we'll continue to maintain and the good part is that we get closer to the consumer and this channel gives us a better realization as well.

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Ankit Kedia:

Nikhil Aggarwal:

Moderator:

Aliasgar Shakir:

Sanjay Chhabra:

Aliasgar Shakir:

Nikhil Aggarwal: So you just said, the challenger brand you are keeping it on hold, but if | go to your website, | see one of your value fashion brands continue to be present at a 60%, 50% to 60% discount. So are we liquidating that inventory in the market to get out of that business or what are we doing with those smaller brand now?

That's correct Ankit we are liquidating the stock that we have. It's not a lot, it's very little. So whatever it is, we are just finishing it off and we won't be manufacturing that going forward.

Thank you. Next question is from the line of Aliasgar Shakir from Motilal Oswal. Please go ahead.

Thanks for the opportunity. | just wanted first clarification you mentioned you have inventory corrections, is this channel inventory or our own inventory and if you could just quantify because as you mentioned, Y-o-Y out of it was INR 70-80 crore the impact of let's say, Udaa

n

and Ajio will be about INR 32 odd crores, then how much impact would have this on your revenue?

Hi Ali this is Sanjay, | would say that the inventory correction just to clarify is primarily in our distribution channel and in certain pockets of UP, Rajasthan and Bihar. So, as we said that roughly INR 30 odd crores attribute to the O2O business and remaining INR 40 crores shortfall in our revenue, | would say that INR 20 odd crores would be attributable to phasing of the Diwali and remaining INR 20 would be a mix of inventory correction and subdued consumer demand so, that's how the split would be in a range.

Second question on your competitive landscape, you did give a lot of colors, the point | wanted to allude to is, so point number one is in UP as you mentioned, the impact has been severe. So, there are two, three items here, first is we have been premiumizing our brand, so have we while gaining market share we are all but maybe we have lost because of gross market share in the value segment given that we have reduced our value brand. Also our channel check

suggest, a lot of large distributors in the belt of UP, Bihar have wither shifted to other new brands that have come in the market. So, has the competition upon gaining or retaining your distributors gone up because of which, probably channel commission's given by competitors have gone up and the impact is hurting us. So, just a little bit more color over there, just help how the situation on the ground is in UP and how were are?

Hi Ali, so see for UP, we have a very clear strategy that we will not, we have a common policy for distribution that we follow across the country. And, UP as it became a slightly more competitive market, because of a lot of entrants and like I said a lot of competition enters UP first, it is the first go to market for everyone. So, therefore we have been very judiciously doing business in UP in terms of not losing market and not losing any margins in UP due to the competition. So, therefore we have a very clear strategy of making the brands salient, stronger the brand pole getting our reach even deeper, penetrating to every single nook and corner in

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Aliasgar Shakir:

Nikhil Aggarwal:

Moderator:

Rahul Jain:

Sanjay Chhabra:

Rahul Jain:

Sanjay Chhabra: single state, through means of a very extensive GTM for which we have already rolled out and we have started seeing some green shoots emerging in quarter three. UP as a state has bounced back for us in October 2023 meaningfully. Therefore, the strategy and the steps taken by the company have been working very well.

Last follow up over here is so, in the + INR 1,000 categories where we are more strongly focusing, sub 1000 category is where we are not aggressive, is the understanding correct and that's how we are trying to build our brand?

That's right, see any products, so we have a limited offering of products below INR 1,000, it is the entry segment which contributes roughly 25% of the entire revenue. Now, it is basically there to handhold the customer, when they move from an unbranded to a branded company for the first time. So, it is basically an entry point for them to buy a Campus shoe. Therefore, that is the only purpose that the entry level solves because, as a brand philosophy also and as our Chairman's philosophy, we don't compromise on quality and the look and feel of the shoe even though it's a cheaper product, the quality of the shoe is very, very high. So, therefore it is not as margin accretive as the other, as the INR 1,000 to INR 2,000 segment for the company. Therefore, we have limited offerings, it is only to handhold the customer to the higher MRP shoes going forward in the journey.

Thank you. Next question is from the line of Rahul Jain from Lion Rock Capital. Please go ahead.

I just wanted to follow up on the previous question related to the inventory corrections on Udaan and AJIO stuff. So, I understand the Y-o-Y, but

I'm just struggling from the INR 365 odd

crore revenue you get in Q1FY24, where I would assume Udaan and AJIO would be a lot smaller INR 258 or 260 crore revenue in Q2FY24. So, I understand that INR 20 crore the valuing pattern I understand is 20 crore inventory, but the remaining split of 90 crore so can you help to bridge that gap?

Sure. Rahul between two quarters as I mentioned, so, like last quarter we did around INR 17 crores in Ajo but in Q2FY24 we did around INR 4 crores. So that impact is also there. So, that's one and apart from that, when I was talking about Diwali impact, there will be an impact in distribution, there will also be an impact in the online segment where in the Big Billion Day also shifted and apart from that.

That would be INR 120 crore that's what you mentioned?

Yes, apart from that there is always a phasing between the two quarters, our Q2 is unless we are coming closer to the festival, the Q2 is not very much equal to Q1 and then in Q3 again, with the seasonality the festival and the onset of winter seasons again the demand picks up. So that's how it is.

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Nikhil Aggarwal:

Rahul Jain:

Nikhil Aggarwal:

Moderator:

Aditya Gupta: So this year, absolutely Rahul this year the Q2 was further exaggerated in terms of volume drop, because of the consumer sentiment that was the biggest factor driving the quarter two volume of its low.

And the follow up of these, so as you mentioned that most of the inventory correction is done.

And you mentioned that you have a big market share gain within the marketplaces during the Big Billion Day sale. So when we look at Q3 and Q4, generally when you think about the Campus business on a longer term basis, it should be a business that should go in for the long term top

line on a CAGR basis. Q2FY24 was very challenging, but when you look at second half, and you look at October 2023 and beginning of festive season you think we would get back to those regular trajectory or there will be a big, so there has been a big step down in Q2 and then there is a big step up in second half because all the corrective measures are done, and how you should be thinking about going forward from here. Or you think it will be a multi quarter recovery period from here?

Great question Rahul. So, I would like to persuade you all that, the worst is behind us. And we have been working on a lot of initiatives which are panning out really well. While I don't want to be super optimistic about Q3 and Q4, but we are on the right track and we see that we should be back to normalized growth very soon. Positively from Q3FY24 itself and we don't see much pain going forward. This basically all the, and the inventory correction was also not exactly pan India, we didn't really need to, it was only limited to these couple of geographies that we've stated. So it's not like, we have any more corrections to take or any places. So primarily, we believe the pain is over in terms of at least quarter two, the volume drop that we've seen, while there could be possibly some impact, if at all post Diwali we don't know but as of now, as of the 40, 42 days that have elapsed in quarter three, we have seen a very positive outlook. Now, Q4FY24 as well, like we said, we are very bullish on BIS but that's the timing thing. It would give us a positive impact in quarter four or maybe from quarter one next year that is yet to be seen. So basically the company, all the initiatives that the company has been taking, be it with respect to margins, cost saving initiatives, supply chain all the channels, the integration of the channel. All of that is by far in complete and some initiative that are still going on will continue to see the benefits of those flowing through the next few quarters. So, that's where we are for this year, I hope that answers the question.

Thank you sir. Next question is from the line of Aditya Gupta from Tara Capital Partners. Please go ahead.

A c

ouple of questions, one on the inventory correction again. Was the slow moving goods that were just moving into states and you decided not to do any more primary sales over there, or was the some collection, some designs that did not work, and you guys decided to take it back from the market, and you had to write off some earlier sales, what exactly happened here?

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Nikhil Aggarwal:

Aditya Gupta:

Nikhil Aggarwal:

Aditya Gupta:

Nikhil Aggarwal: I know. So, it was not related to any sort of specific design or any returns that the company has taken, this was a general correction that we undertook because of the low consumer sentiment, if there is less footfall in the market, and clearly the off take from the retailers is low, then there is no point for the company, if we push more products into the system, it will only create more complications for us going forward. So we took that, proactive steps as a general caution through this quarter to be ready for the upcoming quarters and not make them as painful from an inventory perspective. So there was no specific inventory that we have returned or recall, it is related to a general hygiene, I would say that has happened really through the channel.

Got it. Second question on the management team, there's been a fairly significant churn over the last few quarters and you've obviously appointed replacements in some, haven't seen replacements in some so far. So where are we on that, is this team stable now, who's handling what of the people who have left. And how should we read into that, is that also because of let's say business disruption, because you've had a fair amount of churn in the top management team.

See there will always be some churn in any growing organization, we are growing very fast, we're evolving as an organization because footwear primarily is a very unorganized business. This you will see in every other footwear company in India, and the kind of channels and the people we deal with, they are very unorganized. So, we have had to as a category leader, we've really turned things around, we have had to educate a lot of our channel partners, bring them up to the FMCG standards. And that's what we have successfully been able, we've been doing that for the past few years. Therefore, we know it is important to understand that there will be some churn always with regards to people also in an evolving business, but at the moment, I would like to assure you that we are very stable now all the changes, that inadvertently have been made are through and we are sitting with a very good position. We are very proud of the current team who have been handling the business really well. And therefore, we will be able to see the reflection of those in our performance numbers very soon.

Got it. And if you could clarify who's handling these strategy role now and who's handling internet and who's handling supply chain?

Strategy is being handled by both the Chairman and myself and our CFO as well. And the online, the B2C business is being handled by, we have Mr. Utkarsh Tiwari he has been handling B2C,

both online and EBO business for the last few months. He started with retail and he took over online business a couple of months back and he's doing really well. And at the same time we have Mr. Aseem Sood who is handling our distribution business. Again he's from the FMCG background and doing a great job there. So, we have really high quality people handling both the businesses.

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Aditya Gupta:

Nikhil Aggarwal:

Aditya Gupta:

Nikhil Aggarwal:

Moderator:

Zaki Nasir: Got it, thank you. And if I can squeeze in one last please. This Udaan and the AJIO issues again, I know you have explained it out but not a lot of your peers seem to be calling it out as this big an issue on their business. So while our terms of trade with these partners different, you've given us the numbers but I'm still at a little bit of challenge as to i

t happened last, you called it

last quarter also, but the other players in your peers, the impact does not, nobody seems to have call it out or the impact does not seemed to be the significance. So how exactly our terms of trade different with these guys, and what has changed now?

So Campus as a brand has been extremely strong in tier two, tier three markets of the country. That is why, our online business overall has been able to do so well, for the past few years. This is the reason why we've been able to also grow our O2O business so rapidly from a zero crore base to INR 70 to 80 crores in a span of two years, we've been able to do that, on the back of demand, on the back of the brand pull, and the O2O platform reaching out to us. So, that may not be necessarily true for other competitors, they probably won't have been able to scale as fast as we did on O2O because of the brand pull. Therefore, we've also seen that impact probably the most.

Okay, all right. Now you are saying all of this is sorted and Q3 onwards you should be back to let's say normalize or bringing back towards normalized businesses?

Absolutely. See, for us the larger objective this year is to maintain and grow our market share we are very clear with that and we will not do that at the expense of margin beyond a point, it's not about giving high discounts in the channels, any channel whatsoever. So, we have a very clearly laid out product and channel strategy that we are following, which has been reaping us really good benefits. And we will be seeing that very soon now. So for us, the imperative thing to do is to, maintain and grow the market share that we have successfully done on Flipkart as well this year. Basically, all the online platforms including Amazon, Myntra, every single one of them we have been very proactive at that. At the same time, we are seeing similar trend in our distribution business as well. So by the end of FY24 we expect to sit at a meaningful market share, even compared to last year, that is the primary objective for this year, not at the expense of such margin dilution also, I would like to add.

Thank you. Next question comes from Zaki Nasir from Nasir Investments. Please go ahead.

How would you going forward look at your geographical expansion in terms of urban, semi-urban, rural in kind of taking market share for Campus. And as the correction has happened in this quarter, could we safely assume that, at least Campus will maintain last year's levels in terms of the overall top line. Also, as company with the stature of Campus. Don't you think this quarter as a kind of drop has happened, we should look at more the way you look at your channel, it should be more sticky, and a couple of withdrawals should not drop your turnover by more than 20% return which has happened Sir. Thank you.

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Nikhil Aggarwal:

Zaki Nasir:

Nikhil Aggarwal:

Zaki Nasir: Thank you for your questions. And thank you for the compliment on that pair of shoe we really appreciated, that's the endeavor that we all work towards. So with regards to I'll take your last question first. We are like I said, there was obviously a very weak sentiment in the market but there were also a few changes that we have been making internally in terms of a lot of initiatives that we've been driving very positive. So while you're right that there should not be a drop of volume beyond a point. And we do agree to that, we are aware of that fact. Therefore, we have made some very significant changes that this does not repeat again in future and we assure you that it will never happen again. Secondly, sorry can you come back to your second question?

How you wish to spread your geographical divide between urban, semi-urban and rural because these are three entirely different markets. And where do you fit in, where would you want to fit in and also by taking this, what about, I have been to your showroom in terms of how would you w

ish to add athleisure garments to it, If you could, or are there any plans on it?

Beyond in terms of geographical expansion, as we are increasing the brand saliency and the brand pull, and the kind of marketing campaign that we're about to roll out now, and you'll be seeing that very soon across all the mediums. We are very proactively building the brand. We want to be the preferred brand in this segment that is the vision for the company, the preferred brand in this segment of INR 1000 to INR 3000 segments and for that we have been working very closely with a lot of these, we have brand ambassadors, like the King is the rapper. So, we are targeting the right audience across various geographies, and such celebrities basically end up attracting target audience from both urban, semi-urban and rural. That's the kind of saliency that we want to create, while urban, we have increased meaningfully the contribution in the last couple of years, we are very cognizant of the fact that Campus has been very strong in the tier two and tier three markets of the country. That's how we started out. And we literally have less negligible competition in those states, in those specific sectors. So we'll continue to focus and grow our market share in the tier two and tier three towns as well. So it's an overall strategy, we are targeting every single, urban and semi urban center along with rural through our GTM that we have been rolling out. On the athleisure side, like I've mentioned earlier also, we don't want to enter into a new category at the moment, given the kind of whitespace we have in our category, it would be a big distraction for the entire team and the company. So we would take that up probably maybe a year or two or three years down the line. Once, we have been able to penetrate to a large extent rather the markets in terms of footwear, then we can probably take up another category at that point.

And sir do we hope to see that INR 1,487 Crores surpass in the current year sir, balance two quarter?

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Nikhil Aggarwal:

Zaki Nasir:

Nikhil Aggarwal:

Moderator:

Abhishek Getam:

Nikhil Aggarwal:

Abhishek Getam:

Nikhil Aggarwal:

Abhishek Getam:

Nikhil Aggarwal: | am sorry, | cannot comment. | would love to comment on that, but we don't give forward looking guidance's I've given you a flavor of how we are looking at quarter three and four going forward.

And what would our peak turnover be in terms of our capacities, INR 2,500 crores, we are prepared for that without any CAPEX?

We cannot give you in terms of value. We can tell you in terms of volume. Our capacities are closer to three and a half crore pairs, that's 35 million pairs per annum. And last year we've done approximately 25 million pairs, close to 25 million and we are trending at similar volumes. Thank you. Next question is from the line of Abhishek Getam from Alpha Invesco. Please go ahead.

Thank you sir for explaining your UP strategy. | wanted to know more on our strategy and the flavor of Eastern and Southern markets?

Sure. So Southern market like we've always maintained that for the last year since the last one year and going forward as well, Western and South are our key focus market and we have seen that effect also in quarter two where we've basically stayed flat in these two markets, we have not de-grown compared to the Northern market. So in spite of a very poor macro across India, so that's where our focus has been well paid. We will continue to grow our market share in those two markets. These are very important and focus markets for Campus, both the West and the South.

And East market also?

Okay, so East as well, East has been flat for us for the last two, three years we have a decent market share in East, it is equal to the footwear sports shoe component of the entire footwear market appears, so we are commensurate with that, and | don't see any challenge in increasing. So it is also focused market, but

there's a different kind of portfolio, which we are working on

for East as well which is like, outdoor kind of categories, where we are also working on some new product development on that side and we've already launched a few designs this season as well. So that should also help us in increasing our East contribution and market.

Just an extension to it, on our Eastern Southern strategy, is it a MBO lead or distribution lead strategy or a EBO lead strategy?

So, it is a combination of all three, actually we have been able to demonstrate and we've been able to penetrate a lot of new markets by using flux and a mix of all three channels, very successfully so we will continue to do that, there are certain different strategies we may need

to apply to Northern market given the conditions there. But for the rest of India, the mix of

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Moderator:

Mehul Desai:

Nikhil Aggarwal:

Mehul Desai:

Sanjay Chhabra:

Mehul Desai:

Sanjay Chhabra:

Mehul Desai:

Sanjay Chhabra:

Moderator:

Ankit Kedia: hybrid of the three strategies where the company has really strong foothold in all three channels, both online and distribution and EBO, we will be using all three to get into the South and the East and the West markets. For example, I just share one data point that Gujarat, we have just opened our 50th store, which is the highest ramp up in any company so far in Gujarat, for irrespective of category like be it apparels or footwear, nobody's been able to ramp up up to 50 stores in Gujarat in a span of less than this, so that's the kind of aggression we have shown in the West markets of Gujarat and Maharashtra. Similarly in South, we've opened a few EBOs which are doing really well. And, we are seeing higher penetration across distribution and online thanks to our EBO penetration as well.

Thank you sir. Next question is from the line of Mehul Desai from JM Financial. Please go ahead.

I just wanted to check one, how big is UP and Bihar for us in terms of sales and second, I don't know if you have given this number. How was the growth in West and South region in the quarter?

So, quarter two has been flagged with regards to West and South and also East. So the major impact is actually coming from the loss of volume in Northern markets of UP and Bihar, like we mentioned. So there is no real volume drop in any of the other markets compared to quarter two last year in spite of a lot of pain in the market in terms of macro.

And how big is, can you give some indication how big is UP for us in terms of sales?

We look at UP and Uttaranchal together. So it's roughly from a MBO business perspective, it would be close to 25%.

25% of the overall, of the MBO sales you are saying?

Yes.

And just to get some sense, how are the AMP spends in first half and how do we look at in the second half as a the percentage to sales?

So, obviously for the second half, in absolutely the spends would be higher because of our TV and media and also print spends considering the festival season but on a overall percentage terms, as a percentage to sales we will be in the range of 5% to 6% that's the kind of spends we plan to do.

Thank you. We have a follow up question from Ankit Kedia from PhillipCapital. Please go ahead.

Sir just one follow up on just on the manufacturing side. Given that our share of third party manufacturing for upper and sole is significantly higher. Now, BIS certification coming in what

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Nikhil Aggarwal:

Ankit Kedia:

Nikhil Aggarwal:

Ankit Kedia:

Nikhil Aggarwal:

Moderator:

Nikhil Aggarwal:

Moderator: percentage of our contract manufacturers have got certification and do we plan to do more in-house manufacturing now for sole and uppers post BIS?

Hi Ankit, just to clarify BIS is not applicable on upper or sole, or even raw material, BIS is only applicable on the finished goods. And all finished goods 100% of our finished goods is manufactured in-house completely in our plants that at D

ehradun and Baddi. So whatever we

roll out, and as of now, we have already, almost 20% of our production is BIS certified at the moment, which we will take up to 100% by the end of November or by first week of December, we'll be at 100%. BIS certified production being rolled out from both the plants. So, BIS does not apply to any sort of upper or sole whatsoever, it is up to the company to use those quality standards of upper and sole that finally will make a BIS certified final product.

But in order to get the best quality, you would want more in-house manufacturing is that the right assumption or you continue with them and do testing at their end and have a mix of in-house?

We will continue to have a mix of we've had this model work very successfully. These are all

exclusive partners with Campus, the job workers that we work with, while a lot of it we do in-house as well, but we have a lot of very good partners and Campus anyways takes pride in very high quality manufacturing that we have always endeavored to do and we've been doing for several decades now. So that is the whole genesis of our brand building proposition. And therefore, for us it was extremely easy and very straightforward to get into BIS certification. Because of anyways very high quality standards that we've been following irrespective of whether the shoe is in-house or made through a job worker.

So, we should not expect any negative surprises from on BIS from your side, at least?

Not at all.

Thank you. That was the last question for today's Campus Activewear Q2 FY24 conference call. I would now like to hand over the floor to management for closing comments.

Thank you everyone for attending the call so early in the morning today. I know it's been a tough quarter and we really appreciate everyone's support during this time. And we assure you of very positive outcomes in the coming times as the management has taken very proactive steps to counter the macro environment and any other issues that may have come up. So thank you so much for attending the call and wish you all the best. Thank you.

Thank you. On behalf of Campus Activewear Limited, that concludes this conference. Thank you for joining us and in case of any further queries please reach out to Campus Activewear Investor Relations team at [ird@campusshoes.com](mailto:ird@campusshoes.com). You may now disconnect your lines.

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## Call: Feb 2024

CAMPUS CAMPUS ACTIVEWEAR LTD.

Formerly known as :

Campus Activewear Pvt. Ltd.

CIN - L74120DL2008PLC 183629

February 15, 2024

To,

BSE Limited National Stock Exchange of India Ltd.

Corporate Relationship Department Exchange Plaza, C-1, Block G,

1st Floor, New Trading Ring, Rotunda Building, | Bandra Kurla Complex, Bandra (East),

P. J. Towers, Dalal Street, Mumbai - 400 051

Mumbai - 400 001

SCRIP CODE: 543523 SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 -Transcript of the Earnings Call held with Investors/Analysts

Dear Sir,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Investors/Analysts on 9th February 2024 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com).

This is for your information and records please.

Thanking you

For CAMPUS ACTIVEWEAR LIMITED

Digitally signed by

ARCHAN ARCHANA MAINI

Date: 2024.02.15

A MAINI 17:18:55 +05'30°

Archana Maini

General Counsel & Company Secretary

Membership No. A16092

Encl: As above

Regd Off. : - D-1, Udyog Nagar, Main Rohtak Road, New Delhi - 110041 Phone: 011-43272500 (30 Line)

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Campus Activewear Limited

Q3 FY24 Earnings Conference Call

February 10, 2024

Moderator:

Nikhil Aggarwal: Ladies and gentlemen, good day and welcome to Campus Activewear Limited Q3 and 9M FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "O" on your touchtone phone.

Before we proceed with this call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause future results, performance or achievement to differ significantly from what is expressed or implied by such forward-looking statements.

The Campus Activewear management is represented by Mr. Nikhil Aggarwal — Whole Time Director and CEO and Mr. Sanjay Chhabra — CFO. I now hand the conference over to Mr. Nikhil Aggarwal — Whole Time Director and CEO for his opening remarks. Thank you and over to you, sir.

Thank you and good evening, everyone. Campus Activewear states a strong recovery in Q3 FY24, overcoming the disruptions caused by our B2B and O2O channels business model, changes that have happened in Q2 FY24. By focusing on marketplace potential and boosting our marketing efforts, we have managed to increase demand and restock in our primary distribution markets, which were previously suppressed in Q2FY24 due to destocking and inventory adjustments. Despite the revenue seeming stagnant with an amount of INR 472 crores in Q3 FY24 due to shifts and channel dynamics, we did see a very positive growth QoQ. This growth was facilitated by a lower consumption base, increase consumer spending during festive periods and a surge in online sales.

On the margin front, we benefited from the decline in material cost resulting in healthy gross margins at 38.3% during Q3 FY24. However, our marketing and advertising cost remained higher owing to several TV and online campaigns for promoting a wide range of Campus OGs, NitroFly, Nitro Boost and Air Capsule styles. In our ongoing pursuit to fortify our financial

standing, we managed to reduce the debt by INR 112.6 crores in Q3 FY24. Additionally, by

Page 1 of 16

Sanjay Chhabra:

Moderator:

Priyank Chheda: maintaining rigorous control over inventory and receivables, we have managed to diminis

h our

working capital days from 150 to 68 days as of 31st December 2023 on a quarterly basis. We continue to make judicious investments in the brand building exercise, positioning as a preferred one stock family sports and leisure footwear company for our esteemed consumers. I'm delighted to report that we are steadily progressing towards our planned growth and expansion phase. A testament to this is our achievement of reaching the 250 stores milestone across the country, with our newest store inaugurated in Seasons Mall Pune during Q3 FY24. Echoing our discussions from past calls, I would like to emphasize that FY24 is a year of transition for us. We continue to invest in R&D and design capabilities leading to product innovation. It enables us to launch premium products resonating with a premiumization journey in the long run.

The company remains committed towards its legacy of fashion excellence and customer first approach and satiate the customer demand through its diverse trendy designs, captivating color styles and attractive price points for varied occasions. We are very well placed to create long term value for our esteemed stakeholders with a unique integrated business model coupled with strong balance sheet position. I will now hand over to our CFO, Mr. Sanjay Chhabra to take you through more details on the performance.

Thank you Nikhil. Good evening everyone and welcome to the Q3 and 9M FY24 earnings call for the Campus Activewear Limited. During the quarter under review, our revenues from operations stood at 472 crores. In terms of volumes, the company sold around 6.9 million pairs in Q3 FY24. The average selling price stands at 681 versus 669 last year in the same quarter. Similarly on a category revenue mix, the men to women and child ratio continued at 75:25 in Q3, driven by our continued focus towards growing this category. EBITDA stood at 57.6 crores in Q3 FY24. On the balance sheet side, our net debt stood at 48.3 crores as of 31st December, showing a substantial reduction of INR 100 crores both versus last year and also versus sequential quarter. This has resulted into our net debt to EBITDA ratio, reducing to 0.3 in 9M FY24 as against 0.6 in FY23.

Our balance sheet demonstrates the position of strength with robust return ratios such as ROCE and ROE at 12.7% and 9.7% respectively, as on 31st December 2023. With this, I will conclude and hand over to the moderator for questions-and-answers. Thank you.

Thank you very much. We will now begin the question-and-answer session. First question is from the line of Priyank Chheda from Vallum Capital. Please proceed.

Sir my question is on, if I have to go back to your quarterly volumes, December 2021 you sold 6.6 million pairs, December 2022 you sold 7 million pairs and December '23 you sold 6.9 million pairs. What has been the reason for almost no growth for last two years now. And despite all

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Nikhil Aggarwal:

Priyank Chheda:

Nikhil Aggarwal:

Priyank Chheda:

Nikhil Aggarwal:

Priyank Chheda:

Sanjay Chhabra: the sneakerization team, despite all the sports shoes athleisure wear growing in India, what

has been the key reason if you can highlight would be great.

So, thanks for your question. So, basically, we had a remarkable growth right after COVID in 21 and 22 and 23, we have seen muted demand over these last almost 18 to 24 months now, this has been seen across this entire value segment price category and we fall into that, whereas the premium segment for us also has grown. So, the other product mix has substantially also changed in this volume, where our premium products mix has gone up to almost 49%, that is INR 1,500+, and semi premium, which is INR 1,000 to 1,500 is 30%, and entry level is about 20% versus approximately 35% in December '21 for the premium. So, it's been a significant shift. This is also the reason why our ASP has grown over these last two years. From December '21, I believe would no

t be more than INR 630 or 620, and now it's about INR 680. So, one is the product mix and also the channel mix. But yes, we have seen some muted demand despite all of these improvements.

So, sorry I missed out one figure premium which is above INR 1,500 is 49% of the mix. What was the entry level, which is less than INR 1,000?

Is about 20%.

And what was that two years ago?

That would be closer to 36% or 38%.

So, in that case, if premium segment has done well, why would our EBITDA margins remain so low December '21, it was 21%, December '23 it's 12%. So, what has then led to in case the mix changes onto a premium side. We should have earned better margins if we could help even dissect this?

Hi, this is Sanjay, let me just take up that question. You are right that we are heading towards premiumization, however, it is not getting reflected in our EBITDA margin. So, you are talking over a longer range of period wherein the channel dynamics has changed. The inflation has come up in our fixed cost. And when I say channel dynamics have changed, it also means that we have shifted from distribution lead market to the online. And within online like in this quarter, we have the saliency of marketplace has increased, which has resulted in a higher performance marketing spent, coupled with that we have invested in TV and print media in this quarter big time, to propel the growth in demand and also to create awareness of our all the new product launches during the quarter. So, that is showing a sort of reflection in a subdued EBITDA margin. However, it's a long term investment to create brand awareness and brand building. That's what is in the mind, we do have delivered a decent improvement in both material margin and gross margin.

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Priyank Chheda:

Sanjay Chhabra:

Priyank Chheda:

Nikhil Aggarwal:

Moderator:

Videesha Sheth:

Nikhil Aggarwal:

Videesha Sheth:

Sanjay Chhabra:

Videesha Sheth:

Nikhil Aggarwal: Sure. So, just last question to untangle the complete data point, what would be the ad spends in the current quarter versus what has been the normalized ad spend that we have done, as well as what would have been the performance marketing spends in the current quarter versus what it would have been in the normalize space?

You can see in the current quarter our ad spends, or the marketing spends put together all performance and ATL spends are together roughly in the range of 10%. And in any normalized quarter we do spend anywhere between 5% to 7%. So, that's the differentiator between when we go into a sort of season, including the Big Billion Day stuff and all.

And what would be the pure brand level marketing spends that we would do out of these 10%?

It would be closer to 6% odd.

Thank you. Next question is from the line of Videesha Sheth from Ambit Capital. Please proceed.

The first question was, can you help us understand what led to the sequential decline in gross margin, is it purely was to do with the increase in marketplace or sales, because that actually should have led to increase in your gross margins. Can you help out over here?

The gross margins have actually improved sequentially, we have ended the quarter 38.3% gross margin versus 37.6% last quarter. And even versus last Y-o-Y, it was 37.6%, Q3 last year.

Sorry, I was referring to the reported numbers, which come to nearly 54.3% in 2Q and 51.0% in 3Q.

That's purely the material margin thing. So, that's material margin would get influenced by the channel mix, and also the product mix. So, in which channel we are selling what at what price point so that drives the material margin. But eventually at a gross margin level, we are positive.

Okay, got it. And the second question was again towards A&SP. Now in the current quarter you mentioned that the funds were elevated at 10% odd. So, going forward in the near future over the next two or three years, where do you expect this spend level to be at?

So, our endea

vor is to continue to spend 6% to 6.5% ideally. What happened in Q3 is, because of the shift in sales and online from O20 platforms to marketplace, we had to spend additional and performance marketing. So, if you remember in Q2 we had lost out on O20 sales. So, we have managed to recover all of that sales back in Q3, which is a very encouraging sign and for that, but we had to spend additional on performance marketing. So, I believe this would not be ideally a recurring event and we would like to maintain our marketing spends overall at 6% to 6.5%.

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Moderator:

Ankit Kedia:

Sanjay Chhabra:

Nikhil Aggarwal:

Ankit Kedia:

Sanjay Chhabra:

Ankit Kedia:

Sanjay Chhabra:

Ankit Kedia: Thank you. Next question is from the line of Ankit Kedia from PhillipCapital. Please go ahead.

Sir my first question is on B2C online revenues. Despite the shift in Big Billion Day sale, Amazon sale, AJIO sale to Q3 from Q2, still our online revenues is pretty much flattish in the quarter.

And you also just alluded to the fact that you have been able to recoup the revenues from O2O to marketplace but that is not reflecting in our revenues actually. So, can you elaborate what has happened in the online B2C space?

Let me just give some perspective here, the O2O and B2B in the online channels was a big chunk in the last quarter of this last year. And we have been able to sort of recover a large part of it through influencing the consumers in the marketplace, and that sale has got recovered.

But there is also a element of O2O which caters to very small sub dealers or retailers, and that they must be sitting on some inventory. So, to recover that sales would take some bit of time and could be one more quarter phenomenon.

Yes, to recover that sales in the distribution channel. Like we have mentioned earlier as well, the O2O sales would be recovered in the distribution channel eventually over the next few quarters.

So, we were made to get that last quarter itself more than 80%, 90% of it comes in Q1, Q2 and Q3 and Q4 is a very small proportion of that. So, how much would be that number if you can quantify from O2O this quarter you think that slippages would come?

Whole of last financial year that number has raised in between 10% to 20% and we can safely assume that 50% of that sales or that channel has shifted to alternative routes, let's call it a marketplace or if it gets eventually integrated into the O2O portion eventually will integrate into the distribution and demand will come from these channels in due course.

Sir on the Q2 concall we have specifically given the number that, Q1 and Q2 had bulk of that revenue. So, if you can quantify the revenue what was in the base quarter three, and now how much is that it will be really helpful to understand the flattish revenue growth?

That's what I said, it would be in the range of 10% to 20% depending upon different B2B and O2O partners.

Sure. My second question on the trade distribution part of the business, that number is also flat today, while at the same time, while on the gross margin side we are seeing on QoQ basis some deterioration, so have we gone ahead and have heavy promotions in the market, which has resulted in flat revenue growth and impacted margins in the quarter. And, corollary to that what is the inventory in the system today, which we have and how is that shaping up versus last year?

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Nikhil Aggarwal:

Ankit Kedia:

Nikhil Aggarwal:

Ankit Kedia:

Nikhil Aggarwal:

Ankit Kedia:

Nikhil Aggarwal:

Ankit Kedia:

Nikhil Aggarwal:

Sanjay Chhabra:

Moderator:

Jasmine Surana: So, as part of the optimization of inventory and this was the reason in Q2 that we did not push sales in some of these Northern territories like UP and Bihar. We have very successfully navigated that in Q3, and we have been able to bring the growth back. Where, the salience from this five territories North has performed has given us 45% of the revenue. | j

ust tell you

for trade distribution North has been basically for 54% versus 44%. last quarter. So, there has been a significant improvement in both the state's UP and Bihar in Q3. But we have not had to make any significant liquidation cost or discounting to achieve the sale. This was primarily driven by the brand building and the marketing spends in line with distribution budget.

So, if I have to look versus last year, if you can just share how much is the growth in the North region?

Versus last year.

Same quarter.

So, last year Q3 we did, the growth would be in line with about 5% odd.

So, the West of India has actually declined then in the quarter?

That's right. Yes, so West has slightly declined which has been compensated by North, East has been flat as per Q2, so the major difference is coming in West where we have seen some muted

demand in Q3.

And sir typically Q3 is a heavy quarter for you. And with the delay in winter how is Q4, first 40 days of the quarter shaping?

So, we don't give any forward looking guidance, but we can tell you that we are trending in line with how the FMCG sectors have been reporting in terms of market sentiments. We do see pockets of growth and also muted demand from other pockets. So, it's a mixed kind of guidance that we are seeing from quarter four. But it seems to be, there is slowdown but there is growth in value that we are seeing. Sanjay, do you want to add to this?

Yes, as we mentioned earlier that we continue to focus on retrieving whatever Q2 volume losses we had. And we continue to drive sort of higher reach and drive volume through distribution reach.

Thank you. Next question is from the line of Jasmine Surana from VT Capital. Please proceed.

I wanted to ask a question on the margin side, I assume that the other players in the industry are doing margin of 20% while we are at around 11% to 16%. So, do you see any headroom to grow and compete with the peers in the industry and what could be the levers which would drive the margin expansion ahead for us?

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Nikhil Aggarwal:

Jasmine Surana:

Nikhil Aggarwal:

Jasmine Surana:

Nikhil Aggarwal:

Jasmine Surana:

Nikhil Aggarwal: When you say margin, are you referring to EBITDA margin?

Yes, sir.

Okay. So, yes we have seen a decline in margins we gave you the reasons for that, there was an increase in ad spends, that was a temporary increase. While we expected honestly, the second half of quarter three to deliver higher volumes, we did see very good demand in first half of quarter three. But second half, we saw a bit of slowdown again in the market. Therefore, we were unable to deliver the kind of volume that we had envisaged for quarter three.

Therefore, we had to spend some extra performance marketing, but this will not be a recurring event like I said, so that will add back to the margins in due course of time. So, that would be one and second, we will continue to improve on the gross margin side in terms of both efficiency, in terms of savings, procurement savings and capacity utilization, etc. So, that should also bring in and improve the margins over time. So, these two, I would say are the biggest levers, also driven by the product mix and the channel mix, so this year has been a transition year in that sense where we have seen demand playing out in some pockets and some pockets being extremely slow. So, it's been, but we do see a normalized year going forward.

Sure. And then other one is on the market share, you have been consistently reporting market share on the basis of FY21. So, if there could be some color on a Q-Q or on a Y-o-Y basis in terms of the S&A category. How well are we doing, are we gaining market share or is there a lot of local competition that you are seeing which is keeping the market share suppressed?

So, like I mentioned in last quarter earnings call we have seen market share, we did see some slowdown in some specific states like UP & Bihar, wh

ich we did call out where we did do some

market share to probably competition and to some other new players that have entered.

Because UP and Bihar is basically the first market they all, in fact all the new entrants try to cater to and it makes the whole state extremely competitive. But in doing that we have also gained a lot of market share in the West, the South and the central states. So, we therefore, we believe that we are pretty much at the same number as of two years ago. But we haven't done any recent latest study to quantify that. So, if we can come back to you on this.

Sure. Just one last question from my side, would be on any category expansion which you are looking at?

So, yes, we have been focusing quite a lot on the sneaker range. They are called the Campus OG, the original. And they have been doing extremely well, we have got extremely positive response from both the online and offline platforms. So, that is something that continues to remain as a key focus category. Along with women and kids, where also we have seen consistent improvement QoQ for the last four quarters. So, these two would remain our key focus areas.

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Moderator:

Jayesh Shah:

Nikhil Aggarwal:

Jayesh Shah:

Nikhil Aggarwal:

Jayesh Shah:

Nikhil Aggarwal:

Jayesh Shah:

Nikhil Aggarwal:

Jayesh Shah:

Sanjay Chhabra: Thank you. Next question is from the line of Jayesh Shah from OHM Portfolio Equity Research. Please proceed.

My first question is, since our premium mix has moved from 35% to 48%, as we explained some time back, that has not materially helped our material margins or gross margin, am I correct?

It has, but the problem is that we have not been able to take a price increase for almost the last two years now, given the market situation, there is a certain cost to making these premium products. So, overall, yes the margins have remained the same, there would not be an improvement because of the inability to take a price increase due to market conditions.

An urban price increase would be what, 5% per annum?

Yes, that's right.

Okay. So, if the gross margin remained, let's say 38%, and 50% of your portfolio is close to premiumly. Where do you think is a realistic gross margin figure, I'm not talking of timeframe I'm just saying that let's say your premium settings let say around 60% do you see upside in gross margin, or it still requires price hike?

No, I don't think we would be, we will not be commenting on terms of the outflow. But, there are certain levers of optimization that we are targeting. And they include like continued savings and again, as and when we get the opportunity to take a price hike, as the markets macros improve we will certainly do so. And, BIS also now coming into play will definitely help as the imports are getting restricted from China now and the other countries that should also help the domestic manufacturers eventually take the price hikes. So, we are counting on some of these levers to eventually add into our gross margins.

I understand that, but my question was more from the point of view that any increase in premiumization doesn't necessarily reflect on the material margins, it needs again, to be accompanied by price hike?

Yes, I would agree, it depends. So, a higher a higher premium product doesn't necessarily translate into higher margins, it depends on product-to-product and also the kind of strategy the company is following at that point in terms of the product mix and the portfolio mix.

Understood. My second question is again on the EBITDA margin that, we have dropped from 21% to 12%, of which I could understand that close to 500 basis points is due to SG&A, ads and promotion and brand level, but the balance 5% is still something that is not explained, is that general factory over ads and fixed cost?

This quarter, of course we get the volume leverage, but on a longer or in a subdued quarter, of course the fixed cost would where we are unable

to take the leverage benefit, the fixed cost

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Jayesh Shah:

Nikhil Aggarwal:

Jayesh Shah:

Nikhil Aggarwal:

Jayesh Shah:

Nikhil Aggarwal:

Moderator:

Manish Dhariwal: would definitely impact the margins and even on the current quarter. If we see then the organic increase is of course 10% inflation there is an increase in our number of EBOs. So, that has resulted in a higher SG&A. And there is of course a phasing of CSR spend, there is some bit of reclassification of the short term leases which has come in, which is now sitting in SG&A which was earlier sitting below as depreciation and interest cost. So, clearly accounting stuff and of course, there is some bit of inventory obsolescence write offs and a bit of expected great loss provisions. So, those all there are accounting related reclassifications, there are inflation which is sitting in the numbers. And that's sort of subduing the margins, apart from the marketing spend we did in this quarter.

Okay. So, is it fair to say that the new normalized level of EBITDA margins now would be between 15% to 18%, rather than 21%, which was there in the past?

We are taking quarter at a time, we are not really giving a guidance for the next year. But what I can assure you is the company is very actively working on improving the margins. With a lot of things, a lot of initiatives that are happening at the moment. And one of the initiatives as you would appreciate is reduction in our inventory days, which will also eventually help us recover the margins, because we are able to now create inventory with also better margins after you sell off the older inventory. So, we are taking a lot of proactive steps in order to recover the margin and bring them back to normalize state.

Right. So, as of now given that price hikes are difficult, say in the short to medium term, the

margin recovery is predicated on overall sales or volume recovery?

That's right, yes.

Okay. And lastly, am I right in saying that, while it's 3Q on a Y-o-Y basis is flat, but currently our 3Q had the base effect of the festival, while last year the festivals were not basically in 3Q they were in 2Q.

It was a combination of both, there were some festivities effect yes, certainly in this quarter three, but we did against the a very muted second half of the quarter where, just after the festivities ended the demand suddenly dropped. And this was like Pan India, that we saw, it was a very mixed demand quarter in that sense.

Thank you. Next question is from the line of Manish Dhariwal from Fiducia Capital Advisors Private Limited. Please proceed.

And I basically wanted to understand how the BIS situation is emerging. Our understanding was, that from January 1st onwards, the product that was achieved import from any of these countries like China, Vietnam, etc. would not be able to be available in the market. But, I do think that is the case, some clarity on this matter will be helpful?

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Nikhil Aggarwal:

Sanjay Chhabra:

Manish Dhariwal:

Nikhil Aggarwal:

Manish Dhariwal:

Nikhil Aggarwal:

Manish Dhariwal:

Nikhil Aggarwal: Sure. So, from 1st of Jan BIS has been implemented and it is in full force. Therefore, if you do a market survey, you will find out that any containers of finished goods being imported from China or Vietnam are being held up at the port, they are not being cleared since the 1% of January, therefore whatever inventory is already there in the system in the channels currently, will take some due course to be liquidated and consumed, across all the players, across all the companies. So, that's the situation in terms of import. While we have been manufacturing a fully 100% BI compliant stocks since December, already we were the first company to receive BI certification in the sports and athleisure space. So, while government has given some extension for a type two general category BIS till July for smaller players, therefore, we are one

of the few players that are manufacturing fully 100% BIS compliant products today. Not everybody in the footwear space is doing so at the moment.

Yes, but in the retail you will continue to see the inventory, which is already in the pipeline, it will definitely take a few months to sort of sell all the inventory in the pipeline.

Okay. Could you also clarify about this smaller players, they have been given this extension till July is it, maybe I didn't understand that point.

That's right. So, there are two types of BIS, type one and type two. The type two is a more lenient specification of sport shoes, where a lot of the smaller players are operating. And therefore, the government has exempted them, given them time till the July of this year to comply with type two BIS, but we being the largest in the space and very organized, and we take pride in our products, we are fully manufacturing in type one category which is the highest quality standard. And, we are supplying all the stock in that category today.

Absolutely, right the Campus product, the quality, I don't think is ever a question. So, in fact, my compliment to the team to ensure that and you build that impression in the market as well. But if someone is using a Campus product, then it's a high quality product, but let's see, at the consumers end, how will he determine or she determine that the product is a type two or type one, how can I say if I go to market?

Great question. So, as per BIS norms, every company is supposed to certify whether it's a type one or type two product. Therefore, like in all our packaging, we are certifying that it's an ISI product certified type one, whereas any type two manufacturer today, irrespective of the BIS getting implemented for them in July, they still have to certify from today itself, that is a type two product.

Is there a price differential as well on the products from type one and type two?

Yes, there would be, type two there are many categories that fall in type two like DIP injection, processed shoes, and school shoes and so on. So, there are different categories that fall in there

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Manish Dhariwal:

Nikhil Aggarwal:

Manish Dhariwal:

Nikhil Aggarwal:

Manish Dhariwal: mostly cheaper shoes, but also some cheaper, some lower specifications. Therefore, there would be a price differential, that's right.

Okay, that's fantastic. Secondly, in your scheme of things, like you mentioned that this year has

been a year of transformation. And you also like made a lot of efforts. So, and I am in fact engaging right now at the highest level of the business team here. So, I wanted to understand how much of importance do you give to the signage that is visible on any Campus Sport? Its extremely relevant. We are eventually a brand right, a D2C brand that's directly going to the consumers. Therefore, the branding and the imagery and the perception and the signage, all of these are extremely important to the whole brand ethos, and the philosophy that you operate by. That's the whole reason we are making these strides and investing so much over the last six, seven years consistently in branding and marketing. And we will continue to do so. So, it's a long term objective, we do know that, we are one of the most preferred and most in demand brands in the market, our consumers love the product, they love the quality, they love the designs, the latest innovation that we provide in the Indian market today. So, that definitely is one of the biggest trends of our brand and signage is an equally important aspect of that. Okay, so here, I would just like to give one feedback because I did takedowns of the various stores, without naming a typical or a particular store. I did find that there were cases where the lighting was not right. And then when I went in and spoke to the team they said that, we have raised a request but they didn't come, we will repair it, but then after I re-went, I found t

hat things have not changed. That's why I wanted to clarify, so maybe some bit of tightening at the team that does the rounds about the sign, because that's the first thing that our customer sees, if the light is not working at night then the branding would be visible. So, that basically make an impact which you rightly observed yourself. So, one feedback for you. Thank you for pointing it out to us, we will certainly take action, while we to make these rounds, but we will make corrections wherever required. Thank you for bringing this to our notice. Thank you so much for taking this in the right spirit and I really appreciate the response that you have given. And lastly see, I'm not looking at what will be the margin in next quarter or maybe the margins in the next quarter or something but, at a very holistic level on a longer term basis where, see there will be like pluses and minuses, you will have to basically do a retreat ad spend in particular quarter, and you will have to do some x,y,z in another quarter. But at a holistic level, when I look at the Campus as a business, what EBITDA margin do you want your business to be at on a longer term basis, say BIS norms kind of fall in this, become more stringent and you will automatically start getting the benefit of that, because they will be so negligible who will basically be exiting out of the business because they will not be able to meet the standards. So, all those things will happen, some new competition will come, this guy started Sheela so he will also try to get in competition. But Campus, what are the normalized to long term basis EBITDA margins that you would be satisfied at?

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Nikhil Aggarwal:

Manish Dhariwal:

Moderator:

Ankit Kedia:

Sanjay Chhabra:

Ankit Kedia:

Nikhil Aggarwal:

Ankit Kedia: So, we would love to, our aspiration is to get back to our previous ranges of EBITDA margin that we have delivered, let's say two to three years back as well. That would be, the aspiration for the brand and, that's what we are striving towards. Therefore, a lot of the initiatives, I would also like to call out that we have appointed, in pursuit of further strengthening the controls and processes which would also lead to also better margins in some sense is a migration from Navigen to SAP for which we just appointed Accenture as our consulting partner. And, this is again a 10 to 12 month project. So, a lot of initiatives again would lead to incrementally benefiting the margin. So, like I said, what we have delivered is our aspiration in the past. Fantastic response was again, and Campus is a very strong brand, Campus has a very strong quality association, and you have good thing going, and it will require a lot of like mistakes to basically spoil the show, so I really hope that won't happen and all the very best. Thank you. Next question is from the line of Ankit Kedia from PhillipCapital. Please go ahead. Sir just wanted to know historically you have always eluded that the online margins are higher than the trade margins. Now, given the shift in the channel, where O2O pretty much doesn't exist, do you still vouch that the online margins will be higher given that you will need to spend more on the performance marketing as not much as the current quarter, but the performance marketing spends would still exist going forward so now the margins would normalize on online business as well?

Okay, thanks for the question. This is Sanjay. Just wanted to add like it could be, due to the dynamic setup. And it will continue to evolve the way the O2O and B2B businesses came from nowhere in last two years, and then now suddenly, they have tapered down. Likewise, we might have to just to propel the demand at one point in time, we might have to sort of invest disproportionately in performance marketing, but that does not become the benchmark. We

are not just skewed towards one channel; we did spend in the media and TV and print ads to

create a larger set of awareness. Simultaneously from a go to market perspective, we are sort of consciously working in driving our reach to the more unique retail outlets and our active retail counts are increasing, over last six months they have increased. So, it will be a broad based approach and eventually the margins would converge and there would not be a major delta, either on the positive or the negative side between all the channels.

So, last two years the margins which we enjoyed online are behind us and now the margin should converge to around 18% to 19%, that's what I gather from your statement?

It depends if the marketplace saliency continues to be on the higher side.

Sure. And just on the online part, what was the mix which we have to take last full year in terms of O2O, B2B marketplace and own website. And today nine months scenario, what is this mix now so it will help us understand these dynamics better?

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Nikhil Aggarwal:

Ankit Kedia:

Moderator:

Jasmine Surana:

Nikhil Aggarwal:

Jasmine Surana:

Nikhil Aggarwal:

Moderator:

Aditya Gupta:

Sanjay Chhabra:

Aditya Gupta:

Sanjay Chhabra: Yes, if you see our full year annual report so the online was roughly 38% of the mix. And as I said that different channels within the online space in the B2B would be anywhere in the range of 10% to 20%. So, it's a mix bag, I wouldn't be able to quote a particular number because there are multiple partners.

Sure. Historically we have made, given the sense there are only four channels online which you had, probably I'll take it offline with IR team. Thank you.

Thank you. We have our next follow up question from the line of Jasmine Surana from VT Capital. Please proceed.

I have just one last question on the volume front. We were given the sales split between the different price segment on the revenue, it would be very helpful if you could also provide us on the volume front how much is premium, semi-premium and entry level?

Can you drop us a mail, we can revert back to you on this please.

Sure, no problem.

We don't have the numbers handy just now.

Thank you. Next question is from the line of Aditya Gupta from Tara Capital Partners. Please proceed.

Three questions. First, back on the margins again. Find a little difficult to understand, I know you mentioned to an earlier question, the gross margin movement and this is again going by the reported numbers which is down 300 basis points quarter-on-quarter. If I look at your sales mix across channels that's pretty much remained same at 53, 37, 10 for this quarter versus 2Q FY24. I am assuming will not be a major movement in the commodity cost, or your raw material cost in the last three months. So, what explains this 300 basis point decline in gross margins on a Q-Q basis?

Let me just correct here, you are talking about material, not the gross margin and gross margin front.

I'm going by gross margin sir the way it is reported on these exchanges.

So, that's driven by the channel mix and the phasing of consumption. So, whatever material we have procured in last quarter gets consumed in this quarter and so on. So, there is a cycle. So, despite the sort of improvement in our procurement prices versus last year, there will be a bit of inventory impact, there will be a bit of channel mix impact as to which channel we are selling what, at what price point we are selling. So, all things put together is getting reflected in the margins.

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Aditya Gupta:

Nikhil Aggarwal:

Aditya Gupta:

Sanjay Chhabra:

Nikhil Aggarwal:

Aditya Gupta: The channel mix, unless I'm wrong is pretty much same right, it was a 60% for trade in 2Q, the 53, 37 and 10 almost for the 2Q 24 and 3Q 24. So, then, either your realization per pair is lower, because you have given some discounts to your channel partners or there is a significant

movement in the commodities which was sitting on your book got consumed this time and then what happens next quarter?

Yes, so if you can see of course there would be an absorption impact if you are looking overall from the margin front. So, this quarter we sold more versus what we produced and our fixed costs remain same so there will be a bit of absorption impact as well. The channel mix what I was referring to is the highest sale in the marketplace. So, there, while we get a better realization there are associated costs, direct cost which means freight outward cost which would influence your margins.

Okay. Second is on the flow through from the gross to the EBITDA. Now, Q3FY24 and Q3FY23, the volume is pretty much the same, but the other expenses are up by about 48 crores. You said the marketing spends were up so from 6% to 10% that's about INR 20 crores, we still have a INR 25, 28 crore increase in other expenses. When the volumes are flat, so what explains, which variable component went up by a significant amount if you could please answer?

Okay. I did answer this question very beginning like there are in the SG&A space, they would be routine inflation in an average of around 8% to 10%. Apart from that, we had certain accounting impact roughly toward growth related to lease accounting which is now sitting in SG&A, which was earlier sitting in the depreciation and interest cost, we have a phasing impact of CSR spend, which we spent in Q3 versus last year Q4. And we have a bit of one offs related to inventory obsolescence provisions and the expected credit loss provision on our receivables. So, by and large accounting apart from the inflation phasing, etc.

And employee cost also have increased as per the expectations in line with the 10% increments and so on. So, it's also expected to grow.

No employee cost is fine, that's understandable. It's been in that ballpark 5%, 6% range in the last seven, eight quarters except the seasonality so that's not, it's the other expenses 20%, the other expenses are up by 42% year-on-year which is what is really standing out besides the marketing spend also. And then, on the last question Nikhil, in terms of the build back towards higher EBITDA margins, the last time you did 20%, 21% EBITDA margins, your gross margins. And, again I'm going by the reported numbers we were at 49% to be precise. Now 10 quarters from now we are sitting on a gross margin of let's say, 51% to 53% in the last three quarters. But the EBITDA is down due to cost inflation due to lack of leverage, et cetera but how do you see this going back, with higher gross, you think the EBITDA on a normalized basis this should go back to what we used to do earlier or do you think there is some change, there is more competition, there will be more investment and the EBITDA is probably not going to go back to that 21%, 22%?

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Nikhil Aggarwal:

Aditya Gupta:

Nikhil Aggarwal:

Aditya Gupta:

Nikhil Aggarwal:

Sanjay Chhabra:

Nikhil Aggarwal:

Aditya Gupta:

Nikhil Aggarwal: No, like I said our aspiration is definitely to go back to the previous EBITDA ranges, so definitely this year has been a year of transition again and a tough year in that sense from a demand outlook perspective for the entire industry. Therefore, but we have taken in terms, in spirit of transition we have taken some one offs, like Sanjay just mentioned in terms of smaller amounts, but both inventory and receivables provisioning as well. So, the objective for us is that, by the end of this year we should be fully transitioned and ready to go from FY25 onwards. So, that's the spirit with which we are taking this year. And, I hope our long term investor partners will realize this vision with us.

Got it, thank you. Last question, if I just do simple math on trying to get to a revenue per EBO. There also we have seen and because a lot of these are new EBOs and they typically ramp up in a year after opening, there also we are seeing let's say for and I'm just doing an average over here. We are seeing a decline

of mid-single digits, let's say on revenue per average EBO in the last three quarters. So, is this just market weakness or is it a function of the newer stores not coming in at a much lower starting point or is it a function of course not ramping up, what is happening over here?

Like you said, it's a combination of actually all the three factors. There has been like the demand in the market immediately reflects in our EBO channel, it's a like reflection every day and there we have seen that it's trending in line with how the market is responding. So, even for the new stores that we are opening. We have seen it being reflected by the actual demand in the market which is a little bit muted at the moment. So, that impact definitely is there in terms of new

stores growth that you are seeing, but we still remain committed because it significantly helped us, the stores as of today stand at 250 as at December end and it has really, really helped Campus premiumize and build the overall brand perception and upgrade the imagery of the brand. So, it acts as a virtual showroom where it has also helped us increase our salience in the distribution market in the key territory. So, overall as a strategy it's worked really well for the brand and we will continue to maintain an open the same run rate of stores that we have been maintaining for the last three years.

So, that's about a 100 a year is it, that's a number to go with?

Roughly.

100 a year including the franchisee owned ones.

Right.

I am just going by all the views.

That's right.

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Moderator:

Rajiv Bharati:

Sanjay Chhabra:

Nikhil Aggarwal:

Sanjay Chhabra:

Rajiv Bharati:

Sanjay Chhabra:

Nikhil Aggarwal:

Rajiv Bharati:

Nikhil Aggarwal:

Moderator: Thank you. Next question is from the line of Rajiv Bharati from DAM Capital. Please proceed.

Sir one small bit, if you can specify what is the quantum of the inventory provision and the provision for the receivable for the current quarter?

Okay. Inventory would be close to around INR 400 odd crores, which includes the raw material inventory.

Inventory for the provision for quarter three.

Okay, sorry provisions. Provisions would be around INR 7 crores both put together.

Great. And in the previous quarter also, was there any the base quarter was Q3 FY23?

Yes, of course they would be around INR 2 to 2.5 crores. It's purely an aging base provision so again, as I said accounting shift between different age buckets resulting into a higher provision percentage.

Yes, but I just like to add that as the company, we have taken very proactive measures to consume and sell off this aged inventory. Therefore, that is also being reflected in our overall inventory days coming down significantly in quarter three. So, we will continue to maintain that momentum. And, like I said, for this year the objective is again to basically press the reset button from the 1st of April.

So, by Q4 end, you will be done or there is more required?

Majorly, yes I can put it that way.

Thank you. Ladies and gentlemen that was the last question for today's call. On behalf of Campus Activewear Limited, that concludes this conference. Thank you for joining us. And in case of any further queries, please reach out to Campus Activewear Investor Relations team at [ird@campusshoes.com](mailto:ird@campusshoes.com). You may now disconnect your lines. Thank you.

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## Call: Jun 2024

CAMPUS CAMPUS ACTIVEWEAR LTD.

Formerly known as :

Campus Activewear Pvt. Ltd.

CIN - L74120DL2008PLC 183629

3'4 June, 2024

To,

BSE Limited National Stock Exchange of India Ltd.

Corporate Relationship Department Exchange Plaza, C-1, Block G,

1st Floor, New Trading Ring, Rotunda Building, | Bandra Kurla Complex, Bandra (East),

P. J. Towers, Dalal Street, Mumbai - 400 051

Mumbai - 400 001

SCRIP CODE: 543523 SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 -Transcript of the Earnings Call held with Investors/Analysts

Dear Sir,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Investors/Analysts on 28th May 2024 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com).

This is for your information and records please.

Thanking you

For CAMPUS ACTIVEWEAR LIMITED

A rc h a n a Digitally signed

by Archana Maini

Date: 2024.06.03

Maini 10:42:49 +0530"

Archana Maini

General Counsel & Company Secretary

Membership No. A16092

Encl: As above

Regd Off. : - D-1, Udyog Nagar, Main Rohtak Road, New Delhi - 110041 Phone: 011-43272500 (30 Line)

E-mail: [frontdesk@campusshoes.com](mailto:frontdesk@campusshoes.com), [compliance@campusshoes.com](mailto:compliance@campusshoes.com) Website: [www.campusactivewear.com](http://www.campusactivewear.com)

Campus Activewear Limited

Q4 & FY24 Earnings Conference Call

May 28, 2024

Moderator:

Nikhil Agarwal: Ladies and gentlemen, good day and welcome to Campus Activewear Limited Q4 & FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing \*, then 0 on your touchtone phone. Before we proceed on this call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risk, uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

The Campus Activewear's management team is represented by Mr. Nikhil Agarwal — Whole-Time Director & CEO and Mr. Sanjay Chhabra - CFO. | now hand the conference over to Mr. Nikhil Agarwal — Whole Time Director & CEO for his opening remarks.

Thank you and over to you, sir.

Thank you, Steve. Good evening everyone. | thank you all for joining our Quarter 4 & FY24 Earnings Call today.

As mentioned in our previous calls, we view FY24 as a transitional one. Campus Activewear experienced a robust resurgence in H2 FY24 with a renewed emphasis on expanding its trade distribution network and introducing new products including Campus OG's NitroFly, NitroBoost and Air Capsule styles. The company effectively captured the attention and spending of consumers through strategic investments in branding and launch for new R&D enabled products during H2 FY24. Campus Activewear further widens its presence across India by inaugurating 66 new stores in the western, southern and eastern regions, bringing the total number of exclusive brand outlets to 268 by the end of the year.

In spite of a challenging economic macro, we stayed focused on fortifying our balance sheet strength. The company paid off debts amounting to Rs. 156.5 crores in FY24, reaching a net debt-free status during the year. It gives me immense pleasure to share that Campus Activewear generated the highest ever net operating cash flow of Rs. 264.5 crores in FY24. We

also saw a notable reduction in our working capital cycle, cutting it down from 108 days in FY23

Page 1 of 14

Sanjay Chhabra:

Moderator:

Videesha Sheth: to 79 days in FY24, thanks

to decreased inventory levels and a deliberate effort to reduce the receivable days. Campus Activewear is dedicated to offering its consumers top-tier global designs and technology in sports and athleisure footwear. Our extensive range of products, variety of color options and commitment to affordability ensures that we meet the growing diverse needs of our consumers. We are committed to strengthening our brand identity by crafting compelling narratives, fostering deep connections with our target consumers. Our ongoing efforts to expand our product range are in line with our aspiration to establish ourselves as India's premier sports and leisure footwear brand. With a robust balance sheet position, the management is determined to grow and enhance Campus Activewear's omnichannel presence, provide outstanding consumer experiences through innovative product offerings, and enhance the customer's campus' recall value as the most preferred sports and athleisure brand amongst Indian households. We are geared to create a long-term value for stakeholders through our distinct integrated business model combined with a strong balance sheet position.

I will now hand it over to our CFO — Mr. Sanjay Chhabra to take you through more details on the Q4 and FY24 performance. Thank you. Over to you, Sanjay.

Thank you, Nikhil. Good evening everyone. Thank you for joining us in our Q4 & FY24 earnings call. Looking at the financial year 23-24 in review, our operational revenue stood at Rs. 1,448 crores, lower by around 2.4% year-on-year, successfully navigating the disruption caused by O2O and B2B business channel. Most of the revenue loss from these channels was recovered by the market place business. The company sold approximately 22.2 million pairs in FY24, lower by around 5.6% year-on-year. The average selling price increased by 3.4% from Rs. 631 rupees to around Rs. 652 during the full year FY24. The revenue mix between men and women and children categories stood at 80:20 during FY24, a marginal shift from 81:19, reflecting our efforts to expand the women's category. Our EBITDA for the full year was at Rs. 215.3 crores. Turning to the balance sheet, as Nikhil mentioned, we have seen a significant decrease in the net debt from around Rs. 180 crores to around Rs. 24 crores as at end of FY24. I'm happy to state that we have achieved the net debt free status in FY24. Our balance sheet remains strong, showcasing strong return ratios with return on capital employed at around 19.2% and return on equity of around 14.9% as of 31st March 24.

With that summary, I would now conclude my remarks and open the floor to the moderator for the Q&A. Thank you.

Thank you very much, sir. We will now begin the question and answer session. First question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.

My first question was on the overall demand landscape. So some of the consumer companies have been talking about some uptick in rural. So can you talk about overall demand scenario

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Nikhil Agarwal:

Videesha Sheth:

Nikhil Agarwal:

Videesha Sheth: including market share trends in each region for the quarter gone by and the current quarter?

And in the same context as a follow-up, how are you thinking of premiumization and overall volume growth over the medium term? That would be my first question.

Nikhil here. Thanks for your question. So during the quarter, right, so we've seen increase in our North and West business by almost like a 10% increase year-on-year. And the other regions have sort of been flattish, like East and Central and South have more or less been flat. So therefore, we've seen definitely an uptick between these two territories. And this is where we called out last time, as well if you remember, the states of UP, Bihar, and Maharashtra is where we were specifically focusing a lot of energy to revive those states. So I'm happy to share that, especially in these

three states, we've seen significant improvement by up to 20%, 14% and 10% respectively. So, rural demand, we have definitely seen a fair share of subdued demand over the year, especially in quarter two and some bit in quarter three. But with our renewed focus towards certain strategies that we have implemented including portfolio optimization. So, as of today, we have basically launched a complete and very comprehensive portfolio of designs catering from all price points starting at 799 going up to as high as 2,999. So we have a very good adequate number of designs and good throughput, and good volumes at each and every price point. So we have made sure that there is no gap in the portfolio which is unaddressed and we have definitely seen good momentum from that strategy coming in. Therefore, we are fairly confident of navigating the rural demand as it may happen in Quarter

4.

Yeah. Alright, so Nikhil, just in that context, do you think the premiumization journey is getting a little delayed as we're focusing on addressing all the right pricing gaps?

So, it could be slightly, I mean, so see, we have premiumized a lot over the last 5 years by almost 5% to 6% ASP increase every year, average rate. So the company has premiumized significantly in the last 3-4 years. Given how I would say the last 18 months have gone and clearly we have seen some stress towards premiumization as well, slight stress. So therefore, we've pivoted to the strategy of increasing our economical portfolio as well. That is from 899, basically up to 1000 bucks MRP. So that would definitely give us additional volume. And any margin there would be compensated by additional volume from and create operating leverage. Therefore, we have to navigate the macros as the demand, as the scene commands. So we cannot run our strategy in silo, we have to understand the market dynamics. And they called today for a complete and comprehensive portfolio from the company side.

Got it, very clear. And the second question was on our network. There seems to have been a drastic change in the MBU and distributor network. So the retail reach has increased from 20,000 to 23,000, whereas the distributor reach seems to have been rationalized from 425 to 300. So can you explain what's exactly happened over here?

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Nikhil Agarwal:

Videesha Sheth:

Nikhil Agarwal:

Moderator:

Umang Mehta:

Nikhil Agarwal:

Umang Mehta:

Sanjay Chhabra: So it's just part of the consolidation, like we called out, we've been following up with various strategies in the distribution channel, and therefore, that has resulted definitely in some decent growth this quarter. So we've seen about 7.5% growth in terms of value in our trade channels in Quarter 4. And this is primarily due to these two or three initiatives that we have quite aggressively run. So one is the consolidation of distributors as you pointed out. So one is that and the other is increase in the count of retailers, increase in the count of our own fleet of street, our own salesforce to give better coverage and better serviceability. Along with that, like I mentioned, we've given a full assortment of products at every single price point. And finally, we've also rationalized and optimized the schemes and incentives and made much better, I would say, distributor-friendly policies. So combined with all of these factors, we have seen a decent trend, a decent growth in the distribution channel in quarter four. So largely that consolidation of distributors and increase in retail network is part of the strategy.

Okay, and this consolidation, has it been Pan India or restricted to any specific region?

It's mostly Pan India. It's across depending on the territory, yeah.

Thank you. The next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Nikhil, imports of footwear, we've seen a significant decline in the January-March period. Have you started to see any green shoots at

ready?

No, so you're right. The imports have certainly declined and this is the news also that we're getting from the channel. But because the BIS norms dictate that we need to upload the non-BIS inventory onto the portal by 1st of August this year, and the government has given time till 1st of June 2025 to liquidate all non-BIS goods, therefore we believe that a lot of, I would say, importers did some loading of inventory early on. Therefore, we will see some bit of liquidation from their end over the year, maybe up till even June next year, but we've been not too really bothered about that because from our side, we have taken adequate measures to make sure that we are fully covered and on track in terms of growth. So, but as of now, to answer your question, we don't see any significant green shoots coming in from the stop of imports. They will certainly come, but maybe in the next 2 or 3 quarters.

Understood. And the second question was on your other expenses. We've seen a significant decline of around 17% on absolute basis, as it is quite a focus on volume growth. So was there any one-off or a provision reversal during the quarter?

Hi, this is Sanjay. I'd just like to take that question. Other expenses primarily are a subset of three big buckets. One is our factory overheads plus freight and then the admin SG&A and also the advertisement and promotion spend. So you see dip versus last year it's a combination of again three things. The factory overheads have come down. Primarily, we have realigned our

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Umang Mehta:

Nikhil Agarwal:

Moderator:

Mehul Desai:

Sanjay Chhabra:

Mehul Desai:

Sanjay Chhabra:

Mehul Desai:

Nikhil Agarwal: workforce based on the production requirement for this quarter. Last year same quarter, the production was higher and hence our cost was high. This year we recalibrated that cost.

Number two, we did do a front loading of A&P spends in Q3, which is in the season. So this year in Q4, our A&P spends are lower by around Rs. 6 crores. However, on a H2 basis, the spends are higher versus last year. And also the third line, which is online commission, there we got certain rebates during the campaign period. It's arebate from the platforms. And it was adequately offset to a sort of reduction in the ASP during that campaign period. So it's a line shift. However, on a full bucket basis, we have been able to control back end cost. ANP is a phasing thing. And online commission is driven by campaigns, specific campaigns.

Understood, very clear. Thanks for that. And just one clarification. So you mentioned trade distribution mix to be 56% in one of your slides. However, if we do that, then your trade distribution revenue goes beyond Rs. 800 crores. So I'm assuming that's a typo, right? Or is the understanding incorrect?

Could be in certain slides maybe it's including net sales or dispatches so that could be a sort of a placement issue.

Thank you. The next question is from the line of Mehul Desai from JM Financial. Please go ahead.

First, as I wanted to understand, you did allude to the fact that trade distribution has grown by 7.5% for the quarter. If you can give the same growth rate number for your D2C online as well as your D2C offline for the quarter?

Mehul, D2C channel has shown sort of 6% degrowth for the quarter. Distribution has grown, but D2C has degrown. That's again primarily still we are sitting on some of the impact of B2B and O2O channel which has degrown by around 55%, but marketplace has simultaneously grown by 32%. So by and large it did offset. Net-net, our value growth is around 4.7% for the quarter.

So what is the D2C offline channel growth? I mean, for the quarter?

D2C offline again is more than 30%. So, I mean, our COCOs and FOFOS have grown up by, in the range of 30%-35%, and large format stores have also grown 40% plus in the quarter.

And obviously now, how do you see, I mean, if you could give some color on how th

e April,

May month has panned out, are you seeing the moving back to high single digit kind of volume growth? And lastly, how do you see the gross margin and EBITDA margin trajectory for FY25?

Mehul, as much as we'd like to answer this question, I hope you'll appreciate that we can't comment on any forward-looking statements, but certainly we'll aspire to maintain and grow

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Mehul Desai:

Sanjay Chhabra:

Mehul Desai:

Sanjay Chhabra:

Moderator:

Ankit Kedia:

Sanjay Chhabra: the business, certainly from here in terms of growth rate, and certainly maintain the margin profile as well. So we believe the company is definitely back on track with all the right initiatives in place, which are being, you can see it from the balance sheet position, which is the best basically that we've ever seen in the history of the company. And from here on, we're just focusing largely on very fundamental three or four major initiatives across the company on which all the functions are aligned towards, right? So that we materialize them and deliver on growth. So we are fairly confident, but I would not like to comment in terms of numbers here, please.

And lastly, if you could give the reason for the gross margin compression on Y-o-Y and Q-o-Q basis?

Yeah, I will just to explain that there are a couple of factors, common factors both for Q-o-Q and Y-o-Y. So as I mentioned that we see in other expenses there is a drop which is primarily driven by lower online commission. During campaigns, we got certain rebates on online commission and we did pass on a part of that through lower ASP for the D2C channel. That has resulted in around 1% lower gross margin. Apart from that, we have taken a one-time NRV hit of roughly Rs. 1.6 crores. So our COGS have gone up to that extent, and that has also resulted in a drop of roughly 40 basis points. So that's roughly 1.5% which is getting reflected both in quarter-on-quarter and Y-o-Y.

Sorry, this Rs. 1.6 crore, what was it?

It's an NRV hit, meaning that the net realizable value of some of our articles, over-ageing inventory articles are lower versus the cost. So we have sold certain articles in the subsequent

period at a lower than the cost of production, and that has impacted the P&L by Rs. 1.6 crores. Thank you. The next question is from the line of Ankit Kedia from Phillip Capital. Please go ahead.

Could you please share what is the ASP difference in online versus straight channel? And are we seeing premiumization play out there? Because historic years, we have seen a strong premiumization in online and EBO channels.

Right, so there has been certain ASP increase in both the channels. We have definitely seen some bit in online as well, but like I shared earlier, we are focusing on a complete portfolio, comprehensive portfolio strategy as of now, going forward, right because this is what the market demands. So there could be slight dip in ASP. I mean, maybe the ASP won't grow at the same pace, but that would be more than offset in terms of the higher volumes that we'll be able to command and that will offset any loss in terms of ASP. So that's basically the strategy as of now going forward, Ankit.

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Ankit Kedia:

Nikhil Agarwal:

Ankit Kedia:

Nikhil Agarwal:

Moderator:

Videesha Sheth: So is it fair to assume that now the online channel is going to get an inventory after a few months of offline launch of the comprehensive strategy you are doing or what is the strategy, how do you play that strategy if can just give a little more on that?

Sure. So portfolio is specific to each channel. So we don't have a common portfolio anymore.

There is no conflict, especially between the online and GTM, between GT. So there is a complete segregation of portfolio across all price points between both the channels. EBO, however continues to carry common portfolio because this is company owned stores and we control all the merchandising there. And LFS again is

specific to, they have a separate portfolio

specific to their needs. So basically we have a complete comprehensive portfolio across every single touch point today across all the channels, across all the price points and categories including not just limited to shoes but we've also increased the salience slightly towards more open as well during seasonal times, right, during the summers. So we need to give higher portfolio in terms of sandals, slippers and school shoes as well. So that's basically the strategy that complete full range across all price points and in decent volumes, right.

And given that the current inventory levels are healthy, do you think discounting in the market has got lower in the current season compared to the past by the retailers because the feedback we were getting in the market for past two quarters was that they were undercutting each other because your breadth of retailers have increased and some of them are usually selling it at single digit margins. So now with the distributor consolidation happened, and however the retailer reach has increased. So on the ground, sort of the healthy portfolio, what has led to this kind of growth, which you spoke of in a couple of questions earlier?

No, so it's not related to, I would say, any sort of discounting. Discounting has become better only, it's gone lower at the ground level in terms of retailers, mainly due to consolidation of distributors. So we have rationalized the margins, we have reassessed the schemes and incentives and the way they have been designed is basically for a win-win situation both from the company's perspective and the partner's perspective. That's the way we are addressing this current issue at hand. And going forward as well, we will continue because the strategy is panned out really well, and we have seen growth coming in from this. We will continue to maintain it. I don't see any challenge in terms of discounting, like we've not gotten that feedback. It's lately become much better, especially after segregation of the online and offline portfolio. We don't hear of over discounting at the moment from the market.

Thank you. The next question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.

Just one small clarification. When you said that there is no discounting in the channel anymore, does that also mean that the channel inventory is largely normalized at the moment?

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Nikhil Agarwal:

Videesha Sheth:

Nikhil Agarwal:

Moderator:

Tanmay Gupta:

Nikhil Agarwal:

Tanmay Gupta:

Nikhil Agarwal:

Tanmay Gupta:

Nikhil Agarwal: No, what I meant is that so a retailer in distribution business, they end up giving at least 10%

to 12% average discounts across all geographies. So that is just like the average that we know of. And initially when there used to be conflict, then the discounting became higher when there was conflict between the online and offline trade. So what I meant earlier in my earlier statement was that, that conflict has gone away. Therefore, the discounting have been normalized and have come back to the 10% levels in the distribution business at the retailer level. And therefore, keeping that in mind, we have rationalized and optimized the margin structure across the channel trade now to make sure that discounting does not increase again. Okay, so where does the channel inventory stand as of today? Is it still elevated or now it's largely normalized?

It is fairly in control. We don't see barring maybe just one or two areas, which is not very concerning. We are fairly comfortable in terms of channel inventory at the moment.

Thank you. The next question is from the line of Tanmay Gupta from Motilal Oswal. Please go ahead.

Sir, actually our plan was to increase the channel mix from 50:50 versus our trade distribution and D2C. Now, given that the trade distribution channel has been growing faster than D2C, how we look this mix to reach again to 50:50

level?

Tanmay, we are definitely still very much on the same track in terms of 50:50 split. We are very happy with how the distribution channel has come up in quarter four. And but that does not mean that online channels will not grow. It was just a transient thing this year where online sales got substituted between O2O and marketplace. Therefore, but now that channel has also reached a level of stabilization in terms of the split that happened. And going forward, we will definitely see growth from the online channel as well, which would take us back to 50:50 split. Understood and the advertisement level will continue to remain higher for that?

Yes, so we have been trending at about 7% A&P spend this year FY24. We do not foresee any reduction in that at the moment. So we'll probably continue to spend in the range of 6% to 7% for sure.

And sir last on the current environment, so we have seen that the last year was not being very encouraging in the sports category. We have seen a decline in revenue. So is the market still challenging or we are hoping some kind of recovery in the second half or in second quarter? It's difficult to comment in terms of the outlook, right? The macro trends at the moment seem normal. I mean, they're not too bad and not too great. They're pretty average. And also, this is really not the main season time for us as a brand. So quarter two, as you know, quarter two is

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Tanmay Gupta:

Nikhil Agarwal:

Moderator:

Ankit Kedia:

Nikhil Agarwal:

Ankit Kedia:

Nikhil Agarwal:

Ankit Kedia: basically the smallest quarter and followed by quarter one. But certainly, like I mentioned earlier, we made some portfolio adjustments and changes in terms of incorporating a bit more towards economical segment and open category to offset a bit of cyclical and seasonal nature of the business towards quarter one and two as well. So we'll continue with that, but I won't be able to really comment towards the macro side of things how the market pans out.

So North India was basically de-growing versus the other parts of the country. So is that continued to see right now also?

Not in quarter four. In quarter four, we have grown north by almost 14 odd percent the entire north put together. So we have seen a decent recovery in the North on the distribution side.

And therefore, I'm sure we'll continue on that momentum.

Thank you. The next question is from the line of Ankit Kedia from Phillip Capital. Please go ahead.

Sir, one question on margins. Given that the A&P spends will remain at elevated levels and pricing will not tinker much, do you think the steady-state margins now is around 16%-17% for the company instead of 20% in our last 2 or 3 years which we enjoyed?

So, Ankit, we're coming out of a tough macro situation this year, as we all know, and I would say it's a decent recovery in terms of margin in quarter four. So going forward, certainly we'll aspire to maintain our margins in the range of, I would say, 17% to 19% EBITDA levels that is the aspiration, and even in this quarter four, we've delivered at 18.3. So we are taking whatever initiatives we have to take at the company level in order to maintain these levels, I would say. Sure, my second question is on the EBO business. We are at around 270 EBOs today. Over the next three years, what is the aspiration from the EBO side? One is on the growth, second is on the mix of COCO EBOs?

So barring FY24, previously we continuously opened about 100 stores on average every year. FY24 is the only year after three years where we've opened slightly lesser number of stores at

67. The reason being mainly because of the macros, the way this year has tended. So we just took a more cautiously optimistic approach and opened lesser number of stores. But going forward, as we see better visibility and | would say, BIS impact also coming in, we would certainly like to get back on track in terms of opening about 80 to 100 store

s from FY25 onwards

again, most of which would be FOFO. We've been trending at about, | would say, 75:25 FOFO to COCO ratio. So we'll continue probably to trend at that level.

And my last question will be on the competitive intensity. While given that the imports have reduced, and probably in a quarter or two, we'll see them reduce further, are you seeing some of the unorganized markets launching their own smaller brands and fueling the market at the

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Nikhil Agarwal:

Ankit Kedia:

Nikhil Agarwal:

Sanjay Chhabra: entry-level price points at the lower level? Or you think you continue to gain market share and premiumization is the way forward?

| wouldn't honestly say premiumization is the way forward for FY2S. Like | mentioned earlier, FY25 coming out of a tough macro environment for everyone, especially in the consumer discretionary sector, we will have to be more conducive towards the market environment. And therefore, we've decided to go in for the holistic, comprehensive portfolio approach for FY25.

And so | would not really say premiumization could be there, but lower than previous years.

But that would definitely be offset by higher offtake of volumes and that would bring in operating leverage and we're not particularly too concerned about the competition at bay because every company has their own strategy and Campus as a brand has been doing really well. The top of mind recall and the brand pull is one of the best in the industry and the category. So we continue to leverage on that position in terms of volume offtake and the category offtake. So we're fairly confident of navigating the competitive landscape.

So just a follow up on the competitive landscape, product plays a very critical role in this. Given that you have in-house assembly and now a big part of sole manufacturing and the kind of SKU launches which you have been doing. How important is that and how early is the competition able to copy your products in the market because that will give you a clear edge versus then at obviously affordable price point?

So we definitely take pride in our supply chain and our integrated supply chain, rather, right, which is one of the largest in the country. So it's not easy for anyone to replicate in terms of the lead time, especially that we offer. This is the shortest, and we still trend at about 60 to 65 days of lead time from, let's say, sourcing to product launch, which is one of the best out there. So for anyone to even copy, firstly, is not that easy anymore because we have been very proactive in terms of protecting our IP and designs. And we have been registering a lot of the designs in real time basis as soon as they, and before the launch. But at the same time, even if somebody does copy, it takes the industry at least 4 to 5 months because our offerings are basically the first time that's being offered to in the country and they are latest in terms of designs and fashion and material science and color combinations. So for anyone to bring all of that in real time, it would take them a few months, at least 4 to 5 months. So we do enjoy that lead time advantage being the category winners in this.

Yeah, and apart from what you mentioned, copying our designs, the ability to churn more designs every season that also plays a very important role. And having said that, we now focus more on the four large platforms like NitroFly, NitroBoost, OGs, and Air Capsule Pro and we invest all our might or our marketing spend behind those styles and the articles in these particular style or bucket, they have shown a decent amount of throughput in the distribution channel and that's what the focus would be going forward.

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Moderator:

Umang Mehta:

Nikhil Agarwal:

Moderator:

Lavita Lasrado:

Nikhil Agarwal:

Lavita Lasrado:

Nikhil Agarwal: Thank you. The next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Nikhil, in past you have sha

red that on Flipkart, Campus had gained share. Would you have any update and would you be still having access to some of that competitive data on marketplaces? Have you gained share?

So we don't get that. We don't have that data at the moment, but the strategy that we followed

for marketplaces, we have been gaining share across the channels. And both Amazon and Flipkart, which are the largest portals in the country have done very, very well for the brand. Therefore, the marketplace business salience, I would say has gone up across both these platforms, followed by Myntra as well. And so that has basically made up for the loss in terms of the O2O business. So I won't be able to comment on exact numbers, but we have seen a fair share of growth across the three platforms.

Thank you. The next question is from the line of Lavita Lasrado from Mirae Asset. Please go ahead.

So you mentioned the growth in some of the key regions that we cater to. So do you think we are yet to see recovery in some of the markets? If yes, then which are those markets? And also, what would be our key selling point? Do we see a large aspirational value as compared to the competition at the moment? Thank you.

Hi, so we do have many pockets of low-lying or low-hanging fruits across the trade channel, especially in the regions of I would like to maintain South and West. North as well, wherever we did lose in terms of a little bit of market share over the last 2-3 quarters, we have significantly recovered in Quarter 4. And South and West do continue to be the priority territories for us. And for those also regions, we have calibrated the portfolio accordingly, which is specific to the territories. And that's the approach we've taken. So these largely would be the focused territories for us. What was your follow-up question on this?

So then second question, I was highlighting is what would be our key selling points from here on and do we see large aspirational value as compared to the competition in our categories? Absolutely. Like I mentioned earlier, the brand recall is extremely high. It's the number one top of mind brand. We have been spending north of 6% to 7% for the past few years now in terms of A&P spend. And that is in terms of absolute value, by far the largest in the category. Therefore, we'll continue to invest in terms of marketing and brand building, which will continue to lead towards brand aspiration. And the value for the brand that we offer is basically parallel to none. So certainly, we'll continue to focus on that.

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Moderator:

Akshen Takkar:

Nikhil Agarwal:

Akshen Thakkar:

Nikhil Agarwal:

Moderator: Thank you. The next question is from the line of Akshen Thakkar from FIL Industry. Please go ahead.

Most of my questions have been answered. This is a very basic first principle question. If we think about BIS implementation now, given that it's been delayed and there have been extensions and competition would have had time to source material etc. How do you see BIS implementing your business, let's say, over the next 6 months and then over the next 3 years? That's the only question from my side. Thank you.

So six months, I would say there could be a little bit of flooding of inventory in terms of non-BIS inventory from a number of brands out there which are out there. But over the long term, we certainly see a lot of value being derived because Jan onwards, all the imports have anyways been stopped. So there is very limited volume as of today or inventory across various brands and in terms of imported goods. So that would obviously have limited days of inventory. So we are not very concerned about, like I said, the next six months, we have a very good strategy which has been panning out really well in terms of we have a very good focus on the non-BIS goods as well and we have brought down the number of days of non-BIS holding significantly in the last, I would say, four to five

months, given the focus that we've had month on month.

So we're tracking it very closely. We're monitoring the liquidation of this inventory at very, very good prices. Therefore, we are very confident of selling the entire non-BIS inventory much, much ahead of the June 2025 deadline. Therefore, we don't see any short-term impact from the, let's say, flooding of that inventory from other players in the market. But we certainly see a good upside in the long term, over the next 2 to 3 years.

Just one follow up, Nikhil, to that. Last year, year and a half have been challenging for the company, with the macro, with certain D2C businesses not doing well. Given where we are and the pivot in the strategy that we have done, what is your confidence level of getting to, let's say, double digit growth to start with and then a mid-teen kind of growth that, you know, one would have thought a company of your scale size and the industry that you cater to should be possible. I'm not asking you for a guidance. I'm just trying to understand, are you confident that you can get there in a few quarters? Or do you think it's still wait and watch?

No, sure, Akshen, fair question. So we do have a good visibility in terms of getting there sooner than later. The only question remains again is in terms of macros, as long as they remain stable and not too volatile or too depressed, right? I don't see really much of a challenge from here on, given the new strategy that we've pivoted to. And so fairly confident of getting there.

Thank you. The next question is from the line of Harsh Shah from Bandhan AMC. Please go ahead.

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Harsh Shah:

Sanjay Chhabra:

Harsh Shah:

Nikhil Agarwal:

Harsh Shah:

Nikhil Agarwal:

Harsh Shah:

Nikhil Agarwal:

Harsh Shah: Nikhil, you mentioned in your opening remarks that we've taken deliberate attempts to kind of bring down our receivable days. So | just wanted to understand between the D2C and the trade distribution, what are the receivable days now and compared to what they were before?

Hi, this is Sanjay. We have seen an overall reduction in our receivable days, primarily driven by the shift in channels. So when | talk about distribution, the normal outstanding there is in the range of 45 to 60 days. As far as D2C is concerned, there is, again, a mix of B2B, O2O, and marketplace. So marketplace business normally churns cash faster in terms around 21 to 30 days. Last year we had a major chunk in B2B business as well, which has shrunk to roughly 50%. So that shift in channel from B2B, O2O to marketplace has resulted in a D2C DSO improving by at least 50%. And that's what has got reflected in the overall DSOs. So it's a channel dynamics impact. And as far as the conscious effort from the organization is concerned, we have become more sort of there are robust reviews to ensure that our dues are collected well in time and whatever cash discount and schemes are there, they are like pay for performance mode. So that's what we are driving and that has all resulted in an overall reduction in the receivables or rather overdue receivables.

Okay, so this is the level which we can expect going ahead as well, right?

Yeah, if the channel mix continues to be same, we need to understand that it's a sum total of all the channels we are operating and what kind of saliency we have in those respective sub-channels.

And secondly on ad spend, this quarter the ad spends were low, right? They were declined over the base quarter. So is this more of a timing issue, or is it kind of something else, basically or is it something to do with the channel mix like D2C, | mean, saliency would have come down or?

No, nothing of that sort. As | mentioned earlier, that ad spends you need to read at a H2 level, that would be more meaningful. Why? Because we did consciously front-ended as far as ad spend is concerned. We overspent in Q3 or other in the season, both in terms of ATL spends, TV, and also the

performance marketing. And accordingly, | mean, H2 was sort of recalibrated or it's purely a phasing between two quarters. But overall, if you look at H2, our spends were higher versus last year by roughly around Rs. 10 crores.

And in our DRHP, given the data of digital spends, there's a proportion of ad spend, right? What would that number be for FY24?

By digital spend, if you mean the performance marketing spend, that would be roughly around Rs. 60 odd crores.

Rs. 60 odd crores out of the Rs. 100 crores which you spent this year, right?

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Nikhil Agarwal:

Moderator:

Umang Mehta:

Sanjay Chhabra:

Moderator: Thank you. The next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Just wondering the split of online in terms of B2B and O2O sales in FY24 and what was that number in FY23? Does that mean how much sales you lost in the online channel?

That number has come down to half. It was roughly Rs. 300 odd crores last year, which is in the range of Rs. 160 crores this year.

Thank you. That was the last question for today's concall. On behalf of Campus Activewear Limited, that concludes this conference. Thank you for joining us and in case of any further queries, please reach out to Campus Activewear's Investor Relations Team at [ird@campusshoes.com](mailto:ird@campusshoes.com). You may now disconnect your lines. Thank you.

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## Call: Aug 2024

14th August, 2024

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring, Rotunda Building,  
P. J. Towers, Dalal Street,  
Mumbai – 400 001  
SCRIP CODE: 543523 National Stock Exchange of India Ltd.  
Exchange Plaza, C -1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051

SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 –Transcript of the Earnings Call held with Investors/Analysts

Dear Sir,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Investors/Analysts on 12th August 2024 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com).

This is for your information and records please.

Thanking you

For CAMPUS ACTIVEWEAR LIMITED

Archana Maini  
General Counsel & Company Secretary  
Membership No. A16092

Encl: As above

Campus Activewear Ltd  
Quarter 1 FY 2025  
12 Aug, 2024

Moderator: Ladies and gentlemen, good day and welcome to the Campus Activewear Limited's Q1 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*', then '0' on your touch tone phone. Before we proceed on this call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risk, uncertainties and other factors. It must be viewed in conjunction with our business that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

The Campus Activewear management team is represented by Mr. Nikhil Aggarwal - Whole Time Director and CEO, and Mr. Sanjay Chhabra - CFO. I now hand the conference over to Mr. Nikhil Aggarwal - Whole Time Director and CEO for his opening remarks. Thank you and over to you Sir. Nikhil Aggarwal: Thank you. Good evening, ladies and gentlemen. I thank you all for joining our Q1 FY25 earnings call today. Despite the challenging market environment, Campus Activewear has demonstrated resilience and strategic prowess reporting a volume growth of 3% year on year in Q1 FY25 amounting to 5.8 million pairs of footwear.

Our agile approach coupled with a keen sense of fashion and segmentation, has allowed us to introduce products that resonate with the evolving preferences of our consumers. We were able to

maintain our gross margins at 53.3% during the quarter despite a decline in revenue due to extreme summer season resulting fewer in store footfalls coupled with lower vetting dates .

There has been a noticeable shift in the revenue mix towards open footwear reflecting the consumer's choice in response to the elevated temperatures. Despite these challenges, we have maintained our focus on innovation, continuously offering new and differentiated products tailored to the dynamic Indian consumer by launching 78 new designs in quarter one. Additionally, we continue to invest in performance marketing to drive sales in marketplace. Despite the increase in minimum wages mandated by the government, which has impacted our margins, we chose not to pass on these higher cost to our consumers during these subdued market conditions.

In line with our long -term strategy to enhance consumer reach, we have strengthened our distribution capabilities by adding a new LFS account in the first quarter. Furthermore, we have expanded our EBO presence by adding 13 new stores, that is 7 COCOs and 6 COCOs across the nation, taking the total count to 275 plus EB

Os .

Our extensive distribution network is a cornerstone of our business, ensuring that our diverse product offerings are accessible to consumers throughout India. Further, we have strengthened our Pan India distribution network by adding a couple of super stockists and 8 new distributors, further intensifying the penetration in the interiors of the country. With the quest to offer consumer delight, Campus Active wear product range has further enhanced to 650 plus new retail outlets, raising the total count to 23,100 plus retailers across the country.

With our strong brand reputation, diverse product portfolio , value for money proposition, Omni channel capabilities and robust financial position . Campus Activewear is well positioned to capitalize on the anticipated demand growth in the coming quarters. We anticipate a resurgence in demand post monsoon with additional momentum expected from the festive season. We remain committed in our mission to deliver excellence and would like to express my sincere gratitude to our dedicated team, our loyal customers and our esteemed shareholders for their continued support.

Thank you. Now and I will hand over to our CFO - Mr. Sanjay Chhabra to take you through more details in Q1 FY25 performance.

Sanjay Chhabra: Thank you, Nikhil. Good evening to everyone and thank you for joining us for the Q1 25 Campus Activewear 's earning call. Our operational revenues to that INR 339.2 crores for the first quarter, the company sold approximately 5.8 million pairs of shoes in Q1, up 3.33% year on year owing to our strategic distribution push and higher open footwear sales.

The average selling price stood at INR 585 in Q1, driven by higher saliency of open footwear, which was close to 22% versus 18% last year. Our gross margins at 53 .3% is flat versus last year despite the open footwear saliency led ASP drop.

The revenue mix between men and women and kids stood at 77% to 23% versus last year, same quarter, 80% to 20%, reflecting our strategic efforts to expand women and kids category . Our EBITDA for quarter one was at INR 54 crores. The EBITDA margins stood at 15.8% in quarter one owing to higher employee cost driven by headcount addition and inflation , partly offset by lower finance cost.

The total cost excluding COGS was at INR 147 .8 crores versus 146.6 crores last year, a marginal increase of 1%, reflecting our efforts to drive efficiencies. The PAT stood at 25.4 crores in quarter one and PAT margins are at 7.4%.

With this summary, I would now conclude my remarks and open the floor to the moderator for the Q&A. Thank you.

Moderator: Thank you very much. First question is from the line of Priyank Chedda from Vallum Capital. Please go ahead.

Priyank Chedda: Hi Nikhil. My first question is on channel wise growth. If you can highlight what how has been the growth in trade distribution in B to C online and B to C offline? And within B to C online , if you can also split the growth of marketplace as well as we B to B online, I reckon that we had some challenges B to B online , has that been the decline that we saw in B2B online has been arrested or not? That's my first question.

Nikhil Aggarwal: Hi Priyank, so we have seen , actually all the channels getting back on track in terms of the volume. So let me give you an example like for MPO for distribution, we have seen two consecutive quarters of 4 and a 1/2% plus volume growth. This is the second quarter consecutive one along with the distribution and store expansion like I mentioned . In the online, again we have seen a marketplace grow by almost 24% in this quarter one y-o-y and of course the O2O has declined. This is in line with the strategy of reducing the B2B business, the dependency on the B2B business. And the retail channels, the offline Epos, have also grown by 8% in quarter one. So, this is very much in line with the strategies of, you know

with having different strategy for each channel very clearly laid out like distribution is our volume growth channel and EPO and brand.com and our own online

channels are basically the ones to drive premiumization and so on. So, Sanjay, you would want to add?

Sanjay Chhabra: Yeah, just to add on to what Nikhil just now mentioned, so by and large the higher base effect of the B2B and O2O channel would be ending this quarter. So, this quarter again since the base impact was higher, we have seen a de-growth in the B2B, but which has been largely mitigated by the marketplace channel and net net as far as online is concerned, we are now in the trajectory of less than 5% de-growth. So, the impact of higher B2B base is almost done with.

Priyank Chedda: Sorry I couldn't get the point of 5% is the what was the 5% number and you mean that when the higher wages end this quarter you mean the quarter -on-quarter decline will not be seen from Q2 onwards. These are the two clarifications Sir ?

Sanjay Chhabra: So just, just let me give you a sort of split answer . So, our marketplace has grown by around 25%, but the other than marketplace business has de-grown. So net net, our D2C online is showing de-growth in terms of revenue by around 5%.

Priyank Chedda: Right. Right, right. OK. OK. And then when you say that this will end it in this quarter, you mean that the quarter on quarter one will declare will get arrested in the current quarter which is Q1?

Sanjay Chhabra : Yeah, because last year in the same seat, one of the big B2B platform was still operational and did a large amount of sales. And from Q2 onwards they started sort of de-growing big time, so the base is corrected from Q2 onwards. So, we will see a sort of flattish or plus minus 5% sort of impact versus 40 plus percent of de-growth in other than marketplace.

Priyank Chedda: Perfect. So, my question is in terms of sales per touch point . We were at around, say 5.1 lakh rupees per year per touch point. It has fallen down to 3.5 lakh per touch point per year. While the competition is too high higher than ours. So how do you think that this throughput per touch point should turn out going ahead as well as in terms of the net touch point additions for the full year?

Nikhil Aggarwal: Sure, Priyank . So, see, our strategy is to continue to expand the touch points and we have been doing that along with our distribution base. So, the share per counter will also go up. This is just a seasonal effect like in quarter one , we've sold higher volumes because of open footwear, but the overall ASP's have dropped, so this was basically because we also didn't expect you know, so much heat waves across the country, which led to higher, much higher than anticipated share of open category. Therefore, that led to you know an ASP drop and a lower realization per counter like you mentioned but this will normalize , this is just a seasonal effect and going forward we see the share per counter going up.

Priyank Chedda: OK. And on a AFC decline outside this open footwear season that we are seeing , as a strategy period, we did see that you know are temporary consumption slowdown Campus will be focusing back to some ■1000 SKU. So I mean how ASP China for the full year versus say FY23 -24?

Management: Sorry, your voice is muffled, but if I get your question, you're asking ASP change between FY23 and FY24. What like going forward, what do we expect in FY25?

Priyank Chedda: Yes, I mean these are focusing we, we started focusing back to some ■7000 SKU. Outside this whole issue of heat wave and open footwear getting so Id higher. How should ASP plan out for the full year ?

Management: No. So, we, like I said, we were not expecting you know this kind of demand for the open category and it's very understandable given the kind of heatwaves we had. So but this should not really impact I mentioned also in ou

r last earnings call that we don't really see a big increase in our ASP in

FY25 if you recall, because we anticipated the demand scenario, but we do see you know demand getting back on track very soon like even July onwards we've seen a decent recovery in demand, so therefore we don't, you know, anticipate any further ASP drop. I would say going forward this was just a seasonal thing. And we're on track, the economical portfolio like I also mentioned last time. So, our ratio to economical has actually also slightly gone up for below 1000 to 30%. salience versus 27% year on year and 1000 to 1500 for your semi premium has gone up actually from 25% to 30 % again year on year, but our 1500 plus portfolio premium segment has dropped from 46% to 40% year on year. So. This is what is in line with the strategy as well.

Priyank Chedda: Perfect. Now just last question on the overall you know, category growth for the sports and athleisure given the casualization trend that we are witnessing, how would have been the primary sales being for FY24? Would it be double digit because we had some channel issues so I just want to want to get the sense of how would have been the category growth for the full year FY24. And any reasons to believe that this category growth should not grow more than double digits? In fact, as should sustain double digit in FY25, given that we are a smaller category in whole of a lakh crore kind of a space. So, what should be the overall category growth in FY25? Where should be Campus, I assume that we would be looking out for some market share gains in this category tailwind. And yeah, if you can share overall thoughts on the category growth?

Management: So, see, this is definitely the fastest growing category still. There is no question about that. The whole sports athleisure space is growing faster than any other footwear category currently for the last, I think five years, 6 consecutive years now . We anticipate I think in lower double digit for sure like kind of category growth this year, FY25 to happen, just waiting for the markets to sort of demand scenario to come back. But that's about it and there should be no challenge and we should grow you know in line or faster than the category. So, I don't see any challenge with respect to our

market share increase for this year as well. We are just honestly hoping and waiting for the markets to normalize and the demand scenario to come back. But we are fully geared up for you know the coming quarters.

Priyank Chedda: Ohh, amazing all the best team . I'll get back in the queue for further questions.

Moderator: Thank you. Next question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.

Videesha Sheth: Hi, good evening, Team. My first question was on the channel inventory. So where does it stand as of date given the muted consumption environment, is it still elevated or has it largely normalized?

Sanjay Chhabra: So, channel inventory, if you see the way the quarter shaped up, it was more towards the open footwear which eventually means that we did more primary on the open front , open footwear and slightly lesser as far as the shoes is concerned, so which, which by and large indicates that the channel in inventory is sort of coming to the levels or is that par with the demand in the market . Currently, we continue to hold around 60 odd days of inventory in the distribution channel anywhere between 60 to 80 days and that continues to be the norm considering the peak time for production of the NP Ds.

Videesha Sheth: Got it. So, it's largely normalized and going forward the primary growth in the secondary growth will largely be in line?

Sanjay Chhabra: Yeah.

Videesha Sheth: OK. The second question was, if we were to remove the higher mix of the open footwear portfolio that we've seen this quarter, would the increase in portfolio mix of top ■1000 price point

products

still happen? The increase that we've seen from 27% to 30%?

Sanjay Chhabra: OK. I would say that it's not that we are by and large, driving a sub ■1000 price point category, we did try to fill certain gaps in our product portfolio in that particular price point wherever we felt that there is a market demand and we are absent in that price point. However, we would continue to consciously drive mix of our products through different channels. So, let's say the distribution would be a lever for driving volume and our other channels including the online, our brand.com and our own stores would be driving the mix, which means they would be offering the consumers a wider range of product and hence on an overall basis, we will continue to be conscious about our ASP's going forward.

Videesha Sheth: Got it. My third question was if you could elaborate on the consumption of growth pattern seen across three states in the first quarter and the second quarter till date ?

Sanjay Chhabra: Which key states are you talking about?

Videesha Sheth: States is in the north.

Sanjay Chhabra: Sure. So North specifically, we have seen slight decline in our salience from let's say 41 to 38% , this is year on year. This is primarily due to the heat wave and we have seen our West and South portfolio grow by almost 4%. The east is also flattish at about has slightly grown from 17 to 18% and central is also grown from 6 to 7.8%, so it's basically not that has taken a little bit of a hit in terms of salience because of the extended heat waves, but we don't see any concern on that side.

Videesha Sheth: Got it. So just to marry these two points, this point and the fact that are open for salience has increased, so the open footwear portfolio would have largely picked up in the region states of north.

Sanjay Chhabra: That's right, it's actually Pan-India, I like even South is a very big market for open category South and East almost like a Pan India category. We can't really say just the north centric.

Videesha Sheth: Got it. All right, noted. And just the last question, what has led to the 21% increase in the employee cost that we've seen this quarter?

Sanjay Chhabra: OK, so this is primarily driven by our additional headcounts primarily in the front -end function, the distribution business and also in the stores with the addition of new floors over period. And so of course the year -on-year inflation through the increment so these two after the driving, the higher employee cost.

Videesha Sheth: Understood. Thank you. That's ultra nice.

Moderator: Thank you. Next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta : Yeah, hi. Thanks for the opportunity. So, most of my questions answered , just two of them, if you can help me. First one was on your, you mentioned about performance marketing investments continuing. Was there any reason for a special call out or is it in line with what you've been doing historically?

Management: That's perfectly in line with what we have been doing for last three odd quarters. The only reason for the call out is that we have seen a growth in the marketplace and that requires a bit of investment in the performance marketing.

Umang Mehta : Understood. And the second one was on the stores which you opened. So, I realized that the mix of COCO s was bit on the higher end . Again, was that like a one off and you maintain that most of the new stores will be on the franchisee going forward?

Management: No, so it's just a phasing thing Umang. We're still on track with the ratio of almost 65-70 COCOs to 30-35 COCO s. This is just a phasing thing that can vary from quarter to quarter.

Umang Mehta : Got it. Thanks, and all the best. Thank you.

Moderator: Thank you. Next question is from the line of Mousumi from Equ entis. Please go ahead.

Mousumi: Yeah.

Hello. Thank you for the opportunity. What are your target markets, which are your focused markets when you are looking to expand or come up with a new store?

Management: Sure, sure. So, for EBOs, right?

Mousumi: Yes.

Management: Yeah. So EBOs, we are already present in 27 states as we speak and like for example, we've just opening a new store in Mangalore. So, so there are, you know there are markets basically in South now that we are actively pursuing. That is 1 space that has the least number of stores. So, it's basically South and a West also and South and West, I would say in line with the company strategy.

Mousumi: Guidance on EBIT DA margin or gross margins for this year?

Management: We don't give any guidance. We shared we shared some guidance in the last call. Sticking by it.

Mousumi: OK. Thank you.

Moderator: Thank you. Next question is from the line of earlier Aliasgar Shakir from Motilal Oswal Mutual Fund. Please go ahead.

Aliasgar Shakir : Yeah, hi. Thanks for the opportunity. Hi Nikhil. Question on you know the BIS, I just want to understand you know what's the current status there? I understand almost 15 -20% of industry revenues, or rather you know products in the particularly sportswear or coming from imports and am I correct that from the 1st of August that has been you know completely stopped. So, if you could just share you know, I mean whether that is true and then how much inventory would be there in the system and how we should benefit with this policy?

Nikhil Aggarwal: Sure. So, BIS is fully in effect now as of 1st of August and you know the government has mandated time till end of June 2025 for everyone to liquidate their non BIS inventory. And we are seeing some changes in the market already like I know from the channels that the Chinese inventory and the fake things that are being imported from China has reduced significantly. The imports have also been largely curtailed, so there is definitely a positive impact that we see in the market on account of that at least in terms of imports. It's just a matter of the inventory that they're holding today, all the channels of Chinese imports or the other, you know from other countries and we believe that they should, you know, ideally be liquidating all of that by this season and get done with it.

Aliasgar Shakir : And you said it's the time allowed is till June 2025 to liquidate all of that?

Nikhil Aggarwal: That's right. Yes, for non-BIS.

Aliasgar Shakir : For Non-BIS. And what about the domestic market even here I think a lot of small and organized, you know players had you know sportswear with non-probably BIS compliance. So, what's the policy here and you know I mean what is the impact of that we would also have in terms of the cost that we will have to bear for the BIS compliance.

Nikhil Aggarwal: So, for us the cost impact on BIS is very, very small, very, very, very small. Because we were already making very high -quality shoes. So, for us really the cost on in terms of materials with respect to BIS standards has not really changed. But we expect the other smaller players in the industry to have a significant cost impact on account of BIS, because they'll have to really upgrade the specification of the material that they use.

Aliasgar Shakir : OK. Can you just throw some little more color when you say the increase in cost for them, you know what kind of cost increase will happen because obviously there was a lot of big price arbitrage between the products that we were selling and they were selling and what is the kind of compliant they will have to have?

Sanjay Chhabra: Hi, Ali, this is Sanjay. So, from a cost perspective, what as Nikhil mentioned for us, it was a very little impact for us. It was more of a cost for labeling for having some equipments to label the finished goods. But by and large our components were fully compliant even

prior to the BIS coming into

effect, however, for smaller players they will have to get back to the drawing room and see that their soles, whether they are compliant in terms of flexibility and composition, whether the uppers are using the right kind of fabric as specified by the guidelines, if at all they don't have a in-house labs to test, then they'll have to get the tests conducted through the external labs and that will have a cost impact. So, these are the three cost elements which are the basic ones post the BIS implementation which will trigger to all the footwear players.

Aliasgar Shakir : What this is very clear and there is no clear timeline yet for the domestic industry right for the SME and ME, they're still not given a deadline right for BIS compliance or has it been?

Management: That's right. Yeah. I think turnover of less than 50 crores companies are not falling into the BIS bracket at the moment. But we expect that to change. That is the I think the endeavor of the government is to mandate it for everybody.

Aliasgar Shakir : Got it. This is very useful. Just last question on the margin. So, if you can first just remind what is the margin outlook you gave in the last quarter and you know assumed that if as Sanjay also mentioned that you know this was the last quarter where we saw the impact where because of B2B if that gets normalized and we get into a run rate of double digit growth, then what is the normalized margin our business can do? Can we go back to the stable state margin we were doing earlier of you know 17 -18%? Yeah. Thank you.

Management: Ya sure. If you really want me to call it out, we will be aspiring to get to those numbers for sure.

There is no doubt even in a very tough macro to be very honest, whatever on e was highly muted in terms of demand and in spite of that, we've been able to deliver 15.8% EBITDA margins, which

obviously we're very proud of because it was, it was unprecedented in terms of the demand this quarter. So therefore, in a normalized scenario, we certainly expect a higher margin.

Aliasgar Shakir : Got it. And just last bookkeeping question on the can you just call out what is the share of B2B in the overall D2C online business in this quarter?

Management: Yeah, in the overall scheme of things, it is around 10 odd percent.

Aliasgar Shakir : Of the total revenue and almost 50% of our revenue is D2C, right?

Management: No. I'm sorry. I don't understand your definition of D2C.

Aliasgar Shakir : OK, I'm saying online, basically the entire online business out of 340 crores is 50%?

Management: Around 35 to 37%.

Aliasgar Shakir : OK. And out of that of the total revenue, 10% is the B2B.

Management: Yeah.

Aliasgar Shakir : Got it. OK, this is very clear. Thank you so much and wish you all the best for the coming quarters.

Moderator: Thank you. Next question is from the line of Ankit Kedia from Philip Capital. Please go ahead.

Ankit Kedia : Sir, you spoke open footwear doing exceedingly well in the quarter. While you didn't intend to, you know, have so much, you just wanted to know, you know, is the product expense, you know very good that you know the consumers came to us for open footwear because competition could also be there. Secondly, if there was so much demand, you know, from an inventory perspective, how could you meet this demand because you would have not thought of such unprecedented demand in open footwear.

Management: So, hi Ankit. So, we do have a very agile supply chain. You know, like we've mentioned in the past as well. So, we did prepare for higher offtake. We expected a higher offtake than the previous year on year, quarter one in terms of open category, it was more than what we anticipated, but we were kind of prepared with it as we have a very agile supply chain and we could manage it within the same season to be supplied, right. So that

is what gave us a higher volume uptake in the open category.

Ankit Kedia : And what will be the ASP difference between a closed footwear and open footwear for you? And typically, in open footwear, what exactly are we selling?

Management: So open is basically all around sandals and slippers. These are the broadly two major categories we do a bit of clogs as well, but that's still much smaller compared to the other two, the ASP difference in the range of ₹150 to ₹200. The difference would be ₹150 to ₹200.

Ankit Kedia : Sure. And do you think going forward or given the response which you have, it makes sense to push open. Footwear going forward as well or do you want to maintain it that you know around 20% plus, minus range?

Management: Sure. So open definitely, you know strategically it will be an important category going forward. This is a seasonal category, which is basically mostly in quarter one. And you know, given the demand and the brand positioning that we command the top of mind, we call it definitely is a very low hanging fruit that that we can, you know encash upon. So, we would be looking to drive this category properly and with a much more rigor even from next year onwards. Therefore, but at the same time we do not expect our closed footwear category share to sort of be cannibalized by the open category. By doing that, we should be able to maintain you know our ASP's or at least not that can drop beyond the point.

Ankit Kedia : Sure. You know, my next question is on the trade channel. You know, this quarter also has declined by around 6-7% overall, you know 52% contribution. Do you think this can go back to the 60% odd contribution in next three years given the growth and investments you are doing in the offline channel or this will remain in that 50-55% ballpark?

Management: So, our trade distribution revenue has dropped largely on account of ASP drop because of open category. It's not the volume. The volume is actually grown in the offline channel. So as soon as you know the closed is back let's say in quarter 2 onwards, we should be able to recover the revenue growth in the distribution channel and going forward, I mean the aspiration has always been to have a 50-50 mix between distribution and D2C so I see really no change in going forward because our detail is now retail like Offline EPOs, LFS, Canteen, CSD, CPC, our own brand.com all of these put together have also been now been a significant contributor. The share of this offline channel has gone up from almost 11% to 13%. So, you know we do expect this to now also contribute significantly going forward, so distribution will probably remain at 50-51% in this range going forward.

Ankit Kedia : Sure. And my last question is on the margins. You know with this open footwear coming in, do you see open footwear at a lower margin versus closed footwear or it's pretty much similar multiplier?

Management: OK. Just on the gross margin front, we were flat versus last year despite the increase in saliency of open footwear, which is a clear reflection of the fact that we are not trying to sort of down sell or rather maintain the product portfolio in a range which meets to our margin thresholds. I hope that answers your question.

Ankit Kedia : Sure. And if I could squeeze in one more, you know, how is the discounting by competition because you know pretty much, we have, you know had a tough quarter, competition would have the worst quarter, right? And given that you know and last few quarters have been challenging, how are they liquidating inventory because they would not have working capital to have new products in the

system . Are you seeing discounting being higher by competition, they are reducing the shifts from 3 to 2 to 1 . What's happening out there?

Management: Yeah, we're seeing higher discounting by the competition. I'm talking about the private smaller

players in the market. They are definitely discounting by much, much higher level. So, and this is largely due to the BIS impact as well. So, we have been able to maintain our margins while also selling the non-BIS inventory and selling the open category. You know we've been able to maintain margins so and going forward you know , we expect as the demand picks up, the ASP's to also pick up.

Ankit Kedia : And your manufacturing is in full swing today or you have also cut down shifts at the factory given this demand environment ?

Management: No, we definitely calibrated the factory output in line with the demand also because there was a robust drive from our end in terms of selling the non-BIS goods as well as mandated by the government. So, keeping both the views in mind , the muted demand and the sellout of the non-BIS, we have calibrated our production accordingly in quarter one.

Ankit Kedia : Understood. Thank you so much and all the best, Nikhil .

Moderator: Next follow up question is from the line of Priyank Chedda from Valium Capital. Please go ahead.

Priyank Chedda: Nikhil, what would be our contribution from the sneakers as a category and how has been the progress over here? Any growth numbers, any revenue contribution numbers that you would like to talk on this?

Nikhil Aggarwal: Sure Priyank , this is something we're very excited about. The sneakers portfolio has basically grown by almost 120% even though the base is obviously smaller compared to the sports portfolio. But the demand and the acceptance in the market is very promising, so going forward it is definitely one of the key areas that we would be continuing to focus on. It's a big growth I ever along with the women and kids category where the women share has also gone up both in sneakers and in sports.

Priyank Chedda: Perfect. And then on the South as a regional mix where our efforts have been concentrating for quite some time now. So, any overall change in the GTM strategy for South, I mean we understand that we have a largely online as a channel to penetrate in South markets. So, what are the efforts that are left to you know penetrate further, deeper and as well as in the breadth via trade channel in the southern markets ?

Nikhil Aggarwal: Sure. So, South has been a focus both on online and offline. So, in distribution in the traditional channel also we've opened a couple of new distributors in South and enrolled a few more stores along with enhancing and you know we've invested in the sales team. And created a very, very good team on ground as well. So, you know also in terms of product portfolio, they do require a higher share of open versus closed category. That is also in line, you know with the growth strategy in South. So, we are doing all of these efforts in order to grow our South portfolio. So, there's no reason that we should not see a growth from there very soon like within this year.

Priyank Chedda: OK. And on the new LFS account that we have opened, so would that mean that the growth in that account would gradually pick up or is it that day one, we grow it in that Channel and would that add another 200 or touch points from 1300 to say 1500?

Sanjay Chhabra: Hi, this is Sanjay. The growth in the LFS is a gradual progression. I mean, we do get an entry into certain number of test stores and then eventually it amplifies based on the success of our product or the particular category. So, it will be a period of I would say three to four quarters wherein we would be present in all those stores of that particular chain, it will be a gradual progression.

Priyank Chedda: Got it and Sanjay, just last clarification on that B2B online which you said it would be around say 10% of the total revenues, which would mean that it would be 30 -35 crores of total revenue and annualized that would be around say 120 crores, 140 crores and so for the f

ull year, it would

remain flat, right? I mean we ended B2B around 130-140 crores last year ?

Sanjay Chhabra: Yeah, that's right, 150 odd crores.

Priyank Chedda: Got it, got it. Thank you.

Moderator: Thank you. Next question is from the line of Niraj Mansingka from White Pine Investment Management Private Limited. Please go ahead.

Niraj Mansingka: There are few things. One, what is our presence in can you share tell us something about what is your estimate of the market share in the sports category in LFS and the retail side?

Nikhil Aggarwal: LFS is a fast-growing channel for us . Honestly, we won't have the numbers for market share for Campus. We don't track that yet as it's still a very, you know, small contributor to the overall revenue. So, there's ample growth for revenue like it's a completely white space for us at the moment. So, the focus is more on adding every quarter and every you know, regularly adding big and strong LFS partners on board and that's what we're driving at the moment. So, I think the market share number would be relevant probably a couple of quarters from now.

Niraj Mansingka: OK. Any thoughts on how your market share has moved in the open footwear over the last few years, one or two years?

Nikhil Aggarwal: Open again. No, we wouldn't have a very significant market share on the open side to be honest, even that you know, like I mentioned earlier, it's a low hanging fruit. It's a white space. The only

thing we'll have to be conscious of is our ASP's and the margins being contributed from the open category, but given how strong the brand acceptance is in the market, we've received a very, very good response in quarter one from the open category. So, it is encouraging to definitely you know increase the share of this category going forward.

Niraj Mansingka: And the open footwear we're talking about is generally the Eva based products growth going faster in the last?

Nikhil Aggarwal: We have two price points. We do have single Eva. We also have Eva with rubber and TPR outsole which is a more premium product on the sandal and slipper side. So, it's a range we start at almost 499 and we go up as high as 999. 999 in the open category is a very premium offering which very few brands in the country are basically providing.

Niraj Mansingka: And the last question. Any thoughts on you're opening a lot of retail stores and I thought that athleisure was an area that you may look at. So, any thoughts on that?

Nikhil Aggarwal: So we are already doing a couple of other categories like we have backpacks, we have socks which is actually doing quite well. They're very decent contributor to the revenue of the business. We also have some other accessories like caps and stuff. But apparels is a big category which we would need a little bit more time to venture into. It's not on the cards at the moment.

Niraj Mansingka: But is it that after some threshold or some Eva, you would like to look at that? Is it that the way?

Nikhil Aggarwal: Right. Yeah. It would make more sense after we have a couple of 100 stores.

Niraj Mansingka: Thank you very much.

Moderator: Thank you. As there are no further questions from the participants, on behalf of Campus Active wear Limited, we conclude this conference. Thank you all for joining us. In case of any further queries, please reach out to Campus Activewear's Investor Relations team at [ird@campusshoes.com](mailto:ird@campusshoes.com). You may now disconnect your lines. Thank you.

## Call: Nov 2024

15th November, 2024

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring, Rotunda Building,  
P. J. Towers, Dalal Street,  
Mumbai – 400 001  
SCRIP CODE: 543523 National Stock Exchange of India Ltd.  
Exchange Plaza, C-1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051

SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 –Transcript of the Earnings Call held with Investors/Analysts

Dear Sir,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Investors/Analysts on 11th November 2024 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com)

This is for your information and records please.

Thanking you

For CAMPUS ACTIVEWEAR LIMITED

Archana Maini  
General Counsel & Company Secretary  
Membership No. A16092

Encl: As above

Page 1 of 17 Campus Activewear Limited  
Campus Activewear Limited Q2 H1 FY'25 Earnings Conference Call  
November 11, 2024

Moderator: Welcome to Campus Activewear Limited's Q2 and H1 FY'25 Earnings Conference Call. As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" then "0" on your touch-tone phone.

Before we proceed on this call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties, and other factors. It may be viewed in conjunction with our business that conclude costs, future results, performance, or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

The Campus Activewear management team is represented by Mr. Nikhil Aggarwal - Whole Time Director and CEO, and Mr. Sanjay Chhabra - CFO.

I now hand the conference over to Mr. Nikhil Aggarwal - Whole Time Director and CEO for his opening remarks. Thank you and over to you Sir

Nikhil Aggarwal: Thank you. Good evening, everyone. We appreciate your presence at our Q2 and H1 FY'25 Earnings Call today. Campus Activewear continues to display exceptional adaptability and notable agility with a 36% volume growth, navigating challenging macro environment, and

subdued demand across geographies. Our revenue surged by 28.8% YoY during Q2 FY'24, led by strategic distribution initiatives, including the highest number of annual retailers meet, more than 120, which have been conducted across regions. We had a successful new product placement drive, with our top articles being placed in over 80% of our distribution network. We introduced 87 new styles, including our strong sneaker offering, across channels, further strengthening our product portfolio.

During the quarter, we expanded our large-format stores presence. We have introduced our products in lifestyle stores and scaled up our presence in Reliance Footprint. During the quarter, we have onboarded Vicky Kaushal and Vikrant Massey renowned Bollywood actors, as our new brand ambassadors. We plan to leverage this association for further building our brand through various media channels.

Page 2 of 17 Additionally, our recent Move Your Way Campaign, launched across various platforms, is designed to resonate with the youth, encouraging them to celebrate their uniqueness.

Our gross margin for the Quarter stands at 52.8%, marginally lower versus Q1 FY'25, i.e. 53.3%, driven by planned higher promotions and retailers meet to showcase new products and drive placements ahead of season in distribution channels.

Our EBITDA margins were lower at 12.3%, versus 15.8% during Quarter 1, driven by lo

wer gross

margin, higher investments in advertisement and sales promotion, and higher commission on online business. We believe a part of this dilution has a phasing element, as the timing of Big Billion Day offers was more towards week 4 of September. We continue to invest judiciously in media spends, including TV campaigns, outdoor coverage, and social media engagements, for strengthening our brand and widening our consumer engagement. Our new TV ad with Vicky Kaushal is live on air as we speak.

During the quarter, we have added 9 new stores across India, taking our total EBOs count to 288. We would further like to update you that our board has approved a capacity expansion plan at Gannaur and Haridwar, with an investment of approximately INR 35 crores. These investments shall help us to cater to the growth in upcoming years.

Here at Campus, our steadfastness and perseverance are anchored by 5 essential pillars, namely product innovation, design philosophy, omni channel presence, and innovative marketing capabilities, and our vertically integrated manufacturing system, with a digital transformation that strengthens our core and drives our momentum. These critical elements empower us to navigate challenges, amplifies our business expansion, and enforces us to stay ahead of the curve, thereby creating long-term value for our esteemed stakeholders.

Thank you. Now and I will hand over to our CFO - Mr. Sanjay Chhabra to take you through more details on the Quarter 2 and H1 FY25 performance. Over to you, Sanjay.

Sanjay Chhabra: Thank you, Nikhil. Good evening to everyone and thank you for joining us in the Q2 and H1 FY'25 Earning Call for Campus Activewear. Our operational revenue grew by 28.8% year-on-year to INR 333 crores in Q2 FY'25, largely benefited by higher distribution, which has shown around 30% growth, and online channel, around 36% growth. The company sold approximately 5.4 million pairs during this quarter, up 36.2% year-on-year. The average selling price stood at INR 622 in Quarter 2 versus INR 585 during Quarter 1, which is largely an open footwear season, and Rs.658 in Quarter 2 last year. The dilution in ASP was largely driven by higher schemes and promotions in distribution channels towards the retailers' needs, and also a part was attributable to non-BIS inventory liquidation in line with our inventory optimization strategy. We have been able to reduce our non-BIS inventory by 25% during the Quarter.

Page 3 of 17 Our overall inventory days have reduced from 126 days in Q2 FY24 to around 110 days at the end of the quarter in FY'25. Our gross margins were at 52.8% during Quarter 2 versus 53.3% in Quarter 1, marginally lower, driven by higher retailer-led trade spends.

Our EBITDA for Quarter 2 FY'25 was at INR 41.6 crores. The EBITDA margin stood at 12.3% during Quarter 2, owing to higher advertisement and promotion costs incurred for performance marketing and marginally higher online commission. PAT stood at INR 14.3 crores in Quarter 2 FY'25, and PAT margin was at 4.2%.

Our balance sheet continues to demonstrate strength and robust return ratios, such as return on capital employed and return on equity of 18.4% and 15.1% respectively, as of 30 September 2024.

With this summary, I will now conclude my remarks and open the floor to the moderator for the Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Hi, team. Great performance. Of course, this has come on the lower base, plus it has come at the cost of margin. So, my first question is, if there are some one-offs with respect to retailer meet or higher commissions given to them or higher online sales in the Big Billion Days, if you can quantify to get a sense of what could be a normalized margin, if there is a one-off cost involved, what was the quantum of that cost?

Sanjay Chhabra: Hi, this is Sanj

ay. If you look at our gross margin, the dilution in gross margin is only 50 bps. So, that is a reflection to this extent we had higher trade promotions and schemes for retailers meet. Of course, on the ASP dilution front, apart from the trade spends, the liquidation of non-BIS has also contributed. But as far as gross margin, 50 bps dilution, that is the quantification and secondly, on the A&P part, yes, we did spend around 1% higher in terms of advertisement and promotion and that is largely, I would say, phasing. We need to look at it from a full year or a longer or 6-month perspective because there is a bit of seasonality element. We did invest in September ahead of the season and we would be getting a return on that during October and November during the Diwali and festival season.

Priyank Chheda: Got it. Wonderful and clear. So, there were two guidance that we were guided. One on the EBITDA margin for the full year to be 17 to 19% range, as well as strategically with whatever actions on the growth side we are taking, we will maintain the ASP. So, anything that you would like to help us think about how FY'25 should be on these 2 guidances that were given?

Nikhil Aggarwal: Hi Priyank. So, we said last time that our endeavor is to deliver in those number ranges in terms of EBITDA margins. Of course, at the same time, strategically, we have also taken an initiative Page 4 of 17 to basically liquidate all of our non-BIS inventory within this fiscal year. We don't want to carry any such inventory over to next year. We don't anticipate any kind of material dilution effect, but there could be some because it is slightly older stock. So, to that extent, we would be looking at slightly lower margins versus the guidance that we have given, slightly lower on that side. But we do expect now that with the balance 2 quarters, obviously the base is larger in terms of revenue, so there should be higher operating leverage and margin inflow from the balance 2 quarters.

Priyank Chheda: Okay, got it. On the traditional channel, so we were targeting somewhere around 25,000 touchpoints by the year-end, where are we right now and we also were targeting to increase the billing from that each counter, which we were at around 3.5 lakhs per share by FY'24, where are we right now on that and as well as traditionally, we were weak in South and West. You did highlight in the last quarter that there were a few product gaps that you plan to bridge. How has been the progress on these 3 aspects? One is on the touchpoints, the increase in the share of each counter on the billing side, and the South and West. Thank you.

Nikhil Aggarwal: So, on the touchpoints, we have grown our total number of touchpoints from about 22,000, let's say, or 22,200 at the end of last quarter to about 23,000 at the end of this quarter. So, about 800-odd touchpoints have been increased. At the same time, we have grown our share. There has been a product mix, so with the right product mix in place, we have been able to grow our volume significantly over this entire channel at about approximately 44%, is the volume growth in the GTM channel, which has led to about a 36% value growth. So, there has been definitely an increase in per counter share, which has led to this kind of growth. So, our main objective for this quarter has been about placement, where we have a certain number of focused articles that we call them, which are priority articles or hero articles and the endeavor was to maximize the placement of those focused articles across this entire channel and that has been a very successful drive, which has led to a lot of this volume growth for the channel. In terms of geographical split, we are very similar to last quarter. We have been able to grow our West share from about 20.8% last quarter to about 24.4% this quarter for the West. Central is at 10% each in both the quarters. South has slightly de-grown in this quarter

from 5.1% last

quarter to 3.3%. That is primarily due to a bit of a seasonal effect because of the open category being phased out in Quarter 2. Open category sells the most during Quarter 1 as a seasonal product. So, that is the only thing. Otherwise, everything else remains the same in terms of business and the geographical split.

Priyank Chheda: Amazing. Just a last question on the few other strategic areas that we were focusing with respect to sneakers, women's portfolio, how has been the growth in that, if you can highlight?

As well as I do see that our NPDs and the number of launches has seen a step up growth, so what has been the contribution from such NPDs? How do you define the NPDs when you track such a large number of new additions, new articles getting added? So, how do you track the NPDs for the full year and their contribution in the revenue?

Page 5 of 17 Nikhil Aggarwal: NPD's let me take your second question first. NPD's are track basis the placement, right? So, of

course, there is a certain number which strategically I will not be able to talk about on this call as that's the strategy for the company, but there is a certain contribution that we target from NPDs every quarter and even this quarter, like we have launched about 87 new styles. Those have really done well and we have had a very good response. So, that has again also added to this volume growth.

While coming back to sneakers, among those 87 styles, a lot of them, I would say at least 30% are about sneakers, the new sneakers that have been launched and it has also received an overwhelming response. Even in terms of the new expansion plans that we just mentioned in terms of Haridwar and our Gannaur plant. The expansion is mainly to do with the sneaker range. So, that will help us expand the capacity to produce even more volume of higher quality sneakers in the coming quarters. So, that's where we are in terms of initiatives.

Again, our another initiative that focus area is about the demographics in terms of men, women, so very happy to say that we have grown our share of women by another percent. So, right now, the status is about 78% and 22%. Approximately 78% men, about 14% women and balance from the kids range. So, the overall share has gone up from let's say 21 to 22% for women and kids put together.

Moderator: Thank you. Next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: My question was more on primary and secondary sales. So, last year, we had seen that in third quarter, we had seen some restocking in some states where you have taken channel inventory correction and given that there's an early festive this year, and you spoke about the retailer mix as well. Do you see any kind of headwind for primary sales in the December quarter, particularly in the MBO channel?

Nikhil Aggarwal: Hi, Umang. No, not at all. In fact, see Quarter 2 was a lot about primary placement, as we did see consumer sentiment being subdued at the tertiary level. But given for Quarter 3, it is like, it is back on track and the markets have opened up. So, we don't see any tertiary issues at the moment and a lot of the placement that was done during the end of Quarter 2 has basically materialized and, we are now basically looking at replenishment of those orders and repeating the orders for those placements. So, no issues in terms of primary as well.

Umang Mehta: Understood and that is very encouraging. Second thing was on A&P. So, given that you have signed these 2 ambassadors, and you spoke about the TV campaigns, on an annual basis, would you be able to share any percentage, which you're looking at? You spent around INR 108 crores last year on A&P. How much growth can we expect from these initiatives?

Page 6 of 17 Nikhil Aggarwal: No, we cannot quantify this. These are actually building blocks for the brand, right. These are, like in terms of spend, it will be pret

ty much the same as last year, in terms of the overall A&P spend. But in terms of quantification of the growth in business from these initiatives, that would be, I would say it is a longer term initiative. It takes time to constantly build a brand and grow it over time. So, this would not be ideal to quantify it at this stage.

Umang Mehta: Understood and this is my last question on performance marketing, given that you called out that it was higher this quarter. Now, again, if I go back to the base quarter in 3Q, we had to recoup the sales lost in B2B, we increased the performance marketing spend, which I weighed on your EBITDA margin in 3Q last year. Given the phasing of Big Billion Day this year, that should not recur, right, this year?

Sanjay Chhabra: We should see margins normalize in 3Q in that sense. Would that be correct? That's a right interpretation. I mean, because of the Big Billion Day falling in week 4 of September, so we could not get the fullest ROI. I mean, most of the improvement in top line would get reflected in the next quarter. However, we had to do the investments up front.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Thank you for the opportunity and congratulations on the strong revenue growth number. Sir, my first question is with regards to these spends that you mentioned on the trader meet, etc. So, one would be giving them discounts on the product price, but would not the trader meet expense would be accounted in the other expenses rather than the gross margins? Please correct me if I am not interpreting it in the right way.

Sanjay Chhabra: Gaurav, a typical accounting question. I mean, if I do a spend it gets accounted in other expense or in sales promotion, but if I support my distributor through a credit note, then it is a reduction to the sales and hence a lower ASP and lower gross margin.

Gaurav Jogani: Okay. Got it. So, sir, related to this given that there is a focus of clearing the BIS inventory, the non-BIS inventory this year rather FY'25, would it be prudent to estimate some contraction in the gross margin at least for this year and maybe once things normalize and restore, the gross margins could restore and hence we can restore the guidance also of the 17-19% that we have given earlier?

Sanjay Chhabra: Yeah. It is now 9 months down the line, so we are not left with too much of non-BIS inventory. However, in a phased manner, we are trying to sort of liquidate the entire inventory by FY'25, which means we are targeting that as of March 2025, we should not be sitting on anything which is produced prior to December 2023.

Page 7 of 17 Gaurav Jogani: Sure and, sir, the last question is if you can highlight some of the initiatives that you have taken over the last one and a half years just to drive the growth across the various channels and what you have done in terms of restoring growth and additionally, if you can also help us to quantify or not quantify rather, help us out how BIS, once the non-BIS inventory is out, how this measure can help the company as a whole? That could be helpful.

Nikhil Aggarwal: Sure, Gaurav. So, this growth is definitely not a one-quarter phenomenon. It has come on the back of several initiatives we have taken over the last few quarters. So, I am very proud of the new team that has been put in place now after a lot of restructuring that have happened over the last few quarters. So, one is on the back of that. Second is a lot of these initiatives in terms of strategies across the distribution channels, more placement, more focused articles with

higher volume throughput for each article very focused. This is – basically, we are going for very high-efficiency execution across GTM, across all the channels rather and then new channels have also been incubated, right, in terms of more stores in terms of LFS, like Lifestyle, R

eliance Trends. We are also focusing on starting off exports, for example. So, incubating that is right in the process and so there have been several initiatives which have been taken both at the product level and at the geographical channel level demographics. We basically cater to all the pillars that would lead to sustainable growth going forward and in terms of BIS, we have been very, very positive and very happy with the way the Chinese imports have basically largely been dried up. We also get to know from our channel checks that there has been absolutely no Chinese finished goods import over the last 9 to 10 months in the country today, largely due to the non-BIS regulations. So, we do anticipate that over the next maybe one or two quarters, this entire non-BIS inventory would sort of dry up, and that is when the domestic brands across the country would benefit from this.

Moderator: Thank you. The next question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.

Videesha Sheth: My first question was on the ASP. While for FY'25 it would be impacted as we are trying to liquidate the non-BIS-compliant inventory, but from a long-term basis, how are you looking at the trajectory to shape up?

Sanjay Chhabra: Hi, Videesha. So, we may end up – I mean, this year would not be a year wherein we will see a step of growth in ASP, but from a longer-term perspective, we would continue to go with the trend of perhaps neutralization or we will add the NPDs, which are more trendy and likewise, we can command the premium and ASP eventually would go up. I mean, it would be a part of strategy that there would be certain core items in the distribution channel to drive volume. At the same time, we will be displaying a wider range of our articles in the other channels, which include the large-format stores, the online and our brand.com and our exclusive outlets. So, these channels would continue to help us drive the premiumization and, hence, realization of higher ASP. Having said that, I mean, it would start from the product strategy per se, wherein Page 8 of 17 certain percentage of our products would be developed in the premium range to help us continue with the strategy.

Nikhil Aggarwal: Just to add to that, Videesha, like we do see an opportunity gap in the market in terms of the premium price points, which is INR 1500 plus to about, let's say, up to INR 2,500-3,000 range and there is a significant gap there in terms of availability of high-quality shoes at these price points and we are completely committed to delivering a stunning premium range as well and it would be a combination of sneakers, sports shoes, all kinds of categories. There is no category in terms of sport shoes apart from, obviously, leather shoes. We do not do leather, but every other category would be touched even in these price points.

Videesha Sheth: Got it and, second, on the capacity expansion, by when do you expect it to get commercialized?

Nikhil Aggarwal: I think conservatively by end of Quarter 4.

Moderator: The next question is from the line of Giriraj Daga from Visaria Family Trust. Please go ahead.

Giriraj Daga: So, my first question is related to our non-BIS comment. So, if I possess a like-to-like realization, what should be the call-out for? Like to like, how much decline on growth or what we witness in the realization for Quarter 2?

Sanjay Chhabra: It is your question that to what extent the ASP dilution is

Giriraj Daga: Correct.

Sanjay Chhabra: So, that would be in the range of 8 to 10 rupees per pair.

Giriraj Daga: Okay. So, we had about 5.4% was our decline roughly, 5.5%. So, roughly, you can about 1.5% came from the non-BIS mark.

Sanjay Chhabra: Yeah.

Giriraj Daga: And rest because of the mix, channel mix?

Sanjay Chhabra: Rest because of the higher schemes in the distribution channel just to drive the retailer's needs and also remaining portion would be because o

f mix.

Giriraj Daga: Okay. My second question would be on your channel expansion. You mentioned about 23,000 touchpoints. If I look at it for a 2-3 years perspective, like what is the total time you are addressing here? Like, can this 22,000 go to 40-50,000 or what is the outlook there for the 2-3 year perspective?

Page 9 of 17 Nikhil Aggarwal: So, we have a universe of, and I am talking about close shoes because the overall universe is close to 60-70,000 retailers in the country. But that also includes very low value clippers, which is the starting point. If we talk about close shoes, there is a universe of about 40-45,000 outlets of which the top 23,000 are the ones that we are catering to at the moment. But over time, like over the years, we will continue to add on at least 5-10% new outlets every year as we also have a big opportunity to continue to gain market share in each and every outlet with both the initiatives that we run hand in hand.

Moderator: Thank you. Next question is from the line of Prerna Jhunjhunwala from Elara Capital. Please go

ahead.

Perna Jhunjhunwala: My first question is on how do you see the demand now in the second half, given that the first demand is robust in the country and other categories. So, how do you see the demand going forward?

Nikhil Aggarwal: The demand has definitely opened up as compared to Quarter 2 as the festive season, and this was expected as well. So, at the moment, I would say that we are happy with and satisfied with the way the demand has shaped up in Quarter 3.

Perna Jhunjhunwala: How do you think the festive sales been for you?

Nikhil Aggarwal: Encouraging. It was good.

Perna Jhunjhunwala: Okay and given that there is a mix dilution in Q2, how do you see the mix improvement coming? Do we see this mix improvement coming in the second half or it should be a more longer-term thing that will happen?

Sanjay Chhabra: We see some bit of improvement coming in through – I would say that the retailers meet was an event which was specific to Q2, would not be at this scale in Q3. So, to that extent, our ASPs and margins would improve. Likewise, non-BIS liquidation, of course, that's an event that may not be to the extent of 10-12 rupees in Q3 and Q4, difficult to quantify. But, yeah, retailers meet is an event which from a controllable factor, yes and otherwise, organically, from a business perspective, when we move to Q3, it is more of closed footwear, higher sale of shoes, and as the ASPs improve by virtue of seasonality.

Perna Jhunjhunwala: Will it be possible for you to quantify the non-BIS inventory liquidation for us to just have an understanding on how much will be the effect and how long?

Sanjay Chhabra: A bit difficult to quantify at this point in time. However, it's not a sizable chunk. I mean, we have moved past 9 months since the BIS implementation at our factory, 9 or I would say rather 10 months because first of December or mid of December, we implemented BIS and so, difficult to give you exact numbers, but we are left with a very small portion.

Page 10 of 17 Perna Jhunjhunwala: Okay and what will be the revenue growth and margin guidance for FY'25 and beyond?

Nikhil Aggarwal: Sorry, I would refrain from giving any guidance. We have shared quite candidly in terms of the building blocks for the rest of the year and what we expect in terms of non-BIS as well. So, we do expect, I can just tell you that we certainly expect much superior margins to last year overall at the end of the year.

Moderator: Thank you. The next question is from the line of Ankit Kedia from PhillipCapital. Please go ahead.

Ankit Kedia: Sir government is talking about Indian footwear sizing. Do you think that is going to have a positive impact given that more and more manufacturing is happening in-house for you now?

Nikhil Aggarwal: Absolutely. It is something that can have a materially positive impact, but it would take time

. We believe that something like this does not happen overnight in terms of a transition and the effect of it. But yes, overall, on a long-term basis, it should have a positive impact. As the consumers, there would be one size and the consumers would have more, let's say, visibility and more comfort in terms of the sizing when they are selecting any product.

Ankit Kedia: And do you think unorganized market back then, given that government has been a leeway to a lot of unorganized players in terms of revenue threshold and that is where some of the brand players like yourself can really disrupt the market at a lower price point and at the premium level?

Nikhil Aggarwal: Well, you know, we don't necessarily compete with the unorganized segment because their product offerings and the quality and the strategies are vastly different from organized players like ourselves. So, we would like to just continue to focus on the initiatives that have been working well for the brand and just keep building on that. That is the long-term objective. So, I do not see any, honestly, any kind of threat or issues from any unorganized players in the market.

Ankit Kedia: And sir my last question is on the EBO channel. If I look at D2C offline, the growth has tapered a bit in the last couple of quarters. Is it because the number of EBO growth is a bit moderate or is it to do with the general demand environment being slow?

Sanjay Chhabra: Yeah, it's largely due to the subdued demand in the market. We have tapered growth and the opening of new stores accordingly. But as we believe that the demand is picking up, we will certainly expand the store opening more, accelerate the store opening from now on.

Ankit Kedia: So, what is the target EBO we are targeting for FY'25?

Nikhil Aggarwal: It would be difficult to comment at this point as it is, largely dependent on the availability of the right location. It is very important to not go just after a certain number when you are

Page 11 of 17 opening EBOs, but you need to be in the right place and the right PGs, the right geographical site. So, that is more important at this point. But we do endeavor to open about 70 to 80 stores every year.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Sir, sorry for persisting on this, but this non-BIS inventory must have been declared by you to the government, right? So, any specific reason for not calling this out because this must be

ready with you, right?

Sanjay Chhabra: Yeah. Any specific reason, meaning we would have these inventories, both some at our warehouses and some in the distribution channels. So, it depends, like, to what extent we need to – first is we need to push it out from our warehouses and then if at all required, we need to see that in the distributors' place, such inventory is not stuck up and we are not sitting on inventory days beyond certain defined norms, which we monitor through the DMS.

Devanshu Bansal: Okay. But out of this INR 475 odd crore of inventory that is there on your books, can you sort of call out, as in, how much is the leftover non-BIS inventory?

Sanjay Chhabra: Well, we can call out our inventory, but we cannot quantify what is sitting in our distributors' network or distributors' channels, which are non-DMS partners, right? So, at an overall level, I mean, it becomes difficult to give a number. However, since – I mean, as we are – with every passing month, such inventory is getting reduced and as I said that the ASP dilution was to the extent of 10 to 12 rupees, which is just 2 percent. So, it's not a very big number to concern us. Yes, it is a bit dilutive on ASP, and it will be there for, let's say, two more quarters max.

Moderator: Thank you. The next question is from the line of Varun Gajaria from Omkara Capital. Please go ahead.

Varun Gajaria: So, I just wanted to understand, what

is the commission component in our other expenses? I

am sorry if I've missed that earlier. What is the commission component in our other expenses ahead and how does it stack up YoY?

Sanjay Chhabra: Okay, online commission is ranging between 6 to 10 percent depending on the portals and again, it becomes very difficult to put a specific number if you are looking at. It is 6 to 10 percent of our online sales, online marketplace sales.

Varun Gajaria: Okay, so what has largely been in the other expenses? It seems we are up 11 percent YoY.

Sanjay Chhabra: Okay, in other expenses, we have the freight and warehousing fees, the online commission fees, and all other SG&A admin expenses, which includes travel, CSR, and provisions for receivables, inventories, and all that stuff. If you are referring to, of course, this quarter, this Page 12 of 17 quarter we have shown a 9 percent growth in marketplace. So, correspondingly, online commission will also grow because of the volume impact and there is an element wherein the mix will play, I mean, which portal we are selling higher. So, versus last quarter, the online commission is higher by around INR 2 to 2.5 crores.

Varun Gajaria: Okay, got it and sir how is the demand now looking?

Nikhil Aggarwal: We already answered that question that demand has opened up compared to Quarter 2.

Moderator: Thank you. The next question is a follow-up question. It's from the line of from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Sir December quarter seems to be contributing almost a one-third of our total sales for the annual revenue that we target and in the past 2 years ago, we did touch upon 7 million pairs in a quarter of December 2022. How do you see this panning out as far as December 2024 goes? What are the internal targets that you are thinking of to beat the previous peak?

Nikhil Aggarwal: Yeah, Priyank, that will go into the guidance. So, I would refrain from giving any guidance for the quarter. But like I have mentioned, a couple of times on this call that we have certainly seen demand opening up at the tertiary level and given the initiatives and that we started early in terms of the retailers meet and the placement drive, we certainly see a good, let's say, replenishment and repeat orders coming from those initiatives. So, we do not see any issues in terms of both primary and tertiary sales for Quarter 3 going forward. That should contribute to a decent Quarter 3, I would say.

Priyank Chheda: Perfect. Sir, in D2C online, how has been the growth for marketplace as well as for O2O? And as far as O2O goes, which is into a D2C online O2O, there was a destocking, which we called out, which has bottomed out at Q1. So, have we started seeing sales picking up? Have we reached to around INR 30-35 crores of sales per quarter in that channel also?

Sanjay Chhabra: Yeah. I mean, overall, we have seen the sales both value and volume to grow in 2 of our biggest channels, online and distribution. So, online also, in the earlier call, I mentioned that our Q1 was the last quarter wherein we had the impact of higher base, and that stands corrected. So, now from this quarter onwards, we are showing a growth in B2B and O2O. O2O, by and large, I would say that now is sort of non-existent, very small portion. It is largely B2B wherein we do outright sales to some of the portals, and versus last year, we have shown growth in that as well. So, we have grown in marketplace by around 9 percent, but in the outright, we have grown at a much higher rate.

Priyank Chheda: Okay. So, when we say about phasing of performance marketing spends, what we really mean, sir, in that way?

Page 13 of 17 Sanjay Chhabra: It is like in marketplace, I do invest for a particular month, but whatever sales happens in the last few days of the month, there is an element of GIT, and that does not get recognized as a sales, whereas I have done

e the marketing spends, right? So, it is a normal course, but when

those last 4 or 5 days is a Big Billion Day period, then a big number goes and sits as a GIT, right?

And I, from an accounting perspective, I tend to recognize that sales in the subsequent month, and in this case, subsequent quarter.

Priyank Chheda: Got it. Clear and just last question on non-BIS inventory. It can be the case for the industry as well, where the inventory would be higher, and at least MCA data suggests that Chinese imports are on the rise, at least in September quarter they have risen in terms of absolute, in terms of total rupees imports that we do, just before the deadline was ended, and then the non-BIS inventory deadline was also extended to June 26. So, if it is the case for industry, would it also impact the non-BIS inventory ASP for you, till the time industry also liquidates the non-BIS inventory?

Nikhil Aggarwal: So, just a small correction there. The MCA has given time for the non-BIS liquidation till July 2026 to the entire industry, but the imports were banned from China for finished goods starting November, I believe November or October last year. So, since then, no finished goods have been imported in the country. Only SFG to some extent, like upper or sole or some raw material is basically being imported from China. Having said that, we do not anticipate the ASP dilution like what Sanjay just mentioned in terms of 1 to 1.5%, or let's say maximum 2% ASP dilution on account of non-BIS goods. We do not anticipate any dilution further than that on account of that.

Moderator: Thank you. The next question is from the line of Aliasgar Shakir from Motilal Oswal. Please go ahead.

Aliasgar Shakir: Nikhil, my question is on the margin. So, if I understood correctly, you mentioned that FY'25 margin should be higher than FY'24 margin. Now, one which I observed that we are about 140 bps down, so does that imply we should probably then in that case do a nearly about high teen margin in the H2, which obviously also gives the operating leverage because of the higher revenue base?

Nikhil Aggarwal: That's right. Without commenting on specific margin percentage, your interpretation is correct. The second half definitely contributes to much higher margins than first half.

Aliasgar Shakir: Got it and a quick clarification on the revenue side. Now, I know you don't want to give guidance, but this quarter we did excellent growth thanks to also a low base of last year. So, in that context now, I mean, 3Q wise the base will be obviously good given that it is a seasonally strong quarter. But should we expect kind of similar trends to continue or probably this quarter was benefited because of the lower base and therefore we should not extrapolate that?

Page 14 of 17 Sanjay Chhabra: Yeah, certainly. I mean, this Quarter 2 had a benefit of lower base, which got corrected and of course, there was an element of strong execution as far as distribution is concerned through both having organizing retailers meet and driving product placement. So, to that extent, I would say that we have by and large tried to cover the gaps in our execution and got our fair share in the market and going forward, we would continue to sort of build on this, whatever good work we have done on the ground. However, I would just like to say that 30% growth is a number which you cannot have that quarter on quarter.

Aliasgar Shakir: Yeah, that's true. But in the past, we have been talking about double-digit growth. So, this particular quarter did double-digit growth after probably 7 quarters. So, does that trend of double-digit growth now trajectory that we have seen in 2Q that at least should continue?

Nikhil Aggarwal: It's the guidance again, but see, all the building blocks will certainly help us a lot. So, the endeavor is that only. I would just want to give you some comfort that that is the endeavor. The rest we of course need the

markets to support, which certainly the macros have improved in the country in Quarter 3.

Moderator: The next question is in the line of Rajiv Bharti from Nuvama. Please go ahead.

Rajiv Bharti: Sir, just we are hearing that there have been collection issues from the trade side in the business. We do not see that in your numbers. But are you hearing something of similar order in the competition, sir?

Nikhil Aggarwal: Our collections, in fact, our DSO days have come down from, I believe, 35 to 30 days in Quarter 2 end.

Sanjay Chhabra: I would just put that we do have a strong system in place to monitor our receivables, our overdue receivables, and I mean to restrict our exposure. The later part of your question that are you hearing this from competition, we would refrain to comment on that. But as far as we are concerned, we do have systems in place how to deal with a customer with overdue outstanding. I mean, we don't overexpose unduly just to pump in the inventory.

Nikhil Aggarwal: So, just to add to Sanjay's point, like the sales have not come on the back of pump and dump. We can just say that.

Rajiv Bharti: And on the online, what is the credit you extend? Because you said the growth is higher there.

Sanjay Chhabra: Online marketplace, they pay immediately after the replacement or no-question-asked return period is over. So, which is largely, I mean, the agreed credit days is 21 days, and we do collect within 30 days.

Moderator: Thank you. The next question is from the line of from the line of Prerna Jhunjunwala from Elara Capital. Please go ahead.

Page 15 of 17 Prerna Jhunjunwala: I just wanted some details on the CAPEX that you mentioned in the beginning of your

commentary that you are undergoing a CAPEX of 35 crores. Could you please highlight what will be the capacity expansion or backward integration initiatives that you are taking over here?

Sanjay Chhabra: This would be a combination. I would say that the capacity expansion would be to the extent of 10 to 12 odd percent as far as the backward integration is concerned.

Perna Jhunjunwala: So, it will be net capacity addition or it will be just backward integration?

Sanjay Chhabra: It will be a backward integration. It is more the component capacity addition.

Perna Jhunjunwala: Okay and net capacity, 35 million, continues to remain there?

Sanjay Chhabra: That continues to remain there, and in the event of season, we can look at a small investment to de-bottleneck whichever, I mean, units Dehradun and Baddi wherever we need to unlock some of the capacity. To that extent, we have the flexibility.

Perna Jhunjunwala: Okay and this 10 to 12 capacity is similar for upper and sole board, or is it different?

Nikhil Aggarwal: Yeah, it's at the moment. So, there are both the projects in the pipeline for both upper and sole. There would be capacity expansion in both these areas. On the upper side specifically more for sneakers, to make high-quality sneakers and sole is a regular expansion of the entire sole project, the sole plant that we have in Gannaur. So, addition of basically.

Moderator: Thank you. The next participant is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Nikhil, I heard that marketplaces grew by 9%, which means that B2B outright more than doubled on a YoY basis. Our understanding was that you all were deep prioritizing B2B channels or greater control on pricing. I just wanted to understand what has changed here.

Sanjay Chhabra: Thank you Umang. So, nothing much has changed except for the Big Billion Day, as explained earlier. So, the lower growth in marketplace is only a reflection of timing of Big Billion Day. Had it been during September, mid of September, we would have been able to recognize the entire sales. But as I said that it was in the last week of September, so large part of the Big Billion Day sales was sitting in GIT in our books.

Umang Mehta: The entire Big Billion Day is on outright basis. The Big Billion Day model is on outright basis for you completely.

Sanjay Chhabra: Umang, I am just helping you understand that it is not that outright has grown and marketplace has shown a slower growth. Marketplace would have shown a decent growth had the Big Billion Day timing would have been different.

Page 16 of 17 Umang Mehta: Understood. Sure and just one thing if you can help with. So, this quarter has several one-offs and different aspects kind of impacting margins. Would you be able to share any clean EBITDA margin print? I mean, just so that we anchor ourselves to a cleaner number.

Sanjay Chhabra: Again, I already explained that the one-off was a retailer's meet and if you see the gross margin dilution that is only to the extent of 0.5% on INR 333 crores is roughly INR 1.5 to 2 crores. So, to that extent and to the extent of non-BIS liquidation, it would be again in the similar range, I would say around 80 lakhs to 1 CR. So, to that extent, it's one-off. So, 1% is the one-off. Rest, whatever you see in the EBITDA margin, lower EBITDA margin is driven by phasing of ANP spends, phasing of CSR and all. So, all these things, I mean, on a quarter-on-quarter basis, these are moving pieces. I would suggest that a full year view would be a more relevant view.

Moderator: Thank you. The next question is on the line of from the line of Ankit Kedia from PhillipCapital. Please go ahead.

Ankit Kedia: Sir, just one question on for BIS-compliant inventory, we are doing more type 1 inventory in the market. Is the retailer educated enough to train the consumer that our product is more superior versus unorganized or versus competition? How are we educating that or charging a premium to a consumer for type 1 inventory?

Nikhil Aggarwal: So, it is about the brand and legacy of the brand. Campus has been there in the market for the last almost 25 years now, so it is about the comfort and the trust and experience of the distributors and retailer partners. They trust the brand. They know us very well. They know the quality, the designs of the shoes. They know that Campus stands for excellence in quality along with the latest in design, quality material, trends across, bringing them first to the country from across the world in very reasonable price points. So, it is nothing that is out of books for them and it is very easy for them to sell this to the end consumer.

Ankit Kedia: Do you think you can manufacture type 2 inventory also at a lower price point to compete with the unorganized market and buy volumes? I said that do you think you want to manufacture type 2 inventory at the lower price point to compete with unorganized market to gain market share and buy volumes?

Nikhil Aggarwal: We can, but it would, you know, just dilute the ASP and we do have the starting price points of 899. That is where we start selling the shoes from. I am talking about men closed shoes, sports shoes and going anywhere less than that would further unnecessarily dilute the ASP. So, we take a very calculated call in terms of the number of pairs that we need to sell for each and every price point so the overall ASP can be maintained. We do not want to also further dilute the brand because going anything lower than that also unnecessarily dilutes the brand.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. On behalf of Campus Activewear Limited, that concludes this conference. Thank you for joining us

Page 17 of 17 and in case of any further queries, please reach out to Campus Activewear's Investor Relations

team at [ird@campusshoes.com](mailto:ird@campusshoes.com). You may now disconnect your lines. Thank you.

## Call: Feb 2025

15th February, 2025

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring, Rotunda Building,  
P. J. Towers, Dalal Street,  
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SCRIP CODE: 543523 National Stock Exchange of India Ltd.  
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Mumbai – 400 051

SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 –Transcript of the Earnings Call held with Investors/Analysts

Dear Sir,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Investors/Analysts on 11th February 2025 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com)

This is for your information and records please.

Thanking you

For CAMPUS ACTIVEWEAR LIMITED

Archana Maini  
General Counsel & Company Secretary  
Membership No. A16092

Encl: As above

Archana  
MainiDigitally signed  
by Archana Maini  
Date: 2025.02.15  
12:59:14 +05'30'

Page 1 of 18 Campus Activewear Limited  
Q3 FY25 Earnings Conference Call  
February 11, 2025

Moderator: Ladies and gentlemen, good day and welcome to Campus Activewear Limited Q3 and 9M FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" and then "0" on your touchtone phone.

Before we proceed on this call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties, and other factors. It must be viewed in conjunction with our business that would cause future results, performance, or achievements to differ significantly from what is expressed or implied by such forward-looking statements.

The Campus Activewear management team is represented by Mr. Nikhil Aggarwal - Whole Time Director and CEO, and Mr. Sanjay Chhabra - CFO. I now hand the conference over to Mr. Nikhil

Aggarwal - Whole Time Director and CEO for his opening remarks. Thank you and over to you sir.

Nikhil Aggarwal: Thank you. Good evening everyone. We appreciate your presence at our Q3 and 9M FY25 earnings call today. The company continued its growth momentum displayed in Q2 FY25. We achieved the highest ever quarterly revenues of INR 514.8 crores, largely attributed to our aggressive distribution drive strategy and our high online sales benefiting from the festive season, thereby navigating a challenging macro environment. Our revenue surged by 9.1% Y-o-Y, in Q3 FY25 led by strategic focus towards multiple initiatives for gaining market share, like reach expansion in our key markets, a 116% growth in our sneaker category and the new multimedia marketing campaign, amongst many others. The company has registered double digit growth in key states in North Central and West. Additionally, we have made a swift foray into the focus Southern markets through scaling up our online presence. We have strengthened our product portfolio by launching 69 new articles during the quarter and new SKUs for women category, resulting in an improved product mix catering the diverse needs of the Indian families for every occasion.

During the quarter, we have added six new stores across India, taking our total EBO count to 290. We have embarked our presence on Zepto during the end of the quarter, thereby satiating our customers presence with prompt delivery convenience through quick commerce. And our Page 2 of 18 brand is also getting traction in premium, large format stores across the country. Our gross margin for the quarter stands at 51.2% marginally lower as against 51.4% in Q3 FY2

4 versus Q2

FY24 owing to the raw material price inflation. EBITDA margin has expanded by 440 bps Y-o-Y, from 12.2% to 16.6% primarily due to improvement in debtors and inventory health, which is basically lower provisioning, reflecting better working capital management.

Campus Activewear forged a profound and enduring engagement with its core demographic through a 360 degree Move Your Way campaign, prominently showcasing our brand ambassador, Vicky Kaushal to resonate and captivate the market. During the quarter, we reached out to all our consumers through a multimedia strategy, including TV, digital media, print, outdoor and visual merchandising campaigns. We would like to share key updates in our capital expenditure journey as well. The CAPEX for the sole manufacturing unit at our Gannaur facility was completed in Q3 FY25. Furthermore, we anticipate the completion of our Haridwar facility dedicated for manufacturing state of the art uppers in Q4 FY25 with commercial production projected to commence from March 2025.

We persist in our endeavor to maintain a competitive edge through a data driven strategy that allows us to actively track and adapt to evolving consumer trends, preferences and pricing dynamics, ensuring our product portfolio is consistently attuned to market needs. Thank you. And now, I hand over the call to our CFO, Mr. Sanjay Chhabra to take you through more details on the Q3 and 9M FY25 performance.

Sanjay Chhabra: Thank you, Nikhil. Good evening everyone, and thank you for joining us for Q3 FY25 earnings call of Campus Activewear. Our revenue from operations grew by 9.1% year-on-year to INR 515 crores in Q3 FY25, largely benefited by higher distribution, which registered a growth of around 9% and online channel which showed a revenue growth of around 11%. The company sold approximately 7.6 million pairs in Q3 FY25 up 10% year-on-year. The average selling price stood at around INR 675, in Q3 FY25 a drop of 1% year-on-year, driven by higher saliency of accessories and socks. Footwear ASP remained flat at INR 683 per pair.

Our gross margin for the quarter was at 51.2% versus 51.4% in quarter three FY24 showing a drop of 20 bps, marginally lower, driven by raw material price increases. On a quarter-on-quarter basis also our gross margin dropped by 140 basis points driven by raw material price increase, adverse mix and liquidation of non-moving BIS inventory. The revenue mix between men and women and children categories stood at 81.3% and 18.8% in Q3 FY25 versus 80% and 20% in Q3 FY24, driven by higher sales of sneakers in men category. Our EBITDA for Q3 FY25 was at INR 85.9 crore. The EBITDA margin expanded by 440 bps year-on-year to 16.6% owing to a normalized SG&A. So last year we had a couple of provisioning towards inventory and doubtful debts. So current EBITDA margin is at a normalized level. PAT grew by 86.7% year-on-year to INR 46.5 crore and PAT margins expanded by 370 bps year-on-year to 9%. Our balance sheet continues to demonstrate strength with robust return ratios such as return on capital employed at 22.1% and return on equity at 17.5% as of 31st December 2024. With this Page 3 of 18 summary, I will now conclude my remarks and open the floor to the moderator for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press “\*” and “1” on their touchtone telephone. If you wish to withdraw yourself from the question queue, you may press “\*” and “1” again. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Thank you for taking my question, Sir. So, my question is regarding the gross margin decline. I

mean, we can see the gross margin being declining b

oth sequentially as well as on a Y-o-Y basis.

So, if you can highlight, which particular RM did you see inflation, and what are the steps we are taking to mitigate this. Also, if you can quantify the impact of the liquidation of the non-moving BIS inventory on the RM and the adverse mix that you highlighted?

Sanjay Chhabra: Hi, good evening Gaurav. Just to highlight one more number here on a YTD basis for nine months, the overall gross margin drop is just 50 bps. We have been seeing the input price increase in the quarter wherein we had to take or rather we had to give a price increase to our suppliers in the fag end of last quarter. This quarter we saw one of the component called TPU price increase primarily due to countervailing duty imposed, customs duty imposed. It was a conscious call on our behalf not to pass on the prices to consumers. But we have taken selective price increases in November and also in Jan beginning, because we see that we will be able to mitigate part of this price increase or pass on this price increase to the consumers in the last quarter. That will help us to mitigate a bit of the gross margin drop, which is somewhere around 50 bps on a YTD nine month basis.

Gaurav Jogani: Sure. Sir, if you can also highlight the impact of the non-moving BIS inventory liquidation at the adverse mix please?

Sanjay Chhabra: So as far as the BIS inventory liquidation is concerned, that impact is in the range of anywhere between 20 to 40 bps, depending on in the last three quarters. So, it varies depending on article-to-article. But as I said, that on a regular basis it's 50 bps. So, it's a combination of the mix the non-BIS component and the raw material price increases which we have not been able to pass on.

Nikhil Aggarwal: From next year, we see the margins normalizing as we intend to liquidate majority of our non-BIS inventory within by March end.

Gaurav Jogani: So, actually my question was that only, is the entire non-BIS inventory now over or there will still be some impact in....

Page 4 of 18 Nikhil Aggarwal: We have less than 10% of our overall inventory in terms of finished goods, accountable to non-BIS inventory, which is a very small number, much manageable number. So we do expect that by March end we should be sitting on a non-significant non-BIS inventory.

Gaurav Jogani: Sure. And Nikhil the next question, is with regards to the other expenses also. We have done a quite a bit improvement in terms of the absolute other expenses not increasing. But if we look at the ad spends per sale it was in this quarter around 10.8% out of the entire scale. So, any guidance on an annual basis if you can give on the advertising spends that we are wishing to keep in what range. So, anything here?

Nikhil Aggarwal: Sure, Gaurav. So, actually, the A&P spends are, in terms of absolute value, absolutely flat with respect to quarter three last year, on a Y-o-Y basis, in spite of the growth in the sales. So our overall numbers for the year will be trending in a similar range, like 7% - 7.5% is what we have been trending at, and we don't see any increase in A&P spend for the entire year. For quarter three, sorry just to add so for quarter three whatever we spent in A&P is absolutely flat in terms of absolute value. So as a percentage it has actually gone down versus last year in quarter three.

Sanjay Chhabra: And Gaurav just to add, quarter three our A&P spends are relatively higher considering the seasonality and festival.

Gaurav Jogani: Sir, and just last bit, the employee cost bit also, we can see that that also is not increasing very materially now either on a sequential basis and we understand that, you have spent the employee expenses ahead of time towards team building, et cetera. So how should one build in the employee cost?

Nikhil Aggarwal: Gaurav your voice is muffled. Can you please repeat the question?

Gaurav Jogani: Yes, Sir so I was speaking a

bout the employee cost, if you look at the employee cost as well,

that's been quite under control and what we have been hearing from our interactions is that, you have spent on team building exercise ahead of the time. So how should one look at the employee cost going ahead?

Nikhil Aggarwal: Okay. So, we don't anticipate any significant addition to the employee either head count or the cost overall. We did, we have been investing ahead of the curve in terms of the employee count, and we believe that with volume like what we have seen in quarter three, with good volumes even going forward we should be able to bring down the employee cost as a percentage. And so, we don't anticipate a significant movement in this cost, at least for a few quarters going forward, like we don't see anything in the short term or medium term.

Gaurav Jogani: Sure, sir. Thank you for answering my question, I will come back with few more questions.

Nikhil Aggarwal: Thank you.

Page 5 of 18 Moderator: Thank you. The next question comes from Videesha Sheth from Ambit Capital. Please go ahead.

Videesha Sheth: Hi, good evening. I hope I am audible. Just two small questions from my side. One from the growth perspective, especially in the trade distribution channel, was growth led by primary sales, or was it more tertiary off take that you saw, and is it fair to say that travel inventory at overall level is improving for you?

Nikhil Aggarwal: Hi, Videesha this quarter, it was like on the distribution front, it was very focused in terms of secondary sales. So, there was a very small gap between our primary sales and secondary sales.

We were more focused towards replenishing. We are happy to share that most of our distributors are now on the DMS thing, so we are able to sort of execute the replenishment thing more efficiently. And also, as far as our distribution network inventories are concerned, they are in a healthy around 80 to 90 odd days at a pan India. There is no increase in there. Sanjay Chhabra: There is no push sale Videesha just to be absolutely clear, like we have either very good primary and secondary it's in line with the expectation and it's absolutely the same, like the same primary has been executed in terms of secondary numbers also. And we validate that through the multiple software's that we have on ground and also the DSO, the credit days and the credit overall has not gone up in, its flat with respect to quarter two, last quarter also, so there is no push sales with respect to distribution.

Videesha Sheth: Understood, that's helpful. And the finished good you mention that less than 10% of finished goods are pertaining to the non-BIS certified bit. But when you expect that to get liquidated out of capital system?

Nikhil Aggarwal: So, like I said majority of it will be done by March end by, in the next two months and there could be a very small portion of it left, but it's not significant clearly. So, we are anticipating that by this quarter four end, we should be done majorly with the non-BIS HG inventory.

Videesha Sheth: Understood. And lastly, anything on the competitive landscape that you would like to highlight? Nikhil Aggarwal: Not really, I don't, is there a specific question you would want to ask with respect to competition?

Videesha Sheth: No, in terms of either Campus's market share vis-à-vis competition, it's the growing work so that will imply Campus's increasing the market share?

Nikhil Aggarwal: Sure.

Videesha Sheth: Anything specifically Campus.

Nikhil Aggarwal: We have certainly outperformed in our key states, of the North, West and Central regions, also East. So, we do believe that we have gained, the lost ground, and there has been a good uptick Page 6 of 18 in our market share. And given competitive landscape and the macro environment wasn't really all that great in quarter three as well, like it did improve on Y-o-Y basis, but it was still kind of subdued. S

o, in that kind of environment, we have done reasonably well and we are quite pleased with the way things are going, because a lot of these initiatives that we have taken over the past few quarters are panning out really well. And we see sort of consistency going forward.

Videesha Sheth: Got it. That's all from my side, I'll get back in queue. Thank you.

Nikhil Aggarwal: Thank you.

Moderator: Thank you. Anyone who wishes to ask a question may press "\*" and "1" on their touchstone telephone. I repeat, anyone who wishes to ask a question may press "\*" and "1" on their touchstone telephone. Next question is from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Thanks for the opportunity. So, we have been shareholder, and you have been delivering it good. But when it comes to guidance, we have been guiding for few things which we haven't been delivering, right. We have we have guided earlier for to deliver mid teen revenue growth for nine months we are at +10%. We guided for ASP to remain flat for nine months, we are negative three. For margins we have guided last three months ago to be at 17% to 19% for the full year, while, for nine months we are at 14.4% in terms of EBITDA. I just wanted to ask, these guidance's should we take it, given the evolving macro situation, given the internal strategy to the company. Anything that you would like to comment on, the guidance is given earlier versus what you think is realistically achievable in FY25?

Nikhil Aggarwal: So, Priyank great question. I just like to say that we are very much sticking to our aspiration to get to those numbers what we have guided earlier. We never said that those guidance's were for FY25. We have always maintained that the company is on good track to get to these numbers and we have been showing improvement quarter-on-quarter to get to these guidance's numbers. So, we still very much on track with 17% to 19% as guided earlier in terms of EBITDA margin, and 16.2% has delivered in this quarter is, good step up towards that number. And the same goes for ASP. The ASP is a slightly more dynamic number in nature it depends on the actual market conditions on ground during that time, which was a reflection of, how the festivities stand out, how the demand is, the actual demand on ground, and whether strategically is that the right time to take a price increment or not, and how the inflation sort of affects the raw material prices so, ASP is a bit more, but the aspiration certainly remains to continue to premiumize, and sneaker portfolio is really going to add to that ASP premiumization, as well as that category in itself is a higher ASP commanding category. And given the growth and the plans that we are building up for the sneaker category we believe that it should continue to increase in the ASP. So, like I said, the guidance's were never for FY25 per se, but we believe that given the challenging macro environment we have been improving Page 7 of 18 our performance quarter-on-quarter and that should be comforting to, I hope the investor base

as well.

Priyank Chheda: Definitely, very positive with channel checks that we found, and surely your efforts on the sequential basis is visible. But yes, when it comes to FY26, when we enter FY26 there are not much of the disturbances that we had in FY25 with respect to liquidation of inventory or with respect to the internal restructuring that we had. So, when it comes to FY26 any non-linear aspects of your business that you would like to highlight that we should keep in mind when it comes to the overall growth with respect to any of the segments or any of the channels that you would like to highlight?

Nikhil Aggarwal: Not really, no Priyank. We are placed well, we are confident in our ability to deliver as long as the macros really don't get any worse from here on, and if they of course improve, it will certainly be a good tailwind, but as long

as they don't get any worse, we are very much poised to and confident in our ability to deliver the numbers.

Priyank Chheda: So, when it comes to women and kids or when it comes to South markets, where we have a lot of leeway to grow versus the markets and to improve our throughput within the retail stores.

Any specific strategy you would like to highlight which we should think when it comes to FY26 and 27?

Nikhil Aggarwal: The focus very much remains on the growth levers we have called out repeatedly which is women, kids is certainly a big growth lever. And there has been an increase significant focus, in terms of increasing the pipeline of designs, the overall SKU account that we offer within these two categories has significantly gone up. And the response has been very encouraging from the market as well. Of course, the shift between men and women has slightly skewed in quarter three, primarily due to the sneaker offering being offered mostly on the men's side, and that has done really well. So that skewed the number, but overall women and child category continues to grow and we aspire to continue to take it forward. Anything else that you would like to know around this?

Priyank Chheda: On a sneaker market, what would have been our sales on nine months versus the available opportunity, what is the kind of a capacity that we are building up after our new plant comes in, if you can further dig down into that?

Nikhil Aggarwal: You mean capacity in terms of production capacity you can talking?

Priyank Chheda: Yes.

Sanjay Chhabra: We would be adding around 2.4 million pairs of sneaker capacity through our Haridwar new unit. Currently we are under 10% in terms of volume share, and with the new capacity addition, we definitely expect to ramp up further.

Page 8 of 18 Priyank Chheda: Perfect. Thank you, those were the few questions. But in public call we find limited time to further understand your overall strategy, we have been following up for a meeting, hopefully you can accommodate our request. Thank you.

Sanjay Chhabra: Sure, thank you.

Moderator: Thank you. Next question comes from Vaishnavi from Elara Capital. Please go ahead.

Perna Jhunjunwala: Hi, this is Perna from Elara Capital. Thank you for the opportunity. I would like to understand how much price hike have you taken that you mentioned in the opening remarks in last two months?

Sanjay Chhabra: So, we have taken a price hike of anywhere between 7% to 10% in select product categories which are less price sensitive. So, the idea is to, at overall level to insulate our P&L from the raw material price increases. These price hikes are like, they are not specific to a channel or to a geography but they are very selective.

Perna Jhunjunwala: Okay, should it have around 2% to 3% overall impact when we see on an overall basis?

Sanjay Chhabra: Yes, as I said that the idea is to insulate the P&L from the input price increase or inflation, that's what we are targeting.

Perna Jhunjunwala: Okay, understood. What would be your targets for distribution reach expansion by the end of the year and next two years, in terms of EBO, MBO expansion and any distributor reach expansion that you are targeting?

Sanjay Chhabra: As we have been talking about South, as a geography where we need to penetrate more. East and West we are comfortable with the progress we have made in last one and a half years, and we do have our internal targets. I would refrain from putting any numbers here, but we have seen, even in this quarter we have been able to expand our reach as far as distribution, as a channel is concerned and that has got reflected in the kind of volume growth, we were able to see.

Perna Jhunjunwala: Okay, understood. And please provide some color on how has been the demand in metro Tier-1, Tier-2, Tier-3, and what has been the significant changes that you observed during the quarter, and how it should be going

ing forward assuming everything sacrosanct.

Nikhil Aggarwal: So, our sales with respect to the region has been very similar to Y-o-Y, like we have done about 42% from North, about 21% from East, 7% from South, 22% and some odd percent from West and about 7% from Central. So that's been the share this quarter with respect to the

geographical split. And there we see that with respect to metros and Tier-1s also, it's not been as big of a damper as for some of the other consumer goods that we have seen in the market, Page 9 of 18 so we have had a fair share. So, for us, it's pretty much been flat with respect to geographical split versus year-on-year.

Perna Jhunjhunwala: Okay. And will BIS liquidation have any further impact on your margins in Q4?

Sanjay Chhabra: It would not be a significant number as we said that the inventory levels are very low. The non-BIS inventory levels are very low as of now. So, there could be a 10 or 20 bps impact. That's what we foresee, we don't see any material number there.

Perna Jhunjhunwala: Understood and thank you. I will come back to question queue for any further questions.

Moderator: Thank you. Next question comes from Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Hi, thanks for the opportunity, and congrats on outperforming this quarter. Sir just wanted to check the FM made some comments regarding our focus back for footwear and some big numbers were given, beyond the headline would you have any insights as to what they are planning, and how can it benefit players like us?

Nikhil Aggarwal: Hi Umang. No, so we are also eagerly awaiting honestly, the details of the budget to be released. Nothing has been put out on paper yet, but we do anticipate, the government has called out these certain incentives. So clearly, there is a drive and a push by the government to sort of grow the sector meaningfully, because it does generate, it is one of those sectors which generates. One of the highest employments across the country, as it is a labor intensive industry. And we are proud to be part of an industry where we are able to generate this kind of livelihood for so many people. So, that is one of the biggest agenda for the government to increase employment. So that directly impacts our industry.

Umang Mehta: Got it. And the second one was on BIS. So, I recall that comment was that, could take a couple of quarters before we start to see any benefit. Would you still maintain that, in the sense that still there is enough non-BIS inventory in the system, which was imported earlier, and it will still take few quarters to clear out?

Nikhil Aggarwal: So, the inventory levels are certainly dropped. The non-BIS inventory we have, there could have been some tailwinds on account of that as well. We are not sure that we can't quantify it honestly, there's no numbers to quantify that, but there could have been some tailwinds on account of the BIS as well in quarter three. So maybe, the levels have reached an all-time low. And I don't see a lot of non-BIS is being liquidated in the market in the next.

Umang Mehta: Got it. Just one last if I can ask, current quarter could you give any qualitative numbers since half of the quarter is behind us, would you say that the momentum has largely sustained in the current quarter?

Page 10 of 18 Nikhil Aggarwal: Umang as much as we would like to, I am afraid we don't give out the statements, but like we said, the BIS tailwinds are certainly also there and a lot of initiatives have been planning out for the company well, so we are fairly confident of delivering the numbers.

Umang Mehta: Got it, sure. Thanks a lot and all the best.

Nikhil Aggarwal: Thank you.

Moderator: Thank you. Anyone who wishes to ask a question, may press "\*" and "1" on their touchstone telephone. The next question comes from Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Hi, Nikhil thanks for the opp

portunity. Nikhil, I just wanted to check on the competitive intensity in the market. Obviously, demand is one aspect, but we have been through a couple of years of challenging period, right and there was lot of competition that groomed them during this period as well. Since the demand has remained muted, I guess the challenges would have been there in their businesses as well. So, are you sort of seeing some normalcy in competition or that still remains high in our area of competitions?

Nikhil Aggarwal: Hi Devanshu so, the way we think about competition is that it certainly motivates and pushes us to, deliver more and get better at what we do. And this is something that, we look forward to, because it challenges us as a company and the management to do better. So we do believe that the competitive intensity did peak out, as of last year because firstly, the conditions obviously were subdued in terms of demand. But, also at the same time the supply was also quite a lot. And that has sort of peaked out last year, so we do see some normalization in that also with respect to competition, but again like I said, we don't we are not afraid and scared of the challenge. We really look forward to improving ourselves with respect to competition.

Devanshu Bansal: Understood. And from your channel perspective, in terms of working capital. So has that also eased off or still that remains a challenge because the demand has not recovered completely?

Sanjay Chhabra: Hi, Devanshu this is Sanjay. From a working capital perspective, for us nothing much has changed we continue to maintain healthy DSOs. We do have a robust credit control mechanism wherein offer or incentivize our distributors to avail the cash discounts and pay us on time. So that's a philosophy which continues. On the inventory front, we have 95 days of inventory holding from 110 days last year. So there also we have seen our whatever numbers we are targeting in terms of driving inventory days, we are able to achieve that. So don't see any stress in working capital.

Devanshu Bansal: Thanks, Sir. My question was also to understand the distributor health. So, from his perspective how is working capital panning out for him, as in is he able to sort of recover money from the market, or still there are challenges?

Page 11 of 18 Sanjay Chhabra: So again, I did answer this sometime back in terms of distributors days of inventory and primary

versus secondary. So that again is a reflection, so this quarter our secondary sales and primary sales has a very, very nominal gap which reflects that we are more getting into a replenishment model. When we reach that level, which means that distributor is able to recover his money from retailer. He is paying us on time and accordingly taking the inventory what is there in demand in the market so, and that 84 days level through our DMS, the inventory levels are very much within our internal norms of 60 to 90 days.

Devanshu Bansal: Understood. So it's fair that if demand sort of recovers, then we are in a good shape, right. So that's the only thing as of now?

Sanjay Chhabra: Yes.

Devanshu Bansal: Thanks for taking my questions.

Moderator: Thank you. Next question is from the line of Aliasgar Shakir from Motilal Oswal. Please go ahead.

Aliasgar Shakir: Thanks for the opportunity. Hi, Nikhil and Sanjay, question firstly on the margin. So, we made some comment, I just wanted to clarify that, as you mentioned that BIS related inventory is now more or less behind us. So, for FY26, we should come back to our normalized rating percent type of margin that we have been earlier doing and guiding, and also for fourth quarter given that you mentioned that the impact is now limited from BIS, we should achieve our normalized margin growth and gross EBITDA level.

Sanjay Chhabra: Ali on a quarter-on-quarter basis, if you compare versus last quarter we did improve on the EBITDA margin profile by roughly 400 bps

, and this quarter the numbers are like normalized numbers with two one offs in the SG&A. So, we are hopeful that we will be able to deliver margin in this range, per se in the coming quarters and FY26.

Aliasgar Shakir: Alright.

Nikhil Aggarwal: Alright, just to add to that. EBITDA to PAT conversion has also significantly gone up as we have become debt free. So even, at 16% let's say EBITDA we have been able to deliver a good decent PAT, so the conversion is also sort of helping us there get to the PAT level.

Aliasgar Shakir: Right, absolutely. So, this quarter, of course we have improved margin significantly but that is on probably a low base of 3Q due to certain issues that we had faced. So, I agree this quarter has been pretty good improvement, but we should come back to a normalized margin next year assuming that if the demand is in a normalized state?

Nikhil Aggarwal: Absolutely Ali, 17% to 19% is what we are aspiring for.

Page 12 of 18 Aliasgar Shakir: Understood, got it. And on the demand side, you have been kind of looking little bit, I would say conservative by saying that, if demand improves then we will do the margin. But just want to kind of get your sense on how is the demand on the ground, do you see still challenging environment, as you mentioned that competition also is not as active, and you are kind of doing really better than them. So, is there overall demand on the ground relatively decent for you to now kind of push for double digit growth, or you think that the environment is still very challenging and you are not very sure in terms of how it will play out for you to achieve double digit growth?

Nikhil Aggarwal: So, I will not comment with respect to Campus, as I could be a forward looking statement. But what I can tell you is that, the demand is not like absolutely normal in terms of how it used to be let say two years ago, or three years ago rather. It is certainly an improvement from last year in Q3 as well and Q4 also. But I don't know if the demand is, we can call it absolutely normalized demand. So, there is still some pain in the market. And, we are doing the best we can to make out of this macro environment.

Aliasgar Shakir: Got it, and from new product point of view, we have launched sneaker range, and also become little active on the open footwear, also especially in the North, particularly in the summer season. So, can you share what would be the mix over there and how much should that help you in kind of upping your overall growth numbers?

Nikhil Aggarwal: Sure. So, I would refrain from sharing those numbers in terms of mix Ali, unfortunately because of the strategy, internal strategy that we follow, but it's certainly on the cards, like we have been increasing our active count, and I meant in terms of open as well. As that's helping us penetrate the Southern market and also normalize the impact in the summer months and reduce the seasonality impact. So, that is certainly on the card, while the MRPs are very decent but there will be some ASP impact on the count of the open inventory, but we are confident of mitigating that impact with respect to the premiumization of sneakers, so there is a counterbalance there. And net, net we believe that ASP should increase only.

Aliasgar Shakir: Got it. And the open footwear margins are in-line with the overall margin?

Nikhil Aggarwal: Yes.

Aliasgar Shakir: Okay. And what about sneakers, how is the sneaker traction in terms of new products, and the

kind of contribution that is doing qualitatively?

Nikhil Aggarwal: Yes, the response is very encouraging Ali, as the brand is of course, we are the number one top of mind brand in our target audience, so they have accepted the sneaker range very well, and we are getting a really, really good response. So, there is a number of initiatives that we have been taking on that side as well. And there is a very exciting range also planned to be launched very

soon with respect to sneakers. And we do anticipate a good movement there.

Page 13 of 18 Aliasgar Shakir: Got it, very useful. Thank you so much and wish you all the best.

Nikhil Aggarwal: Thank you.

Moderator: Thank you. I request the participants to restrict with two questions with the initial round and join back the queue for more questions. Next question comes from Resha Mehta from Green Edge Wealth Services. Please go ahead.

Resha Mehta: Yes, sir thank you for the opportunity. If you could just comment on that over the last one or two years we had, if I go back to your past transcripts, I see that we have lost some market share in North and some of our key regions. So, what is the reason for that and also, second question is, are the online channels, I believe are classify till in sub three channels, which is O2O and B2B and the marketplace. So, can you just comment on, what was the problem in this O2O, and B2B channels, and what was the revenue contribution in the past, and what is now that reduced to?

Nikhil Aggarwal: Right. So, with respect to the market share in the North, right. So there used to be, and I like to call that out, that there was some conflict across channels, because online was an absolutely new beast that we had to tame. The dynamics of that channel are very different from the offline, the way it works and we were facing lot of conflict between the channel partners. As online there was some discounting versus offline, the discounting much lesser, so that was how it was about two years ago. But over the last two years, we have basically segregated the entire portfolio across the two channels, so there is no common designs as we speak like hardly just barring maybe a handful just in single digits which are very old designs, all the NPD, all the new designs have been completely segregated across the two channels, and therefore the conflict has been completely resolved. So there is no issues today and that is also really helped us to gain our market share back apart from, so these are some of the things we have done internally to gain that market share back in the North, especially in the Northern regions. Sorry, what was the other part of the question?

Resha Mehta: Yes, so before I go there, just a follow up here. So, we lost the market share primarily in the North market, or even we had lost in the Central, Western, Eastern markets. And the reasons for losing shares if any recent markets were also similar to the channel conflict reason given for the North?

Nikhil Aggarwal: So it was, well it was across India, but mainly it was in the North actually, because we continue to gain market share, maybe because our market share in the other territories was anyways the base was quite low. North was very high as a base it used to be about 50% or 52% about two to three years ago, if I remember correctly.

Page 14 of 18 Sanjay Chhabra: I just want to add here that our saliency in North has gone down slightly that's not because of loss of market share in absolute terms, our North region is still showing a revenue growth. The saliency has gone down because in other regions we have grown disproportionately higher.

Resha Mehta: Understood. And the online channels like O2O and B2B. So firstly, what are these channels and I remember reading that, there were some problems in these channels and we had to kind of scale down on these channels. So what revenue, what was the problem here, number one and number two, what was their revenue contribution let's say in FY23, FY24 and what is it down to now and is it like a permanent loss in revenue, or we have kind of made it up with something else?

Nikhil Aggarwal: So, this O2O was something one and a half years back when some of the players wanted to players like Udaan and Ajio wanted to get into an online retail sort of business, or cater to the last leg of the retailers. And these channels suddenly show disproportionate

growth, and then,

let's say after a year or so, they scaled down because of the profitability issues, and it was just a cannibalization, these channels started catering to some of the distribution business, and when they were out of business, again the volume shifted back to the normal pockets of distribution online. So that's how it was and we have mitigated that, the volumes have gone back slightly to the marketplace and to some extent to the distributor.

Resha Mehta: So what is a B2B channel then, how do you set it up?

Moderator: Ma'am sorry to interrupt, can you join back the question queue?

Resha Mehta: It's a continuation of the same question, just a clarification.

Sanjay Chhabra: Let me answer this.

Resha Mehta: And the revenue contribution, which was there in the past and which is now from these O2O and B2B channels?

Sanjay Chhabra: So we call B2B something like when we sell outright to the platforms like Flipkart, Amazon or

Myntra. So that business continues to be there, and it's for these channels to decide how much they want to sort of do the business in the outright vertical and again, between marketplace and outright, if it's just a swap. So if in a quarter there is a higher outright business to that extent marketplace orders or Flipkart is directly catering those orders through their outright inventories, instead of we supplying those orders through the marketplace or from our warehouses, so it's a swap between two verticals.

Resha Mehta: Understood. And your revenue contributions in the past versus now?

Sanjay Chhabra: I would say, wherever we have both the channels outright and marketplace in the nine months period have shown a growth. So, the revenue saliency continues to be flat versus last year.

Page 15 of 18 Resha Mehta: And O2O would have come down significantly will that understanding be right?

Sanjay Chhabra: O2O does not exist now, so Ajio and Udan both are out of this business.

Resha Mehta: And at their peak, they would have contributed to how much of total revenue O2O channel?

Sanjay Chhabra: If I recall correctly, at the peak there were around INR 50 crore business.

Resha Mehta: All right, thank you. I will come back in the queue.

Moderator: Thank you. I request the participants to restrict with two questions in the initial round and join back the queue for more questions. Next question comes from Aditya Ketan from SMIFS Institutional Equities. Please go ahead.

Aditya Ketan: Thank you, Sir for the opportunity. Sir my first question is on to the EBITDA per pair. This quarter, we have the best EBITDA per pair of around INR 108. How much sustainable the number is for the near term and for the longer term and so gross per pair would be a good indication to look going ahead or we can look at the EBITDA per pair only?

Sanjay Chhabra: I would say that EBITDA level per pair benchmarking may not be a true reflection, because our number of units sold includes units sold to different channels at different price points with a different cost element. It also includes accessories and in our peers, wherein we sell even socks, so per pair EBITDA would not be a right benchmark. It's always good to see on a percentage basis, and as Nikhil mentioned, that we aspire to go back to the earlier days of 17% to 19% and we are just trying to optimize both on the or rather bring cost efficiencies and also at the same time, drive premiumization and operating leverage. So all these three pillars should help us to improve our EBITDA margins.

Aditya Ketan: Okay. Sir my second question is sir, any indication on to the demand side we have heard from the so many other companies that demand has started to slow from December, have you also witnessed the same and you see demand so structurally slowing down for the premium products especially in the coming six months because of the inherent slowdown. Also, what we are witnessing. Can this change some dynamics at the ground

and like volumes and ASP can drip downwards from here?

Nikhil Aggarwal: We can talk about the quarter gone by and I would refrain from making any outlook, sort of statements for the next quarter or next year at this point in time, but if we see the quarter gone by, as I mentioned that in the distribution business, it was less of a push sale. It was more of a replenishment on the basis of secondary happening. So that's a reflection that there was a bit of demand uptick versus last two quarters, growth versus last year again, reflects that versus last year also there was demand uptick. So that's an indication, but again, at the same time the ASP, stagnation in ASP or dilution can be an indicator of less of premiumization but at Page 16 of 18 the same time, it will be for a individual player, it will be a strategy, how to drive more reach, more expansion and introduce new product lines or product to drive premiumization and also to drive volume.

Aditya Ketan: Sir just one last question, any sort of new price point or.

Moderator: Sir, can you join back the queue please?

Aditya Ketan: Okay.

Moderator: Thank you. We have a follow up question from Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Sir regarding the dividend, you have first time announced a dividend of INR 0.70 but the percentage shows around 20% to 25%. So, this could be the only dividend or there could also be a final dividend also apart and if you can also highlight the dividend payment policy going ahead as well?

Nikhil Aggarwal: Gaurav of course the dividend, firstly we are very happy to declare the interim dividend, for the first time in the history of the company. So that does give us confidence in our ability to deliver and we would be looking, we will try to deliver dividends simply going forward, right that's the idea. I can't comment whether there will be a final dividend or not. That would depend on the final results and on the Board's discussion. But certainly, we see this as something of quite a significant to our organization.

Gaurav Jogani: Sir, the other way around, is there any percentage of PAT that you are targeting on an annual basis to pay out as dividend?

Nikhil Aggarwal: Not really, we have done about close to 25% at this point for YTD, but totally depends on the board.

Gaurav Jogani: That's all, thank you.

Moderator: Thank you. We have a follow up question from Prerna from Elara Capital. Please go ahead.

Prerna Jhunjunwala: Thank you for the opportunity. I would just like to understand what will be the ASP of sneaker category that you are selling today in the books?

Sanjay Chhabra: So, this would be at least 15% to 20% higher versus our current revenue based.

Prerna Jhunjunwala: Sorry, sir continue.

Page 17 of 18 Sanjay Chhabra: Of course it would also have a higher cost component, but net, net it would be margin accretive.

Prerna Jhunjunwala: Okay. And the new launches will also be in similar price points?

Sanjay Chhabra: For each of the channels we will have different price points, it caters to the different segment of consumers, if you go to the EBO, you will find our products at a higher price point because we display our entire range there, whatever is available in online or the rural part through distribution channel, and those price points are different.

Prerna Jhunjunwala: Okay, understood. And the last question would be.

Moderator: Ms. Prerna, I am sorry to interrupt. Can you join back the queue please?

Prerna Jhunjunwala: Sure, thank you.

Moderator: Thank you. I request the participant to restrict with one question and join back the queue for more questions. Next question comes from Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Hi. Just a quick follow up on, it was a bookkeeping question what was the growth in marketplace model this quarter?

Sanjay Chhabra: It was in line with our overall growth, distribution we d

id grow around 9% but in online it was 11%.

Umang Mehta: So, the marketplace model within online was also 11%?

Sanjay Chhabra: Marketplace was slightly lower, because we did grow more in the outside business.

Umang Mehta: Okay, sure. Thank you.

Moderator: Thank you. We have a follow up question from Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: Same question, marketplace and online, YTD or nine months what would have been the growth and just a feedback, this all numbers now we can improve this disclosures via presentations so that we can have a concrete more discussion on the call. Nine months numbers on marketplace and online. Thank you.

Nikhil Aggarwal: Your point taken, we will try to include all those numbers in the investors presentation.

Page 18 of 18 Priyank Chheda: Perfect. And sir on the EBOs, we haven't added much of the EBOs versus we had earlier plans

to open at least 100 EBOs. Now what's the outlook on that, how should we look FY25-26 as well as on the trade distributions, at least on the presentation number, I can see that we have added a lot of new retail touch points versus the flat distributors. We were planning to improve the throughput within the same touch points right, now this has been the addition which so, how do we look into the sales throughput per touch point and as well as on the EBOs, thank you.

Sanjay Chhabra: So, on the EBO front, this quarter, the net addition has been less. That's purely because of market conditions we are now being more conscious about the geography wherein we want to set up our own COCO store. So, we did add around six stores in this quarter, but our strategy would continue to be 40 to 50 stores addition in the year. And as far as distribution is concerned, please appreciate this quarter three is both festival season and also seasonality in the North. So the retail touch point addition is highest in quarter three, having said that, we added around 7% to 8% retail touch points, but our sales growth was 9% to 10% so, the output or throughput per outlet is still higher, but yes Q3 numbers are skewed, and we look at reach more through a different yardstick, wherein how many retail touch points are getting billed on a monthly basis that's our internal yardstick, that is more consistent and more balanced number. Q3 the numbers go up slightly because.

Priyank Chheda: No, sorry I couldn't get the gist out of it, my question was. So, we were looking forward for an improvement in the throughput plus retail outlet versus we have added the outlets?

Sanjay Chhabra: So that's right. So, what I am saying is, we added around 7% outlets, the active outlet count increased by 7% but my revenue growth increased by 9% to 10% in distribution.

Nikhil Aggarwal: Per outlet has gone up.

Priyank Chheda: Perfect, even on the distribution channel wise numbers, it would be great if we can have a clarity because we are given for December, while the base quarter numbers are not there with us for distribution on D2C, online and offline.

Sanjay Chhabra: Okay.

Priyank Chheda: Thank you.

Moderator: Owing to the time constraint that was the last question for today's concall. On behalf of Campus Activewear Limited that concludes this conference. Thank you for joining us and in case of any further queries, please reach out to Campus Activewear investors relations team at [ird@campusshoes.com](mailto:ird@campusshoes.com). You may now disconnect your lines.

## Call: Jun 2025

03RD June, 2025

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring, Rotunda Building,  
P. J. Towers, Dalal Street,  
Mumbai – 400 001  
SCRIP CODE: 543523 National Stock Exchange of India Ltd.  
Exchange Plaza, C-1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051

SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 –Transcript of the Earnings Call held with Investors/Analysts

Dear Sir,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Investors/Analysts on 29th May 2025 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com) .

This is for your information and records please.

Thanking you

For CAMPUS ACTIVEWEAR LIMITED

Archana Maini  
General Counsel & Company Secretary  
Membership No. A16092

Encl: As above

Campus Activewear Limited  
Q4 and FY25 Earnings Conference Call  
May 29, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Campus Activewear Limited Q4 and FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '\*', then '0' on your touch tone phone.

Before we proceed on this call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause future results, performance or achievement to differ significantly from what is expressed or implied by such forward-looking statements.

The Campus Activewear's management team is represented by Mr. Nikhil Aggarwal, - Whole Time Director and CEO and Mr. Sanjay Chhabra - CFO. I now hand the conference over to Mr. Nikhil Aggarwal – Whole Time Director and CEO for his opening remarks. Thank you and over to you Sir.

Nikhil Aggarwal: Thanks. Good evening, everyone. Thank you all for joining us today for our quarter four and

FY25 earnings call. FY25 has been a year of meaningful progress and strong execution for the company despite a challenging macro environment. We stayed focused on our strategic priorities and delivered a healthy 10% year over year revenue growth reaching to INR 1,593 crores. This growth was led by higher volumes reflecting the success of our efforts in expanding distribution, accelerating online sales, launching fresh and relevant styles and running a high impact digital marketing campaign.

We also made significant strides in strengthening our brand presence. Our expansion into premium large format stores helped us reach more consumers in tier one cities and metro markets, reinforcing our position in modern retail. Geographically, we continue to build on our stronghold in the North, Central and West regions, while also expanding into Southern India with encouraging traction. Our enhanced online visibility supported this growth. We further enriched our family brand proposition by launching over 250 new styles for men, women and children offering vibrant designs at attractive price points. This has helped us cater to the evolving lifestyle needs of Indian families across multiple occasions.

Our sneaker portfolio saw an impressive growth of 150% versus FY24, reaffirming our commitment to deliver stylish, high-quality footwear that remains accessible. We also expanded our retail footprint with 30 new stores taking our total EBO count to 296 across India.

On an annualized basis, our gross margin improved by 20 basis points to 52.3% driven by procurement and

production efficiencies. Our EBITDA margin rose by 120 basis points to 16.1% driven by disciplined cost control and improvement in working capital management. Notably, our net working capital days improved from 92 in FY24 to 71 in FY25, reflecting our focus on operational efficiency.

In Q4 FY25, we also launched the second phase of our Move Your Way campaign with Vikrant Massey. The campaign resonated strongly with GenZ audiences celebrating individuality and self-expression and further strengthening our brand connect. We also commenced the commercial production from our Haridwar II facility for manufacturing high quality uppers for sneakers during March 2025. Your company will be benefited for this additional capacity for the full year during FY26.

In parallel, we have gone live with SAP on the 4th of April 2025 to streamline operations, enhance inventory control and improve planning and forecasting, laying the foundation for scalable and agile growth. As we look ahead, we are energized by the opportunities in front of us. With a strong balance sheet, a growing brand and a clear strategic road map, we remain committed to deliver long term value through innovation, agility and a deep understanding of our consumer set.

Thank you and now I hand over our call to our CFO, Mr. Sanjay Chhabra, to take you through more details on the Q4 and FY25 performance.

Sanjay Chhabra: Thank you, Nikhil. Good evening, everyone and thank you for joining us for the Q4 and FY25 earnings call for Campus Activewear. I would first take you through the Q4 FY25 performance. Our operational revenue grew by around 11.5% year on year to INR 406 crores in quarter 4, driven by higher distribution which has registered a growth of 9.6% and also, the online channel which has grown 15.2%. The company sold approximately 6.2 million pairs in during Q4, up 7.8% year on year. The average selling price improved to INR 658 from INR 636 last year. Our gross margin was 52.3% versus 50.2% during the same period in last year, driven by higher ASP in distribution and also the online channel.

The revenue mix between men and women and children categories stood at 81:19 versus 80:20 last year same quarter. Our EBITDA for Q4 was INR 76.7 crores. The EBITDA margin expanded by 60 bps year on year to 18.7% owing to lower SG&A last year numbers included one of provisions for inventory and receivables. PAT grew by 7.3% year on year to INR 35 crores during quarter 4 FY25 and PAT margins stood at 8.5% versus 8.9% last year. A slight depletion in PAT margin is primarily due to a higher depreciation owing to impairment of our dip lines.

I now move on to the full year performance. Our operational revenue grew by around 10% year on year to INR 1,593 crores in FY25, driven by higher distribution which registered 9% growth and online channel, which grew by 11.7%. The company sold approximately 24.9 million pairs in FY25, up around 12.3% year on year. The average selling price stood at INR 639

per pair versus INR 652 last year, a drop of around 2%. This is primarily driven by mix of open footwear, which went up from 14.2% to 15.2% and higher sale of accessories and also to some extent due to lower realization driven by our liquidation of non-BIS inventory.

Our gross margins were at 52.3%, an improvement of 20 bps from last year driven by procurement and production efficiencies. The revenue mix between men and women continued to remain flat at 80:20. Our EBITDA for FY25 was at INR 258.2 crores. The EBITDA margin expanded by 120 bps year on year to 16.1% in FY25 owing to lower SG&A, once again, the last year, numbers included one of provisions for inventory and receivables and hence the SG and A was higher last year, the current year SG&A numbers are more normalized. PAT grew by around 36% year on year to rupees INR 121.2 crores and PAT margins expanded by 130 bps to 7.5%.

Our balance sheet continues to de

monstrate strength and robust return ratios such as ROCE and ROE of 22.3% and 17.2% respectively as on 31st March 2025 and we continue to be a debt free company.

With that summary, I would now conclude my remarks and open the floor to the moderator for Q&A session. Thank you.

Moderator: Thank you very much. The first question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Thank you for the opportunity, Sir, and congratulations on strong revenue growth numbers. So, my first question is with regards to, you know, if you look at the premiumization in your entire segments, last year if you look at the products below, INR 1,000 contributed to around 27% this year, this year it is 22 percent. I mean, despite this premiumization increase, we are seeing an ASP decline. So, one does this contribution only reflects the footwear contribution and does not include the accessories which could dilute the ASP?

Sanjay Chhabra: Yeah, Gaurav, 2 things are driving this ASP decline. As I mentioned that in the first quarter in the full year, our mix of open footwear was quite high. That was a conscious call that we saw this as an opportunity and increased our sale of open footwear. So that's diluting the ASP to some extent. And of course, the accessory sales like again in quarter two we introduced our socks in the distribution market which was not there earlier. So accessory sale is at an average ASP of INR 140 that again has an impact to some extent on the overall ASP of the organization.

Gaurav Jogani: But Sir, I'm just assuming you know that the open footwear will also be priced INR 1,000 and below so ideally you know that should have led to higher contribution of the products INR 1,000 and below but that has actually increased the contribution of the premium products have increased. So just wanted to tally you that.

Sanjay Chhabra: Gaurav, the right yardstick to measure this would be that are we able to maintain our margins. So, if you see margins despite higher mix of open footwear, despite accessories mix, despite liquidation of non-BIS inventories or margin on a full year basis has reflected an improvement of 20 basis points. So, we have certain margin thresholds on which we work and whatever is the mix, I mean we don't dilute the margins. So, I think that's a that's a right way to approach it.

Gaurav Jogani: And my second question you know is with regards to the online volumes. If you look at the online volume this year, it's about 7.4 million and last year it was 7. So, I mean roughly it's increased only by 6-7%. So, is it a conscious call taken by the company, you know to drive more the distribution and the other parts of the business? I mean, is this a conscious effort taken?

Nikhil Aggarwal: So, hi Gaurav and also the effort is actually across all channels, right? We operate every channel strategically in a way that it should have a meaningful contribution to the overall top line. So, there is no like conscious effort in terms of this specific number for online. But this is as per the demand and of course there was a higher proportion of outright sales this year in the online business versus market place and you know some of the ASP increase can also be attributed to that, but there is no like so this is part of the demand and there is no like strategic or conscious effort to maintain this number in terms of volume.

Sanjay Chhabra: Gaurav, just to add, I mean each channel is playing its own role. I would say that distribution is

for mass market. If I talk about the revenue numbers, both the distribution and distribution has shown a growth of growth of 9.6% and online has shown a growth of 11.7%. So, it's fairly balanced. Each channel is playing its own role. Online, of course we reach out to the consumers directly through the marketplace business, which is higher in ASP and hence we are able to sell more of prem

ium products, whereas in the distribution it is more of mass market products.

Gaurav Jogani: Sure, Sir. That is, I was going to ask, you know, maybe the premium products on the online channel this year would have increased better and hence despite the lower volume, the contribution is largely the same and the growth is better.

Nikhil Aggarwal: Yeah, that's right, yes.

Gaurav Jogani: And then lastly on this Haridwar facility, I mean this Haridwar facility because it has commenced in March, month, would the depreciation start hitting from next year for this particular facility and if yes, how much should be in the overall?

Sanjay Chhabra: Gaurav yeah, the depreciation is there for one month in this financial year, next year it will be for 12 months. It's an investment of around INR 21 crores, will be amortized over a period of 15 years.

Gaurav Jogani: Sure, Sir. Thank you and that's all.

Nikhil Aggarwal: Thank you.

Moderator: We take the next question from the line of Ali Asgar Shakir Khan from Motilal Oswal Mutual Fund. Please go ahead.

Ali Asgar Shakir: Yeah. Hi, Nikhil. Hi Sanjay sir. Thanks so much for the opportunity and congratulations for the double-digit growth. So, first question is on the you know demand scenario. So, if you can just you know talk about how is the current demand and the competitive scenario both online and offline? And also, last quarter you had mentioned that the BIS clean-up will be over by March. So, what is the industry scenario and have been cleaned up the inventory? And just the last related question to that is on the future so you know if you could just share what is the growth and the mix of sneaker in this quarter?

Nikhil Aggarwal: Hi, Ali. So let me take a BIS first. So, on the non-BIS side, while you know we have made significant progress, but there has been it's been slightly slower than we anticipated. We were expecting to liquidate a big portion of it by March end but there has it's been slightly slower than that, but it is all like, you know, under control and it's basically we're expecting you know in line with 20 to 40 bps of a margin, you know hit on in this specter of the non-BIS inventory in the coming year and nothing more than that. So that's on that non-BIS side. On the demand scenario we expect you know, this year we've seen North, East and West doing fairly well. The South and Central region has sort of been flattish. So, you know we we've seen pockets of growth basically across these three areas and you know, metros and tier ones in quarter four, I would say has done, the saliency has slightly dropped so versus the rural and Tier 2 and Tier 3 counters so, versus you know year on year and so there has been some dip I think in terms of consumer demand in terms in metros and tier 1. But apart from that, we definitely see a much more positive momentum overall, right and which has also given us some tailwinds. Going forward as well, we hope that this tailwind and positive momentum continues. We don't see any roadblocks or any headwinds at this moment. I think more than that, a lot of the internal initiatives, you know that we've taken in terms of channel expansion across all the three channels and our supply chain and the back-end improvement measures that we have taken as if implementation across along with you know new warehouse, we've sort of consolidated our warehousing in the back end, so a lot of those, you know, efficiencies should, should sort of kick in into this new financial year going forward.

Nikhil Aggarwal: On the sneaker side. Ali, we've seen some very good traction and we hope we will continue to given the lower pace, we will continue to expand at a similar pace even this year. And this is definitely also contributing to the higher ASP's. And so, the volume contribution is roughly about 8.5% for this year, and it should definitely go up in FY26 given the new plant is also

online now. And you know, some bit of higher contribution of ASP with respect to sneaker should come in. Over to you, Ali.

Ali Asgar Shakir: Sorry, I was on mute. Sneaker last quarter was some 120% growth. So, was that similar trend in this quarter?

Nikhil Aggarwal: It's actually for the whole year. So, the whole year we have grown at 150% roughly and the contribution from sneakers we've closed at about 8.5% for the for on the annual basis.

Ali Asgar Shakir: Got it. Second question is on the margin front. So, you have earlier indicated that you would, you know want to maintain between 17 to 19% margin. So now that we have closed this year with somewhere close about you know 15.5% odd margin it should we see that trajectory improving and by then you see you know coming into that range of 17% margin and related question on the cost here. We've seen a couple of line items seeing big jump. So, if you can just explain for example, other expenses YoY and the depreciation increases in big jump. So, if you could just explain why that has happened in this quarter?

Sanjay Chhabra: Ya Ali, just to add here, the EBITDA margins have improved to around 16.1% on if you look at it full year and if you are looking at other expense on a full year basis, I think it has gone up from INR 440 crores to INR 462 odd crores.

Ali Sagar Shakir: And I was looking on a quarterly basis, this quarter, other expenses and the patient interest has gone up quite significant on YoY.

Sanjay Chhabra: The other expense has gone up from INR 90 crores to around INR 108 crores, which is correct. A large chunk of this, around INR 10 crores is higher A&P spend both on the digital media front and on the sales promotion side. So out of these INR 18 crores, INR 10 crores is purely the marketing piece and then remaining is driven by the volume. So, the volume growth, this line also includes the freight and the conversion cost. So that also is a subset of increase of INR 18 crores, right. And on the depreciation front, from INR 19 crores to INR 22 crores, I explained that it has a one off impairment head of our DIP lines which we have impaired. Out of five lines we have dropped or uninstalled 3 lines because it's a very outdated technology and the school shoes have moved more into the Eva category from the DIP. So, INR 2 crores depreciation is sitting there.

Ali Sagar Shakir: Got it. Similar on the interest also?

Moderator: I am so sorry to interrupt. May we request that you rejoin the queue for follow up questions? There are several other participants waiting.

Ali Sagar Shakir: Sure.

Moderator: Thank you. We take the next question from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Hi, thanks for the opportunity and congratulations on a good set of numbers. My question was on open footwear, so would it be possible to share what was the contribution in terms of revenues and volumes this year? And I asked this mainly basically trying to understand that as we go ahead, do you think that sneakers and other parts of your portfolio will be able to ensure that double digit momentum continues, given that obviously the season has not been in favor. So that was the first question.

Sanjay Chhabra: As I mentioned, the open footwear mix increased from 14.2% last year to 15.2% this year. So, that's the kind of contribution it has on our business.

Nikhil Aggarwal: And given, we don't expect, you know, of course like there's a seasonality to this. So, first quarter one will also have a higher portion of open footwear category. So, we don't anticipate any sort of you know, drop in that in the category.

Umang Mehta: Understood. And just the second one was on your full year margin. On an annual basis, would it be possible to quantify the hit you have taken in terms of BIS basically inventory? I'm asking this mainly just to understand that if it w

as not there, where would have margins would have ended? And, it seems like then, your aspiration of 17% is not too far away from where you are already.

Sanjay Chhabra: You see, there won't be anything called like direct impact of BIS. I would rather put it as a normal liquidation of slow moving and non-moving inventory. In this year since BIS kicked in,

we had a timeline to chase and hence there was an urgency to liquidate certain stocks and as we mentioned in the beginning that it had an impact of anywhere between 20 to 40 bps on our margin. So that's the number which is sitting there in the current year and in the next year also, it can be likely to be in the same range is how I would put it. Thanks.

Umang Mehta: OK. So basically, last year 20 to 14 similar is expected to be in FY26?

Sanjay Chhabra: Yeah.

Umang Mehta: Understood. Sure. Thank you so much and all the best.

Moderator: Thank you. We take the next question from the line of Shraddha Kapadia from SMIFS. Please go ahead.

Shraddha Kapadia: Thank you so much for giving the opportunity and congratulations on the good set of numbers. Also, basically my question is somewhat similar to the contribution which the previous participant asked. This is majorly with regards to the men versus women. So, if you could help with the revenue as well as the volume mix.

Nikhil Aggarwal: So, this category makes for men and women, Shraddha is pretty much similar to last year. It's 81% or rather, 80% has been the contribution for the entire year for men and about 13.3% for women and kids would be 6.7%. So, that's pretty much in line with how FY24 was. While the aspiration is there to certainly grow this category slightly higher. So, but we have premiumization in the women category. So, the ASP for the women category has gone up for us and this year we expect women share to definitely go up from this mark.

Shraddha Kapadia: OK, Sir. Thank you so much for the detailed explanation. Also, if you have we taken any price hikes in the current quarter and to we plan to in the future?

Nikhil Aggarwal: Yes, we have taken actually just on the open category side on the open footwear versus last year quarter four, we've taken a price hike which has you know definitely helped us maintain the margin profile as well overall and I mean going forward, we generally do take a price hike at the end of the season, so now there is, you know, going to be a higher contribution of our NPD products, which anyways would be priced accordingly. And so therefore, you know, given the seasonality, as we're moving into the season now in quarter 2 and quarter 3, we will be, you know, not taking any more price hikes for the time being. We are pretty much there in terms of the pricing that the company requires.

Shraddha Kapadia: OK, Sir. If I may just squeeze in one more question. So, this is majorly with regards to the BIS. So, is there any decline in the competition, especially from China, which we have observed?

Nikhil Aggarwal: Yes, I mean the imports have certainly dried up, the overall volume has dropped from China. We do see some impact of that. But honestly to quantify that is still kind of early. There has been some, you know inventory from non-BIS which is still being liquidated by a lot of the companies in into the market and as the government did extend the BIS timeline for the liquidation to July 2026 so, you know, companies have sort of taken that leverage and taking their time so but we but the but it's obviously a finite quantity there, there is no new fresh in coming on piece material or goods anymore and Chinese impact we definitely see you know from channel checks that there's a much smaller volume into the market.

Shraddha Kapadia: OK, Sir. Thank you so much for answering my questions and all the best for future.

Management: Thank you, Shraddha.

Moderator: Thank you. We'll take the next question from the line of Niraj Mansingka from White Pine Investment Management. Please go ahead.

Niraj Mansingka: I just have a few follow-up questions to the previous participant. How do you see the market evolving after the inventory of BIS goes down? How are you considering that you have your own manufacturing in house? How do you see the competitive scenario involving and what is the volume growth rate in India planning out course to be implement full implementation of BIS?

Nikhil Aggarwal: Sure. So, actually, last two years, you know, or rather last three years we've seen the industry not growing in footwear, you know and that's been the trend for the last 2-3 years mainly due

to the subdued demand on the consumer side. So, we do expect that you know finally due to the non-BIS liquidation and actually the BIS implementation we expect that the industry should, you know, start growing. It's a big tailwind for everybody for especially the organized players. And you know we are we are fully geared up for it. So, with respect to the assortment of products that we are providing this year, these 250 new styles is very well to see it into the market. So, we don't, you know there are certainly a lot of tailwinds. We just need to execute it right and get it correct.

Niraj Mansingka: Can you put some numbers on what is the share you expect? See because what I thought was it was a large-scale thing for manufacturers, companies who can manufacture products on their own. And we will give an edge to them in pushing the products. So, can you give some numbers on how the company to manufacture India can benefit and how much of the market share right now for them and how much it can some color in numbers?

Nikhil Aggarwal: Difficult to quantify numbers, but like it's basically you know you need to understand that there is a finite, very limited manufacturing capacity for the category that we are in sport shoes across India and it's like really measurable the overall capacity if you just do a bottoms of all the players in the market, organized and unorganized, you will end up with a number which is very much quantifiable. So, it's a very much, you know, very finite quantity and clearly you know with the depletion of the imported goods into the market, we do expect there should be a benefit to all the organized and unorganized players, especially the organizers.

Niraj Mansingka: Do you expect those imported good prices of Chinese, US all to go up in the market and hence your competition, your product will be competitive, is that the scenario you're seeing that?

Nikhil Aggarwal: Come again. Sorry.

Niraj Mansingka: Do you expect the prices of all the imported, you know, footwear to go up and hence your money, your products will be competitive on the market, is that the main outcome or is it the availability itself of the imported goods will go down?

Nikhil Aggarwal: No, not really. I mean, so we have always been very competitive with respect to the MNC brands, mainly due to the pricing power that we have and our biggest USP is actually the value proposition that Campus as a brand provides right to the end consumer. So that is very much intact and you know that will continue to happen. We don't see that. Actually, there is no real competition in that aspect with the MNC brand because they all primarily start at INR 3,000-4,000 rather INR 4,000 MRP and above.

Niraj Mansingka: Yeah, yeah.

Nikhil Aggarwal: With a decent, decent pair of shoes so. So, it's actually a different market that we're both catering to.

Niraj Mansingka: OK. Thank you. I'll come back to the queue. Thank you.

Moderator: Thank you. We'll take the next question from the line of Akshen from Fidelity.

Akshen: So, two questions. One was around the broader demand environment, particularly when it comes to footwear industry. Generally, how are you, seeing because you've seen broader

consumption categories having some headwinds, you seem to have done very well. We're just trying to disaggregate if this is the market improving, our market share improving. That is question 1. And the Question 2 was around, UP markets couple of years back we had discussed that market being under stress, particularly around your channel. So as two years have passed now from that, generally, how has that market pay for those two questions from my side. Thank you.

Nikhil Aggarwal: Great question, Akshen. So actually, I think from a quarter four perspective Akshen, we have certainly gained market share. I don't think the market has really moved the needle that much while it's certainly improved versus quarter for last year. But on a double-digit growth, we are quite confident that we have gained market share. And because the demand scenario has, I mean improved but not that much, and which is also, you know, evident from our peer set numbers. I mean there is there is some struggle in the market with respect to demand.

Nikhil Aggarwal: On your second question, action on UP market, yeah, I would say that overall, if you see the

composition of our growth, it is both mixed. I mean online and distribution. Distribution of course, through better execution across the board we have seen growth in I would say six to seven markets across India and UP being a dominant market. Yes, the answer would be yes. We are seeing the traction back. There was a growth.

Akshen: Thank you, guys.

Nikhil Aggarwal: Thank you, Akshen.

Moderator: We take the next question from the line of Prerna Jhunjhunwala from Elara Capital. Please go ahead.

Prerna Jhunjhunwala: Thank you for the opportunity. Congratulations on strong set of numbers. So just wanted to understand what is driving this growth in volume, is it the number of distributors or presence expansion that you're doing or it's just online channel expansion and what is driving expansion on channel online channel for you as well? I mean that will be my first question.

Nikhil Aggarwal: So, it's actually a, you know, mix of certain initiatives, many initiatives rather that you know we have taken on the front-end and I'm particularly proud of the front-end team. You know, they've it's a lot of the execution that has happened actually at ground level in terms of placement, in terms of expansion of the outlets, the right set of distributors in the right place. So, it's a lot of execution really at ground level which has panned out and given us this growth, finally you know into the distribution on an annualized basis. And it's taken us almost two years we've been flattish actually on distribution. We have not grown for the past the year before this and the year before that. So, it's a good welcome back for the channel and we expect you know this momentum to continue and we will continue to add counters and distributor in the right geography, you know, wherever is required. So, it's a lot of consolidation efforts is the addition of distributor and the retailers and of course the right product also being delivered on time and in quantity to the respective outlet so yeah, it's basically distribution is an execution play and online again is more tactical. I mean in nature is while the focus is there on marketplace, but we've also grown on outright this year quite well and you know so marketplace will continue to remain a focus and this year we expect you know, growth to come in, you know, in a similar fashion from online as well.

Prerna Jhunjhunwala: OK. And I see that you, the retail account has increased from around 20,000 to 26,000 in this year, 20,000 in FY23, 26,000 as on today but number of distributors have actually come down so could you understand how many distributors have been added over the last two years?

Sanjay Chhabra: Prerna, it's a very dynamic field. I would say that we continuously evaluate the performance of our

distributors how they are in terms of expanding our reach and accordingly we do certain churns. The distributor count remains in the range of 300 to 350. Yes, we have consolidated certain geographies and hence the number of distributors have come down but the measurable output KPI is that how good we are expanding our reach. By end of this quarter, I mean Q4, our reach was at around 23,000 odd outlets versus 19,600 outlets last year. The number you are seeing is our active outlet count which is around 26,800 that's number of outlets which billed once in a year. But we also follow a different KPI, which is like bare minimum 12 pairs billed on a monthly basis so that is reached and we track both these KPIs irrespective of how many distributors we have on board.

Prerna Jhunjhunwala: OK. And how much can we expand further? How many outlets can we reach in the next 2-3 years' time frame. That will help us understand the growth part in the distribution channel that you are targeting at.

Nikhil Aggarwal: So, the overall universe is actually quite large and it's about 40-45K and we're just at 26k. So, but what we have done, the strategy for us is to first obviously get to all the relevant, most relevant counters for us as a brand and the category and that's how we are we're doing that. So along with you know we expect at least an addition of let's say 1500 counters year on year and along with that an increase in the world share, you know or each outlet. So that will lead to you know the basically the growth in the distribution channel.

Prerna Jhunjhunwala: OK, understood an...

Moderator: Ma'am, I'm so sorry to interrupt. May I request that you rejoin the queue for follow up questions? There are several other participants waiting.

Prerna Jhunjhunwala: Oh, thank you.

Moderator: Thank you. We take the next question from the line of Manasvi Shah from ICICI Prudential Asset Management. Please go ahead.

Manasvi Shah: Yeah. Hi, team and congratulations on a good set of numbers. I have two questions. First is sir, if we look at the commentary or you know of other peers as well as other, you know retailers, etc., in the online channel, especially marketplaces, it seems that you know there is some sort of a slowdown. Have you witnessed some similar trends on the marketplaces or you know or maybe higher discounting etc. like just wanted to understand on that front?

Sanjay Chhabra: I would say again it's a dynamic field, Manasvi like we have been able to get a fair share on both online marketplace and the outright business. And of course, we are doing relevant marketing spend to create visibility, create awareness and that's leading to traction and throughput and we are able to get the desired or rather, our sales team is able to meet their set of numbers. What we are targeting at the beginning of the year.

Manasvi Shah: OK. And Sir, on the second question, its actually around working capital, so impressive, you know, work done on reducing inventory, etc. Is there more scope that's number 1 and number 2, you know, if you look at your secondary sales growth versus primary, is it like mirroring your primary sales growth in the distribution channel?

Sanjay Chhabra: First thing first on the working capital side, I think we have done a fair amount of work in the last one year and we have reached to a level which is I would say the most desirable level. But at the same time, we have no plans to cut it down further which could eventually translate into a sales loss. So, from here on you may see a bit of higher inventory levels, of course we need to build before the season. The level which you are seeing here that I think that's the optimum level 95 to 90 days. Yeah. And on the on your second question, sorry, can you please come again?

Manasvi Shah: OK. Your secondary versus primary sales growth?

Sanjay Chhabra: Yeah, we are, I mean, we do have a tracker on the distributor. We have the DMS system and we see that the inventory levels with the distributors are fairly what they were at the end of FY24, so we maintain around, I would say 100 to 110 days of inventory. It continues to be same and so fair reflection of that it's primarily working on a replenishment model, which means that whatever we are able to sell secondary, we are replenishing through primaries.

Manasvi Shah: OK. Very clear. Thank you. And all the best.

Moderator: Thank you. We'll take the next question from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Thank you for taking my question again, Sir. So just on the you know, increase on the insurance, sorry, the interest base this quarter around you know the number has increased despite you know debt being now zero. So just wanted to understand the reason for the same.

Sanjay Chhabra: Yeah, good question, Gaurav. Interest line now is a reflection of only the ROU assets. So whatever leasehold premises we have in terms of EBOs and warehouses, we create a ROU, right to use and depreciation is charge on those asset and interest components is there. So, both in the depreciation and interest line component goes and that's what is sitting in the interest. This quarter you see a higher interest which is purely due to increase of two assets. We took a warehouse in Kulana for our online business chief warehouse and also, we have taken this Haridwar II facility for the sneakers. So that is on a lease on premise and also, we took a raw material warehouse house, so we have added three leasehold assets in this quarter.

Gaurav Jogani: Sure, Sir. Thanks.

Moderator: Thank you. Next question is from the line of Ali Asgar Shakir from Motilal Oswal Mutual Fund. Please go ahead.

Ali Asgar Shakir: Just to complete the question on margin, where I will just ask you about your aspiration of 17 to 19% margin, how should we see in the next two years panning out for you?

Nikhil Aggarwal: So, Ali, the aspiration, certainly you know is intact and as you can see, we're trending towards the guided margin and you know the initiatives we've taken are sort of panning out in that direction. So, at this moment, we don't see any headwinds with respect to margins. We, you know have built in into, for example, the NPD portfolio, you and the new launches and with margin sort of is primarily driven firstly from the products, right. So, as long as we maintain that and control that and the overheads and the costs are also under control. So, it's a fairly predictable number. So, we just need to factor in the non-BIS component what we just called out and you know the rest is sort of taken care of.

Ali Asgar Shakir: So, what kind of margin improvement we should expect in the next two years?

Nikhil Aggarwal: Two years. I don't know. It's a very dynamic environment. I think if we can predict one year, that's a big achievement. So, over a year's time for sure, like we should fall within the range of what we've guided.

Ali Asgar Shakir: Got it. So next year you should be able to achieve the 70-90% margin guidance?

Sanjay Chhabra: We continue to aspire that.

Ali Asgar Shakir: Sure sir. Thank you.

Moderator: Thank you. We take the next question from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank Chheda: My question again on the strategic front for Nikhil after all the activities that we have undertaken, we always had the targets and the aspirations to deliver double digit volume growth, which we delivered this year. But when it comes to the total revenue growth which is mid-teens or kind of revenue growth which we aspired mid-teens EBITDA margins which we aspire of, I see that directionally things are improving amid in the tough market conditions but leave aside the market conditions, why should we see these things playing out in terms of revenue growth, gro

wing at mid-teens, EBITDA margins coming out in mid-teens? That is my first question.

Nikhil Aggarwal: Hi Priyank. So, I think you've answered your own question. So, it's been a fairly tough macro this year, you know and I think in given the adversities that and it's very evident from the peers numbers right that are coming out. So, it's been a very subdued environment and I think we've done fairly well with respect to execution this year, and that is primarily led to the volume growth and ASP growth, of course is a function of, of course, the planning and the environment at that point, right. So, so given that you know in quarter four, we have certainly grown our ASP by 3-3.3% it's a good indicator that we sort of getting back on track with respect to ASP and of course volume has grown in double digits like you said finally. So, it's a lot of execution more than I would say macros sort of supporting at this point. Of course, with macros improving that should add on to the entire base.

Priyank Chheda: Got it. So, but what I what I was alluding to was the margins is something which is internal to the company. So, we should see that happening in the coming quarters directionally every quarter sequentially, right?

Nikhil Aggarwal: I think margin is a bit of a seasonality play also you know you'll need to understand I think in our line of business margin should be seen on an annualized basis honestly and not quarter on quarter because you know there is an element of open categories, some accessories, some so it's a very seasonal business. So, as you know already so you know we should evaluate margins on that aspect.

Priyank Chheda: Sure, Perfect. Got it. Point taken. My second question is on the two aspects of other expenses, which is 1 is advertisement cost. Now for the full year if you see cost which is INR 135 crores and we spend top dollars all the peers in the footwear category and that has grown at 25%, while the revenues have not gone in grown at that commensurately rate. When it comes last three years cumulative expense that we do on the media and advertisement spends which is INR 350 crores. Even for last three years this has hasn't didn't add it to much of the sales, right. So, can you explain the thought process behind, you know, spending such a high amount on the advertisements? Would we see this capping out at certain limits, certain levels, so that you know we 1st test the same throughput rather than growing the strength at a very faster pace. And then and please and just let me complete on the other question on the same aspect,

which one is on, of course on the advertisement. The second is on the non-BIS inventory, we always thought that while we have been hearing your commentary till the year end, we thought that much of the liquidations would be done and would have been done. Despite that, why do we guide that the cost of this slow-moving inventory would remain same as it was in FY25 while the sales will improve, the sales will grow, the impact should actually come down significantly. So that's my 2 questions.

Nikhil Aggarwal: Sure. So let me take up the AMP first. So no, actually you're actually quite right. So, AMP, you need to see it from 2 lenses. One is the brand building and the other is performance marketing, right. So, we've definitely disproportionately spent on marketing versus the peers over the last three years and that is, you know, in line with our aspiration to continue to build the brand and that is exactly what we've done and that is reflecting actually we do these brand surveys every year post our season end like post Quarter 3, so in January every year we do a very detailed and vast survey of the brand resonance, the top-of-mind scores, NPA scores and so on. And we have seen a significant uptake in the brand awareness levels and the Toms score. So, so clearly the marketing has definitely made the brand much more accessible and st

ronger across, you know, all geographies in, in the country. And so that has that is obviously a big, you know, boost also to sales. But at the same time, you know given that this year we've spent about, let's say INR 135 crores which is about 8.4% of the revenue. So, I would say that you know we don't foresee this going down at this point, maybe in FY26 will continue to maintain this number at 8.4, 8.5%. Basically, a percent increase from what we spent in FY24, but you know this should be funded from the ASP increase also and so we don't see any margin hit with respect to the increase in the brand building initiatives. I hope that answers your question on the AMP.

Priyank Chheda: Yes, it does. And on the non-BIS?

Sanjay Chhabra: Yeah, Priyank, on the non-BIS thing like, we have liquidated a substantial part of the non-BIS inventory during the last financial year and we are still left with a very small tail and if you see a FY24 results wherein we had to take some provisions both on inventory and receivables, I mean as a matter of practice, we don't want to get guided by some regulations like non-BIS but we want to have a firm liquidation plan for any of our slow moving and non-moving inventory beyond certain period let's say greater than one year or greater than nine months. And hence as a guiding principle, we are now sort of allocating 20 to 40 bps for this liquidation budget and that's how we intend to move and this strategy has played well. I mean reflection of that is very much visible in lower inventory levels now we have as a part of working capital hygiene. So irrespective of BIS, non-BISs being there or not, we would continue to focus on liquidating slow moving. Inventory, as a matter of routine and hence take this cost as a part of doing business.

Priyank Chheda: Got it. And just one last question on the can we get a revenue split on D2C Online which is the split of market. How much would have been the sales of marketplace and how much would have been from B2B online. Just a rough ballpark numbers or maybe a growth will also be helpful.

Sanjay Chhabra: I think at the overall level on the investor deck, you can get a revenue split. It is still 52% distribution, 38% online and 10% retail. So that's the kind of split.

Priyank Chheda: Yeah, I was asking within online, how much would have been from B2B online and how much would have been from marketplace?

Sanjay Chhabra: It will be predominantly marketplace. We can take this offline. I mean I don't have readily available.

Priyank Chheda: No problem. Thank you.

Moderator: Thank you. We take the next question from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Hi, thanks for the follow up. Just on the, I mean related question to previous one. Given that outright sales would have done better this year, as mentioned when Nikhil, would your performance marketing spends would have gone down because last year if I recall they were correct me if I'm wrong, but they were as INR 60 crores. I just wanted to check on that one.

Sanjay Chhabra: You know, eventually a consumer has to reach out to that platform and buy my product. It

needs to have certain ratings and hence I need to continue to spend on the performance marketing irrespective of the channel it is. I mean whether it's a pureplay, marketplace or it is through outright business, I need to generate that demand. And hence there would continue to be a performance marketing spend.

Umang Mehta: Understood. And this is the second one was on LFS. So, we've seen a decent 50% + YOY increase in the stores. I mean the banners in. Any revenue growth you can share for that particular channel, is it very high this year?

Sanjay Chhabra: I since it is a very small base, the numbers would look high. Yeah, we have added the Lifestyle and we have added Reliance footprint. But then there has been certain one

of the Reliance

format of fashion factory has degrown. So, it's a combined mixed bag but net net we have grown in that LFS per say.

Umang Mehta: OK, sure. Thank you so much.

Moderator: Thank you. That was the last question for today's con call on behalf of campus activity Limited. That concludes this conference. Thank you for joining us. And in case of any further queries, please reach out to Campus Activewear's Investor Relations team at [ird@campusshoes.com](mailto:ird@campusshoes.com). You may now disconnect your lines.

## Call: Aug 2025

20th August , 2025

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring, Rotunda Building,  
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SCRIP CODE: 543523 National Stock Exchange of India Ltd.  
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SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 –Transcript of the Earnings Call held with Investors/Analysts

Dear Sir /Madam ,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Investors/Analysts on 13th August 2025 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com) .

This is for your information and records please.

Thanking you

For CAMPUS ACTIVEWEAR LIMITED

Archana Maini  
General Counsel & Company Secretary  
Membership No. A16092

Encl: As above

Page 1 of 17 Campus Activewear Limited  
Q1 FY'26 Earnings Conference Call  
August 13, 2025

Moderator: Good day and welcome to the Campus Activewear Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "\*" the n "0" on your touch -tone phone.

Before we proceed on this call, let me remind you that the discussions may contain forward - looking statements that may involve known or unknown risks and uncertainties or other factors. It may be viewed in conjunction with our business that could cause future results, performance or achievements to differ significantly from what expressed or implied by such forward -looking statements.

The Campus Activewear's management team is represented by Mr. Nikhil Aggarwal – Whole - Time Director and CEO, and Mr. Sanjay Chhabra – CFO.

I now hand the conference over to Mr. Nikhil Aggarwal – Whole -Time Director and CEO. Thank you and over to you, sir.

Nikhil Aggarwal: Good evening everyone. Thank you all for joining us today for our Q1 FY '26 Earnings Call. We reported a revenue of INR 343.3 crores for the quarter, successfully navigating a challenging macro environment and managing two very significant internal transitions. First,

stabilizing the operations at our new raw material warehouse, which took longer than anticipated as we consolidated the operations of three warehouses together. Second, the successful implementation of SAP. I am happy to report that the blackout period for SAP was shorter than we anticipated, allowing us to resume normal business operations in the second week of April 2025.

To mitigate potential disruptions during the blackout period, we proactively stocked up the inventories with our channel partners during quarter 4 end to ensure minimum impact on secondary sales in the distribution channel. However, online channel sales got impacted during this transition, resulting in sales loss during the first fortnight. During the quarter, our volume declined by 11.6%, however, the impact was largely offset through higher ASP, higher margin product mix. The decline in volume was driven by muted demand in the online channel and Page 2 of 17 lower sales of entry price point DIP school shoes, slippers and sandals in the distribution channel. Part of the volume loss of DIP shoes was mitigated through upgrading our consumers to EVA school shoes. The reduction in slippers and sandals volume was primarily in the entry price point segment with lower-than-average margins.

Our revenue grew by 1.4% during the quarter, driven by 8% growth in the distribution channel, 20% growth in

the large format stores and partly offset with the transition-led decline in growth in the online marketplace channels. We focused on driving premium product sales in particular sneakers, which positively impacted our ASPs, which increased by 14.7% Y-O-Y from Rs. 586 in Q1 FY '25 to Rs. 671 during Q1 FY '26. This highlights our commitment to premiumization while ensuring competitive pricing even amidst macroeconomic headwinds. We continued to enhance our product portfolio by launching over fifty new value-for-money styles across men's, women's and children's categories.

These new offerings cater to various family occasions, reflecting our commitment to meeting the diverse needs of our consumer base. Notably, our sneaker category achieved a remarkable 150% growth, we sold 550,000 pairs versus 220,000 pairs last year, reinforcing our dedication to providing stylish, high-quality footwear at accessible prices. We also saw an improvement in our gross margins, which expanded by 210 basis points, Y-o-Y from 53.3% to 55.4%. During the quarter, we hosted our largest-ever distributors meet, SHOECASE 2025, celebrating two decades of shared growth and our commitment to the future. The feedback we received for our latest Focus collection has been overwhelmingly positive, enhancing our growth visibility and raising hopes for demand recovery in the upcoming quarters. I am excited to share that our new digital campaign, 'Aye Bro, Capsule Pro', featuring Siddhant Chaturvedi, has resonated very well with the youth. This campaign showcases the versatility of our flagship Air Capsule Pro collection and has generated a significant interest amongst our target audience.

As we speak, we have further augmented the in-house manufacturing capacities for upper by commencing the production of upper at our Paonta Sahib facility in Himachal Pradesh starting 1st August 2025. This strategic move is expected to bolster our manufacturing efficiency and help us in meeting the peak of demand. We are optimistic about the trajectory moving forward and remain committed to delivering value to all our stakeholders.

Thank you and now I hand over the call to our CFO, Mr. Sanjay Chhabra, to take you through more details.

Sanjay Chhabra: Thank you Nikhil and good evening everyone and thank you for joining us on Q1 FY '26 Earnings Call for Campus Activewear.

Our operational revenue grew by 1.2% year-on-year to INR 343 crores in Q1 FY '26, largely benefited by higher distribution, which has registered a growth of 8.6% and growth in large format stores, while the online channel had a decline in growth of 8%. The company sold Page 3 of 17 approximately 5.1 million pairs of footwear in Q1 FY '26, down by around 11.6% year-on-year. The average selling price grew by 14.5% year-on-year from Rs 586 per pair to Rs 671 during Q1 FY'26. The gross margins improved from 53.3% during Q1 FY '25 to 55.4% during the current quarter. The improvement in gross margin is largely driven by higher share of premium products, including sneakers, as well as overall cost efficiencies.

Our EBITDA for Q1 FY '26 was INR 55.4 crores. The EBITDA margin stood at 15.9% during the quarter, an improvement of 10 basis points versus last year. PAT stood at INR 22.2 crores during the quarter and PAT margin stood at 6.4%. Drop in PAT margin from 7.4% last year to 6.4% during the current year is driven by higher depreciation on our capacity enhancement related investments in Haridwar and Gurgaon during second half of the last year.

With this summary, I will now conclude my remarks and open the floor to the moderator for Q&A session. Thank you.

Moderator: Thank you very much, sir. We will now begin the question and answer session. We have our first question from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Thank you for taking my question. Sir, my first question is in regards to the decline in the online

sales. Actually, we lost out the initial part of your commentary because there was a lull. If you

can tell us why online sales have declined sharply and how much of this is recoupable in the coming quarters?

Nikhil Aggarwal: Hi, Gaurav. So, actually, in the online sales, two things happened. We basically had a very large transition of the raw material warehouse, which I called out. So, we consolidated three warehouses into one. And this is the largest transition the company has ever made in the history of the organization. Now, the benefit, of course, is going to be immense and we have already started seeing the benefits of this transition from Q2FY26 onwards. But, I mean, there is never honestly a good time to make this transition because the business path also has to run as usual. But we took that call to do it during quarter one, which is like the slower time compared to the season time. So, during this time, while we made very good progress and the distribution channel had enough inventory to get growth, we unfortunately could not supply enough material for the online-led marketplace. And that is where we sort of lost out on the growth over 15 days, I would say. 15 to 20 days, which, Hello. Sorry about this. Did you hear me so far?

Gaurav Jogani: Yes, Sir. I listened to the part that you said that you missed out on sales for fifteen to twenty days. That is where I heard from you last.

Nikhil Aggarwal: Yes. So, that is basically what happened in the online channel. Otherwise, we would have gotten at least higher single-digit growth in the online as well.

Page 4 of 17 Gaurav Jogani: Okay. And you said that, you know, already you are seeing the benefits of the warehouse consolidation. So, if you can highlight what kind of benefit this consolidation is giving you. Are you talking more in terms of a cost side? Are you talking more in terms of better distribution? How is this warehouse consolidation helping you?

Nikhil Aggarwal: Sure. So, this warehouse, so far, we had three warehouses for raw material issuance to basically all the plants and our fabricators. And these three warehouses had a combined capacity of not more than 80,000 pairs a day. Right? And that is the maximum we have ever done from these three. Now, the new warehouse gives us a capacity of, in a mature state and a high-throughput state, we can easily go up to 200,000 pairs a day. So, it is basically doubling of the capacity of the throughput. And what this does is this de-bottlenecks the entire supply chain where we can now comfortably and, we can also do a lot of advanced issuance of the material to the respective plants wherever required.

Gaurav Jogani: Okay. So, basically, it allows you to store a lot more raw material, which you can then give it to the vendors for processing, and then your production can increase effectively. Is that the right understanding?

Sanjay Chhabra : Actually, it adds a lot of bandwidth for us to feed our 60-plus fabricators who, in turn, make up for us throughout the year and also during the peak season when we have a higher demand.

Gaurav Jogani: Sure. Okay. And the last question is with regards to the other expenses line item. I think this quarter we also had a higher ad spend that probably, and plus the negative leverage is impacting the margins. Otherwise, if you look at the overall margin tax of this, would you be confident of at least touching 16% - 17% margin this year, given that, you know, now this, the closure is now behind us and we expect the sales to recoup going ahead?

Sanjay Chhabra: Yes, Gaurav. We continue to aspire to go back to the old days. 17% - 19% is what we have been highlighting always. So, that is what we aspire to achieve.

Gaurav Jogani: Sure. Thank you. That is all from me.

Moderator: Thank you. We have our next question from the line of Priyank Chheda from Vallum Capital. Please go ahead.

Priyank

Priyank Chheda: Yes. Hi, sir. Thank you. Nice to interact again. But will be sorry to point out. We have been guiding for double-digit growth. We have been guiding for 17% - 19% margins. But we have been waiting also long for that delivery. And then somehow, either it is industry or internal to Campus that the delivery is something which is very consistent. Could you please highlight by when should we actually see what you have been guiding in terms of delivery happening on the P&L also?

Page 5 of 17 Sanjay Chhabra: Hi, Priyank. Yes, you are right on delivery misses on occasion. But if you look at it on a consistent

basis and on an annual basis, you will see that there is improvement on the EBITDA margin front. I mean, if you look at full year FY '25 versus FY '24, and if you look at the consistency, we are trying to maintain quarter on quarter. The numbers are there. As I said to answer Gaurav in the earlier question that yes, we aspire to go back to 17% - 19% trajectory. And we are trying to sort of work on all the building blocks which are going to take us there on a sustainable basis. And these transitions, both SAP implementation and consolidating RM warehouse are part of that. I mean, we are always keeping in view one year forward, how we augment the capacities to take care of the future demand growth and these are building blocks. Yes, it is taking a bit of time. I agree with that.

Nikhil Aggarwal: Hi, Priyank.

Priyank Chheda: Hi, Nikhil.

Nikhil Aggarwal: I would just like to add that, like Sanjay clearly pointed out, there has been significant

movement. The quarter 4 and quarter 3 last year was very good for the company. And after a long time, we were able to demonstrate that kind of performance. This was a one-off. We also did not honestly anticipate in quarter 1 this kind of time frame for the warehouse consolidation because it was massive, like it was hundreds of crores of inventory which was shifted over a very short period of time, which had to be uploaded into the SAP. And so it was a very complex affair, which we are very proud of, which, you know, it is a tough transition. And honestly, I like it opened up a lot of the deep bottleneck, the entire supply chain completely. So, we are very positive for quarter 2 onwards. And we had a good start in quarter 2. So, we are very hopeful of the recovery going forward.

Priyank Chheda: Sure. No, we also hope for that. And we have been well-wishers. What I failed to reconcile is that if we had planned such a large movement, A, we could have guided the consensus or we could have guided the investors in the previous call itself that there would be this disruption.

B, on the business front, in the times where industry is struggling for a better sales growth, we cannot afford for fifteen, twenty days of sales loss. I think that could have been also planned well. Just an observation, right? I will come to the second question. The second question is on in the times when there is a 15-20 days disruption, in the times when industry is struggling, we have still continued to invest into the advertisement and promotion. We could not see a decline or a de-growth over there. I am sorry, but I am asking this question again while I asked this question in the last call also. We spent top dollars in terms of percentage revenue when compared to all the other footwear brands that are listed in India. How do we reconcile this for this quarter, for this full year, that ROI getting translated into the revenues? Help me with what is the thought process behind spending such a large amount in advertisement and promotions?

Sanjay Chhabra: Priyank, needless to say that A&P spends always have a lag in terms of realization, in terms of sales. And as we mentioned in the opening remarks, that this de-growth in online was a Page 6 of 17 channel-specific phenomena, which required a certain set of finished goods

. The de-growth

was not universal. Like, we have shown a growth in distribution of around 8%, which is pretty decent. And that is what it is all execution-led. And also, it was a part of plan. I mean, we did up stock inventory in Q4. Despite that, we were able to service all the orders post-SAP go live, which resulted into a growth in distribution channels. So, A&P spends are channel-agnostic and of course, the investments are ahead of curve and the impact also comes with, let us say, a quarter lag.

Priyank Chheda: Okay. Hopefully, we will see that.

Moderator: Sorry to interrupt you, Mr. Priyank. May I please request you to rejoin the queue, as there are several participants waiting for their turn. Thank you. We have our next question from the line of Shraddha Kapadia from SMIFS Limited. Please go ahead.

Shraddha Kapadia: Thank you for the opportunity. So, basically, my question is with regards to the ASP. So, we have seen increase in the ASP. So, is there any specific region where there has been more ASP increase, or it is overall which is there? Also, in terms of the consumer buying patterns. So, if you could just give a brief about the recent Q2 demand trends and the consumer buying patterns that would be great.

Nikhil Aggarwal: Sure, Shraddha. Firstly, with respect to the ASP, we have had an excellent response in terms of our sneaker portfolio, number one. Even on the shoes portfolio, the sport shoes as well, which is, you know, so our 1500 plus portfolio share saliency has gone up to all 50% plus for this quarter, which is the highest ever we have done. And so there are two, three reasons for that.

One is our disproportionate focus on the sneaker category, which is definitely extremely premium and very high ASP. And that is, again, a reflection of, our commitment to premiumization. And this is on a, actually not a very large base. We have sold just 550,000 pairs of sneakers. So, it is still like scaling up and we have, you know, big plans for this category going forward. Secondly, there was, we did slow down on the lower margin, lower MRP, DIP school shoes and some bit of sandals and slippers, which were not very margin accretive and very, very low value. So, that is one portfolio which we sort of scaled down slightly. And so it is a combination of both. Where we have gained disproportionately on the ASP front.

Shraddha Kapadia: Any regional trends which can be observed?

Nikhil Aggarwal: Not really. It is across. It is across the board. The regional saliency for us is also very similar to the previous quarter. So, no real change in terms of, it is across the board. In terms of, yes, I will just highlight that. The macros were like, okay, they were not like the best in terms of the demand situation. But they were not also too bad. So, we were hoping for, you know, that is why we were able to do even eight or nine percent growth in the distribution. So, but if you look at the other results of the peer set, right, so clearly you can see there is stress in terms of demand. But as a brand, we have been focusing disproportionately on branding and the Page 7 of 17 premium portfolio and the quality of shoes, right, which is giving us this kind of growth even in this market. So, that is how we are looking at the market right now.

Shraddha Kapadia: Sure, Sir. Just one more question from my end. So, what is the proportion of non-BIS inventory in the system? And do you continue to expect the 20 to 40 basis points of market margin drag for FY '26?

Sanjay Chhabra: Shraddha, the proportion has significantly reduced. And that, again, has started reflecting in our gross margins as well. So, on the one side, there is a ASP increase and on the other side, there is a cost efficiency, which means that now we are getting lower hit in terms of liquidation of non-BIS inventory and all, as compared to same quarter last year and as

compared to last

quarter as well. So, that has started reflecting on the margins. We do not see much of stress there beyond the range what we have already highlighted in the past.

Shraddha Kapadia: Sure, Sir. That was quite helpful. Thank you so much.

Moderator: Thank you. We have our next question from the line of Umang Mehta from Kotak Institutional Equities. Please go ahead.

Umang Mehta: Hi. Thanks for the opportunity. So, Nikhil, if I were to just, you mentioned that D2C online, if this disruption was not there, then it would have grown by around high single digits, right? So, assuming that this would not have happened, you are saying that your overall sales would have grown in something like 6%, 7%? Is that correct?

Nikhil Aggarwal: Yes, high single digits per month. That is right.

Umang Mehta: Even the company level sales?

Nikhil Aggarwal: At company level.

Umang Mehta: And any color you can share on how June-July have been so that we come to know about how the recent trends are and what kind of expect going ahead?

Nikhil Aggarwal: Without like diverging into numbers, I can share with you that we have recovered in terms of the sales in July and we expect a decent quarter too. We are basically in line with our budgets, like internal budgets, what we have aligned. So, we do not see any challenge there.

Umang Mehta: Understood. And just a clarification, the 17% to 19% guidance that you gave, that includes your other income, is it? In terms of the EBITDA margin that you have calculated?

Nikhil Aggarwal: Yes.

Umang Mehta: Understood. Thank you so much.

Page 8 of 17 Nikhil Aggarwal: Thank you.

Moderator: Thank you. We have our next question from the line of Sameer Gupta from India Info Line. Please go ahead.

Sameer Gupta: Hi, good evening everyone and thanks for taking my question. So, firstly on the BIS part, just want an update here and this is not on the non-BIS inventory that we have. This is on the overall industry piece. There was an expectation that Campus would be one of the bigger beneficiaries of this disruption that we saw in BIS terms. Now as you see it on the ground, are all the related benefits to this accrued to us already or more can be expected?

Nikhil Aggarwal: Okay. Hi Sameer. So, we have just actually started seeing the benefits to be honest. The benefits are yet to be fully materialized as there is still inventory in the system, non-BIS inventory for all the brands. It is not just limited to us. The regulation says that everyone has to dispose off the inventory before June 2026. So, everyone is taking their time to do that. But that is not really a big issue now with anyone as the overall inventory is, I believe, finite and not that significant. So, the benefit has started coming in but I believe the bulk of it is yet to come.

Sameer Gupta: Got it. And see why I ask is because now with the evolving geopolitical situation with China, first of all, is there a potential for whatever benefits that could have come to even reverse hypothetically or now the ecosystem has changed completely and whatever is done is done and you do not think this situation to reverse?

Nikhil Aggarwal: You mean the BIS to be reversed?

Sameer Gupta: As in let us say if factories outside China start to get approvals etc. Then we will be back to square one, right?

Nikhil Aggarwal: Not really. I mean see they are already getting approvals but they are getting approvals for the MNC brands because they do not really have any manufacturing in India and they are only dependent on China, Vietnam, Indonesia, such countries. So, they are getting very exceptionally approved but for basically our biggest competitor were, two lines of thought here. One is the fake goods, the fake brands that would come into India from China. That was a very big volume that was being brought here and that sort of also disrupted our market so

that piece has really shrunk completely more or less. And then there was of course other importers, the non-branded ones. So, on both fronts we have seen significant decline in the imports into the country. So, I do not see any reason why the government would want to reverse this. I mean there are other ways of, I am sure they have better solutions to this, but I think it is a great move. BIS would be very beneficial for the entire industry in terms of even employment generation which we are already seeing the benefits of. And even us like we are Page 9 of 17 going all out in terms of expansion, right? So, we are also putting up new plants and new facilities and expanding our production. So, clearly, we see a lot of leverage going forward.

Sameer Gupta: Got it. And these fake brands and non-branded importers that you are talking about, they still have a sizable inventory of non-BIS products. That is why the benefits are yet to accrue. Is that

in a correct understanding?

Nikhil Aggarwal: There is some definitely. I mean see one is obviously there is a seasonality to it also. We believe that the demand was not that great in quarter one and that is a reflection that you will see in the other results also of other companies. Despite that of course we lost out due to some internal transitions on the online side but the distribution piece has shown growth, right? 8%, 9% growth. So, in the season time of course this will be accelerated and we believe that in the next one or two quarters the benefits will become even more apparent from the BIS.

Sameer Gupta: And there are no fresh imports happening of these fake brands. That is for sure.

Nikhil Aggarwal: I mean if anything is getting done by other means I do not know but like legally yes nothing is getting imported now.

Sameer Gupta: Okay. No worries. And second question if I may on this 15 to 20 day disruption that you mentioned. I am not able to really understand what has happened. So, one, how is it that this disruption is only affecting the online channel? Was it specific to certain SKUs that demand came in on the online marketplace and you could not supply or you could not anticipate stocking up or you know you did not have enough capacity to stock up that much? What exactly happened?

Nikhil Aggarwal: Sure. So, basically you know we firstly had sufficient stock on the distribution side. Of course, there was some disruption on the distribution also but distribution was less affected because they had a healthy inventory base already. On the online side we got impacted mostly on these specific articles which were high movers and the outright sale in the marketplace, right? So, both areas got affected. With respect to because they were already on a lower base of inventory so that is where the impact was more significant.

Sameer Gupta: But you planned to do this so you could have stocked up on those items, right?

Nikhil Aggarwal: So, yes.

Sameer Gupta: If it was an unplanned exercise, yes.

Nikhil Aggarwal: No, you are right. So, basically two big transitions were happening at the same time and the SAP and the warehouse and while we honestly thought that this could have been done in over a week's time but it took much longer, the warehouse transition because of the complexity which we did not really anticipate to take that long. So, it was definitely a miss. I would call it Page 10 of 17 out that it could have been done slightly better, you know but I mean whatever it is, it is in the past now and we are very hopeful of recovering completely from here on in the balance three quarters.

Sameer Gupta: Got it. That is all from me. All the best for the future.

Nikhil Aggarwal: Thank you.

Moderator: Thank you. We have our next question from the line of Akshay from Fidelity. Please go ahead.

Akshay, we will request you to unmute yourself and go ahead with the questions.

Akshay: Yes

. Sorry. First question was around the ASP. We have seen a sharp uptick this quarter. I do not know if this is just you know choice of inventory we sold or something that we should see steady state going forward. That is question one. If you could answer that, then I will go to the second one.

Sanjay Chhabra: Yes, Hi, Akshay and Sanjay this side. So, the high ASP is a combination of two things. One is the higher saliency of sneaker portfolio which has a higher MRP range. That saliency or that portfolio has shown a growth of around 150 percent. And then second is the lower sale of slippers, sandals and DIP shoes. So, DIP shoes we are selling, it is an entry level school shoes which was selling at a price point of roughly Rs. 400 which we consciously sort of descaled or scaled down and tried to move consumers to the EVA based sole which is a lighter school shoe but at a higher price point. So, it's a combination of one, the sneaker portfolio and second, the lower saliency of the school shoes, DIP school shoes plus sandals and slippers which was a conscious call on sort of vacating some entry price point which were delivering us less than the average margin. And then going forward, I would say that sneaker, the base which we have formed in this quarter and from here on, there will be a consistent growth quarter on quarter. Of course, we should not be comparing it versus last year but now this 500,000 pairs to 700,000 pairs would become a base for every quarter because our Haridwar II facility is also now up and running at full scale.

Nikhil Aggarwal: So, the ASP may not be as high as this every quarter but it will certainly be,

Sanjay Chhabra: Higher than last year.

Akshay: Okay. Second was just your comments around the disruption. So, from the earlier call, you had mentioned that you had a go live on 4th April. So, that would not really have disrupted the quarter too much, no?

Sanjay Chhabra: Yes, Akshay. So, the disruption here, it was more on account of raw material warehouse consolidation which feeds our five plants and sixty odd fabricators. So, if there is a, I mean, it handicaps us if there is a sudden demand on an article and if I am unable to issue the raw Page 11 of 17 material for that article, I just cannot mold it and service that demand. And that is where our online channel got impacted. SAP go live was scheduled for 4th. By 7th, all the modules were up and running. By 10th, it was BAU for our largest channel which is distribution. So, the

disruption was more on account of backend supply chain which is raw material warehouse.

Akshay: Sure. Just a last thing from my side, more of a suggestion. I mean, we had a call fairly late in May. This disruption on warehousing would have been a known headwind to you. It does not change one, two, three year outlook. But just around the quarter, we were coming off two decent quarters, three decent quarters. We were changing logistics. We did call out, but we did not call out disruptions over there. If there were disruptions, you would have seen the disruptions by May. Just out of good practice, I think you should have just called it out. That is it from my side. Thank you, guys.

Nikhil Aggarwal: Thank you.

Moderator: Thank you. We have our next question from line of Perna Jhunjhunwala from Elara Securities. Please go ahead.

Perna Jhunjhunwala: Thank you for the opportunity. Just wanted to understand the difference between primary sales and secondary sales growth this quarter.

Sanjay Chhabra: Perna, we had a fair amount of secondary sales growth. I mean, largely reflected in our distribution growth. So, we are working in the key markets. We are working on a sort of replenishment model. The big markets in North and also in West, we have seen a decent secondary sales traction.

Perna Jhunjhunwala: Because we lost 15 -20 days of sales that would largely be on the primary side

I assume. And

hence, just wanted to get clarity whether this would be covered up in the forthcoming quarters.

Sanjay Chhabra: We have been mentioning since the beginning that we have shown a growth in distribution around 8.6%. So, distribution channel, we were able to up-stock the inventory in line with the demand. The disruption impact was not that severe. And that is how we have been able to grow. So, the replenishment thing continued to work. Wherever in distribution, whatever little de-grow this, that is on account of lower sale of school shoes, DIP, sandals and slippers, which again was a conscious call based on those price points and low margin articles.

Nikhil Aggarwal: Just to add here, Perna, that by the end of the quarter 1, we were able to start building up the stock again. So, the disruption issue is behind us completely. And that is why we were able to see a good momentum July onwards. So, I would say that this issue is past us now.

Perna Jhunjhunwala: Sir, would you like to call out for any positives coming in from premonition of festive season in Q2 this year?

Page 12 of 17 Nikhil Aggarwal: I think it is too early to call that out. I mean, we are of course fully geared up for the season. So, we will see how it goes.

Perna Jhunjhunwala: Okay, thank you Sir and all the best.

Nikhil Aggarwal: Thank you.

Moderator: Thank you. We have our next question from the line of Aliasgar Shakir from Motilal Oswal Financial Services. Please go ahead.

Aliasgar Shakir: Thanks for the opportunity. I just wanted to understand the demand outlook. Now, I mean, you did mention that the inventory of non-BIS inventory in the industry has come down quite significantly, which was hurting us. And also, you know, overall macro scenario was also not very great. So, in that backdrop, how do you see now the demand outlook? Also, from a demand driver point of view, you know, distribution side, what steps you have taken and all that. Do you think we should be able to still do our double-digit growth target that we had? Or with this Q1 disruption, I think now that will come down.

Nikhil Aggarwal: Hi, Ali. So, we are absolutely on track with the double-digit guidance. There is no change in that. We have basically been, you know, executing apart from this one issue that we had on the warehouse. We are executing very well on the front-end side. And we are currently doing, we have had a fantastic distributor meet where we have collected orders till basically December. We have a very high visibility of the order pipeline. And even at the secondary level, as currently we are doing the retailers meet, as we speak, they are going on across the country. So, the response is very good on the newer articles and the entire portfolio. The core portfolio is very well accepted. So, we have good visibility. It is all about execution now. And that is basically what we are doing. As, you know, the challenges that were there in terms of the warehouse, we have opened it up completely. So, at least now we have a very good throughput available from the warehouse side. So, we do not see any other challenges in the season.

Aliasgar Shakir: Got it. It is very useful. And on the distribution side, if you can share any insight in terms of the initiatives we are taking to ramp up distribution and new territories that we are planning to add.

Nikhil Aggarwal: So, yes, like I mentioned, I mean, these are all new initiatives. You know, the number of retail meets that we are doing are highest in the country by far by any other brand, by a significant margin. Like I cannot share the numbers, but it is in line over 150 plus retailer meets that are happening across the country. Plus the distributor meet that happened was at a very large scale. So, these are like, you know, industry first initiatives. Nobody else has done this before. And along with that, we are giving them a

highly curated portfolio of very, good designs and value proposition is very high as always that we maintained. Plus, you know, we are also launching with some new branding and, you know, which you will see in the coming times in Page 13 of 17 the season. So, a lot of stuff is happening in terms of brand visibility, marketing, sales front. Of course, in the regions of South and West as well, like we have maintained the momentum. South has also grown for us in quarter one, Y-o-Y right. So, there is a very good execution push at ground level in terms of distribution and that is where you see the growth as well in quarter one.

Aliasgar Shakir: Got it. Just last question on the margin front. So, you mentioned 17% to 19% percent is where you aspire. Can you share timelines? I mean, should we expect this year to achieve that level of margin or else? So, when by when should we expect and what kind of growth do we need to achieve that?

Sanjay Chhabra: Ali, of course, we do plan and the plans are always slightly above what we have already delivered in the last year. So, 17% to 19% is a range, I would say, for a period greater than one year. I would not sort of commit that. Yes, that upper band is what we will be achieving this year. But that is the range we are aspiring. It is a combination of multiple factors. And if everything falls into place, I mean, we can deliver in that range. But definitely, I mean, that range has some building blocks which we are working on.

Aliasgar Shakir: But it should be linear, right? It should not be backhanded, right? We should see linear improvement year-on-year.

Sanjay Chhabra: Yes.

Aliasgar Shakir: Understood very clear. Thank you so much.

Moderator: Thank you. The next question is from the line of Jasmine from VT Capital. Please go ahead.

Jasmine: Hi team, my question is largely on the nearer term. My understanding is that quarter two may have some seasonal impact from the rain plus the inventory disruption as well as the rising ASPs that may have caused a little bit of a slump in the volume as well. So, would it be fair to assume that H2 is when a proper recovery would be seen?

Nikhil Aggarwal: Hi Jasmine. So, we have covered this already. Like quarter two, like I have called out is on track, right. And so whatever that translates into H1 numbers, given how quarter one went. But clearly, like we are on road to recovery and we still have, like I have guided to a double digit growth for this year. We are absolutely on track with that. So, I mean, that is all I can point to here. I mean, there was, of course, abnormal amount of rainfall this year. But I do not see a disruption beyond any point for that. So, it is manageable, and we have been able to do fairly well so far.

Page 14 of 17 Jasmine: Okay. My second question is on the unorganized competition. Do you have anything to call out on that front? And a follow up or a related question on that would be, how is the pricing in the market right now? Is there a lot of price cutting happening in the lower price points?

Nikhil Aggarwal: Yes, that is true. Actually, on the ground, a lot of the unorganized players are, you know, cutting prices a lot. And, there is intense competition on ground. So, I mean, that is where we are taking some steps to mitigate that and, reduce that impact to as low as possible. So, we have also done some schemes and some initiatives have been taken on the front end to push sales. But as long as, you know, we are also obviously monitoring secondary inventories very carefully. So, there is a movement on the secondary side completely. So, basically, the sale is pretty much in line with how we anticipate so far. But yes, there is a push on the ground. There is definitely, quite intense competition at the moment.

Jasmine: Great. Thank you so much. All the best.

Moderator: Thank you. We have our next question from

the line of Chirag Shah from White Pine Investment Management. Please go ahead.

Chirag Shah: Thanks for the opportunity. So, two questions. So, first, on this disruption due to warehousing, that consolidation was happening, what kind of volume or revenue you would have lost because of that? Because you would have tried to recoup it in the subsequent period of the quarter. So, either in terms of number of pairs or in any form, you would like to call out?

Sanjay Chhabra: Yes, Chirag. As we mentioned that the impact was there primarily on the online channels, which is roughly 35% saliency. And I mean, had everything been normal and we would have shown a bit of growth there as well. So, it would have an impact of maybe around Rs. 10 crore to Rs. 12 crore of revenue there, which on an overall basis would have added maybe 3%, 4% growth.

Chirag Shah: Great. And just a clarification, you indicated there was a 50% growth in sneakers, if I heard it correctly?

Sanjay Chhabra: Yes, that is right. Versus last year's same quarter.

Chirag Shah: And is this a new trend or last year was more of an abnormality because of the growth?

Sanjay Chhabra: Sorry, we were not very geared up for the sneaker portfolio. We have set up new stitching lines in Haridwar facility mainly to cater to the sneaker segment because that is a trend or that is a category which was evolving and we were late entrants there. That was a gap in our portfolio which we have bridged from H2 of last year.

Chirag Shah: Yes. And last question was on this non-BIS inventory in general or in the system. Based on your understanding, can you call out what is the impact of this either on revenue as well as on

Page 15 of 17 margins either way in general for industry? Because it is a kind of a black box beyond a point and your understanding would be far, far superior than ours.

Sanjay Chhabra: As Nikhil mentioned, the non-BIS inventory is primarily or let us say half of that is nothing but the fakes of the MNC brands which used to get imported from China. So, that has been stopped completely, which would mean that it should result in a demand for the local players. Right.

So, that is what it is. And the government giving time to liquidate such inventories till June 2026 means that wherever it is parked, I mean, those channels still have the inventory. And once those inventories are completely exhausted, it would lead to a demand for the local players.

And by this time, I mean, since the last one and a half year, if the imports are banned, it is presumed that a large part of that inventory is already liquidated. So, it should translate in to the demand. And now it is all a matter of guesswork that how much of that demand will come to campus and how much will go to the unorganized players. And now it is a level playing field for all. And it becomes the execution game for us to try to grab as much share as possible.

Chirag Shah: What I was trying to understand is, if I take FY'25 as a full year base, would it be right that for an organized players like you all, as an industry I'm more referring to, there would be a 5% - 7% impact on revenue coming because of this inventory, of non-BIS inventory? Or it is more impacting you on the margins front because there is more supply and you have to compete in the market as a player. So, how is the impact in your assessment on the financials?

Sanjay Chhabra: It is very difficult to put a number to it. I would only say that it can impact us on the positive side in terms of revenue because the imports have been banned. On the negative front, as a cost, there was a cost of liquidating non-BIS inventory, ASAP, which we have been doing for last, I would say five quarters since the BIS regulation is in place. And like all other players, we are also now left with very little of that stock and hence the cost side impact is very miniscule.

Chirag Shah: So, would it

be the right statement that FY'25 margins would be significant, would have a reasonable impact on this and in a sense, it will help us understand how big it could be the impact for FY'25 as a whole I am referring to because there could be quarterly variations, etcetera.

Sanjay Chhabra: It would be very difficult to quote a number.

Chirag Shah: Fair point, sir. Thank you and all the best.

Moderator: Thank you. In the interest of time, we will request all the participants to restrict to one question per participant. So, if you have a follow-up question, we request you to rejoin the queue. We have our next question from the line of Rajesh Agarwal from Money Ore. Please go ahead.

Page 16 of 17 Rajesh Agarwal: Sir, can you through more on the sneaker business? On the higher base of 5 lakh or 7 lakh, can

we grow quarter to quarter 25% or nearly 40%? And you said that ASP will not go up. If the sneaker business goes up, ASP should go up from here also, right? These are my questions.

Sanjay Chhabra: Okay, I mentioned earlier, I mean, if you are comparing versus last year, the numbers would look great. But then if we get into a quarter-on-quarter comparison, 5 lakh pairs per quarter is a decent number and from here on, our growth will be normal, let us say 15%, 20%, right?

Rajesh Agarwal: Okay.

Sanjay Chhabra: Saliency we will have for sneakers, and yes, sneaker commands, let us say, Rs. 200 -250 ASP difference versus our regular sports shoe category. And hence, to that extent, ASP accretion and margin accretion would get reflected in the numbers.

Rajesh Agarwal: Can you come back again on the last thing? What about the margin? What is the margin accretion?

Sanjay Chhabra: That is what I am saying that to the extent we continue adding sneaker portfolio, it is nothing but premiumization. So, to that extent, the ASP accretion and margin accretion related to that price difference would accrue in our numbers.

Rajesh Agarwal: Can you quantify that will be how much? Rs. 250 or Rs. 300 or whatever?

Sanjay Chhabra: You can put, let us say, 10% growth on my current quarter's numbers. That is what it will grow now.

Rajesh Agarwal: Okay. And our sneaker price begins from what rate, sir? What price do we begin starting range?

Nikhil Aggarwal: It usually begins at Rs. 1,499 and above.

Rajesh Agarwal: Rs. 1,499. Still there is a scope of ASP to increase substantially from here or not? Now we are at Rs. 671 now.

Nikhil Aggarwal: I mean, from the sneaker portfolio, certainly the ASP will grow, right.

Sanjay Chhabra: Rs. 1,499 is the MRP, so our realization will be after the channel margin.

Rajesh Agarwal: Okay Sir. But there is still a scope of ASP increasing, you know?

Sanjay Chhabra: Yes, there is still a scope.

Rajesh Agarwal: So, when we are talking about this guidance, so we are talking about volume growth also and ASP increase also?

Page 17 of 17 Sanjay Chhabra: We are talking about revenue growth and that, I mean, everything is built into that.

Rajesh Agarwal: Understood. Okay. And any other drivers for the growth and margins?

Sanjay Chhabra: Of course, product, sneakers, and from a category perspective, like segment perspective, women's share is another driver. And from a geography perspective, South is the driver.

Moderator: Sorry to interrupt you, Mr. Rajesh. May I please request you to rejoin the queue?

Rajesh Agarwal: Okay. Thank you.

Moderator: Thank you. We have our next question from the line of Yash Kinwalsara, an individual investor. Please go ahead.

Yash Kinwalsara: Hello. Good evening. Can you hear me, sir?

Nikhil Aggarwal: Hi, Yash. Yes, please go on.

Yash Kinwalsara: Sir, actually, I did some groundwork, ground research. I talked to two to three retailers. Sir, what I have noticed is that if you take the, I am talking about sports shoes. If you take the segment from Rs. 500 to Rs. 2,000

0, then people usually refer Campus, which is good, and congratulations for that. And, Sir, second thing, but if you take a premium segment, which is from about Rs. 2,000 to Rs. 2,500, people are usually tilted to other international brands. So, Sir, my question is that do you have any strategy or are you planning, do you have any framework for branding to gain some market share in higher premium segments?

Nikhil Aggarwal: Sure, Yash. Great question. Yes, that is exactly what we are working on. So, sneaker is one portfolio, which is helping us bridge that gap. And Rs. 2,000 plus onwards, we have a fantastic range of sneakers, which is already there. And, of course, there is a lot more in the pipeline, which is about to get launched. So, that is one big piece of this puzzle, which will help us premiumize Rs. 2,000 and above, right? And, of course, there are some other steps that are being taken as well, which it is a bit too early to share right now on the call. But rest assured, we are working on our Rs. 2,000 plus portfolio very aggressively.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, that would be the last question for today. On behalf of Campus Activewear Limited, that concludes this conference. Thank you for joining us. And in case of any further queries, please reach out to the Campus Activewear Investor Relations team at [ird@campushoes.com](mailto:ird@campushoes.com). You may now disconnect your line.

## Call: Nov 2025

17th November 2025

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring, Rotunda Building,  
P. J. Towers, Dalal Street,  
Mumbai – 400 001  
SCRIP CODE: 543523 National Stock Exchange of India Ltd.  
Exchange Plaza, C -1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051

SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Earnings Call held with Investors/ Analysts

Dear Sir /Ma'am ,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Analysts/ Investors on 12th November 2025 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com) .

This is for your information and records.

Thanking you

For Campus Activewear Limited

Archana Maini  
General Counsel & Company Secretary  
Membership No. A16092

Encl: As above

Page 1 of 14 Campus Activewear Limited  
Q2 and H1 FY'26 Earnings Conference Call  
November 12, 2025

Moderator : Ladies and gentlemen, good day and welcome to Campus Activewear Limited Q2 and H1 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '\*' then '0' on your touchtone phone.

Before we proceed on this call, let me remind you that the discussion may contain forward -looking statements that may involve known or unknown risk, uncertainties and other factors. It must be viewed in conjunction with our business that could cause future results, performance or achievements to differ significantly from what is expressed or implied by such forward -looking statements. The Campus Activewear's management team is represented by Mr. Nikhil Aggarwal, Whole -Time Director and CEO; and Mr. Sanjay Chhabra, CFO.

I now hand the conference over to Mr. Nikhil Aggarwal – Whole -Time Director and CEO, for his opening remarks. Thank you and over to you, sir.

Nikhil Aggarwal: Thank you. Good evening, everyone. Thank you all for joining us today for our Quarter 2 and H1 FY '26 Earnings Call .

I am excited to share with you the performance of our company in the 2nd Quarter and the first half of FY '26. Our results reflect the strength of our distribution -led strategy and our

unwavering focus on high growth categories. This quarter, we experienced strong revenue growth of 16% while our profit after tax surged by 40%. This remarkable achievement is primarily driven by the robust momentum in our distribution business delivering a 20% growth Y-o-Y.

During the quarter, Campus Activewear's Annual Retailer Meet 2025 themed Move Together, Grow Together reflected our brand philosophy of Move Your Way and emphasized our commitment to co-creating progress with our extensive retail network. The event was not just about showcasing our product portfolio; it was a celebration of our shared momentum and the evolving insights into consumer needs. From trendy sneakers to women's athleisure, our retail partners are truly the heartbeat of our movement across India. The event was attended by 150 retailers thereby enhancing our consumer engagement, bolstering our distribution network Page 2 of 14 along with a higher brand visibility. Our online sales saw modest growth of 5.7% influenced by the timing shift of major festive sales post announcement of GST reforms. Moving to category performances, I would like to highlight the outstanding performance of our premium segment, that is INR 1,500-plus price point, the saliency of which has improved from 45.2% to 57.2% Y-o-Y leading to

an improvement in ASP by INR 50 during Quarter 2 FY '26.

We are also thrilled to announce that actor Kriti Sanon is the new face of our women's category at Campus Activewear. This partnership positions us to build on our momentum by enhancing our design language, delivering innovative products specifically tailored for women and reinforcing Campus' leadership in this rapidly growing category. During the quarter, we have seen an encouraging improvement in the women's category mix, aligning perfectly with our strategy to broaden our appeal across diverse demographics.

Operationally, we are committed to investing in our future. We are excited to announce plans for the new factory at Pant Nagar to further augment our premium upper capacity. We continue to invest in marketing to fuel our brand-building initiatives, which are already translating into tangible growth across all channels. Looking ahead, we remain optimistic about the future. The recent reductions in GST rates are expected to spur demand and we anticipate sustained momentum in our premium segment bolstered by our distribution strength and capacity expansion plans.

We are dedicated to delivering consistent growth, enhancing shareholder value and creating long-term opportunities for all our stakeholders. I thank all the stakeholders for their continued support and belief in our vision.

Thank you and now I hand over the call to our CFO – Mr. Sanjay Chhabra, to take you through more details on this quarter.

Sanjay Chhabra: Thank you, Nikhil. Good evening, everyone, and thank you for joining us in Q2 and H1 FY '26 Earnings Call for Campus. I would first take you through the highlights of the performance.

Our operating revenue grew by 16% Y-o-Y to INR 387 crores in Quarter 2 FY '26 largely driven by distribution channel, which has registered a growth of 20%. Online channel has grown by 6%. The company sold roughly 5.75 million pairs of shoes in this quarter versus 5.36 million pairs last year. The average selling price grew by 8% Y-o-Y to INR 672 versus INR 622 per pair last year.

During the quarter, business model with our online channel partners got realigned. Our channel partners are now directly charging goods transportation charges from their customers and accordingly, our revenue and freight and commission expenses are lower by INR 8 crores. The overall revenue growth versus last year is adversely impacted by approximately 2% due to Page 3 of 14 this change in business model. Women's share in revenue mix has improved from 14.2% last year to 16.2% during Quarter 2 FY '26.

Our gross margins were at 53.9% in Quarter 2 versus 52.8% during last year, driven by better product mix and selective price corrections fully offsetting the ASP reduction in online channel due to the above said change in business model. Our EBITDA for this quarter was at INR 55 crores. The EBITDA margin stood at 14% during the quarter, an improvement of 140 basis points versus last year driven by higher gross margins. Our PAT for the quarter was INR 20 crores. The PAT margin stood at 5.1% during the quarter, an improvement of 90 basis points versus last year again driven by the gross margin improvement.

Our balance sheet continues to show strength and robust return ratios such as return on capital employed and return on equity of 16.6% and 18%, respectively, as at the end of quarter. The net working capital days also improved to 82 days versus 92 days during Quarter 2 last year despite higher inventory buildup for the upcoming season. Our current borrowings have increased during the quarter to meet our immediate working capital requirements, but we see these borrowings to normalize by end of financial year.

With this summary, I will now conclude my remarks and open the floor to the moderator for the Q&A session. Thank you.

Moderator : Thank you, sir . First question is from the line of Devanshu Bansal from Emkay Globa

I. Please go ahead.

Devanshu Bansal: Congratulations on a good growth pickup. So, Nikhil, so most FMCG peers are reporting some dip in volumes due to channel's focus on clearance of higher price inventory as these prices were sort of scheduled to be cut during the quarter. I wanted to check if there was any growth impact of this change for us also during Q2.

Nikhil Aggarwal: So, we did face 15 days of disruption in September after the GST cut announcement and by the postponement of the festive season sales, the PBT and all. But yes, we were well positioned by then for the quarter and we have been able to still deliver like 7.5% volume growth in spite of that. So, is there anything else you wish to understand in this regard?

Devanshu Bansal: Yes. So, Nikhil, sir, my question was as in the growth has been very decent in Q2. So, do you see that channel inventory is now at below normal levels and in Q3 we may see even faster growth? So, that was the intent of this question.

Nikhil Aggarwal: So, I mean we do expect GST benefit to create better demand for sure and what we can do from our side is basically focus on execution on the back end and front end. That is what we have primarily done and built up inventory both at the company level and good primary, right, Page 4 of 14 at the distribution level. So, as and when as the markets open up, we are fully geared up to capitalize on the demand.

Devanshu Bansal: Fair enough and with this GST reduction, another benefit that has happened is the price advantage that unorganized players sort of used to enjoy has sort of significantly reduced now.

Any initial signs that you're picking from higher shelf space allocations for, say, organized brands like us at the retail stores? So, any initial signs if you can highlight?

Nikhil Aggarwal: So, well, we have also reduced. Like everybody else, we have also taken a cut on pricing to reflect the GST benefit to the ultimate consumer. And we do expect that over medium and long term, definitely this is going to expand volume for organized players and so that is part of our strategy in terms of capacity expansion as well and we expect volumes to further grow on this basis.

Sanjay Chhabra: As Nikhil mentioned clearly on the GST cuts, I mean barring that, even our distributor channel inventory remains consistently at 100 -odd days. So, there's no increase or I would say there's no decrease and we are hopeful that the way secondaries are shaping up, the momentum would continue.

Devanshu Bansal: Fair enough, sir. And lastly, I wanted to understand we have been sort of investing in capacity expansion for both uppers and soles in the company itself. So, wanted to check currently in our P&L, what is the cost of these uppers and soles that we are sourcing from third parties? So, just if you could provide some clarity there.

Sanjay Chhabra: Okay. Just to do a small correction here, we did invest in sole capacity augmentation last year. Current year it is focused around upper capacity. And the intent behind this investment is to have a control over the supply chain, in particular in the premium segment wherein the fabricators or the job brokers don't do a high -end CAPEX for the premium upper and that is something which we need to do in -house and we realize that the way demand is moving towards the premium upper or sneaker side of the business, we need to augment that capacity and in pursuit of that only, these investments are being made. The costing part of course in -house is always slightly better compared to outsourced version. The initial CAPEX is our investment to do.

Moderator : Thank you sir. Next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani : Congratulations on the strong set of growth. My question is twofold. First on the revenue part. If we look at your online absolute volumes also, the absolute volumes have kind of declined

and I'm understanding this is largely because of the shift in the Big Billion Days sale, right? So, probably the spend that we have done ahead of the first sales should benefit in Q3. Is that the right understanding?

Page 5 of 14 Nikhil Aggarwal: That's correct, Gaurav, yes. So, there has been a shift of sales that way, but the marketing has been spent with that regard.

Gaurav Jogani: So, I was just saying that Q3 -Q4 ideally should see better margins given that the advertisement spend have been bit contained.

Nikhil Aggarwal: So, yes, advertisement is just a phasing effect like we have seen about 10.5% A&P expense in Quarter 2, which should have been 8.5%, right? So, this is just a phasing thing. We expect the overall A&P expense for the entire year to still end up at around 8.5%, same as last year.

Gaurav Jogani: And just on the alignment question here. The D2C offline has kind of seen a very smart 35% growth albeit on a very low base and we have seen LFS doors have increased by 200 doors Q -o-Q. So, does the increase in the LFS is largely the reason for the increase in contribution from the D2C offline channel?

Nikhil Aggarwal: That is correct, yes. LFS has picked up quite well with the addition of new doors and new accounts. So, while we are stable on the EBO front and LFS export little bit and also both of them have contributed to the additional D2C offline growth.

Gaurav Jogani : Nikhil, between LFS export and one more thing you mentioned, sir.

Nikhil Aggarwal : Defense channels.

Gaurav Jogani: Okay and just lastly, 1 question on again the distribution side. While we have seen a handsome 20% growth, are the secondary sales also tracking in line in the month of October? Because as I mentioned that there is 100 days of inventory typically at the distributor level. So, are the primary secondary now very much aligned? So, just there is no channel filling ahead of the festive season is what the question is?

Sanjay Chhabra: With the announcement of GST, there was fair bit of, I would say, trade spend aligned both towards primary and secondary. So, our focus was to keep the inventory in the channel at same level instead of letting it increase for whatever reason. So, we are perfectly fine with the channel inventory levels. They are not skewed anyways.

Gaurav Jogani: And sir, and hopefully, the October month is also trending well. If you can give some sense on that?

Sanjay Chhabra : So, far, so good is how I would put it.

Moderator : Thank you. Next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Page 6 of 14 Umang Mehta: Congrats on a strong revenue growth print. My first question was again on MBO. So, is there anything different in terms of the product mix? Maybe you can talk about how sneakers grew, which was driving some delta on growth because otherwise this channel was growing at somewhere like 8%, 9%, right, since last 3 quarters. So, has anything different happened, which you can kind of give color on?

Sanjay Chhabra: Okay. Umang, it's more around execution. As Nikhil mentioned earlier, like we are focusing both on the back-end product development and execution in-house and also on the front end on the distribution side. So, there has been increase in the number of retail outlets where we have built consistently more than 12 players. So, I would say that repeat billing has been there and also the premium portfolio what we talked about, including sneakers. So, there we have seen a fair amount of traction and that has resulted in this disproportionate growth.

Umang Mehta : Understood. And any volume growth you can call out on sneakers front?

Sanjay Chhabra: I would say that we would bucket it under premium category, which is above INR 1,500 price point instead of calling out sneaker as separately.

Umang Mehta: Sure. Okay. And just the second question was again on this online festive sales push. Sorry if I

missed anything, but at least Big Billion Days was earlier, right, 3, 4 days this year.

Sanjay Chhabra: Yes. So, I mean if you compare it versus last year same quarter, then we got an advantage of 2 to 3 days sales. Big Billion Day opened on 22nd September, but considering the transit time, last 5 days sales is not recognized in this quarter. It will get recognized in next quarter. Last year Big Billion Day opened on 28th September so we didn't have advantage of a single day of sales.

Umang Mehta: Yes. So, in that context, your comment that online sales were impacted by a shift in online sales. Were there any other kind of sales which you're taking into account?

Sanjay Chhabra: Okay. So, I would rather correct it. It was not in relation to last year, but had BBD also been in place earlier, then even online channel would have shown a decent amount of growth compared to distribution channel. That is what the intent is.

Moderator : Thank you. Next question is from the line of Perna Jhunjunwala from Elara Securities. Please go ahead.

Perna Jhunjunwala : I also wanted to understand the sneaker performance as that has been the focus category to premiumize and the ASP that we've seen at INR 672 is we are in the similar range since last 3 quarters. So, is there a seasonality wherein Q2 is generally lower that we're highlighting that the ASPs have been great?

Nikhil Aggarwal: Perna, so 2 things have happened here. One is that we have also taken some correction on our open portfolio with respect to very low price points, which were sort of margin dilutive. So, Page 7 of 14 we have corrected that portfolio and taken a bit of a volume correction there. And we have increased our premium portfolio on the sneaker side significantly due to confidential strategic reasons. I would not like to call out exact volume, but I can tell you that it's been growing 100% plus Y-o-Y. So, the performance has been very encouraging on the sneaker side and therefore, the future expansion is also aligned in that respect.

Perna Jhunjunwala: Okay. Understood. And I mean I know that you're not calling it out, but could you also help us with your strategy on women and kids wear, how you are planning to approach these 2 segments and penetrate there?

Nikhil Aggarwal: Sure. So, as per the continued growth levers that we've been calling out, we are focusing a lot on both these categories, women and kids, and we have seen a 2% uptick in the market in our saliency. Because of the additional NPDs that we've been launching, the new product development is very much focused on women and kids shoes; very high quality, very high-end shoes and very good style. So, the overall portfolio of course adds up to that and then there is certain incentive structures also aligned with the channel partners along these lines with respect to these categories. And also the brand ambassador, right, Kriti Sanon that we've just taken up. So, a lot of initiatives have been taken with regards to increasing the share of women and kids segment.

Prerna Jhunjhunwala: Okay. And last question, could you help us with this saliency? You mentioned 2% uptick, but women and kids would form what percentage today of your sales?

Nikhil Aggarwal : 16.2% is women and...

Sanjay Chhabra : Kids and child would be another around 4% to 5%.

Nikhil Aggarwal : So, yes, 78% approximately is men.

Moderator : Thank you. Next question is from the line of Resha Mehta from GreenEdge Wealth. Please go ahead.

Resha Mehta: So, we have seen increasing our capacity for the sole and uppers. So, any strategic reason apart from the fact that as we premiumize, the vendors would not really invest so much for premium capacity. So, any other strategic reason which gives us this advantage because of which we are investing in soles and uppers?

Nikhil Aggarwal: Sure. So, there are 2, 3 things that basically help us to

make this decision of additional CAPEX in

our own capacities. One is that it's the IP protection, which is a big lever in our segment so it basically pushes out the competition by a good 6 to 8 months in terms of the launches that we first launch. And secondly, it is about investing in state-of-the-art technologies, which a lot of our vendor base is unable to do. So, the kind of plants that we are now setting up with Haridwar Page 8 of 14 2 and now Pant Nagar coming up, the technologies here is basically the same as the ones in China or Vietnam that are making shoes for the MNC brands and with these technologies, we can basically make extremely high quality MNC level shoes and we have seen that already with regards to our sneaker portfolio in the market today. So, it just helps us premiumize much faster and more in control.

Resha Mehta: So, this China, Vietnam like technology is basically there for our entire capacities in soles and uppers or it's only for the incremental new capacity addition that we're doing, it would be flat.

Nikhil Aggarwal: This is for the incremental upper capacity. Sole is, like Sanjay called out, it was last year of course with again state-of-the-art sole technology. But on the upper side, this year the focus has been on mainly upper and these are basically automatic stitching plants where the human intervention is very less, therefore, leading to much higher finish on the upper similar to how it comes from China and Vietnam.

Resha Mehta: Got it. And can you just call out what is this accounting change for freight and fixed fee commission by Flipkart and Myntra?

Sanjay Chhabra: Okay. So, in the earlier quarter, I mean this change has happened from 16th of June. So, in the earlier period we used to bill, let's say, for INR 1,000 and Flipkart and Myntra used to pay us INR 850 after deducting commission and freight. But now we are billing them for INR 850 because they are charging freight as a separate invoice to the consumer. So, consequently, my revenue has gone down by 12% to 15% and my expense also have gone down in these 2 lines, both freight line and commission line.

Resha Mehta: Understood. And I see that our receivables have also reduced in H1 versus the previous time period. So, I mean is it structural or is this just one-off?

Sanjay Chhabra: It's not one-off. I would say that it is driven by a combination of the channel mix. So, our distribution channel has performed well and of course we do have cash discounts schemes wherein we encourage our channel partners to avail cash discount and pay us on time. So, that strategy has worked. However, the period-end receivables would get influenced by how much outright sales we are doing in that quarter or how much we are selling to the large format stores wherein the credit period is higher.

Resha Mehta: Okay. And lastly, just on the export bit. So, currently it is a very small part of our revenue, but how do we see the potential shaping up, let's say, in the next 2 to 3 years? What is the kind of revenue potential and here would the margins be higher and would it be under our own brand name?

Nikhil Aggarwal: Yes. So, it would be under our own brand name. We are approaching export as a proper GTM strategy and not just a one-off like a trading sort of strategy. So, wherever we are entering for Page 9 of 14 example we are selling in Sri Lanka, we've tied up with very high quality partner there. So, we've basically launched the product in the malls with proper marketing, right, and it's not just trading in one of their MBOs. So, it's across the entire distribution network there. And so similar thing we've done in Morocco and a couple of other countries. So, we have a longer-term vision for export to grow it sustainably and with a proper brand in place. So, that's what the idea is and that's how we're approaching it. So, while obviously it is a pretty nascent business at the

is point,

but we are excited about the growth of this opportunity as well. As India is actually one of the lowest cost producers in the world today far beating China by a significant margin in terms of cost so we do believe export is a very lucrative opportunity for the entire country going forward.

Moderator : Thank you. Next question is from the line of Shraddha from SMIFS. Please go ahead.

Shraddha Kapadia : Congratulations on the good set of numbers. Sir, so I actually joined a bit late. So, if you could just give a bit of clarification with terms to the change of inventory valuation. And also if you

could just give a basic like the working capital intensity for your H2, any targets which you have in mind?

Sanjay Chhabra: Okay. So, our FG inventory is influenced by seasonality. So, normally during closure of Q2, the inventory goes up depending on the phasing of Diwali and of course Q3 is our biggest quarter. So, the requirement for working capital increases in Q2. Apart from that, in this year there has been a change in MSME laws. So, many of our vendors are falling in the definition of MSME so our payment terms to them have got revised from 90 days to 45 days. These 2 trigger points have led to a higher working capital requirement. But we foresee that by end of March, we will be able to sort of reduce our both working capital and our borrowings, which are sitting in the balance sheet. If you are in isolation looking only at the borrowings, then it needs to be read together with the other receivables line wherein we have an equivalent amount of fixed deposits sitting. So, the borrowings is just a stop gap arrangement to benefit from the arbitrage. Our fixed deposits are at a higher rate versus the borrowings.

Shraddha Kapadia: Yes. If you could give a bit of clarity or throw more light on change of the inventory valuation.

Sanjay Chhabra: So, that is just to align with the industry standards and also to sort of simplify our working. So, does not have any material impact FIFO versus weighted average what we have done. So, most of our procurements are on a long-term contract, the rates are consistent all the quarters. So, let's say for example, our sole procurements for the last 6 months or rather last 1.5 years has been at the same rate. So, whichever way, I mean if you value it at FIFO or weighted average, it remains same. Most of the industry players are following weighted average barring Bata. So, we have aligned it for the sake of comparability and also for the sake of with moving on to SAP like using the standard functionality. So, there are advantages both the ways.

Page 10 of 14 Shraddha Kapadia: Sure, sir. That was helpful. So, we don't have any specific onetime gain or loss with regards to this, right?

Sanjay Chhabra: It is so immaterial that it has not been quantified. Most of our procurements are at a consistent rate.

Shraddha Kapadia: Okay, sir. Also sir, if we consider our first half growth, then it is approximately 8% which is there. So, if you could just help us with the second half or the full year growth which is expected?

Nikhil Aggarwal: Yes. So, Quarter 1 we had some challenges with respect to the warehouse shifting that we called out and we have been able to mitigate most of those challenges. So, we hope to continue the same momentum as we have done in Quarter 2 and we're still aspiring for a double-digit growth for the end of the year like for the whole year.

Moderator: Thank you. Next question is from the line of Avinash Karumanchi from Motilal Oswal Financial Services Limited. Please go ahead.

Avinash Karumanchi: Congrats on good set of numbers. This is more a bookkeeping question. So, what happened to the lease liabilities? The cash flow from lease repayments have jumped sharply from somewhere around INR 20 crores to INR 80 crores.

Sanjay Chhabra: Okay. So, this is Sanjay. So, our lease liabilities have increased p

rimarily because of the Pant

Nagar facility that is on a 71-year lease from SIIDCUL Industrial Development Authority. So, you would have seen our announcement when we did this acquisition. So, this acquisition is both land and building. Building has got capitalized in the fixed asset bucket or currently it is sitting in CWIP. But the land part, which is on a lease, is sitting in ROU and also in the lease liability.

Avinash Karumanchi: Okay. How should we see the depreciation and interest cost going ahead because of this thing on an annualized basis?

Sanjay Chhabra: So, this is on a 71-year lease, has an implication of around INR 5 lakh per month. So, that's how the land lease rental will get charged off to the P&L.

Avinash Karumanchi: Okay. And this INR 75 crores for this facility, how do you see this increase in the balance sheet be it in fixed assets or right of use assets? So, this all-cash transactions for INR 75 crores regarding this facility. I don't see a similar increase in your asset base because of this transaction.

Sanjay Chhabra: So, that is what I explained, around INR 20-odd crores is sitting in the building and around INR 65 crores which pertains to land. So, the total cost apart from INR 75 crores, it is the registration fees and the SIIDCUL levy put together is around INR 86 crores, INR 20-odd crores to the extent Page 11 of 14 of building is sitting in CWIP in the fixed asset line and remaining to the extent of land is sitting in the ROU and lease liability.

Moderator: Thank you. Next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Sorry, my questions have been answered.

Moderator: Thank you. Next follow-up question is from the line of Resha Mehta from GreenEdge Wealth. Please go ahead.

Resha Mehta: So, on the exports, sir, what is the vision in terms of revenue, some numbers here and also would this be a much higher margin business?

Nikhil Aggarwal: So, I think it is too little early on this call to call out the next 2-, 3-year vision map. But maybe I

think by the end of this year, we can call it out by, let's say, April. And margin, certainly it could be higher margin business given that we have lower cost than the other countries like China. But like I said, it is still in WIP. It is a very small business at this point and let us come back to you on a bigger plan in 2 quarters from now once we have a fair bit of visibility.

Resha Mehta: Right and on the margin front, right, so I think we are at around 13.5% kind of EBITDA margin for H1 while our aspiration has always been to go back to the 16%, 17% kind of margins or probably even higher. So, how do we make this transition from, let's say, 13.5%, 14% margins to 17% kind of margins?

Nikhil Aggarwal: So, we are actually there if you normalize it and you take out the phasing impact of marketing, which is just a phasing thing for Quarter 2 as we expect marketing to still close at 8.5%, the same as last year. So, if you put that back into EBITDA so we have basically delivered about 16% on a normalized basis and plus we also have a slight one-off in terms of the Haridwar 2 ramp-up where the employee cost has gone up and it has had an impact of 0.4% on the material margin. But this, as we are ramping up the plant quite rapidly, we expect to neutralize this impact as well by the end of the year. So, broadly if you normalize the business with respect to marketing, we are at 16% EBITDA this quarter.

Resha Mehta: And the aspiration is to move to 17%, 18% or 16% is the steady-state margin that we can assume we would like to aspire for?

Nikhil Aggarwal: The aspiration is always there. We still maintain and that's what we are working on in terms of the premium portfolio and eventually, the premium portfolio will deliver much higher margin as well. So, net-net like going forward, we should be expecting margin growth.

Resha Mehta : And just lastly, any diversification thoughts on apparel or accessories?

Page 12 of 14 Nikhil Aggarwal: Yes. So, we have accessories. While we have been doing accessories for quite some time already in our EBOs, apparels we are just launching in this quarter, Quarter 3, and some stores have already been launched. So, it is something that we are very excited about and it's a pilot that we are doing currently with about 60 of our EBOs to gauge the response of the end consumer. It is a very high quality, high set apparel line that we've launched. And maybe we'll come back to you with an update on that at the end of Quarter 3.

Resha Mehta: And if I can squeeze in 1 more. So, accessories would be what percentage of our revenue, let's say, in FY '25?

Nikhil Aggarwal : Roughly about 3%, I would say, close to 3%.

Sanjay Chhabra : Between 2% to 3%, Resha.

Moderator : Thank you. Next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Just on the CAPEX, I want to understand that we have outlined a good CAPEX amount of around INR 280 -odd crores. So, of that, how much this will lead to the capacity of the borrowed basis and till what kind of stage this capacity will suffice for?

Sanjay Chhabra: So, Gaurav, this outlook on CAPEX is for 3 financial years. So, in the year 1, which is current financial year, we are just focusing towards setting up an upper line here which would augment the capacity by roughly 3 lakh pairs per month, which 36 lakh pairs per year. Then in phase 2, it will be a repeat of this. And then in phase 3, we will augment our assembly capacity. So, there's a 3-year road map and the CAPEX will be distributed over these 3 years. Of course year 1 has a higher skew because of the land and building CAPEX.

Gaurav Jogani: Sure. And the quantum is right, INR 279 crores or INR 280 crores, that would be the CAPEX, right?

Sanjay Chhabra : INR 230 crores.

Gaurav Jogani: INR 230 crores. Okay. And so this year apart from this the additional CAPEX that we have done on this capacity, what kind of CAPEX we overall can we expect for the year?

Sanjay Chhabra: So, overall, our outlook remains same for the routine or maintenance CAPEX as we call it, around INR 40 -odd crores which would include some CAPEX on stores, some CAPEX on IT infra and of course the regular CAPEX on molds for sole. So, the range of INR 40 crores to INR 50 crores is our regular maintenance CAPEX. Apart from that, there will be this Pant Nagar thing, that CAPEX will be there.

Gaurav Jogani : And phase 1 would be, sir, how much phase 1 like this year?

Page 13 of 14 Sanjay Chhabra: So, including this land and building, we are likely to spend around INR 110 crores to INR 115 crores in Pant Nagar.

Gaurav Jogani: Sure. And sir, I mean like this 72 lakh pairs rather we will be able to add in the next 2 years and the assembly capacity, how much that will help to add, the third year assembly capacity also?

Sanjay Chhabra: That would again, Gaurav, it will be straight away 6 lakhs pairs per month. So, the intent is that Pant Nagar should be self-sufficient both in upper and then the same upper will get converted into FG at Pant Nagar itself instead of Pant Nagar feeding our other plants.

Moderator : Thank you. Next follow-up question is from the line of Perna Jhunjhunwala from Elara Securities. Please go ahead.

Perna Jhunjhunwala: Just wanted to understand your EBO expansion strategy. You are at 290 -odd stores today. Please help us understand what would be your EBO expansion strategy for '26, '27, '28?

Nikhil Aggarwal: Sure. So, we slowed down slightly in this year for EBOs primarily to focus on profitability and

to also optimize the store levels and with these new launches of new categories like apparel, right? So, we'll bring the focus back next year. This year we have taken a bit of a pause to basically focus on

profitability. Next 2-3 years, we do expect to get back to the earlier momentum of at least 70 to 75 stores per year ramping up to, let's say, close to 500 stores in the next 3 years, right? So, that would give us a very good sort of base for even like additional growth and premiumization.

Perna Jhunjhunwala: And just wanted some highlight on demand in Tier 1, Tier 2, Tier 3 cities. Are they similar or there is some higher momentum in any of the categories here?

Nikhil Aggarwal: No. So, for the premiumized sneaker range, we have seen similar momentum across all geographies mainly because I would say, one is the BIS impact where a lot of the similar goods used to come from China and that is not coming anymore. So, there is a very clearly visible gap in the market. And secondly, we don't know of any other manufacturer in the country who is making similar level of sneakers, similar quality because nobody has this kind of setup for sneakers. And that's definitely one of our focus areas along with the core portfolio of sports shoes that we anyways are very strong in. So, we have seen like similar sort of across different tiers. We've not seen disproportionate growth from one or the other.

Moderator : Thank you. Next question is from the line of Manasvi Shah from ICICI Prudential AMC. Please go ahead.

Manasvi Shah: Congratulations on a very good set of numbers. And apologies, I joined in the call a bit late. Just 2 questions from my side. One is, sir, a lot of other consumer companies have called out destocking led impact because of the entire GST transition. This quarter you have had a good Page 14 of 14 growth in distribution channel. But is there any sort of stocking impact especially because when I look at your working capital, that has elevated? So, that was the first question. And second, because we have passed the festive month, how has the momentum been especially in the online channel, which is a bit weak in Q2?

Sanjay Chhabra: Yes, you joined a bit late. One question we have already answered. But on the distribution channel front, like we see that we are focusing more on secondary replenishment model and our inventories in the channel continues to be in the healthy range of 100-odd days. So, 3 months is something we presume that it takes from our factory to the distributor to the retailer. So, that's the kind of cycle time it is. So, we maintain an inventory of around 3 months with the channel and that's where it stands. So, there's not much of upstocking, which is getting reflected at their end. Of course we had a fair amount of goods in transit because there was a decent billing after 22nd after the GST got implemented and to your second question on higher working capital, I would say that if you look at numbers, like -for-like versus same quarter in the last year, the inventory levels have gone up just by INR 12-odd crores from INR 454 crores to INR 466 crores. Likewise, the overall working capital is at INR 372 crores versus INR 380 crores last year. So, the numbers have not gone that haywire, but our business has an element of seasonality. Q3 is the biggest quarter for us and hence, there is always a prebuild both at our end and at channel partners' end.

Manasvi Shah : Okay. And sir, on the growth momentum for the fiscal ?

Sanjay Chhabra: As I mentioned that we see our channel inventory is at a fairly decent level so we see there is a secondary demand, there is a traction and of course, as Nikhil mentioned, that we are hopeful post this GST implementation, we will see sort of the consumers who were holding back themselves for their buying decisions should come up and do the shopping.

Manasvi Shah: I actually meant more the online channel because I understand what you talked about distribution channel is very clear. Because online I mean the Diwali month has already passed and Q2 --

Sanjay Chhabra: Manasvi, we had a good traction in the

Big Billion Day sales in the online channel on all the key platforms. But because of the accounting thing like most of our BBD sales have been considered as GIT and will get accounted for or will get recognized in Quarter 3.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today's con call. On behalf of Campus Activewear Limited, that concludes this conference. Thank you for joining us. And in case of any further queries, please reach out to Campus Activewear's Investor Relations team at [ird@campusshoes.com](mailto:ird@campusshoes.com). You may now disconnect your lines. Thank you.

## Call: Feb 2026

6th February 2026

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring, Rotunda Building,  
P. J. Towers, Dalal Street,  
Mumbai – 400 001  
SCRIP CODE: 543523 National Stock Exchange of India Ltd.  
Exchange Plaza, C -1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051

SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Earnings Call held with Investors/Analysts

Dear Sir / Ma'am ,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Investors/Analysts on 2nd February 2026 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com) .

You are requested to take the same on your records .

Thanking you

For Campus Activewear Limited

Archana Maini  
General Counsel & Company Secretary  
Membership No. A16092

Encl: As above

Page 1 of 18 Campus Activewear Limited  
Q3 FY '26 Earnings Conference Call  
February 02, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Campus Active wear Limited Q 3 and 9 Months FY '26 Earnings Conference Call.

As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing \*, then 0 on your touchtone phone.

Before we proceed on this call , let me remind you that the discussion may contain forward - looking statements that may involve known and unknown risks, uncertainties and other factors. It must be viewed in conjunction with our businesses that could cause future results, performance or achievement to differ significantly from what is expressed or implied by such forward -looking statements.

The Campus Activewear's management team is represented by Mr. Nikhil Aggarwal – Whole - Time Director and CEO ; Mr. Sanjay Chhabra - CFO and Mr. Uplaksh Tewary - CBO.

I now hand the conference over to Mr. Nikhil Aggarwal – Whole -Time Director and CEO for his opening remarks. Thank you and over to you , sir.

Nikhil Aggarwal : Thank you. Good evening , everyone. Thank you all for joining us today for our Q3 and 9-M FY

'26 Earnings Call. We continue to demonstrate strong performance in Q3 and 9M FY '26 driven by our focus on widening distribution and strengthening our product mix, which has resulted in a higher ASP. The robust demand during the festive season coupled with the positive impact of GST rationalization has further accelerated our performance.

During the quarter, we are pleased to report that our revenue surged by 14.3% Y-o-Y and our profit after tax grew by 37% Y-o-Y owing to sustained growth across the channels. We take a highly focused approach to product segmentation with a portfolio encompassing various occasions, channels and consumer mindsets. Building on this strong foundation, we are expanding our design expertise into full-scale apparel, maintaining the same agility and consumer-centric innovation that has characterized our Activewear journey. As pioneers in offering Premium Sneakers at affordable prices, we remain committed to making high-quality design-forward footwear accessible to a wider audience. Our Sneaker portfolio has doubled in volume, validating strong consumer adoption. The trend of premiumization continues to play Page 2 of 18 out positively for us, with ASP rising by 5.2% Y-o-Y to INR 711 in Q3 FY '26. This growth has been aided by a higher saliency of premium SKUs and strong acceptance of our refreshed collections. At the beginning of quarter 3, we launched our brand campaign, "You Go, Girl" featuring the actor Kriti S

anon. This campaign has meaningfully strengthened our connection with women consumers who navigate life on their own terms, unbothered by labels and guided by choice. We are thrilled to see that the campaign resonated strongly with our female consumers, resulting in an improvement in the women's category mix.

On the manufacturing front, we are pleased to share that our Poanta Sahib facility, which focuses on upper manufacturing, has now fully stabilized. Additionally, we commenced commercial production of premium uppers at our Pant Nagar facility in January 2026. This enhancement of our integrated manufacturing capabilities will equip us to meet the rising demand for premium products in the coming quarters. With more than 90% of our raw materials sourced locally and all assembly conducted in-house, our manufacturing ecosystem is not only compliant but also strategically independent within a BIS-regulated environment. As a natural progression of our brand, we have strategically ventured into Athleisure apparel in January 2026. This expansion not only broadens our addressable market, but also unlocks incremental revenue opportunities from our existing customers, while enhancing store productivity. This move aligns perfectly with campus' long-term vision of becoming one of India's prominent lifestyle brands.

Looking ahead, we remain focused on disciplined execution, customer-centric innovation, and strengthening our operational efficiencies. These efforts are aimed at ensuring long-term value creation for all our stakeholders. Thank you and now I hand over the call to our CFO, Mr. Sanjay Chhabra, to take you through more details on the Q3 and 9M performance.

Sanjay Chhabra : Thank you, Nikhil. Good evening, everyone and thank you for joining us in Q3 and 9M FY '26 Earnings Call for Campus Activewear. Highlighting on Q3 FY '26 performance, our operational revenue grew by 14.3% Y-o-Y to INR 589 crores in Q3, largely benefited by higher distribution which has registered a growth of 9% and online channel which has grown by around 18%. The company sold approximately 8.3 million pairs in Q3 FY '26.

The average selling price grew by around 5% year-on-year to Rs. 711 in Q3 FY '26. Women's and kids' share in the revenue mix has improved from 18.7% last year to around 22% during this quarter. Our gross margins were 53.1% in Q3 FY '26 versus 51.2% in Quarter 3 last year due to higher Sneaker mix and higher other income or operating revenues which is partly offset by lower mix of open footwear and also because of change in accounting policy by our e-commerce portals Flipkart and Myntra resulting in a lower revenue and lower trade or commission cost. Our EBITDA for Q3 FY '26 was INR 115.8 crores. The EBITDA margin stood at 19.5% during the quarter, an improvement of 290 basis points versus last year, driven by seasonality and Page 3 of 18 execution led higher sales in key channels helping us to leverage our fixed costs more efficiently. Our PAT for Q3 FY '26 was INR 63.7 crores. The PAT margin stood at a healthy 10.7% during the quarter, an improvement of 175 basis points versus last year. Our balance sheet remains strong with return ratio that is return on capital employed at 20% and return on equity of 17.6% as of December 25.

With this summary, I will now conclude my remarks and open the floor to the moderator for Q&A session. Thank you.

Moderator : Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Videesha Sheth from Ambit Capital. Please go ahead.

Videesha Sheth: Yes, hi. I hope I am audible. Thank you for the opportunity. So growth in the second and third quarter combined has been as high as 15%. So A, if you can break down the underlying levers of this double-digit growth, I understand you talked about widening distribution and product mix, etc. But probably in terms of the strategi

c alignment, if you could highlight the granularity.

And B, since we are a month into the quarter now, have similar growth trends sustained? That

was my first question.

Uplaksh Tewary : In terms of quarter 2 and Quarter 3 growth, like you mentioned, around the 15% number at a blended level . The core reason for this, of course, is the strength of our distribution and the execution process, back with a very strong product story on the lines of Sneakers, as well as the women's story that both Nikhil and Sanjay mentioned before. So very strong execution, partner focus, along with a very strong product point of view, backed with a very strong marketing campaign, which was the "You Go, Girl" campaign that we executed last quarter. I think all of these things playing together is the reason why we are delivering this. And on the forward -looking, I don't think we will be able to give any specifics on the guidance .

Videesha Sheth: Got it. My second question was that if I were to break down the region -wise revenue mix, there has been a good spike in the northern region, where the mix has gone up from 40 %-47% odd .

So are there any focused efforts being undertaken for the specific region, or would it be pertaining to weakening competition? If you can throw some light on the same, please ?

Nikhil Aggarwal: No, it is basically a complete focus on , of course, we have very different strategies now for every region. So the way we are playing out the distribution channel is, it is almost like a state -specific strategy that has been formulated. And we have been addressing that for the past 2 quarters now, almost. So that is what is giving us the leverage also, apart from obviously having a very strong product line, which is again like channel -focused and region -specific also at the same time. So multiple initiatives of these kinds have come together to give us this growth.

Page 4 of 18 Videesha Sheth: Thanks. Got it. And lastly, just on the Sneaker portfolio, you mentioned that the volume has nearly doubled. So what would the current Sneaker portfolio mix be in terms of volume and overall revenue?

Nikhil Aggarwal: So we don't share that number in terms of volume. We just wanted to let you know, of course, the base is also, it is like a new category, which you just entered in the last 1, 1-1/2 years. But we are basically doubling that volume for the past , every quarter, almost, for the last one year. And it is a premium category. It is about Rs. 900- 910 ASP c ontribution just from Sneakers. So it does materially add to the premiumization.

Videesha Sheth: Got it. I had a few more questions. I will get back in the queue. Thank you. All the best.

Nikhil Aggarwal: Sure. Thanks.

Moderator: Thank you. The next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Congratulations on the strong set of numbers. And thank you for taking my question. My first question is with regards to the growth in the online format this quarter. It seems quite great.

How much is this due to the shift of the festivity led and how much you would see in terms of the core growth on the online space? Also, in addition, if you look at , while the number of touchpoints for you have increased from 20,000 -29,000 odd, however, if you look at the number of distributors , this quarter, it seems that they have come down. So if you can help us on these two aspects ?

Uplaksh Tewary: On the two questions that you asked, specifically on the online front, about 2 years back, we started pivoting our business from an outside based model to a market based model, right. I think we are pretty much complete on the journey. Only one big platform we do outside business model with them. Every other platform today sits on a pure market based business , gives us much stronger control, gives us much stronger levers of running this business, right. And with

in the larger market based ecosystem, I think we have been able to deliver extremely good performance in certain accounts like Amazon. I think the pivot from outright to a marketplace business has been the strongest in this channel, and which is also leading to the overall growth of this vertical. On the general trade side, we have launched a newer format of a super stockist, right. And smaller wholesalers or smaller distributors have been mapped under the super model. And hence, you might see a small reduction in the overall distributor account because those are not directly mapped to us. They will be mapped to an intermediary of a super stockist.

Gaurav Jogani: That is helpful. Uplaksh, Thanks. Just one more thing. In the past, what we have noticed is there has been quite a volatility in terms of the quarterly performances that we have seen. But going Page 5 of 18 now, how confident are you of at least sustaining these kinds of trends or performances going ahead?

Nikhil Aggarwal: Gaurav, we understand your apprehensions. That is what we are trying to fix. We have done a lot of interventions over the past 3 years to bring a sustainable growth and predictable growth to the organization. And you will appreciate that for the past at least 2-3 quarters, we have been consistent in doing that. And therefore, we have a high degree of confidence on the way forward as a lot of those initiatives which have been planned for the past 3 years are now materializing and coming together. So we have a high degree of confidence on the way forward.

Gaurav Jogani: Sure. And just one last question from my end is in terms of the gross margin expansion that we are seeing. And it is also collaborating with the premium contribution of the Sneakers portfolio also increasing. So can we take the current margins, the gross margin levels at least as a

sustainable one going ahead, if not expanding? And if you can also help us in terms of the certain cost initiatives that are helping you to bring the overall cost down. That would be the last set of questions for me ?

Sanjay Chhabra : Yes, we targeted an improvement in gross margin versus our last year numbers in our annual business plan. And we are sort of consistently heading towards that. However, our business is dependent on seasonality or sort of skewed by seasonality, festivals, and marriage seasons, and also the product mix. We are trying to be consistent. And the next quarter would be more towards open footwear. So it would be unfair to compare quarter -on-quarter gross margins on a full year basis. That would be a right reflection. And the aspiration is to improve versus last year. And on the cost side, of course, we are trying to be more consistent in terms of phasing of our production. That helps us to plan our facilities or lines and optimize on the cost side, which is able to help us in mitigating the inflation on account of minimum wages, etc. And that is what is translating into leverage benefit, which is getting reflected in the numbers.

Gaurav Jogani: Sir, just one clarification. Actually, the reason why I have this question was based around if you look at the ad spends, the ad spend was quite a decent jump of around Rs. 65 crores in absolute that we saw. So what are your comments in this context that is the ad spend this quarter a bit more higher because of the seasonality and probably this would normal out for the year ly average that we normally have seen in the past?

Sanjay Chhabra: Yes, of course. This quarter, the ad spends are higher because of our TV campaign and also the digital campaign.

Nikhil Aggarwal: But it was just to give more clarity on that. We are, as you know, focused on long -term brand building and we did about 10.2%, if I am correct, in Quarter 3 last year on the ad spend versus 10.9%. So this is, of course, a quarterly seasonality thing as well. At the same time, we have

18 been in line with the overall ad spend that we have planned within the budget. So we don't want to reduce on the ad spend at this point.

Gaurav Jogani: Sure. And just lastly, sorry if I may slip in one more question. On the new Athleisure apparel venture, if you can give us more insight into what, is it just now, right now, only introduced in the EBOs or is it also piloted in some MBOs as well? How are you going about it? How are you thinking about it? Some more color you can give out?

Nikhil Aggarwal: Sure. So currently, we are very excited to launch this entire new category. This has been on our bucket list for quite some time and we are glad that we came around to getting it launched. Basically, it is going to increase our addressable market significantly and we expect, because this is a similar model to how the bigger companies, the MNCs have grown across the world and this is a natural pivot for us as a sports company and organization. And this should incrementally add to the first -door economics meaningfully. But at this point , it is basically a pilot that we have done in about 6 0 odd EBOs and we will continue to add more EBOs because there is a small change we have to make into the EBO as well to add a trial room and a certain area dedicated for apparel space. So as we are doing that, we will continue adding more and more stores to the mix. But at the same time, we have also launched it on our brand.com and Myntra and Amazon. So it has been launched on these three platforms at the same time. So far, the result is very encouraging.

Gaurav Jogani: Thank you, Nikhil . That is it from my side.

Nikhil Aggarwal: Thanks, Gaurav.

Moderator: Thank you. The next question is from the line of Umang Mehta from Kotak Securities. Please go ahead.

Umang Mehta: Hi, thanks for the opportunity and congrats on a great quarter. My first question was on online. So continuing on what Gaurav was mentioning, you have seen an acceleration in online growth despite a slightly early festive this time around. Are you tracking share gain on the platform?

Anything on that front, if you can highlight, with whatever data you get from the platform?

Uplaksh Tewary : So yes, like I mentioned earlier, that there is a very strong pivot towards the market -based business and we are aggressively expanding the channel as well. This means the pivot has been very strong as well as the women pivot. One of the strongest channels to have delivered both of these key organizational directives has been the online channel. And I mentioned earlier, there has been a very strong shift or incremental uptake in our Amazon business as well. We have pivoted completely from an outright plus market business to complete market business over the last 18 months. And we have been able to work a lot on the input metrics or the metrics that are required to succeed. So we are trying to get better at the marketplace operations as much as we can. And as well as since there is no published data that these Page 7 of 18 channels offer us, I would not be able to comment on that. But of course, there will be some improvements for sure, looking at our performance.

Umang Mehta: And what was the mix of marketplace versus outright and 3Q?

Uplaksh Tewary: So apart from, there is only one platform that we do outright business to do as a stick.

Umang Mehta: Are you able to share a percentage of online sales, which came from marketplace versus outright?

Nikhil Aggarwal: Would be approximately 80 -20 or like 75 -25, roughly.

Umang Mehta: Got it. And second question was for Sanjay sir. So on this inverted duty structure, what would be the approximate impact if there is no resolution by year end for the full year?

Sanjay Chhabra: We are still evaluating. As far as raw materials is concerned, we have started filing the refunds with the state governments for the inverted duty structure.

Uma

ng Mehta: Got it. And just one bookkeeping. So could you call out the optical or physically the adjustment in business model of the online platform? What was the impact on topline and other item this quarter?

Sanjay Chhabra: Yes. For this quarter, it was approximately Rs. 10 Cr.

Umang Mehta: Got it. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Sameer Gupta from India Info line. Please go ahead.

Sameer Gupta: Hi. Good evening, sir. And thanks for taking my question. First of all, congratulations on a good set of numbers. Sir, I believe that there is a GST rate cut for a large part of the products that you sell. And this quarter would also have seen some impact of channel upstocking, which is what the feedback is wherever there are GST cuts. So if you step out or let us say just look at channel upstocking first, would you be able to give us an adjusted number of our growth this quarter if you adjust for that?

Sanjay Chhabra: We don't see any channel upstocking. Our inventory with the channel partners continue to be at 84 days at the end of this quarter from our DMS data, which hovers in the range of 80 -90 days. So it is very much within the norms. And so far as we believe that we are working on replenishment models. So whatever secondaries are happening, we are able to match it with commensurate primary sales and keeping an eye on the inventory levels with the distributor partners.

Page 8 of 18 Sameer Gupta: Got it, sir. And if I may ask, at a consumer level, what would be the price reduction on a blended basis for Campus as a company?

Sanjay Chhabra: At a consumer level?

Sameer Gupta: Yes.

Sanjay Chhabra: At different price points, we had to change the MRP. So let us say the MRP reduction would be in the range of 5 %-6%.

Sameer Gupta: But for you, like a large part would be in the range of INR 1,000-2,500 MRP, right?

Nikhil Aggarwal: All of it actually, yes.

Sameer Gupta: But there the GST cut is from 18 to 5 %. So technically, a 10 %-11% kind of a price cut should have been passed on, right?

Sanjay Chhabra: No, but our price, our selling price normally is below INR 1,000. So it is for us, the expected pricing is normally at 12%.

Nikhil Aggarwal: You are looking at the MRPs, Sameer, right?

Sameer Gupta: Yes.

Nikhil Aggarwal: You are looking at the MRPs, but our transaction value, our billing value is like 50% of the MRP, approximately, as a thumb rule.

Sameer Gupta: But, sir, the GST rate would be dependent on the MRP only, right?

Sanjay Chhabra: : Sameer, sorry, if your correction is at the consumer level, the benefit would be higher.

Sameer Gupta: Thanks for this. Lastly, sir, with free trade agreements being signed, I know it is out of context, but footwear as a sector has become more competitive as an export. And given your manufacturing prowess, would you be like exploring this opportunity going forward?

Nikhil Aggarwal : Yes, absolutely. It is an exciting opportunity, given that we are one of the lowest cost producers as a country, right . So we will definitely be exploring that market.

Sameer Gupta: So any plans as to CAPEX or supply augmentation in near future?

Nikhil Aggarwal : No, we have already invested, as you know, into Pant Nagar and Poanta just came online and stabilized. And Pant Nagar, the new investment that we recently announced 4 months back is already live with production. So now we expect to stabilize that plant soon and that will

Page 9 of 18 definitely add to the existing capacity. So we are good for the time being. We don't need to invest more.

Sameer Gupta: But sir that would be for the domestic market, right? If you are exploring newer markets and exports, you would still need more capacity plus some level of business exploration, etc. Some team there or something on those lines also, right?

Nikhil Aggarwal : Adding capacity is not

not a constraint as we already, we have invested into the landed building of Pant Nagar, which is anyways very large. And we are just activating a small portion of that. So we have enough space to add capacity as and when required. And it is very quick for us , like we don't take time to do that.

Sameer Gupta: Great, sir. Thanks for this. I will be back in the queue for any follow -ups. Thanks a lot.

Nikhil Aggarwal : Sure. Thanks.

Moderator: Thank you. The next question is from the line of Resham Jain from VVT Asset Managers. Please go ahead.

Resham Jain: Yes. Hi, Nikhil. So I have two questions. First one is with respect to the Apparel business, you mentioned that you are doing Athleisure apparel primarily through EBOs right now. Is that correct?

Nikhil Aggarwal: Hi, Resham. So it is EBOs, of course, is a big focus. But we have also launched on brand.com, i.e., campusshoes.com, Myntra and Amazon.

Resham Jain: And possibly, compared to the existing footwear business, this will have a much larger online play, given that this category itself is very large and you are the largest player on the footwear side. So that will give some kind of help to you on the online side?

Nikhil Aggarwal: Yes. Absolutely. Online is a big market for this category. On the offline side, we have just started with EBOs. First, we would like to cover the base of EBOs and possibly we can look at the GT model later. But that is a little too early to call that out. Online would be definitely a key market for us to focus on.

Resham Jain: Understood. And the second one is on the EBOs. It is a very small piece right now. But given that our price point, which is comparatively much lower than most of the other footwear retail players, how are we thinking about the EBO strategy? Also, in context to most of the foreign brands now, they are more focusing on the experience store rather than a typical retail store. So any thoughts on the EBO strategy?

Nikhil Aggarwal: Yes, absolutely. So we have not actually increased the overall count in this last one year versus last year, FY '25. In these 9 months FY '26, our count is more or less static because we have Page 10 of 18 shut down a few non-profitable stores and we have opened a few, right. So currently, the focus for us is on profitability first. We are focusing a lot on profitability and opening stores very judiciously accordingly. So rather than just going all out on opening stores and adding to the cost. And apparel is a big part of that as it will add to incremental revenues on a per square feet basis. So we want to absolutely bring profitability first and then continue adding more stores, so possibly going a little bit slower than what we initially anticipated to. Uplaksh, you may want to add anything?

Uplaksh Tewary: Yes, on the EBO front, we are trying to get a unit economics at the store level perfectly right. The apparel and the other some ancillary category addition to the store is an effort in that direction as well, right. We as a strategy, wanted to open commercially viable stores because a large part of our EBO network is operated through our franchise partners. So profitability of those partners is very imperative and we want to get that unit economics perfectly right. In terms of the experiential stores, there will be certain important stores that we will open. We have had some stores on those lines like Bandra in Bombay and some other stores on those lines. We have had some stores which were made to exhibit the brand in its entirety. But yes, at an overall level, profitability will be a very strong favor because these stores are being opened across the country through multiple franchise partner networks. And to ensure that they are making strong returns on their investment, we need to ensure profitability stays as a core. But this year, since we have opened about 300 stores in less than

4 years, this year we

are as a way to correct our footprint and do a short correction of unit economics. And then, after maybe a few months or quarters, we will again get back to expansion on this channel.

Resham Jain: Thank you so much. Congratulations and compliments, especially on the working capital that you guys are managing. Quite incredible. So thanks.

Nikhil Aggarwal: Thank you.

Moderator: Thank you. The next question is from the line of Rehan Syed from Trinetra Asset Managers. Please go ahead.

Rehan Syed: Yes. Good evening for the team and thank you for giving me the opportunity. Like most of the questions have been answered, so I just want an understanding regarding your replenishment model. So sir, in recent replenishment and never-out-of-stock models are key pillars. So approximately what proportion of Quarter 3 sales came from replenishment versus fresh launches? And how does this mix influence gross margin in inventory risk going forward?

Nikhil Aggarwal: We couldn't get that completely. I think there was some voice jittery there. But what I understand is you are asking about replenishment versus the core. Like replenishment is a core model definitely that we follow. It is a DMS and the digital apps that we have on the feet on street that the sales officers use. And through that model, we basically replenish the inventory, which we see at the distributor's top level, which is diminishing but which has high sales. So Page 11 of 18 that is how we replenish and it is an automatic replenishment model. So we are moving towards that direction. Currently, we are developing technology to auto-replenish the depleted stock levels.

Rehan Syed: And just for clarification, you have mentioned that for this Quarter 3 sales, majority of our revenue comes from replenishment, right?

Uplaksh Tewary: I am just trying to explain how the model works. There is a made-to-stock and made-to-order model, right. So we are trying to move as close to the made-to-order model, right. We have distributor meets and retailer meets that we have to have through the year, right. We have a grand distributor meet that happened in May this year and followed by a host of this retailer meet where the distributor calls the retailer partner. And this was done primarily in quarter 2

this year and extended into Quarter 3 as well, right . Through this mechanism, we collect orders through a varied host of networks in the general trade side, right plus, we have started using digital tools to make this even more efficient. We are trying to leverage the inventory visibility in DMS to plan our inventory management. We are using a tool to do order gathering at the DMS meet, at the distributor meet, as well as the retailer meet. We have genesis in our retail pause through which we use our weekly replenishment cycle for our EBOs as well. And online also, we use Unicommerce as a partner through which we run our daily and weekly replenishment cycles, right . So there is no way to distinguish what replenishment is. I thought I will explain the definition of replenishment. We use basically a secondary tracking mechanism to be able to drive our business objectives, right . It is not made to stock and then try to put it in the system. We take extra efforts to get input from the market through the EBOs, be it online or via the general trade or retailer network and create orders or products according to that, right . So that is what our replenishment model is.

Rehan Syed: Thank you for clarification. Thank you.

Moderator: Thank you. The next question is from the line of Ankit Kedia from Phillip Capital . Please go ahead.

Ankit Kedia: Sir, three questions. First is, for the quarter, we saw 5% plus ASP increased. At the same time, you mentioned because of the GST, we took a 6% price cut. That makes it a nearly 11% on product-wise increase. So where are we getting this i

ncrease from in the market?

Nikhil Aggarwal: Sorry, Ankit. Can you come back again with your question?

Ankit Kedia: Sure. I saw there was an ASP increase of 5%.

Moderator: Ankit, I am sorry to interrupt. There is a background noise from your end. That is why we are not able to understand what you are speaking. Can you please move to the pointer ?

Page 12 of 18 Ankit Kedia: Sorry. Can you hear me now?

Nikhil Aggarwal: Yes.

Ankit Kedia: We saw 5% ASP increase in the quarter, while at the same time, you mentioned that there was 6% price cut due to GST. So if the GST cut would not have happened, probably the ASP increase would have been 11% -12% odd. Where are we getting this ASP increase from at the full portfolio?

Sanjay Chhabra : Ankit, I think your understanding is incorrect. GST never gets added to my sales revenue and hence will not impact my ASP. The 5% increase in my ASP during the quarter is primarily driven by improvement in mix. And it is two types of mix. One is your channel mix and one is the product category mix. So in the product category side, our Sneaker has shown almost doubled versus last year. So that is one key contributor. And on the other side, on the channel side, the more we sell in the marketplace and our own brand.com, we are able to get a better realization and that results in an improvement in ASP. So the GST has nothing to do with my ASP because that is never part of my sales revenue.

Ankit Kedia: Understood. My second question is on the revenue contribution then. We saw upwards of Rs. 1,500 contribution increase from 53 %-58%. While understand on Sneaker portfolio, which will be sub INR 1,000, that contribution increasing from 16% -21%. What has led to the above Rs. 1,500 contribution?

Sanjay Chhabra : So it is again as I mentioned, the second lever, the channel lever. So on the online site, the realizations are higher and hence what you call saliency has shifted from Rs. 1,200-Rs. 1,500 more towards Rs. 1,500 and above. And that is what is getting reflected.

Ankit Kedia: Is it a conscious effort to reduce inventory in Rs. 1,000-Rs. 1,500 price point?

Sanjay Chhabra: There is always an effort to move towards premiumization. So my sneakers are, my realization is higher, the MRP is also higher. So that way the brackets would change towards premium mix

Nikhil Aggarwal: Ankit, it is also a seasonal mix because quarter 3, of course, we sell higher premium mix, slightly higher premium than let us say , quarter 1, which would be more focused towards open category. So there would be some changes in terms of that mix on quarter -on-quarter basis also, in terms of the premiumization and semi premium saliency.

Ankit Kedia: Referring to more on Y-o-Y basis, because Q3 FY '25 numbers we have. And on that basis, even in sub INR 1,000 price point, we have seen a good 400 -450 bps movement, sub INR 1,000. So that I can understand it could be, due to, the Sneakers where you said is average is 900 -950 bps price point. But the gap between INR 1,000 and 1,500 from 31% to 20% odd is a very big change in positioning also in the semi premium category ?

Page 13 of 18 Nikhil Aggarwal: Sure. That is also in part to some of the Sneakers that have done very well for us in the INR 1,500 plus category , right. So their saliency has also added to this mix change.

Uplaksh Tewary: Just I think there is a bit of a confusion . When you are mentioning INR 900, right, when you are talking about INR 900 as the ASP for Sneakers, right, that is my ASP in my revenue, right. And the table I think you are referring to is the MRP table, the share of INR 1500 -3000 that you are referring to in the table that is the MRP table. So that INR 900 would be correlated to about an INR 1,800 MRP. So just to clarify these things, right. So the INR 900 is my realization, MRP of the product would be tentatively about INR 1,700-1,800.

Ankit Kedia: Su

re, got it. My last question is on your new brand ambassador. Now, Kruti Sanon was a brand ambassador for competitor retailer for 3-4 years. And in that time, if I look at that retailer's revenue, it didn't move significantly. In fact, they lost significant market share. So what made you sign her as a brand ambassador for the new women's product?

Nikhil Aggarwal: Well, we think she resonates very well with the long-term brand building aspiration that we have. And she has significantly contributed. The campaign has done incredibly well. So I am not sure of her past or like whatever happened in the previous company. But she has done extremely well, in terms of consumer pull, has been significant as the women category, as you know, has grown by almost 40%. So yes, some share of that credibility, we will have to credit her also to that.

Ankit Kedia: Understood. Thank you, Nikhil and all the best.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Yes. Hi, Nikhil. Congratulations for growth pickup. Nikhil, first question is on Athleisure category. The growth is struggling for quite some time now, right? So this is the data that is available for some of the publicly listed players. And we will be competing against various MNC brands over the preferred online channel, where all these players are also present. So I just wanted to check how have we positioned our products to sort of gain share within this category?

Nikhil Aggarwal: So yes, great question. So firstly, of course, this is part of a strategy in terms of leveraging the brand equity that you have created over the years, right. And as you know, we are very strong in the Tier 2 and 3 markets and now Tier 1 as well is the share is very significant. So this is a very good add on, supplementary category to invest for us as a brand, like it may not be a very good decision for a newcomer, but for a mature brand like us, it makes a lot of sense. And at the same time, like the quality and the price point that we have launched it is very attractive. So very high quality at very reasonable pricing, right. As we understand, it is a competitive space. So it will take some time to build this category up for sure. But the pilot so far has been Page 14 of 18 very encouraging and also currently the mix that we have launched in this is more towards summer apparels. The winter collection is still quite fairly new and like less in terms of SKUs. So as we progress into the summer season, we are sure that we are going to get an even better response on top of this.

Devanshu Bansal: Great, sir. And second, there is this big GST reduction that has happened for the upcoming launches for the new season launches that will take place now. So I wanted to check, will we be working with the lower MRP price points or we are focusing on providing better products at similar pre-GST MRP price points?

Nikhil Aggarwal: Yes, the value proposition definitely will increase significantly, right. So for example, the same shoe for INR 1,500 bucks, INR 1,499 will have significantly more value than what it previously had in terms of the new product launches.

Devanshu Bansal: So the MRP, that magic price point that we operate at, right. So they will broadly remain stable and we will be providing better products is the right understanding, right?

Nikhil Aggarwal: Absolutely, yes. So there will be more value addition, if I can put it crudely, like there will be definitely more value addition in the same price point.

Devanshu Bansal: Understood. And last question from my end, Nikhil. So when we see from a demand environment post this big GST cut, if you can share your reading from the channel perspective, because our growth has definitely picked up, but there are certain new businesses like women, sneakers, etc., which have added to the overall

growth. The like-to-like growth in, say, men's footwear would still be relatively lower versus the company average, if my assumptions are right. So what is your reading on the demand environment as of now? Has it improved or it is still a bit of a challenge?

Nikhil Aggarwal: So demand has improved to the extent that it normally does a little bit better, of course, in terms of the season as well in terms of quarter 3. And after GST cut, it has improved a little.

But I would say it may improve further going forward because it is still not as per what the industry is expected. And this is for the entire industry. The demand hasn't picked up the way the industry anticipated it. And in terms of the growth, what we have done is we have added and diversified into newer categories like increasing the share of sneakers and women. So these are the ancillary categories that have helped us overcome this demand, let us say, stagnation or whatever you want to call it in the market. And as the GST benefit overtime starts flowing into the overall industry demand, it should definitely help us as a tailwind as well.

Devanshu Bansal: Sir, just one small final bookkeeping question. From a channel margin perspective, I am talking about, say, a retailer or a distributor, how are their margins? Are they on MRPs or there is a fixed component that they get on selling a pair of shoes? So suppose if the MRP is INR 1,500, Page 15 of 18 so the retailer gets like, say, around 20%-30% of that MRP, or is it like a fixed amount that he gets for selling that pair?

Sanjay Chhabra: We have different margin structures, both for retailers and distributors to take care of, by and large, their fixed costs. And we do run periodic or seasonal schemes or incentive programs, which are targeted both for primary and secondary to drive certain behaviors. Let us say, if I

want to propel a woman category or I want to propel some sales in a higher price point, so those all are through tactical seasonal schemes. However, there are defined margin structures for both distribution and retail channel to take care of their fixed costs.

Devanshu Bansal: So these margins are percentage of MRP or what do we say, the anchor point?

Sanjay Chhabra : Yes. They are on a percentage to MRP and not per pair basis.

Devanshu Bansal: And even for distributors? Or for distributors, it is on percentage of what you bid?

Sanjay Chhabra : No, everywhere it is percentage to MRP.

Devanshu Bansal: Great, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Ali asgar Shakir from Motilal Oswal Mutual Fund. Please go ahead.

Aliasgar Shakir: Yes. Hi, Nikhil and Sanjay. How you are all ? Thanks for the opportunity. Just wanted to understand on the demand side. So pretty commendable numbers. We have not seen similar kind of growth by other footwear companies which have posted or are likely to post now. So if you can just share some color in terms of what has driven numbers for us vis-a-vis others. I understand that online has been a big driving force for you. So if you can just share some more insight over here because online, historically, we were having multiple models and the outright model that you were selling didn't really work. So how have things changed and what is the sustainability of this growth?

Nikhil Aggarwal: Hi, Ali. So like we have already called out in the call. So multiple initiatives, we have taken. So demand certainly isn't as expected by the industry. It has not picked up as much as is evident from the other companies' results also. So what has worked differently is that a culmination of things like sneakers portfolio edition and women's, we have added to the women's category significantly in terms of the SKU account and the NPD launches have been very well received along with the brand ambassador. So that has worked really well and apart from that, o

nline,

of course, is a big focus area. It has always been, but we have also been very aggressive online along with the profitability, it is not just a burn model for us. It is profitable, more than, I think, the other companies that operate on. And of course, in terms of general trade, we have added a number of retailers as well, like 29,000 count is the first time we have reached that kind of Page 16 of 18 count. So that has given much more predictability to the cash cow channel for us, which is the distribution channel, right. So number of these things, nothing has changed for us in one quarter, is what I am trying to say. This is a culmination of the effort for the past 2 years, like any product range that we need to launch today, the journey for that starts at least a year before, like to conceptualize and think about the future products that have to be launched. So for example, currently, we are working on 2027 range, 26 is already done industry trade for us, like it is already in the bag. So that is the cycle in terms of innovation and product development that you work on. And so, whatever has happened in this quarter is, of course, incredible performance by the sales team. And at the same time, we were able to execute very well in terms of all the demand that was generated for the articles, right. So yes, it is just a number of things coming together, I would put it like that.

Aliasgar Shakir: Got it. This is very useful. So incremental growth, if you can share how much has come from the women category, as well as the new Sneaker category that you have launched. And I understand this would have come mainly on the online channel, given that is the segment which has grown significantly?

Nikhil Aggarwal: So Sneaker has done well across both the platforms across distribution and online, right. So distribution, of course, the MRP would be slightly lower than online. But overall, like Sneaker has been very well accepted across platforms. And so we see a healthy growth going forward. So that is where we have invested in terms of capacities as well, to make very high-end sneakers and I don't think many setups exist in India today, at least to manufacture these qualitative sneakers, the ones that we have invested in.

Aliasgar Shakir : So could you share out of this 14% growth, how much would have been your new products, specifically the women and Sneaker category, would have contributed to your growth?

Nikhil Aggarwal: We don't share that data Ali, unfortunately. Because it is like a strategic confidential data, right?

Aliasgar Shakir : Sure. And that is what has also driven your margins, improved realization and margin is mainly because of the new products coming at a slightly higher price point.

Sanjay Chhabra: Yes, Ali. I would attribute that margin expansion primarily to the mixed part. As I mentioned earlier, it is both the levers, product mix, and which is Sneakers and the channel mix, which is online. So both played its role as far as material or gross margin is concerned. And we are highly skewed towards quarter 3. This is our biggest quarter. So that has resulted in some leverage also, fixed cost leverage, which has helped us to expand our EBITDA margins.

Aliasgar Shakir : Got it. And going now into the new season, you think, this kind of growth is sustainable with the new products that you have launched and the amount of funding that you are creating towards creating new products ?

Page 17 of 18 Sanjay Chhabra: Again, I think it is a forward looking statement, I would refrain from commenting on that. However, our sales are like each quarter is a different quarter by virtue of seasonality, festival

occasion or marriage season. And as I mentioned, initially that quarter 4 would be the later part would be more towards open footwear. So we need to take that into perspective, both in terms of revenue and also in terms of prod

uct mix.

Aliasgar Shakir : Yes, I understand that.

Moderator: Mr. Shakir, I am sorry to interrupt you, sir. I would request you to rejoin the queue for follow up question.

Aliasgar Shakir : Sure .

Moderator: Thank you. We will take the next question from the line of Tejash Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejash Shah: Hi, thanks for the opportunity. Sir, you highlighted Sneakers and new category, women category as a key growth lever for this quarter. What percentage of our network is currently dealing in these products?

Uplaksh Tewary: Hi, Tejash. Uplaksh this side. Every part of our network today primarily would be dealing in these two categories. The extent of penetration of these categories will be different depending on the evolution of the channel. A more modern channel will have a slightly higher share of women than Sneakers. A slightly traditional channel will have a lower share, but there would be no channel currently in our ecosystem that you would not be focusing on these categories. Does that answer your question?

Tejash Shah: Yes, it does. So basically, as of today, whichever channel fit that we understand, the products are placed there. So placement-led lever is not there from here on. Is that the right understanding?

Uplaksh Tewary: Placement can be wider. Placement can be deeper, right . So those levers will always keep on getting activated. Even if you are there in Sneakers stores, you can always be in stores, right . So that will never stop, I think. And since these are newer categories from our evolution, I think there will always be scope for further enhancement of these categories. The scale and the quantum of growth will, of course, over time taper once we reach a critical mass. But I think they will continue to be growth drivers for us, at least in the near future.

Tejash Shah: Perfect. Very clear. Second, what is the primary kind of value proposition that is working for us in Sneakers? Is it largely fashion or functionality or is it performance in price? Obviously, the answer could be all of this, but just as a key proposition, what is working?

Page 18 of 18 Uplaksh Tewary: By the construct of this category, it works on fashion and look and feel more than functionality.

That is the reason why consumers buy this category to look good and not to go for a run, right .

That is the intrinsic nature of this category. So this category first pivots on fashion and look and feel. But also, we would want to, since we as a brand have been known for our value proposition of comfort and durability, we would build these added advantages to every product that we do. So that underlying value proposition of Campus will never go away. But of course, this category being a fashion -driven category or something you wear to look good, right . So that fashion element will always be there. And hence, we try to take aspiration and inspiration from the best in the industry or from the leading trends of the market.

Tejash Shah: Sure. And last one follow -up here. In this stage of product NPD evaluation and then acceptance also, how do we get confidence that there is a demand pull or repeat purchase which is getting created and then hence, there is a very wider acceptance of the product and not just the initial kind of push growth which is happening?

Uplaksh Tewary: So the first phase, of course, is to get the products placed, right . There is a demand generation which we do through our partner network. Our partners can be distributors, can be a review partner, can be LFR partners, can be an online partner, right. We take inputs from them in terms of what are the requirements. We create products accordingly. We do our consumer immersion. We understand what is happening in the market, what is happening in other countries, what is happening in competition, what is happening from a trend point of view, right

right? Then our first objective is to get these products placed in the market to the extent possible, right . So there has to be a minimum throughput placement to drive understanding of the success of the product, right . For that, we do understanding of feedback from a retailer or a consumer point of view to understand what works well and what doesn't. We have a very big network of our own stores as well, right. 300 stores is a very big base for us to do any form of A-B testing that we want to do, right. So we get that feedback and depending on the feedback and the response, we know whether this will be one of our top iconic products or will it be a great product or it may not be as high a volume as we might have anticipated, right . So that is the first step primarily goes into reach and then depending on the consumer or retailer's point of view, we take a call on how do we replenish it, right . But our first will is wide enough to ensure that we get a very strong data input from the market.

Tejash Shah: Quite clear. Thanks and all the best for coming quarters.

Nikhil Aggarwal: Thank you.

Moderator: Thank you. Due to time constraint, that was the last question for today's concall. On behalf of Campus Activewear Limited, that concludes this conference. Thank you for joining us and in case of any further queries, please reach out to Campus Activewear's Investor Relations team at [ird@campusshoes.com](mailto:ird@campusshoes.com). Once again, thank you ladies and gentlemen and you may now disconnect your lines. Thank you.

## Call: May 2026

29th May 2026

To,  
BSE Limited  
Corporate Relationship Department  
1st Floor, New Trading Ring, Rotunda Building,  
P. J. Towers, Dalal Street,  
Mumbai – 400 001  
SCRIP CODE: 543523 National Stock Exchange of India Ltd.  
Exchange Plaza, C -1, Block G,  
Bandra Kurla Complex, Bandra (East),  
Mumbai – 400 051

SYMBOL: CAMPUS

Subject: Disclosure under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Earnings Call held with Investors/Analysts

Dear Sir / Ma'am ,

Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of Earnings Call held with the Investors/Analysts on Monday , 25th May 2026 and the same is also available on the Company's website i.e. [www.campusactivewear.com](http://www.campusactivewear.com) .

You are requested to take the same on your records .

Thanking you

For Campus Activewear Limited

Archana Maini  
General Counsel & Company Secretary  
Membership No. A16092

Encl: As above

Campus Activewear Limited  
Q4 & FY '26 Earnings Conference Call  
May 25 , 2026

Moderator: Ladies and gentlemen, good day and welcome to the Campus Activewear Limited Q4 FY26 Earnings Conference Call .

As a reminder, all participant lines will be disconnected and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “\*” then “0” on the touchtone board. Please note that this conference is being recorded. I now hand over the call to Mr. Hiral Keniya from EY LLP. Thank you and over to you.

Hiral Keniya : Thank you Yashashree. Good evening , everyone. On behalf of Campus Activewear Limited, I welcome you all to the company's Q4 and FY26 Conference Call to discuss the performance of the company and to answer your questions.

We have with us the Management Team comprising of Mr. Nikhil Aggarwal – Whole -Time Director and CEO, Mr. Sanjay Chhabra – CFO and Mr. Uplaksh Tewary – COO.

Before we proceed this call, I would like to draw your attention to the fact that today's discussion may contain forward -looking statements that are subject to various risks, uncertainties and other factors which would be beyond Management's control. We kindly request to bear in mind that there might be uncertainties while interpreting such statements.

Please note that this conference is being recorded. We would now like to start the session with

opening remarks from the management team. Afterwards, we will open the floor for an interactive Q&A session.

I would now hand over the conference call to Nikhil sir for his opening remarks. Thank you and over to you Sir.

Nikhil Aggarwal: Thank you. Good evening. Thank you all for joining us today for our Q4 and FY26 Earnings Call.

We continue to demonstrate strong performance in Q4 and FY26 and are proud to report a 12.3% YOY growth driven by 18.9% growth in our online channel and 5.5% growth in our distribution channel. This reflects the strength of our execution across key levers, expanding distribution reach, accelerating online channels and enhancing our product mix, all of which contributed to a higher average selling price. Our ASP grew by 7% YOY to INR 683 driven by robust demand for our sneaker range and our healthy product mix in women and kids category, reinforcing Campus as a trusted brand for the entire family.

As a leader in making premium sneakers accessible, we remain steadfast in our commitment to democratizing design-led high-quality footwear. Our sneaker portfolio continues to deliver strong momentum, accounting for a rising share of total volumes and reaffirming growing consumer preference.

Our accelerated time to market of 80-100 days enabled by a fully integrated manufacturing ecosystem gives

us a distinct edge in rapidly introducing new designs and silhouettes while seamlessly aligning with market demand. We strengthen consumer engagement through the launch of nearly 250 new SKUs in FY26. The premiumization trend remains firmly in our favor, well supported by a richer mix of premium SKUs and a strong response to our refreshed product offerings.

During the year, we sharpened our brand identity with the launch of a new brand logo and the same was unveiled through a very successful brand meet with our distributors last week. At the core of this identity shift are three outward arrows symbolizing multiple paths and possibilities, reinforcing the idea that growth and self-expression are not bound to a single direction. Reflecting the move your way philosophy, the refreshed identity celebrates freedom of movement as an extension of personal ambition, culture and individuality. With a global design perspective rooted in the spirit of Indian youth, it represents a generation that values authenticity and the freedom to shape its own journey while marking Campus' evolution into a culture-led brand spanning fashion, sports and everyday lifestyle.

While we prioritize profitability over aggressive retail expansion this year, our exclusive brand outlet network remains steady at 300 stores. Meanwhile, our upper manufacturing facilities at Paonta Sahib has stabilized and we have commenced production at Pant Nagar unit. Currently, these units are delivering an approximately 2 lakhs average monthly output, which is likely to double by end of FY27, enabling us to efficiently serve rising demand across sneakers and other fast-moving categories.

Despite ongoing capacity expansion, we maintain disciplined working capital management resulting in a strong balance sheet and healthy return ratios with return on equity and return on capital employed at 18.1% and 22.4% respectively.

In the context of evolving geopolitical developments and inflationary pressures in certain raw materials, we took timely calibrated price actions across the entire range to safeguard margins. Looking ahead, we remain firmly focused on our long-term strategic priorities, driving innovation, staying agile and maintaining a consumer-first mindset.

With a product portfolio anchored in technology, design responsiveness and evolving lifestyle needs, Campus is well placed to further strengthen its position as a trusted everyday brand for young Indians.

Thank you and now I hand over the call to our CFO – Mr. Sanjay Chhabra to take you through more details on the Q4 and FY26 performance.

Sanjay Chhabra: Thank you. Good evening, everyone and thank you for joining us on Q4 and FY26 earnings call for Campus Activewear.

First of all, I will take you through the Quarter 4 performance:

Our revenue from operations grew by 12.3% year-on-year to INR 456 crores, largely benefited by higher revenue in the online channel, which has registered a growth of around 19% and distribution channel, which has grown by around 5.5%. The company sold approximately 6.8 million pairs during this quarter, and the average selling price grew by 1.5% year-on-year to INR 668 per pair.

The revenue mix between men and women and children category stood at 78:22 versus 81:19 respectively in the last year same quarter. Our gross margins were at 52.1% in Q4 FY26 versus 52.3% in Q4 FY25. Marginal dilution in gross margin is driven by the GT charges impact in online business, which is largely offset by better channel mix, which is higher online saliency. Our EBITDA for Q4 FY26 was at INR 88.5 crores. The EBITDA margin stood at 19.2% during the quarter and improvement of 50 basis points versus last year driven by volume and revenue growth. Our PAT for Q4 FY26 was at INR 44.1 crores. The PAT margin stood at 9.6% during the quarter an improvement of 100 basis points versus last year, once again driven by revenue and

vo

lume growth.

Now I will take you through the full year performance. Our operational revenue for the FY26 grew by 11.4% to INR 1,774 crores, largely benefited by higher distribution which has registered a growth of 10.5% and online channel which grew by 9.8%. The company sold approximately 26 million pairs during the whole year FY26. The average selling price grew by 7% year-on-year from INR 658 to INR 683. The revenue mix between men and women category and children stood at 79 : 21 versus 80 : 20, which shows a 100-bps improvement in women and children category. Our gross margins were at 53.5% in FY26 versus 52.3% in FY25 and improvement of 120 basis points driven by product and channel mix. Our EBITDA for the year FY26 was at INR 314.7 crores. The EBITDA margin stood at 17.5% during the year and improvement of 145 basis points versus last year driven by revenue growth. Our PAT for FY26 was at INR 150.1 crores. The PAT margin stood at 8.4% versus 7.5% last year and improvement of 80 basis points driven by higher EBITDA margins.

Our balance sheet remains strong with return ratio that is Return on Capital Employed at 22.4% and Return on Equity at 18.1% as of March '26.

With this summary, I will now conclude my remarks and open the floor to the moderator for Q&A session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We will take our first question from the line of Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Hi, good evening. Two questions for me. Firstly, if I look at the product mix in the pyramid that you shared, compared with 4Q FY25, we have seen a significant increase in the number of shoes sold below INR 1,000. One, could you just explain what happened? Why was there a shift between INR 1,000 to INR 1,500? And second, this pricing is MRP or is it the price at which it was actually sold?

Sanjay Chhabra: This price is the price which the company realizes, which is our average selling price. And if you are referring to the last slide of the investor deck, and the increase or the movement between different price points, that is a reflection of the corrections in MRP which happened post the GST change.

Aditya Soman: I understand. So, in other words, basically we have got many of the pairs of shoes that were priced above INR 1,000 are now priced below Rs. 1,000 and that would be the reason.

Sanjay Chhabra: Yes, because 12% GST got revised to 5%. Correct.

Aditya Soman: Okay, now that is very clear. And second question, just in terms of online mix improving, can you just throw a little more light on what is really helped with that?

Uplaksh Tewary: Hi. On the marketplace operation, of course you are aware that for the last three years we have increased our overall focus on marketplace operation as compared to the outright business.

So, the growth levels have been three-pronged, of course, apart from Flipkart being the biggest partner for us. We have made a lot of improvements in our revenue mix with Amazon, Snapdeal, as well as our own brand.com. So, there have been further very aggressive growth that we have had on these platforms as well, along with our larger players continuing to grow, hence the higher salience in the last quarter.

Aditya Soman: That is very clear. Thank you.

Moderator: Thank you. Next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Thank you for taking my question, Sir. So, first question is regarding the price increase. Nikhil had mentioned that we have taken a price increase because of the raw material prices increasing. What was the kind of price hike that we have taken?

Nikhil Aggarwal: Hi, Gaurav. So, I would not like to diverge into numbers, but there has been macro inflationary pressures with respect to raw material

I pricing and minimum wage impact, right, which has

affected the entire industry. So proportionately we have taken price hikes across the range.

We are also working on cost-saving initiatives internally within the organization, but at the same time we have taken price hikes to mitigate these pressures as far as possible. So, rest assured we are doing everything we can to still deliver healthy growth and margins.

Gaurav Jogani: So I will ask the question because the raw material inflation has been sustaining. So the recent price hikes that you have taken, shall that suffice for you to cover the inflation or you might need to take more price increases?

Nikhil Aggarwal: No, we have taken enough increase in pricing to cover the inflationary impact. We do not see the RM impact going worse from here. I think we have seen the peak and with time, in maybe a quarter or so, it should start coming down as the war settles, but the pricing will not change. So that should benefit us in the latter half of the year.

Gaurav Jogani: My other question is for Mr. Sanjay. Our other expenses for the quarter and also for the year, Ex of the ad spend has increased by 5% only. Now for this particular quarter, if you look at the online salience, the online revenue has grown also by 19%. So the commissions I am assuming would also increase. So despite that, the other expenses have only increased by 5%. So what is

leading to this 5% growth only and how should we build in for the periods ahead?

Sanjay Chhabra: It has a couple of elements. So, you said rightly online commission. Online commission again is a dynamic negotiation between our platforms or the channel partners and at times there are waivers based on events. So that is one element. And also, if you see, as Nikhil mentioned, that our store count remained flat, which means that there was no new cost associated with EBO stores which came in this quarter. So that is also one of the reasons. So, these two things kept the increase in other costs to the range of 5% to 6%.

Gaurav Jogani: Sir, just because the lease line item, if you look at the rentals, the lease line item shows a sharp increase in the lease related cost in the cash flows. So, if you can give us a sense what kind of rent we have paid for the entire year, FY26 versus FY25, because the lease line item looks sharply increasing, almost 3X.

Sanjay Chhabra: It is a technical accounting thing. The Pantnagar facility which we acquired, technically it is on a 71-year lease from the state government. So, the cash outflow is shown as a payment of lease liability, whereas like in a normal course you would treat it as a fixed asset acquisition. So that is why that number looks a bit inflated compared to previous year.

Gaurav Jogani: Sir, what would be the normal rental if we have to just have for FY26 versus FY25?

Sanjay Chhabra: For a full year, if you eliminate INR 65.4 CR, that is the normal number.

Gaurav Jogani: Sure, Sir. Thank you. That is all, Sir.

Moderator: Thank you. Next question is from the line of Aryan Garodia from Ambit Capital. Please go ahead.

Aryan Garodia: Hi, Sir. Thank you for taking my question. Sir, for FY26, if I see the inventory days, it has increased by approximately 5 to 6 days. So, if I see that, which leads to increase in cash conversion cycle. So how one should think of going ahead with respect to inventory days and what are the drivers for increasing in inventory days for FY26?

Sanjay Chhabra: Okay. I just want to highlight a bit here. Last year we reached to a FG inventory level in terms of pairs or in terms of days of cover to a very, very minimal level and we had to do that correction. We were deferring that correction. First, we were prioritizing liquidation of non-BIS inventory and then eventually where we have reached as of March '26, that is the right level of inventory to sustain the kind of growth or what we are aspiring

for. So I would say that the

level at which we are in terms of FG inventory, that is the right level. Going forward, it will continue to be that.

Aryan Garodia: Got it. And so second question is like what drove the decision to undertake the recent brand refresh, like including the logo change and the broader branding initiative undertaken this year? Like what benefit do we expect this year to deliver in terms of consumer perception or say brand positioning or consumer acquisition and in the long-term growth per se?

Nikhil Aggarwal: So you know this is something been on our cards for a long time actually. It is not like a very recent decision. Of course we have executed it right now. So broadly you know the idea behind that is that the logo, we wanted to come up with a refresh logo to also project the initiatives and the changes that have taken in the brand. We have really transitioned and transformed the entire brand positioning in the last two years or so. And therefore, the brand refresh or the logo refresh was important to be able to justify that to the end consumer. And this is something that we do a very detailed consumer study every year in January across cities with thousands of consumers. And this is also something that was very well received as a question that we put up to them. So, they did really appreciate the brand refresh, the new identity. So, it has been very well accepted in the market, very positive feedback from all the trade partners including distribution channels, online partners. Because the word mark has obviously been very, very strong as Campus word mark. But we do believe that the brand in today's time it needed a new identity in terms of logo as well.

Aryan Garodia: Got it. So just one last question. So, which could be the areas where the cost can be saved going ahead? Like would Ad spend be a part of this exercise since it would land up impacting the market share growth?

Nikhil Aggarwal: No, great question. So Ad spend is something that specifically I would rephrase that as marketing in the brand building initiatives. We don't want to compromise on that at all. And in fact we have taken a fairly aggressive budget in FY27 on the marketing side of course keeping the overall margin in mind. And that is something that we have never compromised over the last 20-25 years. It is the philosophy of our brand identity that we have continued to invest in marketing no matter how the markets have behaved. And that is why we have continuously grown the market share. So, we will continue doing that this year as well. Because we don't want to deliver margins just by cutting corners with respect to marketing.

Aryan Garodia: Got it Sir. Thank you so much for answering my questions.

Moderator: Thank you. Next question is from the line of Uma ng Mehta from Kotak Securities. Please go ahead.

Uma ng Mehta: Hi, thanks for the opportunity and congrats on a strong year. My first question is on the sneaker's portfolio. Possible to share how much did they grow? What was the mix in terms of volumes, revenues in FY26? And how are you looking to scale that up going forward?

Nikhil Aggarwal: We have had a very exciting year with respect to sneakers portfolio. We have grown this portfolio about a 100% year-on-year. But this year we have delivered also like a 100% plus growth on an annual basis. And quarterly it's been like 50% plus growth with respect to a sneaker portfolio. So, it is a testament to the fact that the development with respect to the products that we have done in sneakers and the quality we are able to produce it at from our new plants at Pantnagar and Haridwar has been phenomenal and very well received in the market. So we will continue doing that. It is something that is a big priority for us as a brand and a company. And it is definitely adding to the premiumization mix as well.

Uma ng Mehta: So can we assume that you are c

onstrained by capacity as of now and these 2 lakhs per month which you are adding, these 24 lakhs annually will entirely kind of potentially grow your portfolio by another 60-70% in FY27 assuming that demand is robust.

Nikhil Aggarwal: So I would not say that capacity is a constraint at this point. I mean we have enough capacities and this number of 2 lakhs is actually a very dynamic number. We are continuing to increase capacity. The plants have been set up in a way that the capacity for Pantnagar for example after 2 phases of development can go up to 6 lakh pairs of sneakers per month and HRD2 can go up to 2 lakh pairs which it already is currently operating at. So, we are targeting in totality 8-9 lakh pair monthly production of sneakers and we are well on track to do that. So it is a phase development. I would not say we are short with respect to capacity at the moment.

Uma ng Mehta: And the second question was around pricing and margins. So historically have you taken such large a hike as you would have taken, I am assuming a high single digit hike could have happened. Does it lead to any temporary demand shock in terms of volumes? And in that context do you think FY27 you could kind of come to your aspirational margin band of 17 to 19% or would we push that milestone by year FY28 given the tough macro backdrop?

Uplaksh Tewary: So I do not think we have seen such an inflationary pressure in any of the past years. I mean as much as my memory can take me with the kind of pressure that have come from a raw material standpoint as well as from a minimum wages' standpoint. It is a very major increase that we have seen. We have tried our best to pass on this increase through an MRP increase through the entire portfolio. We are trying to balance between the increase in ASP versus ensuring that demand also sustains. So, we are in a very nascent stage right now. This price increase happened in the first week of April. So we are just in the process. Of course, there would always be resistance when you take a reasonably strong price across your entire portfolio. But we are trying to mitigate it through better supply with better product launches as well as increasing our share of new product development that we do into the market. So we are trying to balance the two while we need to protect our margins but at the same time we do not want to lose our market share. So we are trying to find the right solution. The inflationary pressure is very high. Of course that is the bottom line. And we see us trying to maintain our market share without compromising on margins. And in April we were able to have a reasonably good start as well. So April was also on a positive note.

Uma ng Mehta: Understood. Any margin guidance you can share for FY27?

Nikhil Aggarwal: No guidance, unfortunately. But we will definitely endeavor to stay within the range we have guided before, 17% to 19%.

Uma ng Mehta: Thank you so much, Nikhil, and all the best.

Nikhil Aggarwal: Thank you.

Moderator: Thank you. Next question is from the line of Avinash from Motilal Oswal. Go ahead.

Avinash: Hello. So my question is regarding the EBOs. So last year and the year before we have seen a good number of consolidations in the storefront and the storefront has more or less been flat.

So how do we see this number going forward?

Nikhil Aggarwal: Sure. So last year we did a correction. This was the year where we actually focused a lot on profitability. So, we shut down about 9 to 10 odd stores and we have opened about 13 to 14 new stores. And that has, of course, improved the P&L for this specific channel. Going forward, this year we will be back with respect to opening of new stores and we expect to open anywhere between 60 to 70 stores or about 80 stores, I would say.

Avinash: Another bookkeeping question would be the CAPEX for these stores and also for the facilities that you will be

incurring next year?

Nikhil Aggarwal: CAPEX for the stores, right? Right. So we only do CAPEX for our COCO stores wherein we can assume the mix to be 40-60 approximately, like 40 COCO and 60 FOFs. So there would be some CAPEX with respect to our 30-35 odd stores that we will be opening.

Avinash: Thank you for that. But no, I am really asking from the company level CAPEX, how should we see things that our Pant Nagar facility has incurred a major CAPEX last year. So how should we see this number next year?

Sanjay Chhabra: Last year, since it was an acquisition of Pant Nagar facility, so the CAPEX was relatively higher. But apart from that, the CAPEX would continue to be in the normal range, which is plant routine maintenance CAPEX plus regular CAPEX on mold, regular CAPEX on EBO store additions and IT

infra, etc. So we will go back to the normal range and then over a period of next three years, we will be incurring CAPEX for expanding our Pant Nagar facility, including addition of assembly lines. But first, at this point in time, we will try to optimize on the utilization of the upper facility at the first place in Pant Nagar. So we don't see FY26 like CAPEX spends in FY27.

Avinash: Got it, Sir. Thank you. That's it from my side.

Moderator: Thank you. Next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Yes, Hi, Nikhil. Congratulations. Thanks for taking my question. Sir, we have recently concluded our annual distribution meet. I believe this is an important annual event for you. Checking if you can share some insights from the meet, based on whatever you witnessed during the meeting.

Nikhil Aggarwal: Yes, so we had a very successful meet. Concluded that last week. It was a two-day affair. And, of course, all our top distributor partners and our franchisee partners and online partners were all present. So we have received a really, really encouraging set of orders. I will not be able to share the numbers around that, unfortunately. But this is something that is like a four-month forward number, which helps us predict our supply and demand. And, of course, this meet was also focused around not just the orders, but also the new brand logo reveal. And a couple other surprises, which I will not be able to share at this point, due to confidentiality reasons. So, in all, this meet has given us very good visibility with respect to the orders and with respect to demand forecasting that we need to do to plan our supply chain.

Devanshu Bansal: Fair enough, Nikhil. I understand the competitive nature of the industry. But maybe in comparison to last year, whatever demand trends or obviously, these all are qualitative things as well. So, if you could just compare our last few years, how was the environment, and maybe compare that with the current year, that would also be helpful. Maybe if you could share some insight.

Uplaksh Tewary: On the order front, what I can say is that we had wanted to take our entire order booking till the month of September. Depending on the AOP alignments with our distributor partner, we were able to close that over 100%. So, the total alignment, which was deployed to the partner network till September, after excluding April revenue, which is already recognized by that thing. The balance number is what was committed and was aligned with the partners to come and place an order for, and they were 100% of that number. So whatever is our AOP alignments with our distributors has been concluded till September. Now the execution phase starts. The orders are in right now.

Devanshu Bansal: Fair enough. This is really encouraging. Secondly, as a footwear industry, we are entering an inflationary environment. If you could share some insights around possible impact on the demand front, as well as key raw materials. I also sort of understand that this is a period where you can all

sort of gain a good amount of share from the unorganized channels. So if you could share some sort of insights around that.

Nikhil Aggarwal: Well, we have seen inflation across categories, actually in raw materials, because most of it is linked to crude in some way or the other. But major impact we have seen is in EVA and PU pricing. But already, like I mentioned before, we have seen the peak of it. And as we speak, the prices have started to come down a little. And our latest purchase was at a slightly lower price, which is encouraging signs because the market is reacting to it. So it's a very dynamic environment at the moment. And we have factored in the peak raw material pricing within our cost and within our pricing that we have passed on. So that way we should be covered. With respect to demand, it is something that we are yet to see. I mean, as Uplaksh mentioned, we have seen a strong start to the quarter, quarter one. And of course, it will be difficult to predict as we go on. But we are fairly confident of maintaining market share and growing market share actually at this time because the impact that we have passed on as a brand, I don't think it's very comfortable and easy for a lot of the other smaller players to pass on in the market. Therefore, we believe that we should gain as a brand in terms of market share.

Devanshu Bansal: Any initial signs of consolidation, Nikhil, that last bit if you could address?

Nikhil Aggarwal: There are signs of it. I mean, signs with respect to because you'll have to understand that not every brand will have the pricing power to pass it on and also at the same time absorb all the entire raw material cost. So, there have been signs in the industry with respect to slowing down of production. That's come to our knowledge. So, there are many companies that have slowed their production at this time.

Devanshu Bansal: Thank you, Nikhil. That's it from my end. Thank you.

Moderator: Thank you. Next question is from the line of Sameer Gupta, IIFL.

Sameer Gupta: Firstly, Sir, on the ASP growth of 1.5% this quarter, now there is a healthy growth in the D2C online and offline space and typically here realizations are higher given no or low trade margins. So, unless the overall mix has been kind of unfavorable, what explains the low ASP growth this quarter?

Sanjay Chhabra: It's primarily the GT charges, in fact. So, last year in the online business, let's say we were having an ASP of INR 100, but in this year or since 16th of June, the portals changed their accounting,

wherein they are rather we are not billing. Instead of billing at INR 100, we are billing them at INR 82. INR 18 rupees towards freight is being billed directly by them and hence to that extent my revenue has come down and resulting into a lower ASP. So, this change happened with effect from 16th of June, which was not reflected in last year Q4, but is fully reflected in this year Q4.

Sameer Gupta: Got it, Sir. This explains. Second, sir, and this is more of an industry question, there has been a chatter around BIS rethink. Any indication you are hearing that there could be any relaxations on the BIS front or it is just a chatter with no substance?

Nikhil Aggarwal: I think it's just a chatter at the point, like there is nothing that we have heard of officially from the government yet. And as a company, we are fully covered with respect to the compliance. So, as we speak, we are left with hardly any stock of BIS. So, we will be fully compliant by 31st of July.

Sameer Gupta: Sure, Sir. That's all from me. All the best. Thank you.

Moderator: Thank you. Next question is from the line Shraddha Kapadia, SMIFS.

Shraddha Kapadia: Congratulations on good set of numbers. So, if we take a look, then there is an increase in competition from the global as well as the local brands, especially in the affordable athleisure segment. So, what does the management believe the Campus' strongest move as of today? So, would it be distribution, pricing, speed?

Nikhil Aggarwal: I am sorry. Your voice is not very clear, Shraddha.

Shraddha Kapadia: I am already on handset.

Nikhil Aggarwal: Shraddha, you are not very clear. I am sorry.

Sanjay Chhabra: Can you please repeat your question, Shraddha?

Moderator: Can you repeat your question, Shraddha? Sorry, Shraddha. Can you return back to the queue because you are sounding muffled? Please check your network, please. We will take our next question from the line of Nilesh Doshi from Prospero Tree. Please go ahead.

Nilesh Doshi: Thanks for the opportunity. Sir, my first question is related to the PAT margin. During the Quarter 4, the company has reported the 9.6% PAT margin in comparison to Quarter 4, FY25, 8.5%. And for the full year, it is 8.4%. Particularly because in Quarter 4, we have reported the ASP of INR 668, which is lower than the full year ASP of 683. So, what has actually occurred and what is the trigger point by which our PAT margin has increased during the Quarter 4? Can you please throw some light on the PAT margin, sir?

Sanjay Chhabra: The PAT margin growth is primarily driven by revenue and volume growth. If you are trying to link it purely with ASP, the ASP is a function of channel mix as well. So, Quarter 3 ASP or full year ASP is higher because of Quarter 3. Quarter 3 ASP is higher because of higher saliency in online and Quarter 3 being season, right? Quarter 4, when we enter Quarter 4, the mix changes, which also includes more of school shoes and hence the ASP is slightly subdued. However, having said that, lower ASP does not mean that lower material margin, right? And in Quarter 4, we have shown decent growth in both volume and revenue, which has resulted into a better PAT margin.

Nilesh Doshi: So, is it particularly the Quarter 4 episode or can it happen in another quarter also? Because you mentioned that the school shoes were sold during Quarter 4. I think there is more contribution from the school shoes segment. Is it like that or Quarter 4 is one time during the full year?

Sanjay Chhabra: School shoes is highest in Quarter 4 and then again there is school shoes in somewhere around September, October, which can fall either in quarter 2 or Quarter 3, right? Which will result in slightly lower ASP, that's it. But that does not mean it will result in a lower margin.

Nilesh Doshi: Okay. And sir, I go through the presentation. The outsource versus the in-house ratio is still in favor of the outsourcing. Sir, is it our well-thought policy or will it be changed gradually by capacity? Or by increasing that capacity, can we improve the quality and overall margin for the company?

Sanjay Chhabra: Okay, it will definitely improve over a period of time, but it will show a very gradual change in the mix of in-house because the upper is still, we have a very good number of outsourced partners who make upper for us, exclusively. So, that will continue to be there. What will happen or what will change with the investment in newer capacity is that the sneaker volume, which has a high demand and requires investment in machinery, which we have done and not our outsourced partners. So, the sneaker volume will continue to be in-house, right? So, that will help us to improve the mix to serve our consumers in the category where the demand is and will result in a higher ASP as well. So, basically you can foresee this as that the future growth will be met from our in-house facilities by and large and that will result in a gradual shift in this saliency of in-house versus outsourced mix.

Nilesh Doshi: Any outsourced party is a related party or all are the third party?

Sanjay Chhabra: All are fragmented, very small. We have approximately 100 odd job workers which work exclusively for us.

Nilesh Doshi

hi : And, Sir, my last question related to D2C channel. See, it is mentioned in the presentation that during the quarter, D2C channel has contributed around 48.3% versus 44.8% on a YOY basis.

So, which vendors are falling under the D2C category and how this margin profile?

Sanjay Chhabra: By D2C, we mean both D2C online which is the portals primarily Flipkart, Myntra, Amazon, Snapdeal, etc. and D2C offline. By D2C offline, we mean the D2C is direct to consumer. D2C offline means all our EBOs, franchisee partners and large format stores like D-Mart, We-Mart, Lifestyle, Reliance Footprint. So, all this where we reach directly to consumer instead of reaching through intermediaries. So, that is D2C.

Nilesh Doshi : And how it affects your margin profile?

Sanjay Chhabra: We work on a certain margin threshold that remains the principle or criteria for we selling a product barring the EBO channel or exclusive stores where it is more about reaching out to consumers or reaching out in the new markets and the gestation period for such stores is slightly higher versus any other D2C online channel.

Nilesh Doshi : So, can I assume that D2C...

Moderator: Nilesh, may I request you to turn back the Q&A?

Nilesh Doshi : Okay, that's fine. Thank you, sir.

Moderator: Thank you. We will take our next question from the line of Gaurav Jogani from J M Financial. Please go ahead.

Gaurav Jogani: Thank you for taking my question again, sir. My question is with regards to, again, you know, the competitive intensity. You know, given the fact that you are now able to produce sneakers and also many of your competitors are facing issues in terms of production or getting footwear from outside India due to BIS reasons and many other reasons. So, how that has helped you over the last one year in terms of market share gains? If you can highlight some of the scenarios where it has played out?

Nikhil Aggarwal: Well, we think, Gaurav, that while we haven't done, honestly, a detailed study on market share post the IPO, but we do track the industry growth rate and, you know, we don't think the industry has grown last year beyond 7% to 8%, you know, at most. And us growing at about 12%, we think we have definitely gained market share. So there is some bit of consolidation that has happened in the market, both with respect to sports and sneaker range. So, you know, definitely given the current situation, we have a good opportunity on hand to further increase our market share in the market.

Gaurav Jogani: And, Nikhil, just one last bit from my end is in terms of the logo now. You know, given that we have a completely new logo, has there been any issues that you would have faced because people would associate a brand Campus with the older logo? And how do you communicate the newer logo to this? And because of this, have you faced any disruptions in the interim?

Nikhil Aggarwal: It's a very valid question, Gaurav. So we actually did a soft launch of this logo in October, November last year, where the new products that were being launched in the market were all with the new logo, starting October 2025. So that was a soft launch. We didn't announce it at that point. And we have seen, like, you know, and the numbers basically tell the story, right? Like, O&D, we have had great results, and even quarter four. So that is clearly reflecting that all our NPDs that have been launched with the new logo have been very well received in the market. Therefore, that gives us confidence that the logo is, you know, very well accepted.

Gaurav Jogani: Thank you, Nikhil, for answering the question. Thank you.

Moderator: Thank you. Before we take the next question, I would like to remind participants to ask a question, please, the star and one on your phone. Next question is from the line of Mansi Joshi from SMIFS. Please go ahead.

Mansi Joshi: Hi. Congrats for such a strong performance. T

here are two questions from my side. So Campus

has been strong in North India, while South and West regions still contribute relatively lower shares. So, what are the key consumer differences, consumer behavior differences in these markets? And are you making any changes for being made to product assortment or branding to improve the penetration across these regions? The second one is given the competition from global as well as local brands, so the competition is increasing in affordable S & A segments.

What are the campuses' strong moves today? Is it distribution reach or pricing or any local trend responsiveness? So what makes it different from the other global and local brands?

Uplaksh Tewary: So Hi Uplaksh this side. On the first question, right, you asked about us being a North heavy business. Actually, that might be an older philosophy. I think we have been able to extract and reach a lot more markets. Just to give context, currently our second-largest state is

Maharashtra, right, which wasn't so five years back from a Channel trade point of view, right?

So there has been significant increase in a lot of states, including Maharashtra, Gujarat, MP, West Bengal, a lot of other states, right, including South. So we have done a reasonably strong job in AP and Telangana, and we are focusing on other states as we speak. There is a product differentiation from a market requirement. Some markets are slightly more open-heavy. Some markets are slightly more shoes-heavy. Some markets are slightly more sneaker-heavy. We try to customize our offering looking at the requirements of the particular channel as well as the geography. So the requirements of an online business will be slightly different. The consumer profile will be a bit different, and the general trade consumer will be slightly different. The

consumer cohort is different. The geography cohort is different. So since we have a very wide assortment, we are able to customize our offering depending on the requirements of the particular market. So our team does regular visits to find out what exactly is the need. We do competition benchmarking. We do online benchmarking to understand what's happening in the market, and we build that into our product development cycle, right? So, we are not really North-heavy company. Amongst our top five cities, there is Pune and Bangalore in our online business as well, right? And number two general trade state is Maharashtra today. So we have pretty much a very strong pan-India story and not really a regional story, and that's one of the reasons for our scale as well. On the second piece, when you mentioned what there is competition from multiple sites, local players, incoming, right? So the moat of Campus is a multi-fold moat, right? We have a completely vertical and horizontally integrated supply chain vertical. We have the strongest distribution network. We have a very strong back-end R&D engineering, and we have a legacy and a brand identity and customer loyalty of over 20 years. All these add up to where our brand models, and I do not see it's very easy for anyone to want to replicate it. Of course, there would be competition, and that is part of our business, but all these moats are very difficult, if not impossible, to replicate in today's environment. So we believe that we have a right to win in the market, and we will continue doing so.

Nikhil Aggarwal: Just to contextualize a little bit in numbers, we did just a very small check, you know, at our end with respect to anybody trying to replicate our supply chain, you know, would need maybe close to around INR 2,000 crores today to replicate the same level of supply chain that we have with respect to land, building, the plant and machinery that we have set up over the years. So it is something that, and it's not just the investment part of it, it is much more than that to be able to, you know, grow

together with the entire vendor base to take them along with you, your partners, your channel partners. So, it's a very fairly complex ecosystem that has been created with a lot of rigor and, you know, brand, of course, investment as well over the years, which is something that we don't think is very easy to replicate by anybody else very easily.

Mansi Joshi: Okay. Thank you very much.

Moderator: Thank you. We will take our next question from the line of Tejas Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejas Shah: Hi. Thanks for the opportunity. Three questions. So first, this quarter was a very complicated quarter from the sense to gauge consumption demand sentiment because a lot of development happened at the fag end of the quarter. So just from your assessment or the way you are looking at data, would you say there was a perception or there is rather a perception shift in demand momentum which should sustain in FY27 or you believe that the whole event that has played out or unfolded in the last 60-odd days kind of disrupt the momentum which was created?

Nikhil Aggarwal: So, no, you are right. There has been a very dynamic market at this point, but more so from a supply point of view, I would say. And like I mentioned, we have seen the peak of it with respect to availability of raw material and the pricing around it. Now, going forward, we see stability and some raw material has started to correct already. But on the demand side as well, yes, till March we have not seen really much of an impact. There was some impact in the month of March, but not very significant. Going forward, of course, if the war sustains, then it's anybody's guess, to be very honest. Nobody will be able to commit any kind of numbers with this kind of scenario, prolonging for a very long time, right? But if it sort of settles at this point, we see a good recovery in place and the market should recover also fairly soon.

Tejas Shah: So second, on our better performance in online versus the other channels, was there any concentrated effort which actually played out or kind of resulted in good performance surfacing this year in the channel? That's one. Second, based on the data, because online is a very reflexive channel on that front, do you believe that we would have gained market share or the channel itself did very well for the category at large?

Uplaksh Tewary: I think the growth of marketplace is a growth that has been happening for some time for us, right? This is a journey that we have been over the last three years, where we have been building our own capabilities of running a marketplace operation. Over the last 12 to 18 months, we have also started leveraging the infrastructure of Flipkart, Amazon, and Myntra as well through the FBA, FBF, and Edge JIT models, which we supplied through their warehouse infrastructure, to be closer to the consumer cohorts. Last quarter, of course, the big call-outs for the quarter would, of course, be our long-term partnership with Amazon and the growth potential that we are seeing there. It's been a story that has been playing out for over 18 months now, and we see it continuing into the long-term future as well. Our brand.com is a very successful story, only launched about three years back. It will be among the top four marketplace platforms, if I compare it as an individual marketplace as well, as well as Snapdeal, which has also been a very, very strong turnaround story for us. While Myntra and Flipkart continue to be very big players for us, we have also been able to scale up the other partners and bring them to a certain pedestal. So, we don't see marketplace growth slowing down anytime soon. Of course, it's a tough space because it's extremely competitive, extremely

expensive, extremely complicated, looking at the way this business is run overall, looking at the complication of return, logistics, mar

keting, other factors, as well as the alignments with the larger players. We have been signing off JBPs and JMPs with all these big players so that we have a long-term alignment and visibility with them. And we are able to focus on long-term growth creation with these partners. So, marketplace operation is extremely positive. Only Flipkart is the only partner we work with from an outright business point of view. All of the businesses for us on the online side are pure marketplaces.

Tejas Shah: And so last one on brand logo change. Usually such an established brand, when it goes for a renewal on the logo side, at least for the initial period, it needs a lot of branding and marketing support to create that recall. So, should we expect some heightened branding spend this year or will it be part of the path of course in terms of what we will spend on this?

Nikhil Aggarwal: No, so it will be part of the regular spend only, but more focused on the brand building side rather than performance marketing. So that is something that we endeavor to do this year is focus more on the brand building side.

Tejas Shah: Got it, Sir. Thanks, and all the best.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's Con call. On behalf of Campus Activewear Limited, that concludes this conference. Thank you for joining us. And in case of any further queries, please reach out to Campus Activewear's investor relations team at [ird@campusshoes.com](mailto:ird@campusshoes.com). You may now disconnect your lines.